

FRANCHISE DISCLOSURE DOCUMENT



IHOP FRANCHISOR LLC
a Delaware limited liability company
10 West Walnut Street, 5th Floor
Pasadena, California 91103
(818) 240-6055
www.ihop.com

We offer two different franchise programs for Restaurants at non-traditional venues which feature “IHOP” pancakes as well as a diverse menu of other breakfast, lunch and dinner items.

The total investment necessary to begin operation of an IHOP franchise at a non-traditional venue is as follows:

Program		Low	High
Full-Service Program		\$784,382	\$4,147,245
Dual Branded Restaurant Concept		\$616,682	\$4,632,445
IHOP Limited-Service Program	Fast-Casual Restaurant	\$559,732	\$1,722,070
	Quick-Serve Restaurant	\$436,482	\$1,090,645

This includes Initial Fees of \$33,750 to \$138,500 per Full-Service Restaurant and \$23,750 to \$81,000 per IHOP Limited-Service Restaurant to be developed which must be paid to the Franchisor or an IHOP Affiliate.

This Franchise Disclosure Document (this “Disclosure Document”) summarizes certain provisions of your franchise agreement and other information in plain English. Read this Disclosure Document and all accompanying agreements carefully. You must receive this Disclosure Document at least 14 calendar days before you sign a binding agreement with, or make any payment to, the franchisor or an affiliate in connection with the proposed franchise sale. **Note, however, that no governmental agency has verified the information contained in this document.**

You may wish to receive your disclosure document in another format that is more convenient for you. To discuss the availability of disclosures in different formats, contact Josh Clorfeine, Associate General Counsel, 10 West Walnut Street, 5th Floor, Pasadena, California 91103, (818) 637-4794, josh.clorfeine@ihop.com.

The terms of your contract will govern your franchise relationship. Don’t rely on the Disclosure Document alone to understand your contract. Read all of your contract carefully. Show your contract and this Disclosure Document to an advisor, like a lawyer or an accountant.

Buying a franchise is a complex investment. The information in this Disclosure Document can help you make up your mind. More information on franchising, such as “A Consumer’s Guide to Buying a Franchise,” which can help you understand how to use this Disclosure Document, is available from the Federal Trade Commission. You can contact the FTC at 1-877-FTC-HELP or by writing to the FTC at 600 Pennsylvania Avenue, NW, Washington, D.C. 20580. You can also visit the FTC’s home page at www.ftc.gov

for additional information. Call your state agency or visit your public library for other sources of information on franchising.

There may also be laws on franchising in your state. Ask your state agencies about them.

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How to Use This Franchise Disclosure Document

Here are some questions you may be asking about buying a franchise and tips on how to find more information:

QUESTION	WHERE TO FIND INFORMATION
How much can I earn?	Item 19 may give you information about outlet sales, costs, profits or losses. You should also try to obtain this information from others, like current and former franchisees. You can find their names and contact information in Item 20 or Exhibit A and Exhibit A-2.
How much will I need to invest?	Items 5 and 6 list fees you will be paying to the franchisor or at the franchisor's direction. Item 7 lists the initial investment to open. Item 8 describes the suppliers you must use.
Does the franchisor have the financial ability to provide support to my business?	Item 21 or Exhibit D includes financial statements. Review these statements carefully.
Is the franchise system stable, growing, or shrinking?	Item 20 summarizes the recent history of the number of company-owned and franchised outlets.
Will my business be the only IHOP business in my area?	Item 12 and the "territory" provisions in the franchise agreement describe whether the franchisor and other franchisees can compete with you.
Does the franchisor have a troubled legal history?	Items 3 and 4 tell you whether the franchisor or its management have been involved in material litigation or bankruptcy proceedings.
What's it like to be an IHOP franchisee?	Item 20 or Exhibit A or Exhibit A-2 lists current and former franchisees. You can contact them to ask about their experiences.
What else should I know?	These questions are only a few things you should look for. Review all 23 Items and all Exhibits in this disclosure document to better understand this franchise opportunity. See the table of contents.

What You Need To Know About Franchising *Generally*

Continuing responsibility to pay fees. You may have to pay royalties and other fees even if you are losing money.

Business model can change. The franchise agreement may allow the franchisor to change its manuals and business model without your consent. These changes may require you to make additional investments in your franchise business or may harm your franchise business.

Supplier restrictions. You may have to buy or lease items from the franchisor or a limited group of suppliers the franchisor designates. These items may be more expensive than similar items you could buy on your own.

Operating restrictions. The franchise agreement may prohibit you from operating a similar business during the term of the franchise. There are usually other restrictions. Some examples may include controlling your location, your access to customers, what you sell, how you market, and your hours of operation.

Competition from franchisor. Even if the franchise agreement grants you a territory, the franchisor may have the right to compete with you in your territory.

Renewal. Your franchise agreement may not permit you to renew. Even if it does, you may have to sign a new agreement with different terms and conditions in order to continue to operate your franchise business.

When your franchise ends. The franchise agreement may prohibit you from operating a similar business after your franchise ends even if you still have obligations to your landlord or other creditors.

Some States Require Registration

Your state may have a franchise law, or other law, that requires franchisors to register before offering or selling franchises in the state. Registration does not mean that the state recommends the franchise or has verified the information in this document. To find out if your state has a registration requirement, or to contact your state, use the agency information in Exhibit G.

Your state also may have laws that require special disclosures or amendments be made to your franchise agreement. If so, you should check the State Specific Addenda. See the Table of Contents for the location of the State Specific Addenda.

Special Risks to Consider About *This* Franchise

Certain states require that the following risk(s) be highlighted:

1. **Out-of-State Dispute Resolution.** The IHOP non-traditional multi-unit franchise agreement requires you to resolve disputes with us by mediation and arbitration only in California. Out-of-state mediation and arbitration may force you to accept a less favorable settlement for disputes. It may also cost you more to mediate and arbitrate with us in California than in your own state.

Certain states may require other risks to be highlighted. Check the “State Specific Addenda” (if any) to see whether your state requires other risks to be highlighted.

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ITEM 1

THE FRANCHISOR, AND ANY PARENTS, PREDECESSORS, AND AFFILIATES

The franchisor is IHOP Franchisor LLC, a Delaware limited liability company, formed on July 28, 2014. In this Disclosure Document, the words “IHOP,” “we,” “our” and “us” refer to IHOP Franchisor LLC, and when appropriate, our affiliates. “You” means the person or entity who buys the franchise.

This Disclosure Document is for the franchise offering of “International House of Pancakes,” “IHOP” and “IHOP Express” Restaurants at non-traditional venues (defined below). We offer franchise programs for the development, sale and operation of International House of Pancakes and “IHOP” Restaurants in traditional venues under a separate franchise disclosure document, on terms which may differ materially from the terms of this Disclosure Document. We also test, develop, franchise and may operate other new fast casual and quick serve concepts, as well as concepts, restaurants, and prototypes located in urban and other markets, which may operate under other names which may include “IHOP.” You may not be offered the opportunity to participate in all programs. Our agents for service of process are listed by state in Exhibit H of this Disclosure Document.

Non-traditional venues are generally within another primary business or in conjunction with another business or at institutional settings. Examples include schools, colleges and universities, military and other governmental facilities, hospitals, airports, highway rest stops, toll roads, hotels, motels, arenas, travel plazas, office or in-plant food facilities, supermarkets, grocery stores or convenience stores, casinos, stadiums, shopping malls and any other site, venue or location, some of which may be operated by a master concessionaire or contract food service provider (“Non-Traditional Venue”). Traditional venues are all other venues or sites (“Traditional Venue”).

On or about September 30, 2014 (the “Closing Date”), our parent, Dine Brands Global, Inc. (“Dine Brands”) (formerly known as DineEquity, Inc.), and various of its existing direct and indirect subsidiaries closed a securitization transaction involving both the IHOP and Applebee’s brands (the “Securitization”), as part of which various existing subsidiaries contributed their assets, including intellectual property, real and personal property and equipment and related leases and subleases, notes and indebtedness of franchisees, and the business and related agreements concerning manufacturing, sourcing and sales of goods and services, to newly-formed subsidiaries of Dine Brands, including us.

On the Closing Date, International House of Pancakes, LLC (“IHOP LLC”) ceased offering and selling new domestic franchises and contributed all then-existing U.S. IHOP franchise agreements and related franchisee notes and guarantee agreements, among other assets, to newly-formed IHOP Restaurants LLC. IHOP LLC also contributed all then-existing U.S. area development agreements to us, and we became responsible for all new domestic franchise sales commencing October 1, 2014. Prior to January 4, 2016, IHOP LLC offered and sold IHOP franchises internationally. On January 4, 2016, Dine Brands conducted a reorganization of its international operations such that substantially all the international assets of IHOP LLC were transferred to Dine Brands International, Inc. (formerly known as DineEquity International, Inc.). The transfer included development and franchise agreements for territories outside of the United States (including Mexico). Dine Brands International, Inc. serves as the franchisor for all international IHOP franchisees and franchisees with restaurants in the U.S. territories.

Our parent companies, all organized under Delaware law, are: IHOP Funding LLC; IHOP SPV Guarantor LLC; IHOP LLC and Dine Brands.

We have two affiliates that offer franchises in the United States in any line of business. The first is Applebee’s Franchisor LLC (“Applebee’s”), whose principal business address is 10 West Walnut Street, 5th Floor, Pasadena, California, 91103. Dine Brands acquired the Applebee’s chain in November 2007. The second is Fuzzy’s Taco Opportunities, LLC (“FTO”), whose principal place of business is 10 West Walnut

Street, 5th Floor, Pasadena, California 91103. Dine Brands acquired FTO and certain of its parent and affiliate entities in December 2022, and FTO became our affiliate. Applebee's and FTO, and their respective franchised systems, are described further below.

Our affiliates that provide products or services to our franchisees, all organized under Delaware law are: Dine Brands, whose activities as manager include administering collections, franchising, marketing, real property, intellectual property, and providing certain pre-opening and post-opening services to franchised Restaurants; IHOP Property LLC ("IHOP Property") which leases certain real property to franchisees; IHOP Leasing LLC ("IHOP Leasing") which leases and subleases some franchised locations to franchisees, and IHOP TPGC LLC which administers our gift card program (each, excluding Applebee's and FTO, is referred to as an "IHOP Affiliate").

Our principal business address and that of our parent companies, and the IHOP Affiliates, is 10 West Walnut Street, 5th Floor, Pasadena, California, 91103.

We have offered franchises for Restaurants operating under the "IHOP" and "International House of Pancakes" names (each a "Restaurant" or "IHOP Restaurant") since October 1, 2014. We have no predecessor, however, several of our then-affiliated entities previously offered franchises under the "IHOP" and "International House of Pancakes" brand names since the chain began in 1958, namely:

International House of Pancakes, Inc. from 1960 until February 2007;

IHOP Franchising, LLC from March 2007 to February 2009;

IHOP Franchise Company, LLC from April 2009 through December 2011, when it assigned its then-existing U.S. franchise agreements to, and then merged with, IHOP LLC; and

IHOP LLC from December 2011 through September 2014 (this is the same entity that franchised from 1960 until February 2007, but in December 2008 converted to a limited liability company).

These Restaurants feature "IHOP" pancakes as well as a diverse menu of other breakfast, lunch and dinner items. As of December 28, 2025, there were a total of 1,681 franchised IHOP Restaurants in the U.S. and U.S. Territories (25 of which are Dual Branded Restaurants, as defined below) and 12 IHOP brand restaurants which were operated by IHOP or its affiliates (2 of which are Dual Branded Restaurants, as defined below).

Our affiliate, Applebee's, has offered franchises for restaurants under the trade names "Applebee's Neighborhood Grill & Bar," "Applebee's" and "Applebee's Grill & Bar" (the "Applebee's Marks") since October 1, 2014, and does not offer franchises in other lines of business. Other affiliated entities have offered franchises under the Applebee's Marks in the U.S. and internationally:

Applebee's International, Inc. ("Applebee's International") from March 1988 to November 2007;

Applebee's Franchising, LLC from November 2007 to December 2011 when it assigned its then-existing franchise agreements to, and then merged with, Applebee's International;

Applebee's International from January 2012 through September 2014 (in the U.S.); and from January 2012 to January 3, 2016 (internationally); and

Dine Brands International, Inc. from January 4, 2016 to the present (internationally and in the U.S. territories).

As of December 28, 2025, there were a total of 1,421 Applebee's brand franchised restaurants in the U.S. and U.S. Territories (25 of which are Dual Branded Restaurants as defined below) and 59 Applebee's brand restaurants which were operated by Applebee's or its affiliates (2 of which are Dual Branded Restaurants, as defined below).

Our affiliate, FTO, has offered franchises for "Fuzzy's Taco Shop" restaurants in the U.S. since May 2008, and does not offer franchises in other lines of business. Fuzzy's Taco Shops are Mexican food fast-casual restaurants offered under the name "Fuzzy's Taco Shop" that feature items like huevos rancheros and breakfast tacos, tacos and burritos, traditional Mexican dinners, sandwiches, sides, and signature sauces. As of December 28, 2025, there were a total of 105 Fuzzy's Taco Shop brand franchised restaurants in the U.S., and 1 company-owned Fuzzy's Taco Shop brand restaurant that was operated by FTO or other affiliates.

IHOP intends to conduct business under the names "IHOP," "International House of Pancakes" and "IHOP Express."

In addition to franchising IHOP Restaurants at Traditional Venues and Non-Traditional Venues, IHOP or its IHOP Affiliates may lease certain real property to franchisees, lease certain equipment to franchisees, and sell certain products to franchisees at Traditional Venues. We develop and test and may operate and franchise other new fast-casual and quick service concepts, as well as concepts, restaurants, and prototypes located in urban markets, which may operate under the name "IHOP Express" or other names, which may include "IHOP." IHOP is also developing and testing a new co-branded concept for restaurants in Traditional Venues and Non-Traditional Venues that operate under both the IHOP and Applebee's names in one location ("Dual Branded Restaurants", and as used in this Disclosure Document, also a Restaurant or IHOP Restaurant). Dual Branded Restaurants feature full table service (except in some Non-Traditional Venues) and offer a different, combined menu of certain IHOP and Applebee's menu items as well as certain items that are uniquely available at Dual Branded Restaurants. Dual Branded Restaurants will also face competition from other national and local restaurants that provide similar food, beverages and services as Applebee's restaurants. At this time, this concept is only being tested with franchisees on a limited basis for restaurants that meet certain qualifications. Franchisees will be required to sign both an IHOP Franchise Agreement and an Applebee's Franchise Agreement along with separate addendums to those respective Franchise Agreements. Besides Full-Service Restaurants (defined below) franchised at Traditional Venues, as described in other franchise disclosure documents, and the businesses described in this Disclosure Document, IHOP has no other businesses.

Except as described in this Item 1, neither Dine Brands nor any of the IHOP Affiliates have operated IHOP Restaurants or offered franchises in other lines of business.

Franchise Programs. We offer two separate Non-Traditional Venue franchise programs by this Disclosure Document, and we may allow you the opportunity to purchase a franchise under either or both programs:

(1) Under the "Full-Service Program," you would develop, equip, and operate a specified number of family style three meal occasion, Full-Service Restaurants at Non-Traditional Venues within a specified period at either a specific site (the "Franchised Location") or numerous locations, depending on the terms negotiated. The typical Full-Service Restaurant, features the full IHOP menu with a range of "signature" "IHOP" pancakes, coffee and other offerings, as well as a diverse menu of other breakfast, lunch and dinner items, is approximately 2,000 to 5,000 square feet, and offers table and to-go service (a "Full-Service Restaurant").

(2) Under the "IHOP Limited-Service Program," you would develop, equip and operate a specified number of IHOP Express Restaurants at Non-Traditional Venues utilizing a quick-serve format ("Quick-Serve Restaurant") (which occupies approximately 800 to 1,200 square feet, with counter-ordering, pay and pick-up service, portable items from a limited menu offering and with shared seating such as in a food

court setting, or limited dedicated seating) or fast-casual format (“Fast-Casual Restaurant”) (which occupies approximately 1,200 to 3,500 square feet, with counter ordering and table delivery service, an expanded menu offering packaged items for dine-in or take-out, and dedicated seating) within a specified period at the Franchised Location or numerous locations, depending on the terms negotiated. Quick-Serve Restaurant and Fast-Casual Restaurant are collectively referred to as “IHOP Limited-Service Restaurant(s).” The typical IHOP Limited-Service Restaurant, either quick-serve or fast-casual, features a more limited range of signature “IHOP” pancakes, coffee and other breakfast, lunch and dinner offerings under a more limited menu.

The family dining, quick-serve and fast-casual segments of the foodservice market are highly developed and competitive. If you become an IHOP Non-Traditional Venue franchisee you will serve the general public and will compete with other businesses offering similar products and services, including full-service, fast-casual, quick-serve and fast food Restaurants. The items and products sold at IHOP and IHOP Limited-Service Restaurants will be sold to any customer whom you may serve. Sales at Restaurants located at Traditional Venues are typically not seasonal, although weather conditions in the geographic location of the Restaurant and the type of venue at which the Restaurant is located may have an impact on sales. Sales at Non-Traditional Venues will be affected by the volume and frequency that potential customers visit the Non-Traditional Venue where your Restaurant is located. For example, if your Restaurant is located within an airport terminal at an airport that experiences seasonal fluctuations, or other disruptions, your business may be adversely affected. Similarly, if your Restaurant is at a location that is within a venue (e.g., a convention center) that is frequented by customers only during specified operating days and hours, your business will be affected by the operating hours of that location.

Under the Full-Service and Limited-Service Programs, you would execute an IHOP Non-Traditional Multi-Unit Franchise Agreement (“IHOP NT MUFA”) which describes your franchise area, type of Non-Traditional Venue, development schedule, and Initial Franchise Fee in the form attached as Exhibit B and, if you are already party to an agreement with us, you will also execute a General Release (Non-Traditional) in the form attached as Exhibit I. The approved location(s) would be located in a Non-Traditional Venue, which could be within another primary business or in conjunction with other businesses or at institutional settings such as schools, colleges and universities, military and other governmental facilities, hospitals, airports, highway rest stops, toll roads, hotels, motels, arenas, travel plazas, office or in-plant food facilities, supermarkets, grocery or convenience stores, casinos, stadiums, shopping malls and any other site, venue or location operated by a master concessionaire or contract food service provider. For each IHOP and IHOP Express Restaurant you develop under the IHOP NT MUFA, you would also execute a separate Non-Traditional Franchise Addendum (“NT FA”) on the form attached to the IHOP NT MUFA at the time you acquire the right to the Restaurant site.

Specific Industry Regulation. California and other states and local jurisdictions have enacted laws, rules, regulations and ordinances which may apply to the operation of your Restaurant, including those which (a) establish general standards, specifications and requirements for the construction, design and maintenance of the Restaurant premises; (b) regulate matters affecting the health, safety and welfare of your customers, such as general health and sanitation requirements for Restaurants; employee practices concerning the storage, handling, cooking and preparation of food; nutrition and menu labeling; restrictions on smoking; availability of and requirements for public accommodations, including restrooms; (c) set standards pertaining to employee health and safety; (d) set standards and requirements for fire safety and general emergency preparedness, (e) govern the use of vending machines, (f) control the sale of alcoholic beverages; (g) regulate the proper use, storage and disposal of waste, insecticides, and other hazardous materials; and (h) establish mandatory nutritional content labeling and disclosures, including on menus, and impose restrictions on certain types of cups and containers. You should investigate whether there are regulations and requirements that may apply in the geographic area in which you are interested in locating your franchise and should consider both their effect and cost of compliance. You must also comply with laws generally applicable to restaurant businesses, including laws relating to compensation of employees (including minimum wage and overtime requirements), accessibility for persons with disabilities, sales and use tax, food health and safety, and emergency orders related to public health or safety (such as mandatory shut-down orders in response to COVID-19).

ITEM 2

BUSINESS EXPERIENCE

John Peyton—Chief Executive Officer, Dine Brands:

Mr. Peyton was appointed as Chief Executive Officer of Dine Brands effective January 4, 2021. From October 2016 until November 2020, he served as President and Chief Executive Officer of Realogy Franchise Group LLC in Madison, New Jersey. Prior to October 2016, Mr. Peyton spent 17 years with Starwood Hotels and Resorts Worldwide in Stamford, Connecticut, holding various positions including Chief Marketing Officer, Senior Vice President of Global Operations and Chief Operations Officer, North America Hotel Division, among others.

Lawrence Kim – President, IHOP:

Mr. Kim joined IHOP in October of 2024 as President Designee and has served as President of IHOP since January 2025. From August 2021 to October 2024, Mr. Kim was Chief Innovation Officer at Yum! Brands in Irvine, California. From November 2020 until August 2021, he served as VP, Global Brand Strategy & Planning, and from July 2019 to November 2020, he was VP, Marketing & Global Growth for Taco Bell in Irvine, California.

Vance Chang – Chief Financial Officer, Dine Brands and IHOP:

Mr. Chang was appointed as Chief Financial Officer of Dine Brands effective June 14, 2021. From November 2019 to June 2021, he served as the Chief Financial Officer of Exer Urgent Care in El Segundo, California. From April 2016 to November 2019, he served as the Chief Financial Officer for Yoga Works in Culver City, California. From August 2013 to April 2016, he served as Head of Corporate Finance for Pressed Juicery in Santa Monica, California.

Christine K. Son – Board of Managers and Senior Vice President, Legal, General Counsel and Secretary:

Ms. Son has served as Senior Vice President, Legal, General Counsel and Secretary and was appointed to IHOP's Board of Managers effective April 23, 2021. Ms. Son joined Dine Brands in 2011, and has served as Vice President, Deputy General Counsel and Assistant Secretary of Dine Brands since 2019 and as Vice President, Associate General Counsel from 2014 to 2019.

Chris Padilla – Acting Chief Information Officer, Dine Brands:

Mr. Padilla was appointed Acting Chief Information Officer of Dine Brands in November 2025, having previously served as Vice President of Brand Technology from May 2023 through November 2025. From 2017 to 2023, Mr. Padilla served as Vice President of Product Management at Anywhere Real Estate (formerly Realogy), in Madison, New Jersey.

Gordon P. Rowan – Vice President Field Operations, IHOP:

Mr. Rowan has served as the Vice President of Field Operations, IHOP, since April of 2022. From March of 2021 to April of 2022, he was the Vice President of Operations overseeing both field operations and strategic operations for GoTo Foods LLC located in Atlanta, Georgia. From August 2018 to February 2021, Mr. Rowan was the Vice President of Licensed Operations and Sales for Save-a-Lot Food Stores Ltd. located in St. Louis, Missouri.

Varun Amesur – Vice President, Restaurant Excellence, IHOP:

Mr. Amesur joined IHOP in May of 2025 as Vice President, Restaurant Excellence, IHOP. From August 2019 to May 2025, Mr. Amesur was a consultant at McKinsey & Company in New York, New York.

Jacob A Barden – Senior Vice President, Development, Dine Brands:

Mr. Barden has served as Senior Vice President of Development, Dine Brands, since January 2024. Mr. Barden joined IHOP in August of 2021 and served as Vice President, Development of IHOP from August 2021 until January 2024. From August 2020 until August 2021, he was Area Franchise Lead for Restaurant Brands International located in Miami, Florida. From September 2016 until August 2020, he was Director, Franchise Development, for Intercontinental Hotel Group located in Atlanta, Georgia.

Nicole Durham-Mallory – Vice President, Sales Administration, Dine Brands:

Ms. Durham-Mallory has served as Vice President, Sales Administration of Dine Brands since January 2024. From June 2021 until January 2024, she was Executive Director, Development for IHOP. From February 2018 until June of 2021, she was Director, Development for IHOP.

Francis “Bill” William O’Keefe – Vice President, Construction, Dine Brands:

Mr. O’Keefe has served as Vice President, Construction of Dine Brands since January 2024. From September 2010 until January 2024, he was Executive Director, Development for IHOP.

Allen Shinbashi – Vice President, Quality Assurance and Risk Management, Dine Brands:

Mr. Shinbashi has served as Vice President, Quality Assurance and Risk Management of Dine Brands since January 2025. From June 2022 until January 2025, Mr. Shinbashi was Executive Director of Risk Management for Dine Brands. From June 2021 to June 2022, Mr. Shinbashi was with ATI Restoration located in Anaheim, California as a Senior Director of Risk Management, Operations, and Acquisitions. From June 2016 to June 2021, Mr. Shinbashi served as a Contract and Risk Manager for Irvine Ranch Water District in Irvine, California.

Bernard J. Angelo – Independent Manager:

Mr. Angelo has served as Independent Manager for IHOP since July 2014. Since July 2014, Mr. Angelo has also served as Independent Manager for Applebee’s. Since April 1997, Mr. Angelo has served as Senior Vice President and Director of Global Securitization Services, LLC, located in Melville, New York.

Kevin P. Burns – Independent Manager:

Mr. Burns has served as our Independent Manager since our formation on July 28, 2014. Since July 28, 2014, Mr. Burns has also served as Independent Manager for Applebee’s. Since December 1996, Mr. Burns has served as President and Director of Global Securitization Services, LLC, located in Melville, New York.

ITEM 3

LITIGATION

Pending Litigation

No pending litigation is required to be disclosed under this Item 3.

Concluded Litigation

(1) Irvine Food Corp. v. Dine Brands Global, Inc., et al. (Superior Court of the State of California, County of Los Angeles), Case No. 19GDCV00749. On June 7, 2019, former franchisee Richard Miano, sole owner of Irvine Food Corp., filed a complaint against Dine Brands, IHOP, and its affiliates (“Dine Parties”). The complaint alleges that the Dine Parties failed to successfully negotiate a lease extension for Mr. Miano’s IHOP located in Irvine, California. As a result of the landlord’s decision to select another tenant to occupy the property, Mr. Miano was unable to continue operating his restaurant at the Irvine location. The complaint alleges claims for breach of contract, misrepresentation, violation of business and profession code § 20025, breach of the covenant of good faith and fair dealing, and unfair business practices. On July 11, 2019, the Dine Parties moved to compel arbitration and Plaintiff agreed to arbitrate the case. On March 16, 2021, the arbitrators found in the Dine Parties’ favor on all claims. On April 23, 2021, the arbitrators awarded the Dine Parties \$1,266,515.10 in costs and attorney’s fees.

(2) Himelda Mendez v. IHOP Restaurants LLC (United States District Court for the Southern District of New York), Case No. 1:19-cv-9854. On October 25, 2019, Himelda Mendez filed a class action complaint against IHOP, alleging that IHOP failed to include Braille on its gift cards, in violation of the ADA and New York disability access laws. The matter settled for \$7,000 and was dismissed on July 29, 2020.

(3) IHOP Restaurants LLC v. 1385-Tyler, Inc. and Meredith Elston (United States District Court, Eastern District of Texas), Case No. CV 20-cv-00099-JDK. After providing franchisee with notice that IHOP did not intend to extend the expiration date of his franchise agreement and requesting that he turn-over the restaurant by the February 23, 2020 expiration date, IHOP commenced this action on February 25, 2020 to enforce its rights and to enjoin franchisee from continuing to operate the restaurant. The parties reached a resolution of this matter and IHOP voluntarily dismissed the case on June 12, 2020.

(4) Crystal Williamson v. Brooklyn Hop 2 LLC, et al. (United States District Court for the Eastern District of New York), Case No. 1:18-cv-05615-AMD-SMG. On October 9, 2018, Crystal Williamson, a former employee of franchisee Brooklyn Hop 2 LLC, filed a class action complaint against the franchisee, DineEquity, Inc., IHOP, and its affiliates (“Dine Parties”). The complaint alleges Defendants violated federal and state antitrust laws by agreeing to non-solicitation and no-hire provisions in the franchise agreements. On May 7, 2019, the parties reached a settlement in which Plaintiff received a payment of \$9,500.00.

(5) Heartland Consumer Products, LLC, et al. v. DineEquity, Inc., et al. (United States District Court for the Southern District of Indiana), Case No. 1:17-cv-01035-SEB-TAB. On April 3, 2017, Heartland Consumer Products LLC and TC Heartland LLC, the manufacturer of a sucralose-based sugar substitute branded as Splenda, filed suit against DineEquity, Inc. and its affiliates (“DineEquity”). The complaint alleged that DineEquity infringed upon Heartland’s alleged trademark rights in Splenda. The complaint asserted claims for trademark infringement, false designation of origin, unfair competition, and trademark dilution. On September 26, 2018, the parties reached a settlement, wherein DineEquity agreed to allow the Plaintiff’s tabletop sweeteners to be the exclusive tabletop sweeteners in the system.

(6) IHOP Restaurants LLC, et al. v. Moeini Corporation (United States District Court for the Southern District of Alabama), Case No. 17-cv-570. After terminating the franchisee for multiple operational failures, IHOP commenced this action on December 29, 2017 to enforce its termination rights and to enjoin

the franchisee from continuing to operate the restaurants. On February 7, 2018, the federal court granted IHOP's motion for a preliminary injunction to enjoin the franchisee from operating the restaurants and using IHOP's trademarks. On February 4, 2019, IHOP filed a notice of voluntary dismissal.

(7) Azhar Chaudhry; ARS Restaurant, Inc.; and Lucky Star #5409, Inc. v. International House of Pancakes, LLC, Civil Case No. 15-cv-3504 (N.D. Ill.) and In re Lucky #5409, Inc. and Azhar Chaudhry (United States Bankruptcy Court for the Northern District of Illinois), Case No. 16-16264 (N.D. Ill.). After receiving notice for operational failures, on April 21, 2015, the franchisee sued IHOP alleging breach of contract, discrimination, and violations of the Illinois Franchise Disclosure Act. On August 26, 2015, the court granted IHOP's motion for a preliminary injunction to enjoin the franchisee from using IHOP's trademarks and dismissed the franchisee's complaint. On September 2, 2015, the franchisee appealed the court's orders to the Seventh Circuit Court of Appeals. The Seventh Circuit appeal was stayed upon franchisee's filing of his bankruptcy case on May 13, 2016. Subsequently, the appeal was dismissed. On May 13, 2016, franchisee Azhar Chaudhry and an affiliated entity, Lucky #5409, Inc., the owner and operator of one Restaurant located in Bridgeview, Illinois, voluntarily filed for Chapter 11 bankruptcy protection. On December 28, 2017, the Restaurant was transferred to another franchisee with IHOP's consent.

(8) IHOP Restaurants, LLC v. Len-W Foods, Inc., Civil Case No. 1:15-CV-2600-SCJ (N.D. Ga.) After receiving notice for operational failures, on July 14, 2015, the franchisee sued IHOP to prevent termination of the franchise agreement. On July 21, 2015, IHOP removed the action to federal court. On September 18, 2015, the federal court granted IHOP's motion for a preliminary injunction to enjoin the franchisee from operating the Restaurant and using IHOP's trademarks. On April 5, 2016, the court granted judgment in IHOP's favor and awarded IHOP attorneys' fees in the amount of \$71,787.45 and costs in the amount of \$255.07.

(9) In re HOP 1 Enterprises, Inc. (United States Bankruptcy Court for the District of Hawaii), Case No. 15-00397 (D. Haw.). On March 30, 2015, franchisee HOP 1, which owns and operates one Restaurant located in Maui, voluntarily filed for Chapter 11 bankruptcy protection. On January 6, 2016, IHOP objected to franchisee's plan of reorganization. On December 15, 2017, the parties entered into a settlement agreement wherein the ownership interests in the franchisee entity will be transferred to an IHOP approved individual.

(10) Lorraine Enterprises L.C. v. International House of Pancakes, Inc. (United States District Court, Eastern District of Tennessee Court Case No. 3:07-CV-373) On or about September 27, 2007, a complaint for injunctive relief was filed by Lorraine Enterprises, L.C., a franchisee of five IHOP Restaurants in Texas, against IHOP, Inc. alleging breach of contract, violation of the implied covenant of good faith and fair dealing, violation of the California Franchise Relations Act, violation of the Texas Deceptive Trade Practices Act, and tortious interference with contracts and with prospective business advantage, claiming that IHOP improperly terminated plaintiff's franchises. Concurrently, a demand for arbitration was filed by the franchisee against IHOP with the American Arbitration Association in Los Angeles, California. These actions were in response to a notice of default and termination sent by IHOP on or about August 24, 2007 for each of the five IHOP Restaurants due to the alleged unauthorized assignment of ownership interests in the franchisee. The matter was settled in June, 2008 whereby IHOP was paid the sum of \$375,000.00 in consideration for the withdrawal and cancellation of the notices of default. The federal claims and demand for arbitration were dismissed with prejudice and the injunction was vacated.

(11) Alex Ikbariah and I & K Enterprises, Inc. v. International House of Pancakes, Inc., et al. (Chancery Court for the State of Tennessee, 30th Judicial District Court, Shelby County, Case No. CH-06-0824-1). On or about April 25, 2006, an action was filed by Alex Ikbariah, a current IHOP franchisee of three IHOP Restaurants in Michigan and Tennessee, and I & K Enterprises, Inc., a former IHOP franchisee (which is owned and/or controlled by Mr. Ikbariah) of an IHOP Restaurant in Tennessee, against IHOP, Inc., IHOP Corp., IHOP Properties, Inc. and a former IHOP employee, alleging fraud, unfair and deceptive trade practices, extortion, disparate treatment, defective software, and failure to approve the sale of an IHOP Restaurant by

requiring the Plaintiff to pay obligations owed to IHOP with respect to an IHOP Restaurant abandoned by the Plaintiff (which IHOP maintains was a condition of assignment as set forth in the franchise agreement), and seeking rescission of the franchise agreement, sublease, equipment lease and promissory note for the abandoned IHOP Restaurant, damages, including punitive damages, attorney fees and costs in excess of \$3 million. IHOP denied the allegations. The matter was settled in December 2009. Pursuant to a Settlement Agreement and Release of Claims, Mr. Ikbariah paid IHOP \$80,000 and the action was dismissed.

(12) *IHOP IP, LLC et al v. Nazimuddin Hashim, et al.* (United States District Court, District of California (the “Court”), Case No. CV 09-9130 GHK (AJWx)). In December, 2009, IHOP IP, LLC, IHOP Franchising, LLC and IHOP LLC filed an action against the franchisee of an IHOP Restaurant in Simi Valley, California alleging trademark infringement, unfair competition, unfair competition and false advertising, common law unfair competition, and breach of contract, and seeking specific performance and declaratory relief based on the franchisee’s continued operations after the franchise was terminated for failure to remodel the Restaurant pursuant to the terms of the franchise agreement, as amended. In January, 2010, IHOP filed a motion for preliminary injunction to require the franchisee to cease using IHOP’s trademarks in the operation of the Restaurant. In February 2010, the franchisee filed a counterclaim seeking declaratory relief and injunctive relief, alleging breach of contract, breach of the implied covenant of good faith and fair dealing, fraud in the inducement, negligent misrepresentation, statutory unfair competition, and unfair trade practices. IHOP denies the allegations and intends to vigorously pursue its claims and defenses. In March, 2010, the court granted IHOP’s motion for a preliminary injunction. On January 12, 2011, a Judgment Pursuant to Stipulation was filed with the Court pursuant to which a permanent injunction in favor of IHOP was granted, franchisee was ordered to pay the sum of \$50,000 to IHOP and franchisee received nothing on its counterclaim.

(13) *I.H.O.P. No. 46-3, Inc. and Jennifer Alaimo v. International House of Pancakes, Inc., IHOP Properties, Inc. and International House Associates*, (NJ Superior Court Bergen County (Chancery Division), Civil Action No. C-61-11, removed to The United States District Court for the District of New Jersey, Case No. 11-cv-01044-WJM-MF). On February 22, 2011, our franchisee I.H.O.P. No. 46-3, Inc. (the “Franchisee”) and its owner Jennifer Alaimo (collectively referred to as “Plaintiffs”) filed an action against us, our affiliate IHOP Properties, Inc. and International House Associates (the Landlord for the property from which the Franchisee operates its franchised IHOP Restaurant). The Plaintiffs claimed that we violated the New Jersey Practices Act and breached the franchise agreement and the implied covenant of good faith and fair dealing as a result of our requiring the Plaintiffs to pay a “re-franchising fee” and enter into a new franchise agreement which contains terms that are materially different than the terms of the franchisee’s existing franchise agreement. The Plaintiffs sought injunctive relief to require us to: (i) together with IHOP Properties, Inc. enter a lease extension with the Landlord; and (ii) enter a renewal franchise agreement with the Franchisee under the terms and conditions of its existing franchise agreement. The Plaintiffs also sought compensatory, consequential and statutory damages as well as attorneys’ fees and costs. On February 24, 2011, we filed a petition to remove the case from the Superior Court for the State of New Jersey to the United States District Court for the District of New Jersey. On March 15, 2011, the U.S. District Court remanded the case to the Superior Court for the State of New Jersey on jurisdictional grounds. On June 2, 2011, the parties agreed to submit the dispute to binding arbitration before the American Arbitration Association and the other action was dismissed. On or about October 20, 2011, the Franchisee signed a current form franchise agreement and withdrew the arbitration demand.

(14) *Candice Watkins v DineEquity, Inc. et al.* (Superior Court New Jersey, Camden County, Case No. L-5406-11). On or about October 31, 2011, named plaintiff Candice Watkins filed a class action lawsuit on behalf of herself and all others similarly situated alleging that IHOP Restaurants in New Jersey violate the state’s Consumer Fraud Act and Truth in Consumer Contract Warranty and Notice Act by not disclosing beverage prices on menus. Defendants removed the case from state court to federal court on or around December 9, 2011. On or around March 12, 2012, plaintiff amended her complaint and alleged only the claim for Truth in Consumer Contract Warranty and Notice Act. The court granted Defendants’ motion to dismiss on August 29, 2012, but gave plaintiff an opportunity to amend the complaint. Defendants filed another motion to dismiss the complaint, which was granted with prejudice on January 30, 2013. Plaintiff filed a Notice of

Appeal on February 6, 2013. The oral argument for the appeal was heard by the Third Circuit of Appeals on November 7, 2013. On November 7, 2014, the Third Circuit affirmed the dismissal of the case.

Defendants removed this matter to federal court on August 25, 2010 and filed a Motion to Dismiss. IHOP prevailed on its motion to dismiss. On or about April 14, 2011, Plaintiff filed a Notice of Appeal with the Ninth Circuit Court of Appeal. On March 28, 2013, the Ninth Circuit affirmed the dismissal of the matter. On May 17, 2013, IHOP filed an application seeking an award of attorneys' fees, which was granted.

(15) *In re A&F Enterprises, Inc. II, et al.* (United States Bankruptcy Court for the Northern District of Illinois, Case No. 13-C-7020). In February 2013, franchisee Ali Alforookh and the entities through which he owned and operated 19 Restaurants located in Illinois, Wisconsin and Missouri filed for bankruptcy protection. As a result of an order issued by the bankruptcy court, two of the 19 Restaurants were returned to Franchisor in the third quarter of 2013. Within the bankruptcy proceedings, the franchisee asserted adversarial proceedings against Franchisor, alleging violations of the franchise agreements. The Court granted IHOP's motion to stay the adversary proceeding in favor of the arbitration provisions in the agreement. The franchisee's adversary proceeding was subsequently dismissed. IHOP also brought adversary proceedings against the Debtors, and sought to terminate Debtors' exclusivity to propose a plan of reorganization on the grounds of incurable defaults of the franchise agreements, including underreporting of sales, and underpayment of royalties. In May 2014, the Chapter 11 trustee appointed an interim manager to operate the remaining 17 Restaurants. The trustee subsequently closed two of these Restaurants where the franchise agreements had expired during the bankruptcy proceedings. In June 2014, the remaining 15 Restaurants were transferred by the trustee to an existing franchisee, who will operate the Restaurants going forward. Franchisor and its affiliates received \$900,000 during the second quarter of 2014 as well as \$197,000 in the third quarter of 2014, including amounts due to the Franchisor for real estate taxes, gift card liabilities, and unpaid royalties resulting from the franchisee's underreporting of sales. IHOP is no longer a party to the underlying bankruptcy case which is continuing.

(16) *R-Hops, Inc. v. IHOP Franchising, LLC (Arbitration)*, American Arbitration Association Case No. 01-14-00003944. On or about May 8, 2014, claimant R-Hops commenced arbitration against Franchisor alleging that the franchisor entered a franchise agreement with a third party to open another IHOP Restaurant within its exclusive territory. On September 22, 2015, the arbitrator ruled in IHOP's favor on all claims and awarded IHOP \$29,060.36 in attorneys' fees and costs.

(17) *Shouvik, LLC v. International House of Pancakes, LLC*, Case No.: 47-CV-2014-902085.00 was initiated by franchisee, Shouvik, LLC, on October 7, 2014 in Alabama State Court (Madison County). The complaint alleges breach of contract regarding IHOP's termination of the franchise agreement and breach of covenant of good faith and fair dealing. Shouvik, LLC is seeking a preliminary injunction and a request for declaratory and injunctive relief. This matter was removed to United States District Court for the Northern District of Alabama, Case No.: 5-14-CV-02116-AKK on October 31, 2014. On November 7, 2014, International House of Pancakes, LLC as the franchisor filed an answer and counterclaim for trademark infringement, unfair competition, ejectment, unlawful detainer and breach of contract. IHOP filed its own preliminary injunction motion in federal court. On December 29, 2014, the Court ruled in IHOP's favor and entered an order that the franchisee surrender the Restaurant to IHOP immediately. On February 13, 2015, the matter was ordered to arbitration. On April 4, 2016, the arbitrator ruled in IHOP's favor on all claims and awarded IHOP \$200,887.47 in compensatory damages, attorneys' fees and costs.

(18) *Pasqual, Inc. et al. v. IHOP Franchise Company LLC, et al.*, Civil Case No: 14-cv-07521-JS-SIL (E.D.N.Y.) On or about December 24, 2014, the franchisee initiated litigation against the franchisor and sought to extend the franchise agreement beyond the expiration of that franchise agreement. On March 19, 2015, the federal magistrate judge denied the franchisee's motion for a preliminary injunction. The matter proceeded in arbitration. On June 7, 2016, the arbitrator ruled in IHOP's favor on all claims and the parties entered a settlement agreement requiring franchisee to pay IHOP \$300,000, which included attorney's fees and costs, dismiss the federal court action and de-identify the Restaurant.

Litigation Against Franchisees

(1) *IHOP Restaurants LLC v PAHOP, LLC*, Case No. 4:25-cv-00125-SDJ (E.D. Tex. Feb. 10, 2025); *IHOP Restaurants LLC v 1471, L.C.*, Case No. 5:25-cv-00165-JE-MLH (W.D. La. Feb. 10, 2025); *IHOP Restaurants LLC v. 1930 LLC*, Case No. 3:25-cv-00124-SDD-SDJ (M.D. La. Feb. 10, 2025). On February 10, 2025, IHOP Restaurants LLC filed three separate temporary restraining order actions in federal district court against franchisees Pahop LLC, 1930 LLC, and 1471 L.C., after the expiration of their respective franchise agreements and subleases and subsequent failure to turn over the restaurants. Upon each franchisees' turnover of the restaurants on February 20, 2025, IHOP Restaurants LLC dismissed each action without prejudice.

(2) *IHOP Leasing LLC v. PAHOP, LLC*, Case No. 25JP2CV0119 (Justice Ct., Jefferson Cty., Texas Feb. 13, 2025); *IHOP Leasing LLC v. 1930, LLC*, Case No. C759-101, Sec. 32 (Dist. Ct., East Baton Rouge Parish, Feb. 11, 2025); *IHOP Leasing LLC, 1471, L.C.*, Case No. C175223, Sec. C (Dist. Ct., Bossier Parish, Feb. 11, 2025). On February 11, 2025, and February 13, 2025, IHOP Leasing LLC filed three separate eviction actions in state court against franchisees Pahop LLC, 1930 LLC, and 1471 L.C., after the expiration of their respective franchise agreements and subleases and subsequent failure to turn over the restaurants. Upon each franchisees' turnover of the restaurants on February 20, 2025, IHOP Leasing LLC dismissed each action without prejudice.

(3) *IHOP Restaurants LLC et al. v. Pyramid Operating Group, Inc.*, Civil Case No.: 2:25-cv-04053-JS (E.D. Penn.). In July 2025, IHOP sought a temporary restraining order and preliminary injunction against the franchisee for breach of the franchise agreement and trademark infringement in violation of the Lanham Act. On August 1, 2025, the court granted IHOP's temporary restraining order. On Dec. 24, 2025, IHOP voluntarily dismissed the action without prejudice.

(4) *IHOP Restaurants LLC, et al. v. C. Wayne Court, et al.* American Arbitration Association, Case No. 01-25-0004-8662. On September 26, 2026, IHOP initiated arbitration against the Franchisees to recover unpaid royalties, advertising fees, repair costs, and other amounts arising from the Franchisees' unauthorized closure or abandonment of IHOP restaurants and related past-due obligations. The matter is ongoing.

No other litigation is required to be disclosed in this Item 3.

ITEM 4

BANKRUPTCY

Vance Chang is the Chief Financial Officer of IHOP Franchisor LLC and Dine Brands. Prior to this role he was the Chief Financial Officer of YogaWorks, Inc. Mr. Chang left YogaWorks in November of 2019. On October 14, 2020, YogaWorks filed for Chapter 11 bankruptcy in the United States Bankruptcy Court for the District of Delaware due to COVID-19-related business pressures. YogaWorks has its principal place of business at 2215 Main Street, Santa Monica, CA 90405.

ITEM 5

INITIAL FEES

Initial Franchise Fee. The Initial Franchise Fee is non-refundable.

You will develop up to a specified number of IHOP and/or IHOP Express Restaurants within your franchise area per a negotiated schedule. You will be responsible for constructing and equipping the Restaurants. On signing the IHOP NT MUFA, you will not pay a fee. For each Restaurant you develop, you must sign a separate NT FA and pay an Initial Franchise Fee equal to \$25,000 for each Full-Service Restaurant

and \$15,000 for each Limited-Service Restaurant. If you enter into a Franchise Agreement for a Dual Branded Restaurant, you must pay an Initial Franchise Fee of \$35,000. We reserve the right in our discretion to reduce or waive these fees in certain circumstances.

Renewals and Extensions. If you are presently signing an NT FA in connection with a renewal term, then your existing IHOP NT MUFA will govern the amount of the Initial Franchise Fee payable to us, if any. As of the date of this Disclosure Document, the Initial Franchise Fee for a renewal NT FA to extend your right to operate your Restaurant upon the expiration of your existing NT FA is \$5,000.00 (“Renewal Fee”). We may also vary the amount of the Initial Franchise Fee or Renewal Fee based upon the type of Restaurant you develop.

Although this disclosure document uses the term “renewal,” it refers to extending our relationship at the end of your initial term and you must, at our option, sign a new IHOP NT MUFA and/or NT FA that may have materially different terms and conditions than your original contract.

Range of Initial Franchise Fees. During Fiscal 2025, the Initial Franchise Fees paid by IHOP franchisees pursuant to agreements under programs described in this Disclosure Document did not vary from the standard Initial Franchise Fees mentioned above; except that due to circumstances unique to certain locations, we charged Initial Franchise Fees ranging from \$0 to \$50,000.

No Refund of Initial Franchise Fees. The Initial Franchise Fee is not refundable.

Financing of Initial Franchise Fees. IHOP does not generally finance any of the Initial Franchise Fee payable under the NT FA.

Opening Training Support Fees. At its sole discretion, IHOP will determine the opening training needs for each location. If we determine you will need training support and/or operational assistance to open your Restaurant, you will pay an Opening Training Support Fee between \$0 and \$65,000 for each Full-Service Restaurant and between \$0 and \$27,500 for each Limited-Service Restaurant upon execution of your agreement, based upon the number of trainers deemed necessary by IHOP. This fee is subject to increase if the opening schedule changes or if overtime is requested. From time to time, we may agree to provide alternative training arrangements for certain qualifying franchisees, including for Dual Branded Restaurants. In the coming fiscal year, IHOP may introduce a training program for Dual Branded Restaurants that combines elements from both IHOP and Applebee’s training programs and may reduce certain overlapping sections. See Items 6, 7 and 11 for further information.

Technology: Point-of-Sale (“POS”) Setup, Training and Support. If we determine you will need POS setup, training and support for a new Restaurant opening, you will pay us or the vendor \$9,000 plus airfare for onsite implementation support for each of your first three Restaurant openings. Beginning with your fourth Restaurant, you may opt for remote POS setup, training and support for the cost of \$3,500.

Payments for Goods Received from Franchisor. You must purchase and cause to be delivered and installed before the opening of the Restaurant(s), certain items of equipment and an inventory of smallwares. You may purchase these items of equipment and smallwares from any supplier which is approved by IHOP or from IHOP or an IHOP Affiliate, if it sells such items. If you elect to order and purchase any smallware items from IHOP or an IHOP Affiliate, if it sells the items, the cost will be between approximately \$5,000 and \$38,000, depending on the items purchased for each Full-Service Restaurant and between approximately \$5,000 and \$20,000, depending on the items purchased for each Limited Service Restaurant.

ITEM 6

OTHER FEES

Type of Fee ¹	Amount	Due Date	Remarks
Royalty	4.5% of total gross sales ²	Payable weekly on the Wednesday of the next week	Gross sales include all revenue from the Restaurant except sales or use tax.
National Advertising Fee	Up to 3.5% of gross sales ³	Same as Royalty fee	Franchisees owning and operating Restaurants at Traditional Venues may pay at a different rate.
Local Advertising Expenditure Requirement	Up to 1% of total gross sales ⁴	Proof of expenditures for approved marketing required annually	Payable to third parties for marketing.
Additional Training Fee	\$5,000 per person per Restaurant	Prior to training	Payable if your Certified Leader is replaced, requiring the new Certified Leader to complete Initial Opening Training.
Compliance Audit Fee and Interest	Interest on the understated or unpaid amounts due to us at the highest rate allowed by law ⁵ plus cost of audit	On demand	Interest is due on any understated or unpaid amounts due to franchisor. Audit fee is payable if audit shows an understatement of at least 2% of gross sales for any period, or if you fail to produce records.
Delayed Development Fee	\$350 per day for Full-Service Restaurant; \$180 per day for Limited-Service Restaurant	Upon your request for additional time	Payable for up to 180 days ⁶ Delayed Development Fees may be waived where the delay is outside of your control.
Dine Brands Franchisee Technology Services Support (Help Desk)	\$1,900 to \$2,500 per year, subject to change	30 days after billing	This is the preferred support provider.
Payment Protection Fee	\$150 to \$500 per month	Not currently required, but when implemented, upon demand.	These fees relate to services to reduce credit card chargebacks and payment fraud. These would be paid to us or directly to our suppliers.
Self-Supported Franchisee Technology Services Support	\$425 to \$525 per service/incident	30 days after billing	If franchisee chooses to not use Dine Brands Franchisee Technology Services Support (Help Desk), these optional fees apply when the applicable services are requested by franchisee.
Punchh and loyalty program	\$0 to \$200	Upon demand	These fees are paid indirectly through contributions to the National Advertising Fund and are required to be enabled as part of the IHOP loyalty program.

Type of Fee ¹	Amount	Due Date	Remarks
BYOD/Pay at Table	\$0 to \$300	Upon demand	These fees are paid indirectly through contributions to the National Advertising Fund.
Implementation Fees	\$500 to \$2,000	Upon demand	These fees relate to deployment and support for hardware, software and upgrades, as well as other products.
Insurance ⁷	Amount of unpaid premiums	Upon demand	Payable only if we elect to obtain coverage upon your failure to do so.
Late Fee	Highest rate permitted by law or 1% per month, whichever is less	Continues to accrue until paid	Payable if you are late paying any amount due IHOP or an IHOP Affiliate.
Renewal Fee	\$5,000	Upon execution of renewal agreement	Payable upon execution of renewal NT FA (<i>see</i> Item 5).
Transfer Fee	\$7,500 plus \$5,000 training fee per person per Restaurant	50% of Transfer Fee payable at the time you notify IHOP of the proposed transfer, and the balance payable by the effective date of transfer. Training fee payable prior to commencement of training, prior to transfer.	Payable if you are approved to sell your franchise. Includes training fee for two people for 1 year. All or part of the training fee may be waived to the extent that, in our judgment, training is not required.
Food Safety Evaluation Reaudit Fee ⁸	\$0 to \$1,200	Upon demand.	See Note (8)
Egg Audit ⁹	\$0 to \$500	Upon demand.	See Note (9)

- NOTES:**
- (1) All fees, unless otherwise noted, are imposed by and are payable to IHOP. All fees are non-refundable, unless otherwise noted.
 - (2) Depending upon the terms negotiated, the Continuing Royalty may be reduced or eliminated for a period of time either throughout the term of the Franchise, or in other cases, for a limited period, then remain at 4.5% for the balance of the term. We also reserve the right in our discretion to reduce or eliminate the Continuing Royalty in other circumstances.
 - (3) The National Advertising Fee will range from 1% to 3.5% of gross sales, depending on the level of advertising support (“Level”) assigned to your Restaurant. There are three Levels. Your Restaurant’s Level will be determined by us based on a combination of factors, including but not limited to, the placement and visibility of your Restaurant in relation to the venue, ease of parking, flow of traffic, pedestrian access and your Restaurant’s menu offerings (full-menu or limited menu). The assignment of your Restaurant’s Level is our sole and ultimate decision.

The National Advertising Fees for the Levels are:

Level 1: 3.5% of gross sales

Level 2: 2% of gross sales

Level 3: 1% of gross sales

- (4) The Local Advertising Expenditure Requirement will range from 0% to 1% of gross sales, depending on your Restaurant’s Level. The Local Advertising Expenditure Requirement for the Levels are:

Level 1: 0% of gross sales

Level 2: 1% of gross sales

- (5) Interest begins from the date of the underpayment.
- (6) Although time is of the essence, IHOP may in its sole discretion agree to grant you additional time of up to 1 year beyond the date set forth in the IHOP NT MUFA to open the Franchised Restaurant. In consideration for IHOP granting this additional time and agreeing to forestall termination of the IHOP NT MUFA, you must pay a fee to IHOP in an amount to be determined by IHOP in its sole discretion, not to exceed \$10,000. The fee can vary depending upon factors such as the status of the development, reasons for your inability to meet the scheduled opening date, the level of effort exhibited by you in the development process and the amount of additional time requested.
- (7) You must maintain insurance of the types and minimum amounts (naming IHOP, including its parent and our designated subsidiaries and affiliates, and respective officers, directors, members, managers, employees, agent, successors and assigns of IHOP, as additional insureds) that we specify in the Standard Operation Procedures Manuals (as amended, restated, supplemented or otherwise modified from time to time in our sole discretion, "Operations Manuals") or supplementary insurance bulletins issued by us from time to time ("Insurance Bulletins"). Dual Branded Restaurants must maintain insurance that is also compliant with the minimum amounts and conditions required by Applebee's. Insurance policies may not be subject to cancellation without 10 days' prior written notice to us. You must provide certificates of insurance evidencing coverage on an ongoing basis. You may obtain additional insurance as you may desire.
- (8) If your Restaurant fails a routine food safety evaluation ("FSE"), it will receive an automatic unannounced FSE reaudit prior to the next routine FSE. You will be billed (either by IHOP or the third party) and must promptly pay the approximately \$300 cost of the reaudit, which amount is subject to change from time to time. If your Restaurant fails the FSE reaudit, additional FSE reaudits will be conducted at your sole cost and expense until your Restaurant passes. If you have any unpaid FSE reaudit invoices, all pending reaudits for the franchisee may be put on hold. The \$1,200 figure represents a Restaurant that requires 4 FSE reaudits but note that you must pay for the costs of all reaudits until your Restaurant passes unless otherwise agreed to in writing by IHOP. See Item 8 for details.
- (9) If your Restaurant fails shell and/or liquid egg temperatures ($> 41^{\circ}\text{F}$) during a routine FSE or FSE reaudit, it may receive an automatic unannounced egg audit prior to the next routine FSE or FSE reaudit. You will be billed (either by IHOP or the third party) and must promptly pay the approximately \$125 cost of the egg audit, which amount is subject to change from time to time. If an FSE reaudit was also triggered, the egg temperatures observed during the FSE reaudit may be used in place of an egg audit. If your Restaurant fails the egg audit, an additional egg audit will be conducted at your sole cost and expense. The \$500 figure represents a Restaurant that requires 4 egg audits but note that you must pay for the costs of all egg audits until your Restaurant passes unless otherwise agreed to in writing by IHOP.

ITEM 7

ESTIMATED INITIAL INVESTMENT

YOUR ESTIMATED INITIAL INVESTMENT

Type of Expenditure (1)	Full-Service Restaurant Amount		Limited Service Restaurant: Fast-Casual Restaurant Amount		Limited Service Restaurant: Quick-Serve Restaurant Amount		Method of Payment	When Due	To Whom Payment is to be Made
	Low	High	Low	High	Low	High			
Initial Franchise Fee (2)	\$25,000	\$25,000	\$15,000	\$15,000	\$15,000	\$15,000	Certified or cashier's check or wire transfer	On signing of the NT FA.	IHOP

Type of Expenditure (1)	Full-Service Restaurant Amount		Limited Service Restaurant: Fast-Casual Restaurant Amount		Limited Service Restaurant: Quick-Serve Restaurant Amount		Method of Payment	When Due	To Whom Payment is to be Made
	Low	High	Low	High	Low	High			
Real Estate (3)	See Note 3	See Note 3	See Note 3	See Note 3	See Note 3	See Note 3	As arranged	As arranged.	Third Parties
Construction (4)(5)	\$350,000 (or \$900,000 if a Dual Branded Restaurant)	\$2,600,000 (or \$2,793,600 if a Dual Branded Restaurant)	\$240,000	\$768,000	\$160,000	\$339,000	As required by contractor, architect, engineers, government, etc.	Per contracts and governmental requirements for permits and fees.	Contractors and vendors
Major Equipment, and Fixtures (5)	\$150,000 (or \$225,000 if a Dual Branded Restaurant)	\$525,000 (or \$850,000 if a Dual Branded Restaurant)	\$180,000	\$409,500	\$140,000	\$280,800	As required by suppliers	Per purchase agreements.	Suppliers
Smallware Package/Opening Order	\$15,000	\$38,000	\$5,000	\$20,000	\$5,000	\$15,000	As required by suppliers	Per terms of purchase agreements.	Suppliers, IHOP or an IHOP Affiliate (if available)
Signage (5)	\$25,000 (or \$60,000 if a Dual Branded Restaurant)	\$200,000 (or \$100,000 if a Dual Branded Restaurant)	\$15,000	\$35,000	\$15,000	\$35,000	As required by suppliers	Per purchase agreement(s).	Suppliers
Inventory	\$50,000	\$100,000	\$3,000	\$49,950	\$3,000	\$49,950	As required by suppliers	Per purchase agreement(s).	Suppliers
Working Capital	\$50,000	\$200,000	\$5,000	\$88,500	\$5,000	\$88,500			You retain
Insurance (6)	\$35,000	\$100,000	\$25,000	\$50,000	\$15,000	\$40,000	As required by suppliers	As required by suppliers.	Suppliers
Site Approval Costs (7)	\$0	\$50,000	\$0	\$30,000	\$0	\$10,000	As required by suppliers	As required by suppliers.	Suppliers
Opening Training Support Fee (8)	\$0	\$65,000	\$0	\$27,500	\$0	\$7,000	Certified or cashier's check or wire transfer	Upon invoice.	IHOP
POS Setup, Training and Support Fee (9)	\$3,500	\$9,000	\$3,500	\$9,000	\$3,500	\$9,000	Certified or cashier's check or wire transfer	Upon invoice.	IHOP or POS vendor
Tray POS Software Fees (10)	\$2,900 per year	\$4,000 per year	\$2,900 per year	\$4,000 per year	\$2,900 per year	\$4,000 per year	As required by suppliers	45 days after receiving invoice.	Suppliers
Europay, Mastercard, and Visa ("EMV") Point to Point Encryption ("P2P") Services (11)	\$1,300 per year	\$4,500 per year	\$1,300 per year	\$4,500 per year	\$1,300 per year	\$4,500 per year	As required by suppliers	Upon your request for service.	Suppliers

Type of Expenditure (1)	Full-Service Restaurant Amount		Limited Service Restaurant: Fast-Casual Restaurant Amount		Limited Service Restaurant: Quick-Serve Restaurant Amount		Method of Payment	When Due	To Whom Payment is to be Made
	Low	High	Low	High	Low	High			
Wi-Fi Services (12)	\$90 per month	\$450 per month	\$90 per month	\$450 per month	\$90 per month	\$450 per month	As required by suppliers	Upon your request for service.	Suppliers
Kitchen Display System (13)	\$15,000	\$30,000	\$15,000	\$30,000	\$15,000	\$30,000	As required by suppliers	Upon set up.	Suppliers
Server Tablets with Payment Device (14)	\$7,500	\$30,000	\$7,500	\$30,000	\$7,500	\$30,000	As required by suppliers	Upon purchase.	Suppliers
On-Line Ordering (15)	\$65 per month	\$200 per month	\$65 per month	\$200 per month	\$65 per month	\$200 per month	As required by suppliers	Upon demand.	Suppliers
Mobile Device Management ("MDM") Fee (16)	\$24 per year	\$960 per year	\$24 per year	\$960 per year	\$24 per year	\$960 per year	As required by suppliers	Upon invoice.	IHOP
Digital Products Service Fee (17)	\$0 per month	\$350 per month	\$0 per month	\$350 per month	\$0 per month	\$350 per month	Certified or cashier's check or wire transfer	30 days after billing (billed annually).	IHOP or supplier
Implementation Fees (18)	\$500	\$2,000	\$500	\$2,000	\$500	\$2,000	Certified or cashier's check or wire transfer	Upon invoice.	IHOP
POS System Hardware (19)	\$20,000	\$60,000	\$20,000	\$60,000	\$20,000	\$60,000	As required by suppliers	Upon demand.	Suppliers
Wait Listing (20)	\$30 per month	\$150 per month	\$30 per month	\$150 per month	\$30 per month	\$150 per month	As required by suppliers	Upon demand.	Suppliers
Customer Relationship Management ("CRM") Fee (21)	\$0 per month	\$250 per month	\$0 per month	\$250 per month	\$0 per month	\$250 per month	As required by IHOP	Upon demand.	IHOP
Catering (22)	\$0 per month	\$100 per month	\$0 per month	\$100 per month	\$15 per month	\$100 per month	As required by suppliers	Upon demand.	Suppliers
Ordering Kiosks (23)	\$0	\$6,700	\$0	\$6,700	\$0	\$6,700	As required by suppliers	Upon demand.	Suppliers
Initial Additional Training Expenses	\$4,000 per person	\$7,000 per person	\$4,000 per person	\$7,000 per person	\$4,000 per person	\$7,000 per person	As required by suppliers	As required by airline, hotel and Restaurants for transportation, car rental, lodging and meals during training.	Airline, hotel and Restaurants
Design Service Fee (24)	\$6,700	\$6,700	\$4,800	\$6,700	\$4,800	\$6,700	As required by suppliers	Per agreement(s) with suppliers.	Suppliers
Supply Chain Co-op Stock Purchase (25)	\$0	\$100	\$0	\$100	\$0	\$100	Check or money order	On signing the membership subscription agreement.	Pancake Supply Chain Co-Op, Inc.

Type of Expenditure (1)	Full-Service Restaurant Amount		Limited Service Restaurant: Fast-Casual Restaurant Amount		Limited Service Restaurant: Quick-Serve Restaurant Amount		Method of Payment	When Due	To Whom Payment is to be Made
	Low	High	Low	High	Low	High			
TRAY POS Training (26)	\$600	\$5,000	\$600	\$5,000	\$600	\$5,000	Optional or as required for franchisee IT admin (per person)	Optional TRAY training at the IT admin level for the POS support outside of the FTS team	IHOP
Terminal Device Antivirus (27)	\$240	\$600	\$240	\$600	\$240	\$600	Antivirus/malware protection per device	All POS devices that are tied to a payment peripheral may require antivirus/malware protections. This is not required today but may be required in the future.	IHOP
Additional Funds – 3 months (28)	\$16,500	\$85,250	\$8,250	\$42,625	\$5,500	\$28,400	Checks	Payroll, utilities, attorneys, and accountants.	Employees, suppliers
Miscellaneous (29)	\$5,000	\$26,000	\$2,500	\$13,000	\$2,000	\$9,000	As required by suppliers	Per agreement(s) with suppliers. As required by governmental agencies, etc.	Suppliers and governmental agencies deposits
TOTAL (30)	\$784,382 (or \$616,682 if a Dual Branded Restaurant)	\$4,147,245 (or \$4,632,445 if a Dual Branded Restaurant)	\$559,732	\$1,722,070	\$436,482	\$1,090,645			

NOTES:

- (1) All fees payable to IHOP are non-refundable, except as otherwise noted. Payments to third parties may be refundable depending upon your agreement with the third-party.
- (2) We reserve the right in our discretion to reduce or waive the Initial Franchise Fee in certain circumstances.
- (3) We do not provide an estimate for the cost to acquire real estate on which to construct a new Restaurant or to acquire an existing building to convert. There are significant cost variations for real estate and existing buildings among geographic areas, different sites, and various options for what you may purchase or lease. The typical Full-Service Restaurant is approximately 2,000 to 5,000 square feet on a lot of approximately 30,000 to 50,000 square feet. The typical Fast-Casual Restaurant is approximately 1,200 to 3,500 square feet. The typical Quick-Serve Restaurant is approximately 800 to 1,200 square feet. If you lease the real estate and/or building from a third party, you must make lease payments typically on a monthly basis. Also, you may need to make security deposits with the Landlord. Unusual site preparation and utility connection costs and fees could increase costs.
- (4) Construction costs include the costs of construction, remodeling, leasehold improvements, and professional services such as architecture, engineering, and legal. Site work costs can vary significantly depending on location, size of the Restaurant, condition of the land, soil and environmental conditions, and other economic factors, including labor rates, union/nonunion labor

regions, building and health codes, local regulations, and other factors. As noted in Note (3), these costs do not include real estate costs.

- (5) These costs for a Dual Branded Restaurant vary significantly depending on whether the Restaurant converts an existing IHOP or Applebee's restaurant or involves the ground up construction of a new restaurant. This cost is the combined total cost for an IHOP and Applebee's.
- (6) These figures assume that you will pay the entire insurance premiums for the first year on or before opening the franchise. Most franchisees, however, pay the premiums in installments which may be monthly, quarterly or semi-annually, and the actual initial investment would be lower. You may obtain additional insurance as you may desire. The estimated costs depend on but are not limited to the replacement cost of the building/business personal property, sales, payroll and workers' compensation rates in the state in which the Restaurant is located. The insurable risks specified in the Operations Manuals and Insurance Bulletins are minimum coverages. We urge franchisees to consult with their insurance brokers or agents to determine appropriate additional coverages for them. These costs will also vary if you open a Dual Branded Restaurant as the Restaurant will also need to comply with the Applebee's insurance requirements.
- (7) You must obtain various photographs, surveys, demographic information packages, and similar items for submission to us in connection with obtaining approval of your proposed location.
- (8) The amount of the fee will be based on the number of trainers deemed necessary by IHOP, in its sole discretion, unless waived by IHOP. The fee is subject to increase if opening schedule changes after IHOP has secured the Training Team or if overtime is requested and/or approved by IHOP. *See* Item 11 for details.
- (9) The amount of the fee will be based on whether the POS support is onsite or remote. The support must be onsite for the first three Restaurants you open and will cost \$9,000 plus airfare. Beginning with your fourth Restaurant, you may opt for remote support at the fee of \$3,500.
- (10) The current fees reflect software as a service pricing based on the number of devices and functionality used in the restaurant. *See* Item 11 for details.
- (11) You currently must purchase this equipment and procure these services from an approved payment gateway vendor for credit card processing services. These figures include the estimated cost to purchase the equipment and a monthly fee of \$53.
- (12) You must achieve 50/20 internet bandwidth speed utilizing commercial grade hardware and including 4G or 5G back up and guest Wi-Fi to support restaurant operations and guests' needs. Wi-Fi connection is required in order to utilize IHOP Academy and other technology platforms. *See* Item 11 for further details.
- (13) You must have a kitchen display system ("KDS") to monitor and organize orders received at your Restaurant.
- (14) Server tablets are required. We require that you purchase one server tablet per server for the front of the house and you will need to have an approved service model that meets our specifications, as determined by us from time to time. Currently the required number of server tablets with payment device ranges from 8 to 12. These figures include the estimated cost to purchase the approximately 8 to 12 tablets, chargers, batteries, and skins.
- (15) You must sign an Authorized Operator Agreement for access and use of an approved provider's on-line ordering system in form and substance approved by us. These figures include the estimated cost for services provided by Olo, Inc. and a payment gateway related to on-line ordering. *See* Item 8 for further details.
- (16) This fee is required for all hardware in the restaurant. Fees are charged per terminal and range from \$24 to \$960 per year. *See* Item 11 for further details.
- (17) Digital products may include guest payment and ordering from their own device, and other digital products that may be required in the future. The current fees reflect software as a service pricing but we may charge you transaction pricing in the future.

- (18) These fees relate to deployment and support for hardware and software upgrades, as well as other products.
- (18) Subject to some exceptions, you must purchase or lease, depending on the program, an IHOP-approved POS computer system unless another IHOP approved system is agreed to in writing by IHOP in its sole discretion. The current cost of purchasing the POS computer system is between \$20,000 to \$60,000 for POS hardware. All Restaurants must have a POS computer system that meets IHOP's specifications. This describes our current POS system and provider, however, we may, from time to time, evaluate and approve other systems and/or vendors as an additional POS provider. We reserve the right to increase these fees. See Item 11 for further details.
- (20) Waitlist enables restaurants to seat more guests, more efficiently through a service provided by an approved Waitlist vendor. Waitlist is currently optional but may be required by us in the future.
- (21) This fee may be funded by the National Advertising Fund or there could be all or a portion of the fees required to be paid directly by the Franchisee.
- (22) Catering is currently optional but may be required in the future. The current approved supplier for catering is Olo, Inc.; however, we may, from time to time, evaluate and approve other vendors as an approved supplier.
- (23) We may require you to purchase at least 2 independent ordering kiosks from one or more approved suppliers.
- (24) We currently use Livit Design Service, but reserve the right to use another service supplier in the future.
- (25) Membership in the cooperative is voluntary. If you choose to join, this fee must be paid. See Item 8 for details.
- (26) All POS devices that are tied to a payment peripheral may require antivirus/malware protections.
- (27) Optional TRAY Admin training as required for franchisee IT admin.
- (28) See "GENERAL NOTES" below.
- (29) The amount includes such items as promotional programs, tax deposits, license fees, utility deposits, and other costs as may be applicable to each location.
- (30) The above figures cover the cost to build one Restaurant and includes 3 months of any amount set forth as a "per month" amount.

GENERAL NOTES. The figures in the charts above should be understood with the following explanation:

The disclosure laws require us to include an estimate of all costs and expenses to operate the franchise during the "initial phase" of the business, which is defined as three months or a longer period if "reasonable for the industry." We are not aware of any established longer "reasonable period" for the Restaurant industry, so our disclosures cover a 3 month period (the total estimated initial investment includes pro-rated costs and expenses related to Transaction Services/OHEICS, wi-fi services, and on-line ordering for 3 months). The figures next to the "Additional Funds" column in each of the charts above assume you would cover the following specific expenses that you would incur during the first three months of operation and receive no operating income during this period; 3 months payroll (and related taxes and payroll expenses) for staff, utilities, and attorneys' and accountants' fees. The estimates do not cover rent or mortgage payments, Royalty payments, National Advertising Fees, Local Advertising Expenditure Requirements, or the cost of goods sold, all of which vary depending on your sales levels, nor do they cover any interest or other financing costs you may incur, which will vary depending on how much you borrow. Other than as noted above, all other expenditures are stated only through the franchise opening date. The amounts stated above for working capital, deposits and prepaid expenses assume that sales from the Restaurant would be sufficient to defray operating expenses from the inception of operation by you. If, for any reason, sales are slow at the inception of operation, which has happened in certain Restaurants in the past and is a possibility which should be considered in any new Restaurant, additional funds might be needed to pay operating expenses. The figures stated above do not include any provision for managerial salaries or draws by you.

The amount required for equipment and for improvements to real property, or for modifications to same, is determined principally by the size and type of the Restaurant. Figures given, therefore, represent the best information known to IHOP and the IHOP Affiliates for the costs for the smallest and least complexly constructed and equipped Restaurant to the largest and most complexly constructed and equipped Restaurant likely to become the subject of the franchise. In preparing these estimated amounts, we relied on a combination of our and our affiliates' experience in the industry, and with respect to certain cost estimates, we relied on estimates from suppliers, from proposed bids from potential suppliers, and from franchisee submissions made in connection with their site application packages. The amounts shown are estimates only and may vary for many reasons. To the extent that the assumptions described in the notes are not applicable to your situation, and/or to the extent there are differences at your location or in the market for your location that differ from the experience, facts, or data that led to these estimates, YOUR COSTS AND EXPENSES MAY BE HIGHER. You should consult with your architects, engineers, general contractors, consultants, attorneys and/or accountants who may be able to provide more specific figures for your site before making any decision to enter into a development or franchise agreement.

If you operate from a leased location, the amount which you must pay generally will include taxes, insurance and maintenance. If the Restaurant is in a shopping center, you may be required to become a member of the shopping center's Merchant's Association and may be required to pay a percentage of the gross revenue to the association. Under the Full-Service Program and IHOP Limited-Service Program, no part of the taxes, maintenance and insurance of Merchant's Association fees to be paid in accordance with the lease is paid to IHOP. We relied on our experience and the experience of our affiliates and franchisees who provided projected or actual costs of Restaurants to compile this estimate.

ITEM 8

RESTRICTIONS ON SOURCES OF PRODUCTS AND SERVICES

Site Approval. Although you are solely responsible for selecting the site of your Restaurant, each site on which you propose to construct a Restaurant must first be approved in writing by IHOP, and you must, at your own expense, construct, improve and equip the Restaurant in conformance to IHOP's then-current standards and specifications. You are solely responsible for locating the site for your Restaurant, although we may assist you in our sole discretion. Even if we assist you to locate a site, you may not construe any assistance we may provide, or our acceptance of a site you propose as a guarantee or other assurance that the site will necessarily be successful. We will provide, without cost to you, standard prototypical plans and specifications for the construction of a Restaurant and for equipment and signs, but excluding site plans, and/or remodel specifications for the conversion of a Restaurant. You should request the plans and specifications at least 6 months before construction must begin. If existing conditions, applicable laws such as the Americans with Disabilities Act, local building codes or zoning provisions require modifications to be made to the Franchised Location(s) or Restaurant(s), you must bring the Franchised Location(s) and Restaurant(s) into compliance at your sole cost and expense, and subject to our prior written approval. You must then, at your sole cost and expense, adapt the standard plans to the particular site in conformity with local requirements, our plans, and submit them to us for written approval. All modifications to the plans or deviations from the provided specifications are subject to our prior written approval. If requested by IHOP, upon completion of the construction, and prior to opening, you must submit to us a certification from your architect that the building was built or converted, as applicable, in accordance with plans previously submitted and approved by IHOP and that the plans as submitted comply with all applicable laws and codes, including the Americans with Disabilities Act.

After you have located a site, you must submit for our review a site package, including site plans, a map, a proposed floor plan, relevant statistics and characteristics of the site, proposed elevations, a preliminary budget, a term sheet or letter of intent for lease, license or purchase of the site, demographic information, various photographs, a draft lease, license or purchase agreement, and other information regarding the proposed location that IHOP requires. Once you submit all required items, we will either reject the site or issue our final approval within 45 days. If we fail to notify you of our acceptance or rejection of the site within 45 days, the proposed site will be deemed rejected by IHOP. You may not sign the lease, license or purchase agreement until we give you final approval and issue the NT FA for the site. You must also provide a fully

signed copy of the lease, license or purchase agreement in the form previously reviewed by IHOP promptly after execution.

Unless waived in writing by us in our sole discretion, we require that you and your landlord execute and deliver an Addendum to Lease in substantially the form of Exhibit L. You may not sign the lease or purchase agreement until we review the lease or purchase agreement for certain required provisions, including an Addendum to Lease, and issue the Franchise Agreement for the site. You must provide a fully signed copy of the lease or purchase agreement in the form previously reviewed by IHOP promptly after execution and prior to the opening of the Restaurant.

Furniture, Fixtures and Equipment. You must purchase and cause to be delivered and installed before the opening of the Restaurant(s), certain items of equipment and smallwares inventory, including, for example, kitchen equipment, booths, furniture, POS system with Server Tablets and Tablet Payment Device (*see* Item 11 for details), and decor items, in quantities and in accordance with the specifications established by IHOP. You may purchase those items from any approved supplier/distributor/manufacture. If you elect to order and purchase any items from IHOP or an IHOP Affiliate, and if it sells the items, IHOP and/or the IHOP Affiliate may be the sole supplier(s)/distributor(s)/manufacturer(s) of such items and IHOP and/or the IHOP Affiliate may derive revenue from the purchase.

If you are required to, or choose to, have technology services performed for you by us, you will be required to enter into an agreement for the provision of such services.

We estimate that substantially all your expenditures for leases and purchases in establishing and operating your business will be for goods and services which are subject to sourcing restrictions (that is, from us, IHOP Affiliates, from suppliers approved by us, or purchased in accordance with our specifications).

Proprietary Products. You must purchase from IHOP or an IHOP Affiliate (if sold by the IHOP Affiliate) or from our designated distributors who have purchased the products from IHOP or an IHOP Affiliate, all of your requirements for buttermilk pancake mix, egg batter, Protein pancake mix, Corn Cake pancake mix, Belgian waffle batter, and those other future products as may be specified by IHOP, all of which use proprietary formulas owned by IHOP or an IHOP Affiliate ("Proprietary Products"). IHOP and/or an IHOP Affiliate may derive revenue from its sale of these items by charging a mark-up on the sale of these items to IHOP-designated distributors or, if applicable, to franchisees.

Trademarked Products. You must use certain products which bear the trademark, trade name or logo "IHOP," "IHOP Express," "International House of Pancakes" or "House of Pancakes" or "GFGB" brand identification ("Trademarked Products") which may include dishware, silverware, napkins, placemats, coasters, uniforms, promotional items, syrup pitchers, coffee carafes, menus, guest checks, forms and other items. IHOP or an IHOP Affiliate shall, upon your request, provide specifications for the Trademarked Products, and you may purchase them either from IHOP or an IHOP Affiliate (if IHOP or the applicable IHOP Affiliate sells the products), suppliers/distributors/manufacturers designated by IHOP or suppliers/distributors/manufacturers you choose who are approved by IHOP and can meet IHOP's specifications and who sign a royalty-free trademark license in a form reasonably satisfactory to IHOP. If you elect to purchase the Trademarked Products from IHOP or an IHOP Affiliate, they may or will derive profits from such purchases.

Other Products. Except for Proprietary Products, as described above, all food products, services, supplies, equipment and materials permitted or required to be used in each Restaurant must be purchased from IHOP or IHOP Affiliate(s), if offered by IHOP or IHOP Affiliate(s), from suppliers, distributors or manufacturers approved or designated by IHOP, or from suppliers, distributors or manufacturers you select (as described below) who are approved in writing by IHOP or IHOP Affiliate(s) and not subsequently disapproved. If you wish to purchase any non-specified food product other than the Proprietary Products, coffee, and other products that have not already been approved by IHOP, or if you wish to purchase any item from supplier(s),

distributor(s) or manufacturer(s) you select, you must deliver notice to IHOP of your desire to do so, which notice must specify the name and address of the supplier, distributor or manufacturer, and the items desired to be purchased from that supplier/distributor/manufacturer. IHOP or an IHOP Affiliate will, upon your request, furnish specifications, by established brand name wherever possible, for such items. Before approval of any supplier/distributor/manufacturer, we can require that we be allowed to inspect the supplier's, distributor's or manufacturer's facilities. We can also conduct tests on products, require full production runs, and require that samples from the supplier, distributor or manufacturer be delivered to us or to a designated independent testing laboratory for testing. You or the supplier/distributor/manufacturer, will be required to bear the costs associated with the inspections, tests and other procedures involved in the approval process. You may not purchase any products from a proposed supplier, distributor or manufacturer until and unless IHOP has provided written approval to you. IHOP or an IHOP Affiliate may disapprove or later withdraw its approval of any supplier, distributor or manufacturer you select upon the grounds which may include, but are not limited to, that the supplier, distributor or manufacturer has failed to demonstrate, to the reasonable satisfaction of IHOP or the IHOP Affiliate: (a) the ability of the supplier, distributor or manufacturer to supply a product meeting the specifications of IHOP; (b) the reliability of the quality of the supplier's, distributor's or manufacturer's product or service; (c) the supplier's production facility meets IHOP's standards for food safety; and (d) the willingness and agreement of the supplier or distributor to permit IHOP or an IHOP Affiliate to make periodic inspections, reasonable in respect to frequency, time and manner of inspection, to assure the supplier's or distributor's continued conformity to specifications and food safety standards. Franchisees will be notified of approval or disapproval of the proposed alternative supplier within two days to six months (time span is based on a variety of factors, including but not limited to the complexity of the ingredients, the process of matching the formula, third party audits and the ability to commercialize the product and are prioritized by the order in which the requests are received).

Notwithstanding the above, you are prohibited from purchasing products, equipment, and other items, except as approved in writing by IHOP in its sole discretion. We ordinarily do not establish specific standards or specifications for, or require use of, approved suppliers for items such as repair and maintenance services and other miscellaneous items.

Effective February 16, 2009, affiliates of IHOP LLC and Applebee's International and representatives of franchisees in each system formed an independent purchasing and distribution cooperative, Centralized Supply Chain Services, LLC ("CSCS"), a Delaware limited liability company. CSCS performs the supply chain functions for certain franchised Restaurants in the IHOP and Applebee's systems. CSCS is owned and controlled by two separate cooperatives: a cooperative for the IHOP concept, Pancake Supply Chain Co-Op, Inc. (the "IHOP Co-op"), and a cooperative for the Applebee's concept, Apple Supply Chain Co-Op, Inc. (the "Applebee's Co-op"). Neither CSCS, nor the IHOP Co-op, nor the Applebee's Co-op is our affiliate. You may participate in the purchasing and distribution cooperative arrangement on a voluntary basis, as either a member or a nonmember.

If you choose to become a member of the IHOP Co-op, you will execute a Membership Subscription Agreement and pay \$100 for one share of IHOP Co-op common stock, regardless of how many Restaurants you own. These are the same terms under which franchisees participate. Members must purchase their requirements of certain products and services through CSCS. At times, members of the IHOP Co-op, including IHOP and participating franchisees, may also receive patronage dividends, based upon their purchases. Patronage dividends are not available to nonmembers.

As of the date of this Disclosure Document, none of our officers have disclosed any ownership interest in any of our suppliers. From time to time, one or more of our officers may own interests in suppliers as a result of ownership of mutual funds or equities which are purchased in managed accounts. In addition, a supplier may be a direct or indirect subsidiary of a public company in which one or more of our officers owns an interest, but that officer may be unaware of the public company's ownership interest in the supplier.

Without IHOP's prior written consent, you may not use, offer, sell, or give away except at the Franchised Location, any required products as set forth in the Operations Manuals, or other goods or services which utilize IHOP's Trade Secrets in whole or in part, including its recipes, or any goods, services, materials, supplies, or inventory (including food, beverages, condiments, and smallwares) purchased by you or any of your affiliates (or any Owner, officer, director, manager of either) from or through any approved supplier pursuant to any pricing or purchasing terms negotiated or arranged by IHOP or any IHOP Affiliate for or on behalf of IHOP or our franchisees. In addition, you shall not at any time purchase greater quantities of such products than necessary to meet your reasonably anticipated requirements to operate your IHOP Restaurant.

Insurance. You must procure and maintain during the term of the NT FA policies of insurance insuring you against the insurable risks specified in the Operations Manuals and Insurance Bulletins and at least the amounts of coverage so specified, unless a higher limit is required under a master lease and/or CC&R's or REA's that affect the property (or if the Restaurant is a Dual Branded Restaurant, in which case, the Restaurant must also satisfy the insurance requirements for an Applebee's restaurant). All policies of insurance must name IHOP including its parent and our designated subsidiaries and affiliates, and respective officers, directors, members, managers, employees, agent, successors and assigns of IHOP (and others under some circumstances), if applicable, and nominees of IHOP as it may designate as additional insureds, as their interests may appear. In the event IHOP does not receive proper evidence of insurance, IHOP may, but is not obligated to procure such insurance as is necessary to meet its requirements, but the insurance need not name you as an insured or additional insured, and you shall be responsible for all payments for such insurance.

Pepsi-Cola. In 2012, IHOP LLC, certain of its affiliates and CSCS entered a multi-year agreement with PepsiCo Sales, Inc. ("Pepsi"), a wholly-owned subsidiary of PepsiCo., Inc. to be the fountain beverage supplier for the System in the United States. Pepsi contributes an amount per gallon of product sold in Restaurants, depending on the percentage of franchisees that meet an agreed-upon performance level, to an advertising and marketing fund. Each year, the fund proceeds are distributed to franchisees that have signed a participation agreement with Pepsi and met their performance obligations under such participation agreement. New franchisees must sign an agreement (the IHOP Beverage Sales Participation Agreement) with Pepsi in form and substance approved by us to supply their fountain beverages.

Guest Information Feedback Tool. We have entered an agreement with a vendor to administer a guest experience survey program for Restaurants. All franchisees must participate in the survey program. IHOP LLC will pay for the costs of the program in 2026. We reserve the right to require franchisees to pay for all costs of the program in 2027 and after.

Food Safety Evaluation ("FSE"). Restaurant food safety performance is routinely evaluated by an independent third party, two times per year. IHOP will pay for the costs of the routine FSE program in 2026 and reserves the right to require franchisees to pay all costs associated with the FSE program in 2027 and after. If a Restaurant fails a routine food safety evaluation, it will receive an automatic unannounced FSE reaudit prior to the next routine FSE. The franchisee will be billed (either by IHOP or the third party) and must promptly pay the approximately \$300 cost of the reaudit, which amount is subject to change from time to time. If the Restaurant fails the FSE reaudit, additional FSE reaudits will be conducted at the franchisee's sole cost and expense until the Restaurant passes. If a franchisee has any unpaid FSE reaudit invoices, all pending reaudits for the franchisee may be put on hold and passing reaudit scores reverted back to the original failing score.

On-Line Ordering. You must sign an Authorized Operator Agreement for access and use of an approved provider's on-line ordering system in form and substance approved by us. See Item 11 for additional information.

Internet 50/20. You must achieve 50/20 internet bandwidth speed utilizing either your current supplier or one of the IHOP-negotiated suppliers (currently Comcast or Interface) utilizing commercial grade hardware and including 4G or 5G back up and guest Wi-Fi.

Digital Products. We may require that you purchase digital products from us that are brand standard in order to provide a consistent guest experience across our brand. These products may include products such as guest payment and ordering solutions and others as we determine. You may be required to sign one or more agreements with approved third-party providers. Fees associated with these products may be payable to us or a third party.

EMV. We require franchisees to have Europay, Mastercard, and Visa (“EMV”) Point to Point Encryption (“P2P”) encryption certified solutions for processing payment in the Restaurant. Currently, we require franchisees to use approved payment devices (currently, Ingenico devices) purchased through FreedomPay and we currently require franchisees to use FreedomPay’s EMV processing as part of the credit card gateway solution or any future solution we may implement.

Delivery. If you participate in delivery, you will be required to sign up for the Olo, Inc. dispatch platform (currently provided through DoorDash, which may be subject to change in the future) which allows guests to order delivery through our website or mobile app. We may impose additional delivery requirements in the future and you may be required to pay any and all related fees.

Public Relations; Crisis Communications. If you choose to retain an outside communications or public relations agency, you should inform us of if and when you retain a local public relations firm and provide us with the identity of that firm and connect such firm with the IHOP communications team. Regardless of whether you have retained a local public relations firm, you should allow us to review and approve, in our sole discretion, all press releases and related external communications relating to us or our affiliates or Restaurant(s) before their distribution to the media (digital and/or traditional).

You must comply with our or Dine Brands’ crisis communication protocol in effect at the time of the crisis. You must alert us to any actual crisis situation (or any potential crisis situation) that develops, regardless of whether you have obtained the assistance of a local public relations firm. All interaction with the media or statements provided must be run through the IHOP communication team before distribution. Additionally, you shall not make any statement or endorsement in a manner that could be interpreted to imply that such statement or endorsement is being made on behalf of IHOP or Dine Brands as opposed to on behalf of you in your personal capacity.

Payments from Franchisees for Goods and Services. Neither IHOP nor the IHOP Affiliates provide material benefits to you based on your use of designated or approved sources for the purchase of goods, but doing so is one of your obligations and we may either require you to purchase replacement products from a designated supplier or terminate your franchise agreement if you purchase from unapproved sources in violation of your agreement. IHOP and the IHOP Affiliates may derive revenue and profit based on your purchases from IHOP or IHOP Affiliates. During Fiscal 2025:

1. IHOP LLC’s total revenues from all sources was \$2,162,000, and its revenue from purchases of products and services required to be purchased by franchisees from us or another supplier was \$733,000, representing 33.9% of its total revenues.
2. IHOP Restaurants LLC’s total revenues from all sources was \$127,389,000, and its revenue from purchases of products and services required to be purchased by franchisees from us or another supplier was \$55,531,000, representing 43.6% of its total revenues.
3. IHOP Leasing LLC’s total revenues from all sources was \$99,885,000, and its revenue from purchases of products and services required to be purchased by franchisees from us or another supplier was \$99,885,000, representing 100% of its total revenues.

4. IHOP Property LLC's total revenues from all sources was \$7,953,000, and its revenue from purchases of products and services required to be purchased by franchisees from us or another supplier was \$7,953,000, representing 100% of its total revenues.
5. IHOP Franchisor LLC's total revenues from all sources was \$182,534,000, and its revenue from purchases of products and services required to be purchased by franchisees from us or another supplier was \$426,000, representing 0.2% of its total revenues.

ITEM 9

FRANCHISEE'S OBLIGATIONS

This table lists your principal obligations under the IHOP NT MUFA and NT FA. It will help you find more detailed information about your obligations in these agreements and in other items of this Disclosure Document. All section references are to the IHOP NT MUFA unless otherwise noted.

<u>Obligation</u>	<u>Section in Agreement</u>	<u>Disclosure Document Item</u>
a. Site selection and acquisition/lease	Sections 3.2, 3.3	Items 8 and 11
b. Pre-opening purchases/leases	Section 4.5(b), (c), (d), (e)	Item 8
c. Site development and other pre-opening requirements	Section 3.3, 3.4	Items 6, 7, 8 and 11
d. Initial and ongoing training	Section 4.5(f)	Item 11
e. Opening	Section 4.5(f)(v)	Item 11
f. Fees	Sections 4.4, 4.5(f)(v); Sections 5, 6, 7, 8, 9, 10 of Attachment A; Sections 5, 6, 9, 10, 12 of NT FA	Items 1, 5 and 6
g. Compliance with standards and policies/Operations Manuals	Section 4.5(a)	Item 11
h. Trademarks and proprietary information	Sections 5.1, 5.2, 5.3	Items 13 and 14
i. Restrictions on products/ services offered	Section 4.5(b), (c), (d), (e)	Item 16
j. Warranty and customer service requirements	Section 4.5(a) (b)	Item 11
k. Territorial development and sales quotas	Article 1, Sections 1, 2, 3 of Attachment A	Item 12
l. Ongoing product/service purchases	Section 4.5(a), (b), (c), (d), (e)	Item 8
m. Maintenance, appearance and remodeling requirements	Section 4.6	Item 11
n. Insurance	Section 9.4	Items 6 and 8
o. Advertising	Section 4.4 (c), (d), 4.5(g)	Items 6 and 11
p. Indemnification	Section 9.5	Item 6
q. Owner's participation/ management/staffing	Section 4.5 (f)	Items 11 and 15
r. Records/reports	Section 4.4 (e), (f)	Item 6
s. Inspections/audits	Section 4.4 (e)	Items 6 and 11
t. Transfer	Sections 6.1, 6.2, 6.3	Item 17
u. Renewal	Section 4.3; Section 5 of Attachment A	Item 17
v. Post-termination obligations	Sections 8.1, 8.2	Item 17
w. Non-competition covenants	Section 5.4 (c); Section 11 of the NT FA, Attachment B	Item 17
x. Dispute resolution	Article 10	Item 17

ITEM 10

FINANCING

We do not offer direct or indirect financing. We do not guarantee your note, lease or obligation.

ITEM 11

FRANCHISOR'S ASSISTANCE, ADVERTISING, COMPUTER SYSTEMS AND TRAINING

Except as listed below, IHOP is not required to provide you with any assistance. Unless otherwise noted, all cited section references are to the IHOP NT MUFA.

As described in Item 1, the assistance described below may be performed by one or more IHOP Affiliates on our behalf.

Pre-Opening. If you become an IHOP franchisee, we will have the following obligations to you before you open your Restaurant:

1. Locating a Site. We will furnish to you, at no additional cost, information concerning the written materials that you must submit to us for us to consider proposed locations for a Restaurant. We call this the "Development Manual," and it includes procedures for the site review package. (Section 3.2)

Although you are solely responsible for selecting the site for your Franchised Restaurant, we will review information and data you provide regarding your proposed site(s) and we must approve the site. You may not develop a Restaurant until we have issued our acceptance of the site. IHOP estimates that it takes approximately seven months to obtain site acceptance. This time frame may vary depending on whether you provide the required information to IHOP in a timely manner. The matters considered by us in accepting the location for the proposed site may include the following: (1) proximity to existing IHOP Restaurants; (2) traffic patterns, parking, access and visibility; (3) weekend/weekday retail and commercial traffic generation; (4) existence of legal restrictions on signage and IHOP identity features, such as our signature blue roof, awning, building height and other architectural elements; (5) proximity to specialty attractions (such as race tracks, sports complexes); (6) population and demographic characteristics of the surrounding area; (7) rent and associated costs; (8) lease and term provisions; (9) estimated cost of tenant improvements; (10) physical characteristics of the premises if already in existence; (11) quality, vitality and growth trends or potential of the surrounding area; (12) effect on future development in the surrounding trade area; and (13) other factors particular to the proposed location or trade area. Under the terms of the IHOP NT MUFA, you must submit a site to IHOP for review at least six months before the date by which you must open the Restaurant.

If IHOP does not accept your site, you will not be issued a NT FA for the location, you will not have any rights to develop an IHOP Restaurant at that site, and you must submit another site for approval by IHOP. Your failure to open a Restaurant by the date specified in your IHOP NT MUFA may result in termination of the agreement. You may forestall termination by paying a fee to IHOP to obtain additional time within which to open the Restaurant. (See Section 3.2 and Section 3.5 for further details regarding the timeframes and site selection process.)

You may not construe any assistance we may provide, or our acceptance of a site, as a guarantee or other assurance that the site will necessarily be successful.

2. Plans and Specifications. We will provide you with IHOP's standard prototypical plans and specifications for the erection of a Restaurant and for equipment and signs and/or remodel specifications for

the conversion of a Restaurant to an “IHOP” or “IHOP Express” Restaurant. (Section 3.3). The use of a design service is required. We currently use Livit Design Service, but reserve the right to use another service supplier in the future.

3. Training.

Training. This Item 11 summarizes IHOP’s training program requirements and opening support for franchisees and the designated operators of their IHOP restaurants. IHOP evaluates its training program from time to time and reserves the right to make changes. There are two primary components to IHOP’s training program: (1) Certified Leader Training and (2) Initial Opening Training.

Certified Leader Training

IHOP requires each franchisee to have two dedicated restaurant leaders (a “Certified Leader”) per restaurant, trained and certified in day-to-day IHOP operations through an approved program such as the "SMILE Leadership" program described below. One leader must be the franchisee or its IHOP-approved designated representative if they are actively involved in daily operations. Certified Leaders are responsible for running the restaurant according to IHOP's Standard Operating Procedures and applicable legal and health and safety code requirements.

Training for the two Certified Leaders must be completed between 30 to 60 days before the restaurant opens. If a Certified Leader is replaced, a substitute must be certified within 60 days of the predecessor's departure.

Training fees for the franchisee and up to two Certified Leaders are waived for the first restaurant. Training fees for up to two Certified Leaders are waived for the second restaurant. If the opening date changes after training, personnel may need to repeat training at a cost of \$5,000 per trainee, plus expenses. Training fees may apply for the third and subsequent restaurants or replacements. All training costs are nonrefundable, and franchisees bear all associated expenses.

The SMILE Leadership program involves 45-50 hours per week over six weeks, covering foundational skills, IHOP’s Standard Operating Procedures, and various management topics. Training includes online and practical tests, and trainees must pass both to graduate. An IHOP-approved food safety certification is also required. IHOP may adjust training hours or locations based on trainee needs.

The SMILE Leadership program must be completed in-person, at an IHOP restaurant, or a designated training center, as determined by IHOP in its sole discretion. IHOP may extend training for skill reinforcement, shadowing, or attending new openings. Franchisees may need to identify alternative trainees if initial trainees do not complete certification.

IHOP reserves the right to require franchisees, their designated representatives, and Certified Leaders to attend up to two leadership training events per year, which may be virtual or in-person. No attendance fee is charged for mandatory training, but optional events may incur fees.

Franchisees bear all costs for training attendance, including compensation, transportation, meals, lodging, and other expenses. IHOP provides instructional materials like training plans, manuals, videos, eLearning modules, and recipes.

Instructional materials supplied for trainee use during training presently includes a training plan, Operations Manuals, training videos, recipes, course materials, and various other materials as needed. IHOP uses a web-based e-Learning system called IHOP Academy for training administration and reporting. Currently, there are no fees for using IHOP Academy, but IHOP may charge in the future. Franchisees must provide two Wi-Fi-enabled devices for training, meeting minimum technical requirements.

Initial Opening Training

In addition to Certified Leader Training, IHOP requires franchisees to complete Initial Opening Training before each restaurant opens. IHOP will review the franchisee's experience and staffing plan to determine the training requirements, considering factors like industry experience, IHOP-specific experience, existing Certified Leaders, the number of IHOPs operated, and the most recent opening date.

IHOP will determine the training resource needs, including the number of trainers needed to support the new restaurant opening ("NRO Trainers"). If IHOP provides training support, the franchisee will pay an Opening Training Support Fee between \$0 and \$65,000, based on the number of NRO Trainers needed. This fee may increase if the opening schedule changes or overtime is requested. The standard number of NRO Trainers is seven, but this may be adjusted at IHOP's discretion.

For third or subsequent restaurants, IHOP may require the franchisee to provide some NRO Trainers, who must be approved by IHOP and follow the training plan. The distribution of NRO Trainers is as follows:

Number of IHOPs Operated	NRO Trainers Provided by IHOP	NRO Trainers Provided by Franchisee
0-2	7	0
3-4	3	4
5 and beyond	1	6

IHOP-provided NRO Trainers will assist with training for up to three weeks, allocated between two weeks before and one week after opening. If the franchisee provides NRO Trainers, they will gradually take over post-opening support. Training scheduling is generally done 45 days before the opening date, with a lock-in meeting held five weeks prior. This meeting requires the restaurant to meet specific criteria and key stakeholders to attend.

IHOP may require photos of the restaurant's construction to schedule the lock-in meeting. Availability of NRO Trainers may affect the opening date. If training is rescheduled, the franchisee will pay any increased costs incurred by IHOP, estimated between \$500 and \$6,000 per person.

To avoid delays, the franchisee must follow the new restaurant opening timeline and provide timely updates on construction, hiring, and setup as requested by IHOP. If the franchisee requests IHOP personnel to work more than 40 hours per week or extend their time onsite, the franchisee will pay any additional costs incurred, including overtime, salaries, travel changes, and additional travel, lodging, and meal expenses.

IHOP uses IHOP Academy, a web-based e-Learning system, for training administration. Franchisees must provide two Wi-Fi-enabled devices for training that meet the technical requirements.

Currently, IHOP is engaging Akkodis Staffing to assist IHOP personnel with restaurant opening training. Akkodis Staffing employs approximately 10 trainers with a combined experience of over 100 years.

INITIAL TRAINING PROGRAM – FULL-SERVICE PROGRAM

<u>Subject</u>	<u>Hours of Classroom Training¹</u>	<u>Hours of On the Job Training</u>	<u>Location</u>
RESTAURANT TRAINING			
Orientation & Evaluations	10	0	Approved IHOP Restaurant Training Program locations throughout the United States
Dish Washer/Busser (Combo)	1	20	Same locations (as determined periodically) as Orientation and Evaluations
Cook (Food Preparation & Cooking)	1.5	85	Same locations (as determined periodically) as Orientation and Evaluations
Host/Hostess and Server	2	55	Same locations (as determined periodically) as Orientation and Evaluations
RESTAURANT SUBTOTAL	14.5	160	

<u>Subject</u>	<u>Hours of Classroom Training²</u>	<u>Hours of on the Job Simulation Training or Self Study</u>	<u>Location</u>
MANAGEMENT TRAINING			
Management Training Orientation	4	0	Approved IHOP Restaurant Training Program locations throughout the United States
Restaurant Management Skills	1	64	Same locations (as determined periodically) as Management Training Orientation
Basic Management Skills	1.5	32	Same locations (as determined periodically) as Management Training Orientation
Business Finance	1.5	17.5	Same locations (as determined periodically) as Management Training Orientation

¹ This is an estimate. The eLearning platform will create self-paced electronic “classroom” learning for the trainee.

² This is an estimate. The eLearning platform will create self-paced electronic “classroom” learning for the trainee.

<u>Subject</u>	<u>Hours of Classroom Training²</u>	<u>Hours of on the Job Simulation Training or Self Study</u>	<u>Location</u>
Testing	4	0	Same locations (as determined periodically) as Management Training Orientation
IHOP Academy Workshop	16	0	Hosted virtually
MANAGEMENT SUBTOTAL:	28	113.5	*or at a regional location (to be determined) offered periodically throughout the year.

RESTAURANT SUBTOTAL	14.5	160
MANAGEMENT SUBTOTAL:	28	113.5
TOTAL TRAINING:	42.5	273.5

IHOP LIMITED-SERVICE INITIAL TRAINING PROGRAM

<u>Subject</u>	<u>Hours of Classroom Training</u>	<u>Hours of On the Job Training</u>	<u>Location</u>
RESTAURANT TRAINING			
Orientation & Evaluations	10	0	Approved IHOP Restaurant Training Program locations*
Prep and Line Cook (Food Preparation and Cooking) Dish Washer/Busser (Combo)	6	27	Approved IHOP Restaurant Training Program locations*
Host/Hostess and Cashier Barista and Server/Runner	6	24	Approved IHOP Restaurant Training Program locations*
Management Duties Orders/Schedule/POS/Back of House Procedures	4	4	Approved IHOP Restaurant Training Program locations
RESTAURANT SUBTOTAL	26	55	

<u>Subject</u>	<u>Hours of Classroom Training</u>	<u>Hours of on the Job Simulation Training or Self Study</u>	<u>Location</u>
MANAGEMENT TRAINING			
Management Training Orientation	4	0	Approved IHOP Restaurant Training Program locations throughout the United States
Restaurant Management Skills	1	42	Approved IHOP Restaurant Training Program locations throughout the United States
Basic Management Skills	1.5	21	Approved IHOP Restaurant Training Program locations throughout the United States
Business Finance	1.5	12	Approved IHOP Restaurant Training Program locations throughout the United States
Testing	4	0	Approved IHOP Restaurant Training Program locations throughout the United States
IHOP Academy Workshop	16	0	Regional locations based on need and availability
MANAGEMENT SUBTOTAL:	28	75	

RESTAURANT SUBTOTAL	26	55
MANAGEMENT SUBTOTAL:	28	75
TOTAL TRAINING:	54	130

Restaurant and Management training classes are held upon request of the trainee and held as scheduled with the specific Restaurant Training Program location. Training classes are held in IHOP Restaurants at various locations around the U.S.

You will bear the costs and living expenses for you and your employees to attend training for both the six week program and all workshops. While additional training and refresher courses are offered by IHOP from time to time, you are not required to attend unless attendance is deemed essential by IHOP.

From time to time, we may agree to provide alternative training arrangements for certain qualifying franchisees, including for Dual Branded Restaurants. In the coming fiscal year, IHOP may introduce a dedicated initial opening training program for Dual Branded Restaurants the combines elements from both the IHOP and Applebee's initial opening training and removes certain overlapping training sections. Training costs and hours may vary as additional refinements are made.

4. Technology – POS Setup, Training and Support. If we determine in our sole discretion that you will need POS setup, training, and support for a new Restaurant opening, we will provide you with onsite implementation support for each of your first three Restaurant openings for the cost of \$9,000 plus airfare for one of our support staff. Beginning with your fourth Restaurant, you may choose remote POS setup, training and support for the cost of \$3,500 per Restaurant. This describes our current POS system and provider; however, we may, from time to time, evaluate and approve other systems and/or vendors as an additional POS provider. We reserve the right to increase these fees. If you are required to, or choose to, receive technology services from us, you will be required to enter into an agreement with us governing such services.

5. Equipment and Supplies. You will acquire the necessary equipment, furniture, signs, fixtures, opening inventory and supplies that meet IHOP's written specifications as set forth in the Operations Manuals from third party suppliers. You may purchase these items from IHOP, or its Affiliates, if available.

Typical Length of Time Before Opening. IHOP estimates that the typical length of time between the signing of the NT FA and the opening of the Restaurant is between one to 18 months. Factors which may affect these time periods include the obtaining of the necessary financing and completion of necessary construction and/or remodeling, as applicable.

IHOP's Obligations During the Operation of the Franchise. IHOP (or Dine Brands on our behalf) will provide the following assistance and other services during the operation of your Restaurant:

1. Administratively segregate on its books and records an Advertising Fund (described below).
2. Furnish you with one set of Operations Manuals for the Franchised Location. (Section 4.5(a)). Attached as Exhibit F is a copy of the table of contents of the Operations Manual for the Full-Service Program in effect as of the date of this Disclosure Document that indicates the number of pages devoted to each subject.

Except for the services described above, we are not obligated to provide you with any other services. In addition, if we say that "we may provide" you a service or use similar words, it means that we are not obligated to provide that service to you.

National Advertising Fund. The Advertising Fund contains all Table Allowances (as defined in Section 4.5(g)(iii) of the IHOP NT MUFA), together with all National Advertising Fees paid by all franchisees and licensees that operate Restaurants in the U.S. operating under the marks which include IHOP or International House of Pancakes. As of the date of this Disclosure Document, the National Advertising Fee for Non-Traditional Venue programs is up to 3.5% of gross sales. Not all franchisees contribute to the National Advertising Fund at the same rate (*see* Item 6). We reserve the right to vary the rate of contribution of certain franchisees or waive the requirement of certain categories or types of Restaurants to contribute. IHOP administratively segregates the Advertising Fund on its books and records and furnishes you with annual summary information with respect to the receipts and expenditures of monies by and from the National Advertising Fund. IHOP may disburse funds from the Advertising Fund for one or more of the following purposes: (a) advertising, public relations and promotional campaigns and materials designed to promote and enhance the value of all "IHOP" Restaurants; and (b) reimbursing IHOP for its actual expenses incurred in providing administrative services with respect to the National Advertising Fund, as well as actual, general and administrative expenses of IHOP's internal Marketing Department (some or all of these costs and expenses may be incurred by an IHOP Affiliate which may perform the services), consultants and third party agencies; and (c) providing contributions to Regional Advertising Cooperatives for IHOP Full-Service Restaurants located in Traditional Venues in an amount as we may determine in our discretion, for local advertising, and those franchisees may pay a higher national advertising fee. No funds from the Advertising Fund are used for advertising that is principally a solicitation for the sale of franchises. You will be permitted to participate in national advertising promotions, as determined by your Restaurant's Level (*see* Item 6).

If Advertising Fund expenditures in any 1 calendar year exceed the total amount contributed to said fund during that year, IHOP (or Dine Brands, or IHOP Restaurants LLC, as applicable) shall have the right to be reimbursed from funds contributed to that fund in a succeeding year. If there is any excess remaining in the fund at the end of any calendar year, the excess shall be retained in the fund for future uses as described above.

Advertising may be disseminated in various media, including television, radio, print, POS, www.ihop.com, mobile app, outdoor banners, and billboards, online, digital, social media and other emerging media on a national, regional or local level, though most advertising is national. Advertising is generated primarily by a national advertising agency under the direction of IHOP's Marketing Department. Occasionally, IHOP Affiliates may receive payments from the National Advertising Fund as reimbursement of costs incurred to provide or purchase services or premiums for use by a substantial number of Regional Advertising Cooperatives for Restaurants located at Traditional Venues. During Fiscal 2025, IHOP LLC on its behalf and as agent for its affiliates, spent the following percentages of total Advertising and Marketing Fund revenues on:

Production of commercials and other advertisements	2.7%
Media placement	80.5%
Administrative expenses	4.5%
Public Relations	1.3%
Market Research	1.2%
Advertising Agency Fees	6.8%
Restaurant Advertising	3.0%

Local Advertising Expenditure Requirements. In addition to the National Advertising Fund, you may be required to spend up to 1% of your weekly gross sales for local advertising which must be approved by IHOP, unless waived by IHOP in its sole subjective discretion. You must provide documentation of your expenditures with such supporting evidence as IHOP may require on an annual basis to confirm that your expenditures were approved and paid for and that the advertising was conducted. If your Restaurant is assigned to Level 1 (*see* Item 6) then you are permitted to join a local marketing cooperative. If you become a member of a local marketing cooperative you must also pay the fees then required for participation in the national advertising program. An IHOP Marketing Department representative will be available to assist you in the development of local marketing to promote your Restaurant. Unless IHOP determines, in its sole judgment, that you will not be required to advertise locally, you are required to advertise locally. You shall pay for all advertising conducted by you locally whether on television, radio, in print advertising, on banners, in any electronic or computer medium, or otherwise, and all such advertisements must be approved by our Marketing Department. Franchisees that operate Restaurants at Traditional Venues may participate in local marketing cooperatives.

Advertising Council. There is no advertising council composed of franchisees that advises IHOP on advertising policies. A Franchise Leadership Council of current IHOP franchisees from each IHOP-defined geographic region was created and is sponsored by IHOP and/or its affiliates. The Franchise Leadership Council has a marketing subcommittee to discuss pertinent issues regarding advertising and marketing. *See* Item 20 for information regarding IHOP's franchisee Franchise Leadership Council.

Regional Advertising Cooperatives. IHOP or the IHOP Affiliates may develop Regional Advertising Cooperatives designed to promote and enhance the value of all IHOP Restaurants in each region. IHOP (or an IHOP Affiliate) is responsible for administration of the Regional Advertising Cooperatives. Regional Advertising Cooperatives operate pursuant to written Advertising Cooperative Operating Procedures established by IHOP, which are subject to revision from time to time and are available for review by you. The geographical area for each Regional Advertising Cooperative shall be designated by IHOP in our sole subjective judgment, presently based on Nielson's defined "Designated Marketing Areas (DMA)." You have the option to participate in a Regional Advertising Cooperative that IHOP designates in your Restaurant's DMA if your Restaurant is assigned to Level 1 (*see* Item 6). The amount you contribute to your Regional Advertising Cooperative varies depending on your decision to participate. Not all franchisees contribute to the Regional Advertising Cooperative at the same rate. Provided the Regional Advertising Cooperative adheres to IHOP's established Advertising Cooperative Operating Procedures, Restaurants owned by IHOP or one of the IHOP Affiliates within an advertising cooperative region will contribute to, participate in and vote on the same basis as franchised Restaurants in the Region, except that they will not vote on the formation of the advertising cooperative or on the amount to be contributed by members. Your NT FA provides IHOP with the power to require Regional Advertising Cooperatives to be formed, changed, dissolved or merged. IHOP may in its discretion contribute a portion of the National Advertising Fees paid by franchisees to the Regional Advertising Cooperatives. IHOP may decide to contribute to the Regional Advertising Cooperatives at any time in its sole subjective discretion. If there are any cooperative contributions remaining in the cooperative at the end of any calendar year which IHOP is not required to reimburse or credit on account of advertising expenditures incurred by Franchisee, they shall become part of the National Advertising Fund. The local Regional Advertising Cooperatives' funds are not audited, and there are no financial statements available for review.

POS Systems. Subject to some exceptions, you must purchase or lease an IHOP-approved POS computer system, consisting of a preapproved computer system that meets IHOP's specifications unless a different system is agreed to in writing by IHOP in its sole discretion. The cost of purchasing the POS computer system is between \$20,000 to \$60,000 for hardware and an annual software license fee of \$2,900 to \$4,000, as further described below. All IHOP Restaurants must have a preapproved POS computer system that meets IHOP's specifications, unless a different system is agreed to by IHOP in its sole discretion. This section describes our current POS system and provider; however, we may, from time to time, evaluate and approve other systems and/or vendors as a POS provider. We reserve the right to increase these fees. The following POS computer system is currently approved by IHOP:

The Tray POS system, which consists of hardware and software for a touch screen Android based POS system, through which all server orders are inputted into the server terminals and guest checks are tendered at either the server or cashier terminal, with orders printed in the kitchen via kitchen printers and/or kitchen display monitors. These handheld terminals (also referred to as Tablets) are required for all new restaurant openings.

All new IHOP Restaurants will utilize the current approved version of Tray POS or other preapproved POS system running on approved and up to date hardware, which may include terminals and tablets. In order to maintain compliance with PCI requirements, minimize system downtime, and improve ongoing support, IHOP is further advising franchisees to expect the following on an ongoing basis: (i) monthly updates on supported hardware and software for the POS systems, including those components that will be removed from support; (ii) minor upgrades to the Tray POS every 18 months or as required to meet security requirements; (iii) server and front of the house terminal upgrades every four to five years; and (iv) Android Operating System upgrades as required to meet security requirements, end of life, and/or minimum systems requirements. Franchisees are responsible for the installation of the security, hardware, and software upgrades to their operating system as recommended by Tray POS Systems, including all costs, in the timeframe specified by Tray, as required by third parties for PCI compliance.

The Tray POS system also generates various reports, including financial, menu mix, hourly sales, open and closed guest check reports and labor reporting information. IHOP began using the Tray POS System in September, 2021. The Tray POS System is supplied by Vendsy, Inc., Scottsdale, Arizona, 844-873-8729. Tray fees are based on a software as a service model and pricing ranges from \$2,900 to \$4,000 annually based on the number of devices and functionality used in the restaurant. Tray pricing is subject to change. You may obtain help desk support from the Dine Brands Restaurant Technology Support Center, 10 West Walnut Street, 5th Floor, Pasadena, California 91103, (866) 546-9920 at an approximate cost of \$1,900 to \$2,500 per year, subject to change.

All IHOP Restaurants must be compliant with the Payment Card Industry Data Security Standard (“PCI”). You are accountable for ensuring and maintaining PCI compliance at your Restaurant at your sole cost and expense. IHOP reserves the right to set minimally acceptable hardware, software, network, router, firewall and virus protection standards for use in all your IHOP Restaurants, at your cost and expense.

IHOP will have the right to access all the information (including sales and financial data) and the systems that generate them for marketing, audit and sales verification purposes and to retrieve transaction information including sales mix, usage and other operations data both in-person and electronically through the internet via a broadband connection, to be obtained and maintained at your cost and expense, or if not available in your area, a separate dedicated telephone line and modem or such alternative electronic means of gathering this information, at your cost and expense, as IHOP may specify from time to time. There are no contractual or other limitations on IHOP’s right to access your computer system.

The MICROS POS system is not proprietary property of IHOP. Except as described above, as of the date of this Disclosure Document, there are no other systems approved for your use. You may be required in the future to upgrade or change your system at IHOP’s request.

All IHOP franchisees are required to use Mobile Device Management (“MDM”) on all hardware in the restaurant. This service is currently provided by Esper, a third-party vendor but IHOP reserves the right to evaluate other providers and make changes as required. The fees for this service may be charged directly to you, the franchisee, or IHOP may choose to cover these fees. Fees are per terminal and range from \$24 per device annually to \$960 per device annually.

On-Line Ordering. You must sign an Authorized Operator Agreement for access and use of an approved provider’s on-line ordering system in form and substance approved by us. The current approved provider is Olo, Inc., but we may use other providers in the future. Currently, the fee with Olo, Inc. can range from \$65 to \$200 a month (per Restaurant) for the use, access and maintenance of the on-line ordering system. This monthly fee covers the application and menu setup, menu maintenance, service, support and production account maintenance.

EMV/P2P. You must purchase equipment and procure services from an approved vendor approved for credit card processing services. Specifically, you are required to use the approved payment devices (currently Ingenico Lane3000, Move5000, and Moby tablet devices) purchased through an approved vendor and you are required to use the approved vendor’s EMV processing as part of the credit card gateway solution or any future solution we may implement. Currently, the initial investment ranges between \$1,300 and \$4,500 for equipment and a monthly fee of \$53 to be paid to the vendor.

KDS. You must have a KDS to monitor and organize orders received at your Restaurant. Currently, the initial investment for hardware and installation ranges between \$15,000 and \$30,000.

Curb Side Pick Up (CSPU). CSPU enables restaurants to provide guests the ability to order “to go” food and, through a service provided by “Fly Buy”, monitor when the guest arrives in the parking lot at which time a restaurant team member completes the transaction by bringing the food to the guest in his or her car.

CSPU with “FlyBuy” is currently optional but IHOP may determine that it is required for a specific location. This determination is determined by IHOP in its sole discretion.

Waitlist. Waitlist enables restaurants to seat more guests, more efficiently through a service provided by NoWait or Waitwhile. Waitlist is currently optional but may be required by IHOP in the future.

IHOP Loyalty. International Bank of Pancakes is the rewards program that a customer can join through downloading the IHOP app or through ihop.com. The administrative costs of the loyalty program are primarily funded by the National Advertising Fund, and there are no additional technology or operating fees required to support the program. Except for certain non-traditional venues, all domestic restaurants must participate in the program. Not all non-traditional venues will be able to participate in the loyalty program. Customers earn “Pancoins” based on their spend on qualifying purchases in restaurant or through IHOP digital channels (app or ihop.com). The “Stack Market” is the virtual marketplace where customers will redeem their Pancoins for coupons for menu items or other items available in the market at that time. Pancoins can be accumulated and redeemed for menu or other items in the Stack Market and only expire 365 days after they have been earned. Franchisees are responsible for honoring the coupons earned by customers participating in the loyalty program. Additional details and requirements of the program are found in the International Bank of Pancakes Terms and Conditions.

None of the systems (other than the IHOP app referenced in the IHOP Loyalty section) are the proprietary property of IHOP. Except as described above, as of the date of this Disclosure Document, there are no other systems approved for your use. You may be required in the future to upgrade or change your system at IHOP’s request.

ITEM 12

TERRITORY

You will not receive an exclusive territory for your Franchised Restaurant. You may face competition from other franchisees, from outlets that we own, or from other channels of distribution or competitive brands that we control.

Non-Traditional Venue Program. You are granted the non-exclusive right to develop and operate one or more “IHOP” or “IHOP Express” Restaurants at a designated type or category of Non-Traditional Venue in (or at) a specified franchised area which may be one or more specified Non-Traditional Venue sites in one or more cities, counties, states, or some other defined area. After we sign the IHOP NT MUFA, depending on the terms negotiated, you will have the right to propose to develop a Full-Service Restaurant or an IHOP Limited-Service Restaurant and enter into a NT FA, if the site is approved by us. Under the IHOP NT MUFA, we may require you to develop up to a specified number of Full-Service and/or IHOP Limited-Service Restaurants by an anticipated opening date. During the term of the IHOP NT MUFA, IHOP may own, operate, franchise any other Non-Traditional Venue “IHOP” or “IHOP Express” Restaurants in the franchised area. We reserve all other rights. Until the termination or expiration of the IHOP NT MUFA, you shall retain your non-exclusive right to develop Restaurants at designated Non-Traditional Venues in the franchised area if you comply with your development and other obligations under the IHOP NT MUFA. If you fail to meet any of your obligations under the IHOP NT MUFA, including the development obligations, or breach any NT FA executed by you pursuant to the IHOP NT MUFA or any other agreement(s) with IHOP, IHOP may terminate your right to develop, open and operate new “IHOP” and “IHOP Express” Restaurants in the franchised area, but the termination of the right to develop in the franchised area will not terminate any rights relating to any franchised location granted under any NT FA then in effect between you and IHOP unless you are in default with the greater of three of your Franchised Restaurants or 25% or more of your Franchised Restaurants. (Section 7.2(d)).

The continuation of your non-exclusive right to develop in the franchised area is dependent upon your compliance with your development and other obligations under the IHOP NT MUFA, and all other agreements with IHOP, as described above.

Franchised Location. You are granted the right to operate one Restaurant at a specific franchised location (“Franchised Location”) which is agreed upon at the time of the execution of the NT FA. You will not receive an exclusive territory. Your rights are non-exclusive and limited to the specific Restaurant location. IHOP reserves all rights, including the right to own, operate, franchise Restaurants or other business concepts operating under names other than “International House of Pancakes,” “IHOP” or “IHOP Express,” and other names, and to produce, franchise, license, distribute and market products at or through any outlet, regardless of the proximity to your Restaurant. You are free to advertise to customers, wherever located. You have no option, right of first refusal or similar right to acquire additional franchises. You will not have a right to relocate the Restaurant to any other location.

As discussed in Item 1 of this Disclosure Document, IHOP or its Affiliate has in the past and may in the future establish other franchise or company-owned outlets selling similar products or services under a different trade name or trademark.

IHOP or one or more IHOP Affiliates have in the past and may in the future, acquire other chains, or establish other franchises or company-owned outlets, which sell similar products or services under a different trade name or trademark. As discussed in Item 1 of this Disclosure Document, IHOP Affiliates, Applebee’s International (or its affiliate), currently operates and franchises Restaurants under the trade name “Applebee’s Neighborhood Grill & Bar.” Additionally, IHOP’s affiliate, Fuzzy’s Taco Opportunities, LLC (or its affiliate) currently operates and franchises restaurants under the trade name “Fuzzy’s Taco Shop.” There is no restriction on these affiliates or their franchisees from developing restaurants of their systems (currently “Applebee’s Neighborhood Grill & Bar” brand Restaurants and “Fuzzy’s Taco Shop” brand restaurants) or soliciting customers near any IHOP Restaurant, nor is IHOP or its franchisees restricted from operating IHOP Restaurants or soliciting customers near any Applebee’s brand Restaurant or Fuzzy’s Taco Shop brand restaurant. We do not expect that there will be material conflicts between these systems regarding territory, customers or franchisor support. The principal business address for the Applebee’s operations is 10 West Walnut Street, 5th Floor, Pasadena, California, 91103, and the principal business address for the Fuzzy’s Taco Shop chain’s operations is 10 West Walnut Street, 5th Floor, Pasadena, California 91103.

ITEM 13

TRADEMARKS

We will license you to use various trademarks, service marks, trade names, logotypes and other commercial symbols (“Trademarks”) including the following marks which are registered or applied for on the Principal Register of the United States Patent and Trademark Office.

DESCRIPTION OF TRADEMARK	PICTURE OF TRADEMARK	REGISTRATION NUMBER	PRINCIPAL REGISTER	REGISTRATION DATE
IHOP (Block Letters) (Restaurant Services)		3,429,406	Principal	5/20/08

DESCRIPTION OF TRADEMARK	PICTURE OF TRADEMARK	REGISTRATION NUMBER	PRINCIPAL REGISTER	REGISTRATION DATE
IHOP (Balloon Style) (Restaurant Services)		3,429,405	Principal	5/20/08
IHOP Restaurant (Restaurant Sign/Color) (Restaurant Services)		3,433,996	Principal	5/27/08
IHOP Restaurant (Restaurant Sign/Black & White) (Restaurant Services)		3,429,408	Principal	5/20/08
International House of Pancakes (words) (Restaurant Services)	INTERNATIONAL HOUSE OF PANCAKES	3,514,724	Principal	10/14/08
IHOP Express (Word Mark)(Restaurant and food take-out Restaurant services)	IHOP EXPRESS	3,771,927	Principal	4/6/10
IHOP and design (smile logo)		4,642,598	Principal	11/18/14
IHOP Express Logo (smile logo)		5,027,820	Principal	8/23/16

There is no presently effective determination of the United States Patent and Trademark Office, the Trademark Trial and Appeal Board, the trademark administrator of any state or any court relating to the Trademarks that would materially affect your right to use the Trademarks. There are no pending infringement, opposition, or cancellation proceedings, or any pending material litigation involving the Trademarks.

IHOP Restaurants LLC is the owner of the above Trademarks in the United States. We have, among others, signed a License Agreement dated September 30, 2014, under which IHOP Restaurants LLC has licensed us to use and sublicense the above Trademarks for 99 years unless terminated for breach. Except for the License Agreement with IHOP Restaurants LLC, we know of no agreements currently in effect which significantly limit our rights to use or license the use of the Trademarks in any manner material to the franchise. We know of no superior prior rights or infringing use that could materially affect your use of the Trademarks.

If any third party makes any claim, by suit or otherwise, against you, because of your use, in accordance with the terms of the Franchise Agreement, of any of our trademarks or service marks, you must promptly notify IHOP, in writing, and that upon receiving that notice, IHOP will retain counsel of its own choosing to defend you against the claim, suit or demand and IHOP will protect, indemnify, and save you from any loss, costs or expenses concerning the claim, suit or demand. IHOP considers the Trademarks to be a valuable asset and, upon notification of any infringing use of the Trademarks, IHOP will, though not obligated by the IHOP NT MUFA to do so, take such action which it deems appropriate in its discretion to protect its rights, and your corresponding rights, concerning the use of the Trademarks. Periodically, in the Operations Manuals or supplemental bulletins, we may add to, delete, or modify any or all the Trademarks. You must modify or discontinue the use of a mark or logo, at your expense, if we modify or discontinue it. We will not compensate you for any modification or discontinuation of any mark or logo, and you will be required to use any new mark or logo that we may adopt for the system.

There are no infringing uses known to IHOP that could materially affect your use of the Trademarks in this State or any other state in which the franchise business is to be located.

ITEM 14

PATENTS, COPYRIGHTS AND PROPRIETARY INFORMATION

There are no patents or copyrights material to the franchise. However, you must operate your Restaurant in accordance with the policies and procedures in the Operations Manuals. You must treat the information contained in the Operations Manuals and any other manuals or supplemental material supplied by us as confidential. The Operations Manuals are IHOP Restaurants LLC's sole property (and licensed to us and IHOP Affiliates) and you may not duplicate, copy, disclose or disseminate the contents of the Operations Manuals at any time, without our prior written consent. We have the right to modify or supplement the Operations Manuals upon notice or delivery to you. You must keep the Operations Manuals current at all times, and upon the termination or non-renewal of your franchise, return the Operations Manuals to us.

You may not communicate, divulge or use any confidential information concerning our (or IHOP Affiliates') methods or procedures during or after the term of the Franchise Agreement. This confidential information may only be disclosed to you and your employees in connection with the operation of your franchise, and must not be made known to any other person, firm or corporation. At our request, you must have your executives, employees or any other person with access to this information to enter into a confidentiality agreement to maintain the confidentiality of this information. Refer to Section 5.4(a) and (b) of the IHOP NT MUFA. We are not required to protect you from any infringements.

You must notify us as soon as possible of any copyright infringement claim. We are not required to take affirmative action when you notify us of an infringement claim. We and our affiliates have the sole right to conduct the defense of and settle the claim and to retain control of any negotiations related to any claim. You must cooperate in all actions we or our affiliates take regarding a claim and must assist us and our affiliates, at our and their expense, in the defense of a claim.

There is no presently effective determination of the United States Copyright Office (Library of Congress) or any court affecting these copyrights. There is no currently effective agreement that limits our right to use and/or license our copyrights. We are not obligated by the Franchise Agreement, Single Store

Development Agreement, Multi-Store Development Agreement or otherwise, to protect any rights you have to use the copyrights. We have no actual knowledge of any infringements that could materially affect the ownership, use or licensing of the copyrights.

ITEM 15

OBLIGATION TO PARTICIPATE IN THE ACTUAL OPERATION OF THE FRANCHISE BUSINESS

If you are a certified manager, you must actively participate in the day-to-day operation of the Franchised Restaurant and employ an additional IHOP certified leader to do so. You must attend and satisfactorily complete IHOP's Training Program, unless IHOP agrees to waive this requirement. If IHOP waives this requirement, then 2 IHOP certified managers or an IHOP certified manager and one IHOP certified leader are required to operate the Restaurant's day to day operations. IHOP may at its discretion waive the training requirement if: (i) you are deemed to have the necessary experience operating IHOP Restaurants; (ii) you agree to hire a manager who has satisfactorily completed IHOP's Certified Leader Training Program or who is deemed by IHOP to have the necessary experience operating IHOP Restaurants; or (iii) you hire a manager who will satisfactorily complete IHOP's Certified Leader Training Program. There is no requirement that the leader must own an equity interest in the franchise. In addition, at our request, you must have your leader to enter a confidentiality agreement. Refer to Items 11 and 14 for details. Also, refer to Section 5.4(c) of the IHOP NT MUFA regarding non-competition.

If a franchisee is a corporation or other business entity, unless IHOP otherwise consents, one person approved by IHOP shall at all times own directly or indirectly 51% or more of all the outstanding stock (if a corporation), all membership interests (if a limited liability company), a partner's partnership rights (if a partnership), and 51% or more of all voting rights in the business entity. In addition, that person shall be president (if a corporation), general partner (if a partnership), leader (if a limited liability company) or the comparable position if it is any other form of business entity. IHOP will review any proposed deviations from these approved structures at your request, provided you agree to reimburse IHOP for all legal fees and costs it may incur in this review process. Refer to Section 6.2 of the IHOP NT MUFA for details.

If a franchisee is a corporation or other business entity, all its shareholders or owners and their spouses, as applicable, must sign a guarantee in the form(s) attached as Exhibit C and E, as applicable, unless waived by IHOP in its sole discretion. The guarantee provides that we may proceed against the shareholders or owners independently of the business entity which owns the franchise and contains various provisions to facilitate this purpose, including waivers of notice and defenses.

ITEM 16

RESTRICTIONS ON WHAT THE FRANCHISEE MAY SELL

You must serve only those items and products as are expressly designated and approved in writing by IHOP for sale and service from or at the Franchised Restaurant. You must offer all items and products that IHOP designates as required for all franchisees for sale and service from or at the Restaurant. IHOP shall have the right, at its sole discretion, to change from time to time, without limitation, any items or products designated and approved for use by you without further modification to the IHOP NT MUFA or any other agreement between us. You are not restricted as to the customers whom you may serve.

ITEM 17

RENEWAL, TERMINATION, TRANSFER AND DISPUTE RESOLUTION THE FRANCHISE RELATIONSHIP

These tables list certain important provisions of the NT FA, NT MUFA and related agreements. You should read these provisions in the agreements attached to this disclosure document.

IHOP NT FA

<u>Provision</u>	<u>Section in NT FA*</u>	<u>Summary</u>
a. Length of the license term	Section 3	Term is equal to the term of the lease or facility contract and is typically 5 to 10 years, but may be less depending on the customary lease term provided by the host venue.
b. Renewal or extension of the term	Sections 4.2, 4.3 of IHOP NT MUFA; Section 5 in Attachment A	If you are in compliance, you can add two Renewal terms of not more than 5 five years each. We may, at our sole discretion, agree to grant an extension for a longer term. The term of any renewal or extension is subject to the terms of the master lease or license. Once the two Renewal Terms are exhausted, you have no further contractual right to renew or extend the term of the Non-Traditional Restaurant Franchise Addendum.
c. Requirements for you to renew or extend	Sections 4.2, 4.3 of IHOP NT MUFA	Although this table uses the term “renewal,” it refers to extending our relationship at the end of your term and you must sign our then-current NT FA, you must have complied with your obligations during the term, you must pay a Renewal Fee, you must demonstrate your financial ability to refurbish and remodel your Restaurant and you must do so, and you must sign a new lease or amendment to lease (if applicable).
d. Termination by you	Section 7.1 of IHOP NT MUFA	If the Facility terminates the Facility Contract
e. Termination by IHOP without cause	Not applicable	
f. Termination by IHOP with cause	Section 7.2 of IHOP NT MUFA	IHOP can terminate only if you default.
g. “Cause” defined - defaults which can be cured	Section 7.2 of IHOP NT MUFA	You have 7 days to cure a default. Except for nonpayment of fees, if the default cannot be cured within 7 days, you must immediately begin to cure the default and you will be given an additional reasonable period to cure the default.

<u>Provision</u>	<u>Section in NT FA*</u>	<u>Summary</u>
h. “Cause” defined - defaults which cannot be cured	Section 7.2 of IHOP NT MUFA	Includes failure; unlawful Assignment; danger to public health or safety, noncompliance with law, failure to open Restaurant by date specified; failure to maintain a “B” ranking, understating gross sales.
i. Your obligations on termination/non-renewal	Sections 7.2(d) and 8 of IHOP NT MUFA	You must cease use of our marks, return all manuals, de-identify the Restaurant premises, assign to us or cancel all website home pages and domain names, assign all telephone numbers to us at our option and pay all amounts due to us.
j. Assignment of contract by IHOP	Section 6.1 of IHOP NT MUFA	No restriction on IHOP’s right to assign or delegate any of its obligations.
k. “Transfer” by you - definition	Section 6.2 of IHOP NT MUFA	Includes transfer of agreement or transfer of stock that results in more than 49% of stock held by new owner (subject to IHOP’s right of first refusal, except in the case of your death or legal incapacity).
l. IHOP’s approval of transfer by franchisee	Section 6.2 of IHOP NT MUFA	Transfers require IHOP’s written consent, which will not be unreasonably withheld.
m. Conditions for IHOP’s approval of transfer	Section 6.2 of IHOP NT MUFA	New franchisee: qualifies, completes training, must sign new franchise documents. You must pay a transfer and training fee and all amounts then due and owing, and the remaining balance, if any, of the Initial Franchise Fee, unless waived by us, in our discretion. Transfer of real estate must not adversely affect ability to operate a Restaurant at the location.
n. IHOP’s right of first refusal to acquire your business	Not applicable	
o. IHOP’s option to purchase your business	Not applicable	
p. Your death or disability	Not applicable	
q. Non-competition covenants during the term of the license	Section 5.4(c) of IHOP NT MUFA; Section 11 of NT FA	No involvement in competing business.
r. Non-competition covenants after the license is terminated or expires	Not applicable	
s. Modification of the agreement	Section 10.9 of IHOP NT MUFA	IHOP may amend or supplement Operations Manuals without your consent, and may modify the NT FA only with your written consent.

<u>Provision</u>	<u>Section in NT FA*</u>	<u>Summary</u>
t. Integration/merger clause	Section 10.8 of IHOP NT MUFA	All agreements between the parties are in the IHOP NT MUFA and the NT FA, or related written agreements. Only the terms of the IHOP NT MUFA, NT FA and other related written agreements are binding (subject to applicable law). Any representations or promises outside of the disclosure document, IHOP NT MUFA and NT FA may not be enforceable.
u. Dispute resolution by arbitration or mediation	Section 10.2 of the IHOP NT MUFA	Subject to state law, except for certain claims (injunctive relief and trademark claims), all disputes must be arbitrated in Los Angeles, California.
v. Choice of forum	Section 11 of IHOP NT MUFA	Subject to state law, except for claims for injunctive relief, all disputes must be arbitrated in Los Angeles, California.
w. Choice of law	Section 11 of IHOP NT MUFA	Subject to state law, California law applies

*Except as otherwise noted

IHOP NT MUFA

<u>Provision</u>	<u>Section in IHOP NT MUFA</u>	<u>Summary</u>
a. Term of the agreement	Section 2.1; Section 4 of Attachment A	Initial term is equal to the duration of the development rights, but is typically one to three years.
b. Renewal or extension of the term	Section 2.2	You will have no right to renew.
c. Requirements for you to renew or extend	Section 2.2	You have no right to renew.
d. Termination by you	Section 7.1	If the Facility terminates the Facility Contract.
e. Termination by IHOP without cause	Not applicable	
f. Termination by IHOP with cause	Section 7.2	IHOP can terminate only if you default.
g. "Cause" defined - defaults which can be cured	Section 7.2	You have seven days to cure any payment default. You have 30 days to cure any other default.

<u>Provision</u>	<u>Section in IHOP NT MUFA</u>	<u>Summary</u>
h. “Cause” defined - defaults which cannot be cured	Section 7.2	Includes your breach of any other agreement with IHOP, if you fail to cure the breach within the time allowed by that other agreement, your attempt to assign the IHOP NT MUFA without consent, your conviction for certain crimes, and your violation of the confidentiality restrictions, if your continued operation of the Franchised Restaurant will result in imminent danger to health or public safety, loss of goodwill for the IHOP brand, failure to pay IHOP, failure to maintain at least a “B” rating or its equivalent.
i. Your obligations on termination/non-renewal	Sections 7.2(d) and 8	You may not develop any additional IHOP Restaurants. Termination of the IHOP NT MUFA does not affect any of the NT FAs which you have signed prior to termination.
j. Assignment of contract by IHOP	Section 6.1	No restriction on IHOP’s right to assign.
k. “Transfer” by you - definition	Section 6.2	Includes transfer of agreement or granting of security interest in agreement.
l. IHOP’s approval of transfer by licensee	Section 6.2	Transfers require IHOP’s written consent, which it may grant or withhold in its sole and absolute discretion.
m. Conditions for IHOP’s approval of transfer	Section 6.2	If you assign the IHOP NT MUFA, you must simultaneously assign (to the same person) all NT FAs signed pursuant to the IHOP NT MUFA.
n. IHOP’s right of first refusal to acquire your business	Not applicable	
o. IHOP’s option to purchase your business	Not applicable	
p. Your death or disability	Not applicable	
q. Non-competition covenants during the term of the franchise	Section 5.4(c)	Neither you nor your owners and affiliates, nor their officers, directors, and managers may operate a family-style full-service or fast-casual Restaurant, pancake house, or coffee shop during the term.
r. Non-competition covenants after the franchise is terminated or expires	Not applicable	
s. Modification of the agreement	Section 10.9	Requires written instrument signed by all parties.

<u>Provision</u>	<u>Section in IHOP NT MUFA</u>	<u>Summary</u>
t. Integration/merger clause	Section 10.8	IHOP NT MUFA sets forth entire agreement between the parties concerning its subject matter. Only the terms of the IHOP NT MUFA and other related written agreements are binding (subject to applicable law). Any representations or promises outside of the disclosure document and IHOP NT MUFA may not be enforceable.
u. Dispute resolution by arbitration or mediation	Sections 10.2, 10.3, 10.4, 10.5	Subject to state law, generally, all claims under IHOP NT MUFA must be arbitrated in Los Angeles, California.
v. Choice of forum	Section 10.2(b)	Subject to state law, Los Angeles County, California, unless otherwise required by law.
w. Choice of law	Section 10.1	Subject to state law, California law governs, except as to limitations on competition (as to which law of the state where the breach occurs will govern).

ITEM 18

PUBLIC FIGURES

IHOP does not use any public figure to promote its franchises or licenses.

ITEM 19

FINANCIAL PERFORMANCE REPRESENTATIONS

The FTC's Franchise Rule permits a franchisor to provide information about the actual or potential financial performance of its franchise and/or franchisor-owned outlets, if there is a reasonable basis for the information, and if the information is included in the disclosure document. Financial performance information that differs from that included in Item 19 may be given only if: (1) a franchisor provides the actual records of an existing outlet you are considering buying; or (2) a franchisor supplements the information provided in this Item 19, for example, by providing information about possible performance at a particular location or under particular circumstances.

CHART 1: Historical Gross Sales of Non-Traditional Franchised Restaurants by Region

Chart 1 contains historic average, median, high and low gross sales for two 12-month periods of January 1, 2024 to December 29, 2024 and December 30, 2024 to December 28, 2025. We included all franchised non-traditional IHOP Restaurants that were active and operating as of December 28, 2025, including 4 restaurants opened in 2025; except we excluded all Traditional IHOP restaurants (which are offered under a separate franchise disclosure document), and all Dual Branded Restaurants (there were no Dual Branded Restaurants during the first 12-month period and there was 1 Dual Branded Restaurant during the second 12-month period). The restaurants are organized by geographic “Regions” as defined by the U.S. Census Bureau.

Region	# of Restaurants		Annualized Average Gross Sales		# and % of units that exceeded Average Gross Sales		Median		High		Low	
	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025
Northeast	4	6	\$1,207,333	\$1,314,151	1/25%	3/50%	\$1,138,957	\$1,241,413	\$1,434,875	\$1,785,082	\$1,116,542	\$1,000,894
West	1	4	\$1,808,125	\$1,247,192	1/100%	3/75%	\$1,808,125	\$1,315,414	\$1,808,125	\$1,630,970	\$1,808,125	\$726,968
South	20	24	\$1,680,909	\$1,397,137	7/35%	6/25%	\$1,213,613	\$1,156,750	\$5,946,313	\$6,046,095	\$262,043	\$530,262
Midwest	8	10	\$1,247,727	\$1,210,534	4/50%	6/60%	\$1,306,630	\$1,378,004	\$1,959,858	\$1,785,437	\$560,502	\$517,243

Notes

- (1) We compiled the gross sales data included in Chart 1 above from information submitted to us by our franchisees for royalty reporting. These amounts are not audited. Upon your reasonable request, we will provide written substantiation for these financial performance representations.
- (2) “Gross Sales” is defined as total revenues derived by Franchisee in and from each of the Franchised Restaurants and arising out of Franchisee’s activities pursuant to the Franchise Agreement, whether for cash sales of food and other merchandise or otherwise, or charge sales thereof, or revenues from any source arising out of the operation of the Franchised Restaurant(s) and Franchisee’s activities pursuant to the Franchise Agreement, deducting therefrom: (1) all refunds and allowances, if any; (2) any sales or excise taxes which are separately stated and which Franchisee collects from customers and pays to any federal, state or local taxing authority; and (3) any amounts paid via cash, credit card or other means with respect to vending machines or pay telephones which are located in or about the Franchised Restaurant(s), if such vending machines and/or pay telephones are leased and not owned by Franchisee, in which case Gross Sales will include only the commissions Franchisee receives from those leases. This definition is provided in the Franchise Agreement.

Some outlets have earned these amounts. Your individual results may differ. There is no assurance that you will earn as much.

Other than the preceding financial performance representations, we do not make any representations about a franchisee’s future financial performance on the past financial performance of company-owned or franchised outlets. We also do not authorize our employees or representatives to make any such representations either orally or in writing. If you are purchasing an existing outlet, however, we may provide you with the actual records of that outlet. If you receive any other financial performance information or projections of your future income, you should report it to the franchisor’s management by contacting Jacob Barden, Senior Vice President, Development, 10 West Walnut Street, 5th Floor, Pasadena, California 91103, (818) 637-5206, jacob.barden@dinebrands.com, the Federal Trade Commission and the appropriate state administrators.

ITEM 20

OUTLETS AND FRANCHISEE INFORMATION

Table No. 1A				
System-wide Outlet Summary For Fiscal Years 2023 to 2025 ⁽¹⁾ (Traditional Venue Locations)				
Outlet Type	Year	Outlets at the Start of the Year	Outlets at the End of the Year	Net Change
Franchised	2023	1,646	1,658	+12
	2024	1,658	1,655	-3
	2025	1,655	1,630	-25
Company-Owned	2023	0	0	0
	2024	0	0	0
	2025	0	12	+12
Total Outlets	2023	1,646	1,658	+12
	2024	1,658	1,655	-3
	2025	1,655	1,642 ⁽²⁾	-13
Notes				
(1) The figures in Table No. 1A include system-wide totals for Traditional Venue locations as of Fiscal Year 2023, 2024 and 2025. See Table No. 1B for total franchised Non-Traditional Venue locations.				
(2) 26 Dual Branded Restaurants have been included in this count during this Fiscal Year.				

Table No. 1B				
System-wide Outlet Summary For Fiscal Years 2023 to 2025 ⁽¹⁾ (Non-Traditional Venue Locations)				
Outlet Type	Year	Outlets at the Start of the Year	Outlets at the End of the Year	Net Change
Franchised	2023	37	45	+8
	2024	45	48	+3
	2025	48	51	+3
Company-Owned	2023	0	0	0
	2024	0	0	0
	2025	0	0	0
Total Outlets	2023	37	45	+8
	2024	45	48	+3
	2025 ⁽¹⁾	48	51 ⁽²⁾	+3
Notes				

- (1) The figures in Table No. 1B include system-wide totals for Non-Traditional Venue locations as of Fiscal Year 2023, 2024 and 2025. See Table No. 1A for total franchised Traditional Venue locations. There are no company-owned Non-Traditional Venue locations.
- (2) 1 Dual Branded Restaurant has been included in this count during this Fiscal Year.

Table No. 2		
Transfers of Outlets from Franchisees to New Owners (other than the Franchisor) For Fiscal Years 2023 to 2025		
State	Year	Number of Transfers
ALABAMA	2023	3
	2024	0
	2025	2
CALIFORNIA	2023	3
	2024	3
	2025	3
COLORADO	2023	0
	2024	9
	2025	0
DELAWARE	2023	1
	2024	0
	2025	0
GEORGIA	2023	5
	2024	1
	2025	1
ILLINOIS	2023	0
	2024	1
	2025	0
INDIANA	2023	0
	2024	0
	2025	0
KANSAS	2023	0
	2024	1
	2025	1
LOUISIANA	2023	0
	2024	0

	2025	5
MAINE	2023	0
	2024	0
	2025	0
MARYLAND	2023	1
	2024	1
	2025	2
MASSACHUSETTS	2023	1
	2024	0
	2025	0
MICHIGAN	2023	1
	2024	0
	2025	0
MISSOURI	2023	0
	2024	0
	2025	1
MISSISSIPPI	2023	3
	2024	0
	2025	0
NEBRASKA	2023	0
	2024	0
	2025	2
NEW JERSEY	2023	2
	2024	2
	2025	6
NEW MEXICO	2023	0
	2024	0
	2025	0
NEW YORK	2023	13
	2024	5
	2025	15
NORTH CAROLINA	2023	6
	2024	1
	2025	5

OHIO	2023	0
	2024	0
	2025	2
OKLAHOMA	2023	0
	2024	12
	2025	0
OREGON	2023	0
	2024	0
	2025	1
PENNSYLVANIA	2023	10
	2024	1
	2025	2
SOUTH CAROLINA	2023	0
	2024	2
	2025	0
TENNESSEE	2023	1
	2024	0
	2025	0
TEXAS	2023	0
	2024	6
	2025	8
VIRGINIA	2023	3
	2024	1
	2025	12
WASHINGTON	2023	0
	2024	0
	2025	1
TOTAL	2023	53
	2024	46
	2025	69

Table No. 3A

Status of Franchised Outlets for Fiscal Years 2023 to 2025⁽¹⁾ (Traditional Venue Locations)

State	Year	Outlets at Start of Year	Outlets Opened	Termination	Non-Renewal	Reacquired by Franchisor	Ceased Operations -Other Reasons	Outlets at End of the Year
ALABAMA	2023	15	0	0	0	0	0	15
	2024	15	0	0	0	0	0	15
	2025	15	2	0	0	0	0	17
ALASKA	2023	4	0	0	0	0	0	4
	2024	4	0	0	0	0	0	4
	2025	4	0	0	0	0	0	4
ARIZONA	2023	42	1	0	0	0	0	43
	2024	43	0	0	1	0	0	42
	2025	42	0	0	0	0	0	42
ARKANSAS	2023	16	0	0	0	0	0	16
	2024	16	0	0	0	0	0	16
	2025	16	0	0	0	0	0	16 ⁽²⁾
CALIFORNIA	2023	220	6	0	2	0	1	223
	2024	223	2	0	2	0	1	222
	2025	222	5	0	2	0	4	221 ⁽³⁾
COLORADO	2023	36	2	0	0	0	1	37
	2024	37	0	0	0	0	1	36
	2025	36	1	0	0	0	0	37
CONNECTICUT	2023	11	0	0	0	0	0	11
	2024	11	0	0	0	0	0	11
	2025	11	1	0	1	0	0	11
DELAWARE	2023	7	1	0	0	0	0	8
	2024	8	0	0	0	0	0	8
	2025	8	0	0	0	0	0	8
DISTRICT OF COLUMBIA	2023	2	0	0	0	0	0	2
	2024	2	0	0	0	0	0	2
	2025	2	0	0	0	0	0	2
FLORIDA ⁽⁴⁾	2023	145	3	0	0	0	2	146
	2024	146	1	0	0	0	4	143
	2025	143	1	0	0	0	2	142
GEORGIA ⁽⁵⁾	2023	81	0	0	0	0	2	79
	2024	79	3	0	0	0	0	82
	2025	82	1	0	0	0	2	81

GUAM	2023	2	0	0	0	0	1	1
	2024	1	0	0	0	0	0	1
	2025	1	0	0	0	0	0	1
HAWAII	2023	5	1	0	0	0	0	6
	2024	6	1	0	0	0	0	7
	2025	7	0	0	0	0	1	6
IDAHO	2023	7	0	0	0	0	0	7
	2024	7	0	0	0	0	0	7
	2025	7	0	0	0	0	0	7
ILLINOIS	2023	43	0	0	0	0	1	42
	2024	42	1	0	0	0	1	42
	2025	42	1	0	1	0	2	40
INDIANA	2023	26	0	0	0	0	0	26
	2024	26	0	0	0	0	0	26
	2025	26	0	0	0	0	0	26
IOWA	2023	10	0	0	0	0	0	10
	2024	10	1	0	0	0	0	11
	2025	11	0	0	0	0	1	10
KANSAS	2023	29	1	0	0	0	0	30
	2024	30	1	0	1	0	1	29
	2025	29	2	0	1	0	2	28
KENTUCKY	2023	12	0	0	0	0	0	12
	2024	12	0	0	0	0	0	12
	2025	12	0	0	0	1	1	10
LOUISIANA	2023	30	0	0	0	0	0	30
	2024	30	0	0	1	0	0	29
	2025	29	0	0	1	0	4	24
MAINE	2023	4	0	0	0	0	0	4
	2024	4	0	0	0	0	0	4
	2025	4	0	0	0	0	0	4
MARYLAND	2023	51	2	0	0	0	1	52
	2024	52	0	0	0	0	0	52
	2025	52	0	0	0	0	0	52
MASSACHUSETTS	2023	22	0	0	0	0	0	22
	2024	22	0	0	0	0	1	21
	2025	21	0	0	0	0	0	21

MICHIGAN	2023	25	0	0	0	0	0	25
	2024	25	0	0	0	0	0	25
	2025	25	0	0	0	0	1	24
MINNESOTA	2023	8	0	0	0	0	0	8
	2024	8	0	0	0	0	0	8
	2025	8	0	0	0	0	0	8
MISSISSIPPI	2023	13	0	0	0	0	0	13
	2024	13	0	0	0	0	0	13
	2025	13	0	0	0	0	2	11
MISSOURI	2023	30	0	0	0	0	0	30
	2024	30	1	0	0	0	1	30
	2025	30	0	0	0	0	1	29
MONTANA	2023	4	0	0	0	0	0	4
	2024	4	0	0	0	0	0	4
	2025	4	0	0	0	0	0	4
NEBRASKA	2023	7	0	0	0	0	0	7
	2024	7	0	0	0	0	0	7
	2025	7	0	0	0	0	0	7
NEVADA	2023	23	0	0	0	0	1	22
	2024	22	0	0	0	0	0	22
	2025	22	1	0	1	0	0	22
NEW HAMPSHIRE	2023	6	0	0	0	0	0	6
	2024	6	0	0	1	0	1	4
	2025	4	0	0	0	0	0	4
NEW JERSEY	2023	48	1	0	0	0	0	49
	2024	49	2	0	1	0	1	49
	2025	49	0	0	0	0	0	49
NEW MEXICO	2023	15	0	0	0	0	0	15
	2024	15	0	0	0	0	0	15
	2025	15	0	0	0	0	0	15
NEW YORK	2023	59	2	0	0	0	1	60
	2024	60	2	0	1	0	0	61
	2025	61	1	0	0	0	0	62
NORTH CAROLINA	2023	51	3	0	0	0	3	51
	2024	51	0	0	0	0	0	51
	2025	51	0	0	0	0	0	51

NORTH DAKOTA	2023	2	0	0	0	0	0	2
	2024	2	1	0	0	0	0	3
	2025	3	0	0	0	0	0	3
OHIO	2023	34	0	0	0	0	0	34
	2024	34	2	0	0	0	0	37 ⁽⁶⁾
	2025	37	0	0	0	9	5	23
OKLAHOMA	2023	31	1	0	0	0	0	32
	2024	32	0	0	0	0	1	31
	2025	31	0	0	0	0	0	31
OREGON	2023	13	0	0	0	0	0	13
	2024	13	2	0	0	0	1	14
	2025	14	3	0	0	0	0	17 ⁽⁷⁾
PENNSYLVANIA	2023	25	0	0	0	0	1	24
	2024	24	0	0	0	0	0	24
	2025	24	0	0	0	0	0	24
PUERTO RICO	2023	7	0	0	0	0	0	7
	2024	7	1	0	0	0	0	8
	2025	8	0	0	0	0	0	8
RHODE ISLAND	2023	5	0	0	0	0	0	5
	2024	5	0	0	0	0	0	5
	2025	5	0	0	0	0	0	5
SOUTH CAROLINA	2023	31	0	0	0	0	0	31
	2024	31	0	0	0	0	1	30
	2025	30	0	0	1	0	3	26
SOUTH DAKOTA	2023	2	0	0	0	0	0	2
	2024	2	0	0	0	0	0	2
	2025	2	0	0	0	0	0	2
TENNESSEE	2023	34	1	0	0	0	1	34
	2024	34	0	0	0	0	0	34
	2025	34	0	0	1	0	1	32
TEXAS	2023	208	5	0	1	0	2	210
	2024	210	1	0	3	0	1	207
	2025	207	4	0	0	0	2	209 ⁽⁸⁾
UTAH	2023	21	0	0	0	0	0	21
	2024	21	0	0	0	0	1	20
	2025	20	0	0	0	0	0	20
VERMONT	2023	1	0	0	0	0	0	1
	2024	1	0	0	1	0	0	0

	2025	0	0	0	0	0	0	0
VIRGINIA	2023	66	0	0	0	0	1	65
	2024	65	0	0	0	0	0	65
	2025	65	1	0	0	0	1	65
WASHINGTON	2023	33	1	0	0	0	0	34
	2024	34	3	0	0	0	0	37
	2025	37	1	0	0	0	1	37
WEST VIRGINIA	2023	8	0	0	0	0	0	8
	2024	8	0	0	0	0	0	8
	2025	8	0	0	0	0	0	8
WISCONSIN	2023	14	4	0	0	0	0	18
	2024	18	0	0	0	0	0	18
	2025	18	8	0	0	0	2	24 ⁽⁹⁾
WYOMING	2023	2	0	0	0	0	1	1
	2024	1	0	0	0	0	0	1
	2025	1	0	0	0	0	1	0
TOTALS	2023	1,646	35	0	3	0	20	1,658
	2024	1,658	25	0	12	0	17	1,655
	2025	1,655	33	0	9	10	39	1,630

Notes

- (1) The figures in Table No. 3A include status of franchised outlets for Traditional Venue locations as of Fiscal Year 2023, 2024 and 2025.
- (2) 1 Dual Branded Restaurant has been included in this count during this Fiscal Year.
- (3) 3 Dual Branded Restaurants have been included in this count during this Fiscal Year.
- (4) All Florida outlets are franchised by a subfranchisor.
- (5) Three Georgia outlets are franchised by a subfranchisor.
- (6) One Flip'd location in Ohio that was previously excluded from the outlet count was converted to a Traditional Venue restaurant in 2024 and has been included in the total outlet count for the end of 2024.
- (7) 3 Dual Branded Restaurants have been included in this count during this Fiscal Year.
- (8) 7 Dual Branded Restaurants have been included in this count during this Fiscal Year.
- (9) 10 Dual Branded Restaurants have been included in this count during this Fiscal Year.

Table No. 3B								
Status of Franchised Outlets for Fiscal Years 2023 to 2025 ⁽¹⁾ (Non-Traditional Venue)								
State		Outlets at Start of Year	Outlets Opened	Termination	Non- Renewal	Reacquired by Franchisor	Ceased Operations -Other Reasons	Outlets at End of the Year

ARKANSAS	2023	1	0	0	0	0	0	1
	2024	1	0	0	0	0	0	1
	2025	1	0	0	0	0	0	1
CALIFORNIA	2023	3	0	0	0	0	0	3
	2024	3	0	0	0	0	0	3
	2025	3	0	0	0	0	0	3
GEORGIA	2023	5	0	0	0	0	1	4
	2024	4	0	0	0	0	0	4
	2025	4	0	0	0	0	0	4
ILLINOIS	2023	1	0	0	0	0	0	1
	2024	1	0	0	0	0	0	1
	2025	1	0	0	0	0	0	1
INDIANA	2023	1	0	0	0	0	0	1
	2024	1	0	0	0	0	0	1
	2025	1	0	0	0	0	1	0
IOWA	2023	1	0	0	0	0	0	1
	2024	1	0	0	0	0	0	1
	2025	1	0	0	0	0	0	1
KANSAS	2023	1	0	0	0	0	0	1
	2024	1	0	0	0	0	0	1
	2025	1	1	0	0	0	0	2
MAINE	2023	0	0	0	0	0	0	0
	2024	0	1	0	0	0	0	1
	2025	1	1	0	0	0	0	2
MARYLAND	2023	1	1	0	0	0	0	2
	2024	2	0	0	0	0	0	2
	2025	2	0	0	0	0	0	2
MICHIGAN	2023	3	0	0	0	0	0	3
	2024	3	0	0	0	0	0	3
	2025	3	0	0	0	0	0	3
MISSOURI	2023	0	1	0	0	0	0	1
	2024	1	1	0	0	0	0	2
	2025	2	0	0	0	0	0	2
NEVADA	2023	1	1	0	0	0	0	2
	2024	2	0	0	0	0	1	1
	2025	1	0	0	0	0	0	1
NEW JERSEY	2023	1	0	0	0	0	0	1
	2024	1	0	0	0	0	1	0

	2025	0	0	0	0	0	0	0
NORTH CAROLINA	2023	1	0	0	0	0	0	1
	2024	1	0	0	0	0	0	1
	2025	1	0	0	0	0	0	1
OHIO	2023	2	0	0	0	0	0	2
	2024	2	0	0	0	0	0	2
	2025	2	1	0	0	0	0	3
OKLAHOMA	2023	3	1	0	0	0	0	4
	2024	4	0	0	0	0	0	4
	2025	4	0	0	0	0	0	4
PENNSYLVANIA	2023	3	0	0	0	0	0	3
	2024	3	1	0	0	0	0	4
	2025	4	0	0	0	0	0	4
TENNESSEE	2023	1	0	0	0	0	0	1
	2024	1	0	0	0	0	0	1
	2025	1	0	0	0	0	0	1
TEXAS	2023	6	4	0	0	0	0	10
	2024	10	2	0	0	0	1	11
	2025	11	1	0	0	0	0	12 ⁽²⁾
VIRGINIA	2023	2	0	0	0	0	0	2
	2024	2	0	0	0	0	0	2
	2025	2	0	0	0	0	0	2
WEST VIRGINIA	2023	0	1	0	0	0	0	1
	2024	1	1	0	0	0	0	2
	2025	2	0	0	0	0	0	2
TOTAL	2023	37	9	0	0	0	1	45
	2024	45	6	0	0	0	3	48
	2025	48	4	0	0	0	1	51

Notes

- (1) The figures in Table No. 3B include status of franchised outlets for Non-Traditional Venue locations as of Fiscal Year 2023, 2024 and 2025.
- (2) 1 Dual Branded Restaurant has been included in this count during this Fiscal Year.

Table No. 4							
Status of Company-Owned Outlets for Fiscal Years 2023 to 2025 (Traditional Venue)							
State	Year	Outlets at Start of Year	Outlets Opened	Outlets Reacquired From Franchisees	Outlets Closed	Outlets Sold to Franchisees	Outlets at End of the Year
KENTUCKY	2023	0	0	0	0	0	0
	2024	0	0	0	0	0	0
	2025	0	1	1	0	0	2
MISSOURI	2023	0	0	0	0	0	0
	2024	0	0	0	0	0	0
	2025	0	1	0	0	0	1
OHIO	2023	0	0	0	0	0	0
	2024	0	0	0	0	0	0
	2025	0	0	9	0	0	9
TOTALS	2023	0	0	0	0	0	0
	2024	0	0	0	0	0	0
	2025	0	2	10	0	0	12 ⁽¹⁾
Notes							
(1) 2 Dual Branded Restaurants have been included in this count during this Fiscal Year.							

Table No. 5A			
Projected New Franchised Outlets as of January 1, 2026 (Traditional Venue)			
State	Franchise Agreements Signed But Outlet Not Opened	Projected New Franchised Outlets in the 2026 Fiscal Year	Projected New Company - Owned Outlets in the 2026 Fiscal Year
CALIFORNIA	0	7 ⁽¹⁾	0
FLORIDA	0	2	0
HAWAII	0	1	0
ILLINOIS	0	1 ⁽²⁾	1
KENTUCKY	0	0	3 ⁽³⁾
MASSACHUSETTS	1	0	0
MICHIGAN	0	1 ⁽⁴⁾	0
MISSOURI	0	0	1 ⁽⁵⁾
NEVADA	0	1	0
NEW JERSEY	0	3	0

Table No. 5A			
Projected New Franchised Outlets as of January 1, 2026 (Traditional Venue)			
State	Franchise Agreements Signed But Outlet Not Opened	Projected New Franchised Outlets in the 2026 Fiscal Year	Projected New Company - Owned Outlets in the 2026 Fiscal Year
NEW MEXICO	0	1	0
NEW YORK	0	3 ⁽⁶⁾	0
TENNESSEE	0	0	1 ⁽⁷⁾
TEXAS	1 ⁽⁸⁾	7 ⁽⁹⁾	0
VIRGINIA	0	1	0
WASHINGTON	0	2	0
WISCONSIN	0	2 ⁽¹⁰⁾	0
Total	2	32	6
Notes (1) Includes 3 projected Dual Branded Restaurants. (2) Includes 1 projected Dual Branded Restaurant. (3) Includes 3 projected Dual Branded Restaurants. (4) Includes 1 projected Dual Branded Restaurant. (5) Includes 1 projected Dual Branded Restaurant. (6) Includes 1 projected Dual Branded Restaurant. (7) Includes 1 projected Dual Branded Restaurant. (8) Includes 1 projected Dual Branded Restaurant. (9) Includes 3 projected Dual Branded Restaurants. (10) Includes 2 projected Dual Branded Restaurants.			

Table No. 5B			
Projected New Franchised Outlets as of January 1, 2026 (Non-Traditional Venue)			
State	Franchise Agreements Signed But Outlet Not Opened	Projected New Franchised Outlets in the 2026 Fiscal Year	Projected New Company - Owned Outlets in the 2026 Fiscal Year
MAINE	1	0	0
TEXAS	4 ⁽¹⁾	1	0
WASHINGTON	1 ⁽²⁾	0	0
Total	6	1	0
Notes (1) Includes 2 projected Dual Branded Restaurants. (2) Includes 1 projected Dual Branded Restaurant.			

Current Franchised Locations

Attached as Exhibit A is a list of the names, addresses and telephone numbers of all IHOP Restaurant outlets in the U.S. as of the end of Fiscal Year 2025. There were 25 Dual Branded Restaurants operated by our franchisees in the U.S. as of December 28, 2025.

Former Franchisees

Attached as Exhibit A-2 is a list of the names and last known addresses and telephone numbers of each franchisee who has had an outlet terminated, canceled, not renewed, or otherwise voluntarily or involuntarily ceased to do business under the Franchise Agreement during the Fiscal Year 2025 or who has not communicated with us or our affiliate within 10 weeks of the date of this Disclosure Document. If you buy this franchise, your contact information may be disclosed to other buyers when you leave the franchise system.

Purchase of Previously-Owned Franchise Outlet

If you are purchasing a previously-owned franchised outlet, we will provide you additional information on the previously-owned franchise outlet in an addendum to this Disclosure Document.

Confidentiality Clauses

In some instances, current and former franchisees sign provisions restricting their ability to speak openly about their experience with IHOP. You may wish to speak with current and former franchisees, but be aware that not all such franchisees will be able to communicate with you. Several former franchisees signed agreements that include confidentiality clauses as part of a settlement of litigation (*see* Item 3). Several current franchisees signed agreements that include confidentiality clauses as part of a test for new products and/or equipment, or as a member of an IHOP sponsored committee that considers new products, services, and the procurement of products and services for IHOP or Franchising Restaurants.

Trademark Specific Franchisee Organizations

A Franchise Leadership Council that includes among its members a current IHOP franchisee from each IHOP-defined geographic region was created by and is sponsored by IHOP and/or its affiliates. It has no separate address, telephone number, email address or web address.

The following independent franchisee association has asked to be included in this Disclosure Document:

Name:	Blue Roof Franchisee Association c/o John Jordan, Executive Director
Address:	4919 Lamar Avenue Mission, KS 66202
Email Address:	brfa@dc-kansascity.com
Website:	www.brfa.net

ITEM 21

FINANCIAL STATEMENTS

Attached as Exhibit D are our audited financial statements as of and for the years ended December 28, 2025, December 29, 2024, and December 31, 2023.

Also included are the audited financial statements of our parent company, Dine Brands as of its fiscal years ending December 28, 2025, December 29, 2024, and December 31, 2023. These financials are included because Dine Brands performs certain post-sale obligations for the franchisor; Dine Brands does not guarantee our performance of obligations to our franchisees.

We and Dine Brands have a 52/53 week fiscal year ending on the Sunday nearest to December 31 of each year. For convenience, in this Disclosure Document, we may sometimes refer to fiscal years as ending on December 31 and fiscal quarters as ending on the nearest calendar quarter-end. There were 52 calendar weeks in our and Dine Brands' 2025, 2024, and 2023 fiscal year that ended December 28, 2025, December 29, 2024, and December 31, 2023, respectively.

ITEM 22

CONTRACTS

The following agreements are attached as Exhibits to this Disclosure Document:

Exhibit B:	IHOP Non-Traditional Multi-Unit Franchise Agreement
Exhibit C:	Guarantee of Obligations (IHOP Non-Traditional Multi-Unit Franchise Agreement)
Exhibit E:	Guarantee of Obligations (Non-Traditional Restaurant Franchise Addendum)
Exhibit I:	General Release (Non-Traditional)
Exhibit J:	Trademark License Agreement (Non-Traditional)
Exhibit L	Addendum to Lease

ITEM 23

RECEIPTS

Two copies of a Receipt for this Disclosure Document are attached as the last two pages of this Disclosure Document. Please sign, date and return one copy to us and retain the other copy for your files.

LIST OF IHOP FRANCHISEES

EXHIBIT A

IHOP - LIST OF FRANCHISEES AS OF FISCAL YEAR 2025

Restaurant Account	Address Line 1	City	State/Province/Region	Zip Code	Restaurant Phone Number
TA Operating LLC	3900 Petro Rd	West Memphis	AR	72301	(870) 702-5540
Shiralian Enterprises, Inc.	29541 Stockdale Hwy	Bakersfield	CA	93312-9644	(661) 764-6907
Hibba Pancakes, Inc.	12310 South Highway 33	Santa Nella	CA	95322	209-826-0741
TA Operating LLC	5821 Dennis McCarthy Drive	Lebec	CA	93243	661-663-4341
5666 LLC	981 Cassville-White Road	Cartersville	GA	30121	770-607-8885
5643 LLC	122 Truckstop Way	Jackson	GA	30233-6109	(770) 775-8188
Global Concessions, Inc.	7700 Spine Road, Concourse T	Atlanta	GA	30320-4201	(404) 762-0019
Madison Cakes, LLC	1881 Eatonton Rd	Madison	GA	30650	706 438 1049
MPH Holdings, LLC	211 Highway 18 East	Algona	IA	50511	5153951234
TA Operating LLC	1805 West Fayette Ave	Effingham	IL	62401	217-347-0480
Oakley Restaurant LLC	1001 Highway 40	Oakley	KS	67748-6061	(785) 672-3565
LVP Food Service Concept LLC	32501 West 200th Street	Edgerton	KS	66021	913-882-3501
BFS Foods, Inc.	434 E MAIN STREET	Hancock	MD	21750	240-343-8164
BFS Foods, Inc.	2815 Chestnut Ridge Rd.	Grantsville	MD	21536-2033	(301) 895-8135
Great American Real Food Fast, Inc.	267 North Street	Houlton	ME	04730	(207) 521-0290
Great American Real Food Fast, Inc.	18 Moosehead Trail	Newport	ME	04953	(207) 368-5386
5601A, LLC	21055 West Road	Woodhaven	MI	48183-3245	(734) 675-4982
TSFR APPLE VENTURE LLC	333 E. Jefferson Ave	Detroit	MI	48226-4352	(313) 879-5141
Chenega IH, LLC	7800 W. Grand River Hwy	Grand Ledge	MI	48837-8212	517-412-7374
TA Operating LLC	5922 MO-19	Cuba	MO	65453	573-885-3992
TA Operating LLC	100 N Broadway Street	Oak Grove	MO	64075	8166251105
5656 LLC	500 Buckhorn Road	Mebane	NC	27302	(919) 341-0331
Fremont 5688 Inc	2700 E Fremont Street	Las Vegas	NV	89104	(702) 577-2200
TA Operating LLC	8834 Lake Road	Seville	OH	44273	330-769-2053
TA Operating LLC	12906 Deshler Rd.	North Baltimore	OH	45872	419-257-3744
TA Operating LLC	12403 US RT35 NW	Jeffersonville	OH	43128	740-948-2365
2039 OKC, LLC	801 South Council Rd	Oklahoma City	OK	73128	4058767363
WWC Spirits, LLC	777 Casino Avenue	Thackerville	OK	73459-9774	(580) 276-1781
RWC - Spirits, LLC	1544 State Highway 9	Norman	OK	73072	(405) 322-6226
WWC Spirits, LLC	12252 Ruppe Rd.	Davis	OK	73030-9253	(580) 369-4042
Rocky Restaurants LLC	33 Stop Plaza Drive	Mifflintown	PA	17059	7174368941
Rocky Restaurants LLC	2550 State Route 534	White Haven	PA	18661-4016	(570) 443-7443
TA Operating LLC	4050 Depot Road	Erie	PA	16510	814-899-1919
Rocky Restaurants LLC	133 Twin Rocks Rd.	Lake Ariel	PA	18436-4859	(570) 689-9112
Crockett Enterprises, Inc.	195 Van Hill Road	Greeneville	TN	37745-7601	(423) 234-4467
5710, Inc.	160 US Highway 77	Hillsboro	TX	76645	(254) 283-6556
Elite Property Holdings LLC	20204 Interstate 35	Lytle	TX	78052	830-209-5548
Clyde Travel Center LLC	8075 South Access Road West	Clyde	TX	79510	3258931916

IHOP - LIST OF FRANCHISEES AS OF FISCAL YEAR 2025

RMLS HOP TEXAS, L.L.C.	704 West Interstate 20	Big Spring	TX	79720	432-242-4600
SSP America D&B DFW, LLC	2610 N International Parkway	Dallas	TX	75261-0124	(972) 973-6433
Radata Inc.	1010 Beltway Parkway	Laredo	TX	78045	(325) 465-0450
Kim's Food Service, LLC	2241 Highway 271 N	Pittsburg	TX	75686	903-855-8010
LVP Food Service Concept LLC	10100 US HWY 59 S	Shepherd	TX	77371	936-200-9816
AHDAF, LLC	3004 I-30	Greenville	TX	75402	430-562-8899
BONA TC 5696, Inc.	17500 Camino Real	Kyle	TX	78640	(737) 977-8460
BONA TC 5699, Inc.	6800 Thompson Road	Baytown	TX	77521	346-292-5540
KTTT PAN HOUSE, LLC	794 Lucky Eagle Dr	Eagle Pass	TX	78852-2430	(830) 752-4866
5634 LLC	2516 N. Lee Highway	Lexington	VA	24450-3335	(540) 463-3478 223
TA Operating LLC	1025 Peppers Ferry Road	Wytheville	VA	24382	276-228-8676
Par Mar Oil Co	1000 Hackers Creek Rd	Jane Lew	WV	26378	304-884-7095
Par Mar Oil Co	470 Frontage Road	Mineral Wells	WV	26150	304-489-8087

LIST OF IHOP FRANCHISEES WHO HAVE CEASED TO DO BUSINESS

EXHIBIT A-1

IHOP - LIST OF FRANCHISEES WHO HAVE CEASED TO DO BUSINESS AS OF FISCAL YEAR 2025

Restaurant Account	Address Line 1	City	State/Province/Region	Zip Code	Restaurant Phone Number
AMNSI LLC	1201 W. North Street	Kendallville	IN	46755-2841	260-302-1121

If you buy this franchise, your contact information may be disclosed to other buyers when you leave the system.

**IHOP NON-TRADITIONAL MULTI-UNIT FRANCHISE AGREEMENT
("IHOP NT MUFA")**

EXHIBIT B

IHOP #NT_

**IHOP NON-TRADITIONAL
MULTI-UNIT FRANCHISE AGREEMENT**

FRANCHISEE: _____
DATED: _____

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IHOP NON-TRADITIONAL MULTI-UNIT FRANCHISE AGREEMENT

THIS IHOP Non-Traditional Multi-Unit Franchise Agreement (“**Agreement**”) is made and entered into as of _____, 2023 (“**Effective Date**”), by and between IHOP FRANCHISOR LLC, a Delaware limited liability company (“**IHOP**”), and _____, a _____, having its principal offices at _____ (“**Franchisee**”) with reference to the following:

A. IHOP and its affiliates have developed and continue to develop certain products, methods, techniques, know-how and trade secrets (“**System**”) for operating IHOP brand restaurants (“**Restaurants**”) that offer products and services and operate under IHOP’s trade names, service marks, and trademarks (“**Marks**”) including “IHOP,” “International House of Pancakes,” and “IHOP Express” and which feature the sale of pancakes, coffee and various other breakfast, lunch and dinner food items.

B. The System, when conducted in accordance with this Agreement and IHOP’s Operations Bulletins (defined below) and all bulletins, notices and supplements thereto, and all ancillary manuals, specifications, instructions and materials, as the same may be amended from time to time (“**Standards**”), is designed to enable Restaurants to compete effectively in their respective marketplaces;

C. IHOP has developed and continues to develop a non-traditional franchise program (“**Non-Traditional Program**”) for the development of one or more high-quality Restaurants operating under the Marks in various operating formats at various non-traditional venues (“**Facilities**”).

D. IHOP has developed and grants certain franchisees the right to develop one or more Restaurants in Facilities.

E. Franchisee desires to develop, and IHOP desires to grant Franchisee the right to develop one or more IHOP Limited-Service Restaurant(s) (defined below) and/or IHOP Full-Service Restaurant(s) (as defined in **Attachment B**) in Facilities in the Franchise Area (defined below) pursuant to this Agreement.

1.

GRANT OF FRANCHISE RIGHTS

1.1 Grant of Franchise Rights

(a) IHOP grants to Franchisee, and Franchisee accepts the right (“**Franchise Rights**”), to develop one or more Restaurants located in the “**Franchised Area**” described in **Attachment A**. Franchisee will develop only the specific number, type of Restaurants, in the type of Facility(ies) and within the time-period described in **Attachment A**.

(b) Each Restaurant that Franchisee develops (“**Franchised Restaurant**”) will be opened and operated in accordance with this Agreement, but will be individually franchised pursuant to a separate Non-Traditional Restaurant Franchise Addendum (“**NT FA**”) to be entered into between IHOP and Franchisee, the form of which is attached as **Attachment B**, and which will identify the location and certain activities approved by IHOP for the **Franchised Restaurant**. This Agreement does not grant Franchisee any right or

license to use any of the Marks except as set forth in Section 1.1(c) below. Except as set forth in Section 1.1(c) below, Franchisee's right or license to use the Marks, if any, will be granted pursuant to each NT FA.

(c) IHOP may grant to Franchisee a non-exclusive, non-transferable, royalty-free license to use the Marks in connection with Franchisee's submittal of a proposal to develop a Franchised Restaurant in response to a Request for Proposal from a Facility, in IHOP's sole discretion, provided that Franchisee executes a trademark license agreement in a form prescribed by IHOP. In the event Franchisee retains the services of a third party to assist Franchisee with its submittal of a proposal, said third party shall execute a non-disclosure agreement in a form prescribed by IHOP acknowledging that such person or entity will maintain the confidentiality of the information they receive in connection with their providing said services to Franchisee.

1.2 No Exclusivity; IHOP's Reserved Rights.

(a) Except as provided in a NT FA, this Agreement provides Franchisee no exclusivity in the Franchised Area or within Facilities. If IHOP grants Franchisee an exclusive area surrounding a Franchised Restaurant and within a Facility ("**Franchised Area**"), the NT FA for the Franchised Restaurant will specify the Franchised Area.

(b) IHOP and its affiliates retain all rights not otherwise expressly granted to Franchisee under this Agreement and under any individual NT FA. IHOP and its affiliates reserve the exclusive and unrestricted right, at their option, now and in the future, directly and indirectly: (i) to own, operate and franchise and license restaurants and other business concepts operating under the names "International House of Pancakes," "IHOP Express," "IHOP," and "Flip'd by IHOP" at any location outside of Facilities and at any location within Facilities, provided that any location within a Facility may not be within any Franchised Area granted to Franchisee; (ii) to own, operate franchise and license restaurants and other business concepts operating under names other than "International House of Pancakes," "IHOP Express," "IHOP," or "Flip'd by IHOP" regardless of their proximity to or economic impact on Franchisee's Franchised Restaurant(s), and regardless of whether other restaurants or other business concepts offer products that are the same or similar to those that are or may be offered by Franchisee's Franchised Restaurant(s); and (iii) to offer, sell, produce, franchise, license, distribute and market any products (whether or not under the Marks), including pre-packaged food, snacks and beverage products, books, clothing, souvenirs and novelty items, at or through any outlet (regardless of its proximity to or economic impact on Franchisee's Franchised Restaurant(s)), including grocery stores, supermarkets and convenience stores, and through any distribution channel, at wholesale or retail, including via mail order catalogs, direct mail advertising, Internet marketing or other distribution methods, whether or not under the "International House of Pancakes," "IHOP Express" or "IHOP" names or the Marks. Nothing herein grants any exclusive rights as to the customers Franchisee may serve.

2.

NON-TRADITIONAL FRANCHISE RIGHTS TERM

2.1 Non-Traditional Franchise Term. The term of the Franchise Rights ("**Non-Traditional Franchise Term**") will commence on the Effective Date and will expire on the earlier of: (i) the specific anniversary of the Effective Date described on **Attachment A**; or (ii) the date on which the last restaurant to be developed during the Non-Traditional Franchise Term hereunder opens for business ("**Expiration Date**"), unless otherwise modified, terminated or extended as provided in this Agreement.

2.2 Effect of Termination or Expiration of Franchise Term. On and after the Expiration Date or earlier termination of the Non-Traditional Franchise Term, Franchisee will have no further right to develop any Franchised Restaurant(s) which are not, at the time of such termination or expiration, the subject of a NT FA then in effect between IHOP and Franchisee. The terms of NT FA then in effect will survive in their totality any expiration or earlier termination of the Franchise Rights, and the applicable terms and conditions of this Agreement will continue to govern the parties' relationship, and the rights and obligations of the parties, with respect to operation of each Franchised Restaurant operated under the still effective NT FA.

3. RESTAURANT DEVELOPMENT

3.1 Cooperation, Collaboration and Review of Actions; Facility Requirements.

(a) Recognizing that Franchisee's operation of the Franchised Restaurant(s) may be subject to operational standards placed on Franchisee by Facilities, for example, with respect to hours and days of operation, access to the Facilities by IHOP for purposes of conducting inspections, or use of Facility-approved contractors for construction, Franchisee shall provide IHOP with all such standards of Facilities when submitting a site for IHOP approval and any time the standards are changed by Facilities. IHOP agrees to take commercially reasonable steps to consult with Franchisee, and facilitate resolutions regarding compliance with this Agreement, including the Standards, prior to formally notifying it of any default pursuant to this Agreement related to the Standards or other actions that IHOP is permitted or required to pursue under this Agreement with respect to such a default. However, nothing in this Agreement will be construed to compel IHOP to waive, defer or otherwise modify termination or other adverse actions permitted or required by Section 7.2 of this Agreement.

(b) IHOP and Franchisee acknowledge and confirm that the terms and conditions of this Agreement may be subject to relevant restrictions, rules and regulations imposed by Facilities. Franchisee shall provide IHOP with any such restrictions, rules and regulations imposed by Facilities when submitting a site for IHOP approval, and any time same are changed by Facilities. IHOP and Franchisee agree that each of them will cooperate with the other to address the needs, requirements or restrictions of Facilities and to provide Franchisee the ability to remain in compliance with its contract or lease agreement with a Facility ("Facility Contract"), including with respect to: (i) the design of Franchised Restaurant prototypes and necessary modifications; (ii) equipment; and (iii) the use of alternate suppliers for non-proprietary products. IHOP will not unreasonably deny Franchisee's request for a variance from a term or condition of this Agreement or IHOP's Standards that is expressly based on a need to comply with a restriction, rule or regulation imposed by a Facility. However, in no event may the terms and conditions of the Facility Contract and other relevant restrictions, rules and regulations alter the fundamental rights and obligations of the parties under this Agreement or restrict either party's termination rights under this Agreement.

(c) Notwithstanding anything to the contrary herein, Franchisee hereby represents, warrants and agrees as follows with respect to each Facility Contract which Franchisee is required to execute: (i) Franchisee will have the exclusive right to provide food-service management services at each Franchised Location pursuant to each Facility Contract between Franchisee and the Facility; (ii) nothing in the Facility Contract will prevent Franchisee from full and complete compliance with all of the terms and conditions in this Agreement; and (iii) the Facility Contract will not materially infringe or supersede the rights of IHOP and the obligations of Franchisee hereunder.

3.2 Site Review. When Franchisee has located a proposed site for a Franchised Restaurant, Franchisee will submit such proposed site to IHOP in writing, along with such information as IHOP may require at least six months prior to the Anticipated Opening Date as set forth in **Attachment A** hereto, IHOP will notify Franchisee within 45 days of receipt of all required information of its acceptance or rejection of the site. If IHOP fails to notify Franchisee of its acceptance or rejection of the site within said 45 days, the proposed site will be deemed rejected by IHOP. Franchisee acknowledges and agrees that selection of a site for a Franchised Restaurant is Franchisee's sole responsibility and that if IHOP provides any assistance to Franchisee in evaluating or selecting the site, that assistance will not be construed as a guarantee or other assurance of any kind that the site will necessarily be a successful or profitable site.

3.3 Plans, Construction, Build-Out and Furnishing of Franchised Restaurants. Franchisee must acquire the location for each Franchised Restaurant at its sole cost and expense. IHOP will provide Franchisee with standard plans and specifications for the construction of a prototype IHOP Limited-Service and/or IHOP Full-Service Restaurant (as defined in **Attachment B**), as applicable, and for equipment and signs, but excluding site plans, for each IHOP Limited-Service and/or IHOP Full-Service Restaurant Franchisee develops pursuant to this Agreement, following the Effective Date and timeframe of the applicable NT FA. Franchisee will prepare site plans and make such reasonable modifications to IHOP's plans as may be required by the Facility or nature of the location within the Facility; provided that IHOP must consent and approve such modifications in writing, which approval will not be unreasonably withheld. Upon IHOP's request, Franchisee will have its architect, upon completion of construction, provide IHOP with a certification that the Franchised Restaurant was built in accordance with plans previously submitted to and approved by IHOP and that the plans, as submitted to IHOP, comply with all applicable laws and codes. Franchisee must make all such modifications to IHOP's site plans at Franchisee's sole cost and expense. It is Franchisee's sole responsibility to ensure that the Franchised Restaurant premises complies with all applicable laws and codes and Facility requirements. Franchisee will provide IHOP with comprehensive information regarding all phases of the development process and weekly progress reports during construction, in a form and containing information designated by IHOP. Franchisee will use its best efforts to promptly complete construction and build out, as applicable, and have all fixtures, furnishings, machinery and equipment installed, parking areas completed, inventory delivered, business and other permits obtained, personnel employed and all other necessary items related to the Franchised Restaurant complete so that the Franchised Restaurant will be open for business to the public as expeditiously as possible, but in any event no later than the date specified in the applicable NT FA ("**Anticipated Opening Date**").

3.4 Approval for Opening. Franchisee will notify IHOP of the anticipated construction completion and opening dates and, within a reasonable time after construction is completed, IHOP will have the right, but not the obligation, to conduct a final inspection of the Franchised Restaurant for compliance with Standards. Franchisee will not open the Franchised Restaurant without IHOP's written consent. IHOP will not unreasonably withhold its authorization to open the Franchised Restaurant.

3.5 Delayed Development Fee. If Franchisee cannot have all items completed as specified in Section 3.3 above and have the Franchised Restaurant open for business to the public by the Anticipated Opening Date, Franchisee may forestall any termination of this Agreement by IHOP caused by its failure to open a Franchised Restaurant by the Anticipated Opening Date, and extend the Anticipated Opening Date by providing IHOP with a written notice and request for additional time ("**Delay Notice**") (paying a fee in the sum of \$350.00 per day for an IHOP Full-Service Restaurant and \$180.00 per day for an IHOP Limited-Service Restaurant) ("**Delayed Development Fee**"). The Delay Notice and Delayed Development Fee must be received by IHOP no later than 10 business days prior to the expiration of the Anticipated Opening Date. The Delay Notice will specify the amount of additional time Franchisee requests, but in no event, will that

additional time be more than 180 days after the Anticipated Opening Date. If the Franchisee presents evidence reasonably acceptable to IHOP that the delay is caused by the Facility, IHOP will provide a grace period of up to 60 days, at IHOP's option, before the Delayed Development Fee begins to accrue in accordance with this Section 3.5. If Franchisee pays the Delayed Development Fee for a period encompassing 180 days but cannot open the Franchisee Franchised Restaurant within 180 days after the Anticipated Opening Date, IHOP has the option to grant Franchisee the right to purchase an additional extension for a monetary amount IHOP will determine. Under no circumstance will Franchisee be permitted to purchase more than one such extension during the term of this Agreement.

4.

FRANCHISED RESTAURANT TERMS AND CONDITIONS

4.1 Execution of NT FA for each Franchised Restaurant. For each Franchised Restaurant Franchisee may develop pursuant to this Agreement, IHOP and Franchisee will enter into a Non-Traditional Restaurant Franchise Addendum, which will grant Franchisee the right, and pursuant to which Franchisee will undertake the obligation, to operate an IHOP Limited-Service or IHOP Full-Service Restaurant at a specific location within a Facility under the Standards and the Marks. Each NT FA will be executed by IHOP and Franchisee prior to the commencement of construction and Anticipated Opening Date for each Franchised Restaurant. Each NT FA will contain a general release of claims by Franchisee.

4.2 Term. The term of each NT FA ("**Term**") will commence on the signing date of the NT FA ("**Effective Date**") and will expire on the specific anniversary of the date the Franchised Restaurant opens for business ("**Actual Opening Date**"), which will be inserted by IHOP in the NT FA ("**Location Expiration Date**"). The Term will be coterminous with the term of Franchisee's Facility Contract for the Location (as defined in the NT FA), but in any event, will be of a duration of no less than five years and no more than 10 years. If applicable law requires IHOP to give notice to Franchisee prior to the expiration of a NT FA Term, the applicable NT FA will remain in effect on a week-to-week basis from the earlier of the Location Expiration Date or the time that IHOP provides notice of expiration until the expiration of the requisite notice period.

4.3 Renewal. After a Location Expiration Date, Franchisee will have no further right to operate the Franchised Restaurant for which the Term has expired unless Franchisee has satisfied in all material respects the requirements and conditions set forth in this Section 4.3, and signs IHOP's then-current form of NT FA in accordance with this Section 4.3. Franchisee's failure to perform any of the acts, or deliver any of the documents required by this Section 4.3 will be deemed an election by Franchisee not to renew the applicable NT FA and Franchisee's right to renew the NT FA will lapse and expire, except where otherwise prohibited by law.

(a) If Franchisee has satisfied in all respects the requirements and conditions set forth in this Section 4.3 and signs IHOP's then-current form of NT FA for a renewal term ("**Renewal Term**"), that Renewal Term will commence upon the Location Expiration Date and will be coterminous with the term of Franchisee's Facility Contract for the Location, but in any event will be no more than five years. IHOP will determine the precise length of the Renewal Term, which will depend on whether Franchisee has the right to operate the Franchised Restaurant at the Facility for another five years. If Franchisee does not have the right to operate the Franchised Restaurant at the Facility for another five years, the Renewal Term will be shortened to reflect the amount of time Franchisee has the right to operate the Franchised Restaurant at the Facility, as that time is set forth in the applicable Facility Contract. IHOP's then-current form of NT FA may supplement this Agreement, may amend this Agreement and may contain terms that are materially different from those Franchisee agrees to in this Agreement and the form of NT FA attached to this Agreement. If Franchisee has

satisfied in all respects the requirements and conditions set forth in this Section 4.3, Franchisee will have the option to enter into no more than two NT FAs for Renewal Terms in accordance with this Section 4.3, each for a Renewal Term of up to five years.

(b) To exercise its renewal rights in accordance with this Section 4.3, Franchisee will notify IHOP of Franchisee's intent to sign a Franchisee's NT FA for the Renewal Term at least six months but not more than 12 months before the Location Expiration Date. No earlier than 10 days and no later than 21 days after Franchisee receives IHOP's then-current form of NT FA, Franchisee will execute the NT FA and return it to IHOP.

(c) To enter a NT FA for a Renewal Term, Franchisee must:

(i) Have performed, in all material respects, all its obligations under this Agreement and the NT FA and under all other agreements and NT FAs between Franchisee and its affiliates and IHOP and its affiliates;

(ii) Have the right to continue to occupy the Franchised Restaurant Location (as defined in the NT FA);

(iii) Have paid to IHOP the then-current renewal fee ("**Renewal Fee**"), the current amount of which is stated in **Attachment A**, upon the execution of the NT FA for the Renewal Term;

(iv) Not have received three or more notices of default during any 24-month period during the Term; and

(v) Have provided written assurance satisfactory to IHOP of Franchisee's willingness and financial ability to refurbish and remodel the Franchised Restaurant in accordance with IHOP's then-current Standards. Prior to the Location Expiration Date, Franchisee will have completed refurbishing and remodeling the Franchised Restaurant in accordance with IHOP's then-current Standards unless Franchisee is prohibited from doing so by the Facility, provided Franchisee advised IHOP of this prohibition at the time Franchisee exercised its option to renew and IHOP agreed to waive or modify this requirement, and IHOP has agreed that Franchisee may delay such refurbishing and remodeling for a period of time agreed to by IHOP and Franchisee in writing.

(d) If IHOP is not offering new franchises or is otherwise not lawfully able to offer Franchisee IHOP's then-current form of NT FA at the time Franchisee elects to renew, IHOP may, at its option, agree to extend the applicable NT FA on its current terms, for a period of up to five years.

4.4 Fees.

(a) **Initial Fee.** Franchisee will pay to IHOP an initial franchise fee for each Franchised Restaurant it develops at the time that Franchisee signs a NT FA. The amount of the initial franchise fee is set forth in **Attachment B** to this Agreement.

(b) **Royalty Fee.** Franchisee will pay to IHOP continuing royalty fees ("**Continuing Royalty**") for each weekly reporting period consisting of Monday through Sunday, or another seven consecutive day period IHOP designates ("**Reporting Period**") based on the Gross Sales of each of the Franchised Restaurants it develops as described in Section 6 of each NT FA. For purposes of this Agreement, "**Gross Sales**" means the total revenues derived by Franchisee in and from each of the Franchised Restaurants

and arising out of Franchisee's activities pursuant to this Agreement, whether for cash sales of food and other merchandise or otherwise, or charge sales thereof, or revenues from any source arising out of the operation of the Franchised Restaurant(s) and Franchisee's activities pursuant to this Agreement, deducting therefrom: (1) all refunds and allowances, if any; (2) any sales or excise taxes which are separately stated and which Franchisee collects from customers and pays to any federal, state or local taxing authority; and (3) any amounts paid via cash, credit card or other means with respect to vending machines or pay telephones which are located in or about the Franchised Restaurant(s), if such vending machines and/or pay telephones are leased and not owned by Franchisee, in which case Gross Sales will include only the commissions Franchisee receives from those leases.

(c) **National Advertising Fee.** Franchisee will pay to IHOP a national advertising fee ("National Advertising Fee"), which is up to 3.5% of the Gross Sales of each of the Franchised Restaurants.

(d) **Local Advertising Expenditure.**

(i) Franchisee shall spend up to an additional 1% of its weekly Gross Sales for local advertising approved by IHOP ("**Local Advertising Expenditure Requirement**") unless waived in whole or in part by IHOP in its sole subjective discretion. Franchisee shall provide documentation of its expenditures with such supporting evidence as IHOP may require, on an annual basis to confirm that such expenditures were approved and paid for by Franchisee, and the advertising was conducted.

(e) **Time and Manner of Payments, Reporting and Recordkeeping.**

(i) The Continuing Royalty and other fees payable under this Agreement will be due on the Wednesday following the Reporting Period in which such Gross Sales were earned, and will be accompanied by a statement in the form and with such detail as IHOP may prescribe, showing how the Continuing Royalty was computed for the Reporting Period, and accompanied by all electronic point-of-sale system tapes of each Franchised Restaurant in operation for all or a portion of the Reporting Period. If Franchisee fails to submit a statement showing how Continuing Royalty was computed for any Reporting Period, submits a statement that is not in the form or with the detail as IHOP may prescribe or fails to submit Continuing Royalty and other fees due under this Agreement in a timely manner, IHOP reserves the right to calculate the amount due for the applicable Reporting Period based on one or more prior statements Franchisee has submitted to IHOP.

(ii) Within 30 days after the expiration of each calendar quarter (or other three-month period IHOP designates), Franchisee will provide to IHOP a profit and loss statement, in the form IHOP prescribes, for the Franchised Restaurant(s) in operation for all or a portion of the calendar quarter. Within 90 days after the end of each calendar year, Franchisee will provide to IHOP a profit and loss statement and balance sheet for the Franchised Restaurant(s) in operation for all or a portion of the calendar year. All financial statements must comply with any specific requirements IHOP designates and must be prepared in accordance with Generally Accepted Accounting Principles ("**GAAP**") consistently applied from applicable period to period, and must be certified by Franchisee, or Franchisee's Chief Executive Officer or Chief Financial Officer, as being true, correct and complete, and as being prepared in accordance with GAAP.

(iii) IHOP will require Franchisee to participate in IHOP's electronic funds transfer program, authorizing IHOP to receive payments by pre-authorized bank draft, wire transfer, Automated Clearing House (**ACH**) transfer or otherwise, unless IHOP waives this requirement in its sole subjective discretion.

(iv) Franchisee will keep and preserve for at least 36 months after each calendar year (or a longer period if required by applicable law), point-of-sale system reports, guest checks, sales tax returns, bank books relating to the Franchised Restaurant(s) and any other evidence of Gross Sales of the Franchised Restaurant(s). IHOP or its designated agents will have the right, upon at least two days' prior written notice to Franchisee, to examine and copy, at IHOP's expense, and remove the books, records, accounts, and business tax returns of Franchisee as they relate solely to the operation of the Franchised Restaurant(s). In addition, Franchisee's owners will allow IHOP and its affiliate's access to, and upon request will provide copies of, Franchisee's owners' state, federal and local income tax returns, and Franchisee and its owners waive any privilege pertaining thereto. If IHOP or its representative audits Gross Sales and payments to IHOP are found to be unpaid or understated in by any amount, Franchisee will immediately pay the additional amount payable, plus interest at the highest rate allowed by law. If Gross Sales are understated by 2% or more, Franchisee will also immediately reimburse IHOP for the cost of the audit and any subsequent audit IHOP may perform to ensure compliance with this Agreement.

(v) IHOP and its affiliates will have the right, at any time and from time to time, to enter the Franchised Restaurants and other business offices to inspect the premises, fixtures, furnishings and equipment thereon (including the right to inspect POS Systems (as defined below), and other equipment, as applicable, and to take readings of all documenters, pre-checkers and POS Systems), audit, verify sales and make or request copies of books of account, bank statements, documents, records, tax returns, papers and files of Franchisee relating to Gross Sales and business transacted. Such audit and/or sales verification may include the on-site presence of one or more personnel of IHOP or its affiliate for up to seven consecutive days.

(f) **Taxes.** IHOP and Franchisee are each responsible for their own sales, use, excise, personal property, income and any other taxes. On a monthly basis, Franchisee will submit to IHOP a copy of Franchisee's monthly sales tax reports for each Franchised Restaurant.

4.5 Franchised Restaurant Operations.

(a) **Operations Bulletins and Standards.** Franchisee must not operate in any manner that reflects adversely on the Marks or the Standards. IHOP will provide Franchisee with access to a copy of its operations bulletins ("**Operations Bulletins**") throughout the Term and the term of each NT FA. IHOP may from time to time revise the Operations Bulletins to incorporate changes, and will advise Franchisee of such changes and provide reasonable time schedules for implementation. Franchisee will operate the Franchised Restaurant(s) in conformity with the Operations Bulletins and IHOP's Standards. Franchisee will not deviate from the Standards in the Operations Bulletins without IHOP's prior written consent. Franchisee will not reproduce any portion of the Operations Bulletins by any means, will at all times keep the Operations Bulletins in a secure place or secure, password protected electronic file and, upon termination or expiration of this Agreement and the NT FA, will return the Operations Bulletins to IHOP.

(b) **Purchases of Products, Equipment, Supplies and Materials.**

(i) Franchisee will sell, serve and dispense only those items and products as IHOP may designate in the Operations Bulletins or otherwise in the Standards from time to time. IHOP will provide Franchisee with a list of IHOP's approved and designated suppliers and distributors of goods and services for the construction, equipping and operation of the Franchised Restaurant(s), and will further provide Franchisee with updated lists of such suppliers and distributors periodically throughout the Term and the term of each NT FA. Franchisee will purchase such items from suppliers and distributors who have been approved by IHOP in the Operations Bulletins or otherwise in writing and not thereafter disapproved.

(ii) In the event that Franchisee should desire to procure any food product (other than proprietary products, which include dry mixes and coffee) supplies, equipment, or material from any supplier or distributor not designated by IHOP or its affiliate, Franchisee shall deliver written notice to IHOP or its affiliate of its desire to do so, which notice shall identify the name and address of such supplier or distributor and the items desired to be purchased from such supplier or distributor. IHOP shall have the right to inspect the supplier's or distributor's facilities, conduct tests on products, require full production runs, and require that samples from the supplier or distributor be delivered, at IHOP's option, either to IHOP or to an independent, certified laboratory designated by IHOP for testing. Franchisee, or the supplier or distributor on behalf of Franchisee, shall pay the costs of any such test. IHOP may withhold approval of any supplier or distributor proposed by Franchisee if, among other grounds, such supplier or distributor shall fail to demonstrate, to the reasonable satisfaction of IHOP or its affiliate: (i) the ability to supply a product meeting IHOP's specifications; (ii) reliability with respect to the quality of the product or service; or (iii) willingness and agreement to permit IHOP or its affiliate to make periodic inspections, reasonable in respect of frequency, time and manner of inspection, to assure continued conformity to specifications.

(iii) Franchisee will be required to install and implement IHOP's designated computerized point of sale cash collection system (including all related hardware and software) ("**POS System**"), unless waived by IHOP in its sole discretion if Franchisee uses a comparable POS System that will enable Franchisee to share operating information with IHOP and that is pollable by IHOP. Franchisee will not be required to use any pre-printed menus or pre-priced standardized numbered guest checks, and will be free to procure menus and standardized numbered guest checks with prices of its own choosing; provided such menus and standardized numbered guest checks will, in all respects except as to prices, strictly comply with the specifications contained in the Operations Bulletins.

(c) **Trademarked Product Purchases.** Franchisee will purchase products which bear IHOP trademarks that may include, as provided in the Operations Bulletins, dishware, silverware, napkins, placemats, coasters and other items from IHOP's designated suppliers and in compliance with IHOP's specifications ("**Trademarked Products**").

(d) **Proprietary Product Purchases.** Franchisee will purchase only from or through arrangements made by IHOP, its affiliates, the Co-op (as defined below) or other distributors IHOP may specify from time to time, all its requirements for buttermilk pancake mix, egg batter, Harvest Grain N'Nut® pancake mix, Corn Cake pancake mix, waffle batter, Belgian waffle mix, coffee and other future products as may be developed by, through or at the direction of IHOP ("**Proprietary Products**").

(e) **Co-op Membership; Use of Products Purchased.** Franchisee acknowledges that the IHOP system is served by an independent third party purchasing cooperative, Centralized Supply Chain Services, LLC and that Franchisee will have the right, as a Franchisee of IHOP, to become a member of Pancake Supply Chain Co-op, Inc. (collectively with Centralized Supply Chain Services, LLC, the "**Co-op**"). Franchisee agrees that it will not, without IHOP's prior written consent, use, offer, sell or give away, except at a Franchised Restaurant, any products or services purchased through arrangements made by the Co-op or as a consequence of Franchisee's membership in the Co-op. Further, Franchisee agrees that it will not, without IHOP's prior written consent, use, offer, sell or give away, except at a Franchised Restaurant, any Proprietary Products or Trademarked Products, no matter the source of supply or means of purchase. Upon the termination or earlier expiration of this Agreement and each Non-Traditional Restaurant Franchise Addendum entered into pursuant to this Agreement, IHOP may, at its option, purchase from Franchisee at a price equal to Franchisee's book value, consisting of Franchisee's cost therefor, less depreciation computed in accordance with GAAP, all Proprietary Products and/or Trademarked Products purchased by Franchisee in the ordinary course of its

business which are, in IHOP's or its affiliate's reasonable judgment, in good, usable condition. IHOP shall provide written notice of its intent to purchase such Proprietary Products or Trademarked Products within 10 days of the date of termination or expiration of this Agreement.

(f) **Management of Franchised Restaurants; Training.**

(i) Franchisee must designate a representative with authority and oversight for the development and operation of Franchisee's planned IHOP Franchised Restaurant(s) and who will be responsible for the day-to-day operation of the Franchised Restaurant(s) ("**Designated Representative**"). Franchisee's Designated Representative must devote such of his or her time as is reasonably necessary for the efficient operations of the Franchised Restaurant(s) and the performance of Franchisee's obligations under this Agreement.

(ii) Franchisee's Designated Representative must participate in and complete to IHOP's satisfaction an agreed initial training program to be held at a training Restaurant or training center IHOP designates. The initial training program will consist of six weeks of training in the operation of an IHOP Full-Service Restaurant or approximately four to five weeks of training in the operation of an IHOP Limited-Service Restaurant.

(iii) Franchisee must designate one to two general managers, as IHOP may require, for each Franchised Restaurant developed by Franchisee. IHOP will require Franchisee's proposed general manager for each Franchised Restaurant to participate in and complete, to IHOP's satisfaction, the initial training program to be held at a training Restaurant or training center IHOP designates, unless waived by IHOP in its sole subjective judgment evidenced in good faith, due to such person's prior training and experience. If a manager is replaced by a new manager, such new manager must attend and successfully complete the initial training program, unless waived by IHOP, and Franchisee shall pay the then-current training fee.

(iv) Franchisee agrees to comply with IHOP's training requirements, as set forth in detail in the Operations Bulletins and as summarized in this Section 4.5(f), the current costs of which are summarized in **Attachment A**.

(v) IHOP may, at its option, provide training support and/or operational assistance on site for each Franchised Restaurant for such period of time as IHOP deems necessary, but not exceeding three weeks. If IHOP will provide a training team to provide training support and/or operations assistance for a period of up to three weeks, allocated at IHOP's sole discretion between one week prior to opening and up to two weeks after opening. Franchisee agrees to pay to IHOP a Training Support Fee of up to \$55,000.00 for an IHOP Full-Service Restaurant and \$7,000 for an IHOP Limited-Service Restaurant. The amount of the fee will be based upon the number of trainers deemed necessary by IHOP, in its sole discretion. The opening training support team for an IHOP Full-Service Restaurant is typically made up of seven trainers, of which four are provided by IHOP at no additional cost to Franchisee. Up to three additional trainers will be provided by IHOP, at a cost to Franchisee of \$7,000 per trainer, unless waived by IHOP. The opening training support team for an IHOP Limited-Service Restaurant is typically made up of four trainers, of which three are provided by IHOP at no additional cost to Franchisee, and the fourth trainer will be provided by IHOP at a cost of \$7,000 to Franchisee, unless waived by IHOP. The additional trainer(s) may be supplied by Franchisee, with the understanding that these trainers must be committed to work on the opening training for the entire duration of the opening training, and provided they meet IHOP's requirements, as specified from time to time. These requirements include being a certified trainer in their current IHOP Restaurant, and successfully passing

an SOP test administered by IHOP prior to and at the opening. There will be no additional charge for the trainer(s) supplied by Franchisee unless Franchisee's trainer(s) fail to meet the above commitments and qualifications, in which case Franchisee will be required to pay \$5,500 per additional trainer supplied by IHOP. If Franchisee does not have any qualified opening trainers, Franchisee will be required to pay to IHOP the sum of up to \$55,000 for an IHOP Full-Service Restaurant and \$7,0000 for an IHOP Limited-Service Restaurant, upon execution of the Non-Traditional Restaurant Franchise Addendum. The scheduling of the training team will be generally done 30 days prior to the anticipated opening date of each Franchised Restaurant, based on the schedule provided by Franchisee. If training must be rescheduled for any reason other than an act of God, Franchisee shall pay to IHOP any increase in costs that are incurred by IHOP due to the scheduling changes, which costs may include but are not limited to increases in airfare, car rental, and training material shipping and storage, within 30 days after billing. After the opening of the first Franchised Restaurant, IHOP will work with Franchisee to certify a number of Franchisee's personnel as certified trainers, and thereafter, provided that Franchisee's personnel are and remain certified by IHOP, Franchisee's certified personnel will provide all or a portion of the opening training support with respect to the Franchised Restaurant(s). Franchisee will reimburse IHOP for its reasonable out-of-pocket expenses in providing certification to Franchisee's personnel to perform initial training and opening training support for Franchised Restaurant(s).

(vi) Franchisee's certified training personnel will attend such additional courses, seminars, and other training programs as IHOP may designate from time to time. Franchisee will bear its own costs for such additional programs, but IHOP will not charge any fees for those attending these additional courses, seminars, or other training programs.

(g) **Advertising.**

(i) Franchisee's National Advertising Fee is set forth in **Attachment B** and will range from 1% to 3.5%, depending on the level of contribution assigned to the Restaurant by IHOP in its sole discretion.

(ii) The National Advertising Fee paid by Franchisee will be administratively segregated on IHOP's or its affiliate's books and records ("**National Advertising Fund**"), together with the aggregate of: (i) National Advertising Fee payments made by all U.S. Franchisees and Franchisees of IHOP Restaurants; (ii) payments equal to the National Advertising Fees of IHOP Restaurants operated by IHOP's affiliates; and (iii) all rebates, allowances, discounts and other monetary compensation IHOP or its affiliates receive on account of the purchase of food items, supplies or services by all Franchisees and franchisees in consideration for the open display by all Franchisees and franchisees (including, when required, Franchisee), in consideration for the open display and advertising of a supplier's product, trademark or logo ("**Table Allowances**"). Table Allowances shall not include any allowances granted on account of purchases by less than all IHOP franchisees and Franchisees.

From sums available in the National Advertising Fund, IHOP develops advertising, public relations and promotional campaigns designed to promote and enhance the image, identity or patronage of all IHOP Franchised Restaurants, company operated restaurants and franchised restaurants. IHOP may, but is not obligated to, make expenditures from the National Advertising Fund to pay for advertising, public relations and promotional campaigns or similar activities designed to promote and enhance the image, identity or patronage of all IHOP Restaurants. Permissible expenditures may include a wide variety of associated activities and materials, to be determined by IHOP. IHOP may disburse funds from the National Advertising Fund to pay for IHOP's and its affiliates' actual administrative expenses with respect to the National Advertising Fund, including, without limitation, the actual, general and administrative costs relating

to IHOP's or its affiliates' internal Marketing Department, including direct overhead, consultants and third party agencies, and excluding only direct costs relating to IHOP's franchise sales program. In all phases and aspects of such activities, including cost, development, type, format and style, quantity, timing, placement, choice of media or agency, and all other matters, IHOP's decision will be final. IHOP has no obligation whatsoever to allocate or expend National Advertising Fund contributions to benefit any particular Franchisee, group of Franchisees, or type of IHOP brand Franchised Restaurant, on a pro rata or proportional basis or otherwise. The National Advertising Fund is not a trust fund and will be commingled with IHOP's and its affiliates' other funds.

Within a reasonable time after the expiration of each of IHOP's fiscal years, IHOP will furnish Franchisees and franchisees summary information with respect to the receipts and expenditures of monies by and from the National Advertising Fund, containing the following information: (1) the opening balance in the National Advertising Fund at the beginning of the fiscal year; (2) the total amount of fees paid into the National Advertising Fund by all Franchisees and franchisees during the fiscal year; (3) the total amount of Table Allowances IHOP and its affiliates received during the fiscal year; (4) a reasonably itemized summary breakdown and description of disbursements from the National Advertising Fund during such preceding fiscal year, sufficient to indicate each class of expenditures made from the National Advertising Fund and the amount of expenditures made for each class; and (5) the net balance, if any, remaining in the National Advertising Fund at the close of the fiscal year, which net balance, if any, will be retained for future advertising. If IHOP's and its affiliates' expenditures exceed the amount contributed to the National Advertising Fund in any fiscal year, IHOP and its affiliates will have the right to be reimbursed to the extent of the excess from amounts subsequently contributed to the fund.

(iii) Franchisee may not develop, create, generate, own, license, lease or use in any manner any computer medium or electronic medium (including any internet home page, website, social media site, including those utilizing mobile technology, bulletin board, newsgroup or other internet-related medium) which in any way uses or displays the Marks, in whole or part, and Franchisee shall not cause or allow the Marks, or any of them, to be used or displayed in whole or part, as an internet domain name, or on or in connection with any internet home page, website, social media site, including those utilizing mobile technology, bulletin board, newsgroup or other internet-related activity without IHOP's express prior written consent, and then only in such manner and in accordance with such procedures, policies, standards and specifications as IHOP may establish.

(iv) IHOP may (but is not required to) develop an Intranet network through which IHOP and its licensees and franchisees (including Franchisee) may communicate by e-mail or similar electronic means and through which IHOP may disseminate updates to the System and other confidential information. If IHOP develops such an Intranet network, Franchisee agrees to use the facilities of the Intranet in strict compliance with the System, and with such procedures, policies, standards and specifications as IHOP may establish from time to time (including, without limitation, standards, protocols and restrictions relating to the encryption of confidential information and prohibitions against the transmission of libelous, derogatory or defamatory statements). If IHOP shall develop said Intranet, IHOP shall have no obligation to maintain the Intranet, and may discontinue its use at any time without liability to Franchisee.

(v) Franchisee's Local Advertising Expenditure Requirement is set forth on **Attachment B** and will range from 0% to 1%, depending on the level of contribution assigned to the Restaurant by IHOP in its sole discretion.

(vi) IHOP shall, from time to time, develop regional advertising cooperatives (“**Regional Advertising Cooperatives**”). IHOP may establish and modify from time to time guidelines and procedures which shall govern the conduct and operation of the Regional Advertising Cooperatives. The geographical description of each region (hereinafter “**Advertising Region**”) shall be designated by IHOP in its sole subjective judgment, exercised in good faith. Franchisee may be allowed to join a Regional Advertising Cooperative in the Restaurant’s Advertising Region depending on the level of contribution assigned to the Restaurant by IHOP in its sole discretion. If Franchisee participates in a Regional Advertising Cooperative then Franchisee’s contribution amount is the Local Advertising Expenditure Requirement.

(vii) If Franchisee’s Local Advertising Expenditure Requirement has been paid by Franchisee to IHOP during IHOP’s fiscal year then in progress, IHOP shall reimburse Franchisee or credit Franchisee’s account with IHOP for: (i) Franchisee’s IHOP-approved local advertising expenses incurred during said fiscal year (after deducting any expenses that IHOP has previously paid or is or may be required to pay on account of advertising run by, for, or on behalf of Franchisee), and, (ii) contributions made by Franchisee during said fiscal year (whether through payment to IHOP or directly to a third party) to the Regional Advertising Cooperative, if any, of which Franchisee is a member, for advertising of the Franchised Restaurant; provided, however, that the combined amount of IHOP’s said reimbursements for any of its fiscal years pursuant to (i) and (ii) shall in no event exceed the Local Advertising Expenditure Requirement actually paid by Franchisee during said fiscal year, and such right of reimbursement shall be subject to the condition that Franchisee furnish IHOP with appropriate verification, satisfactory to IHOP, of such advertising expenditures and that the advertising resulting therefrom has been placed and paid for either by Franchisee or the Regional Advertising Cooperative of which Franchisee is a member and that no liability to any party exists or may exist with respect to such advertising. The Local Advertising Expenditure Requirement payments which are contributed in a particular fiscal year of IHOP, but which IHOP is not required to reimburse or credit on account of advertising expenditures incurred by Franchisee during said fiscal year, shall become part of IHOP’s general operating funds or the National Advertising Fund.

(h) **Compliance with Governmental Regulations.** Franchisee will meet and maintain all health standards at or above required industry levels applicable to the operation of the Franchised Restaurant, and will timely obtain all permits, certificates, or licenses necessary for the lawful operation of the Franchised Restaurant. Franchisee will operate the Franchised Restaurant in compliance with all applicable laws. Applicable laws mean and include all applicable statutes, laws, rules, regulations, ordinances, policies and procedures established by any governmental authority, which governs the construction or operation of the Franchised Restaurant.

4.6 Maintenance, Remodeling and Refurbishing of Franchised Restaurants.

(a) Franchisee will at all times maintain in first class condition, at its sole expense and in compliance with IHOP’s Standards, the interior and exterior of each Franchised Restaurant and any appurtenant area over which Franchisee has control. Except as provided in Section 3.1 of this Agreement, every five years during each Term, at Franchisee’s sole cost and expense, Franchisee will refurbish, remodel and improve (“**Update**”) each Franchised Restaurant in accordance with IHOP’s then-current Standards as set forth in the Operations Bulletins or otherwise in writing by IHOP. Franchisee will commence the first Update on the fifth anniversary of the Actual Opening Date of each NT FA and each subsequent Update will commence years from the date the last update commenced. Franchisee will complete each Update as expeditiously as possible, but in any event within 30 days after commencing the Update.

(b) Franchisee expressly authorizes IHOP's or one of its affiliate's representatives to enter any Franchised Restaurant at any time during business hours, without notice, to inspect the premises, fixtures, furnishings and equipment therein, and to examine and inspect the operations in all respects to determine compliance with this Agreement and the IHOP's Standards, Operations Bulletins, policies, rules and regulations.

5.

PROPRIETARY MARKS AND SYSTEM; CONFIDENTIALITY AND NON-COMPETITION

5.1 IHOP Representations Concerning Marks and Standards. IHOP represents that it has the right to use, and to grant Franchisee the right to use, the Marks and the Standards.

5.2 Use of IHOP's Name. Franchisee agrees that each Franchised Restaurant developed under this Agreement will be named "IHOP," "IHOP Express," "International House of Pancakes," or "International House of Pancakes Restaurant," as specified by IHOP, or any combination thereof IHOP may approve, at IHOP's option. Franchisee agrees that it will not use any suffix or prefix and that all signs, advertising and slogans will only bear the name and Marks as IHOP may specify in its Operations Bulletins.

5.3 Franchisee Representations Concerning Marks and Standards.

(a) Franchisee will use the Marks designated by IHOP only in the manner authorized and permitted by IHOP in the Operations Bulletins and under the Standards from time to time solely for the operation of the Franchised Restaurant(s) at the Franchised Restaurant(s) or in connection with IHOP approved advertising for the Franchised Restaurant(s). Franchisee will identify itself as an independent owner of the Franchised Restaurant(s) in conjunction with any use of the Marks or the operation of the Franchised Restaurant(s), in the manner that IHOP specifies in the Operations Bulletins, and will promptly notify IHOP of any suspected unauthorized use of, or any challenge to the validity of the Marks, or any challenge to IHOP's ownership of, right to use or ability to grant others the right to use, or Franchisee's right to use, the Marks or Standards under this Agreement. IHOP will promptly take such action as may be necessary to defend against any such claim, demand or challenge and IHOP will protect, indemnify and hold Franchisee harmless from any loss, costs, or expenses arising out of or relating to such claim, demand or suit. Franchisee will have no right to settle compromise or litigate any claim involving the Marks. IHOP shall have the right to defend, compromise or settle any such claim at IHOP's sole cost and expense, and Franchisee shall cooperate fully with IHOP in connection under the defense of any such claims. Franchisee will not assert any claim to goodwill, reputation or ownership of the Marks, which Franchisee agrees that, as between IHOP and Franchisee are the sole and exclusive property of IHOP. Except to the limited extent expressly granted hereunder, Franchisee will not use, or permit the use, as part of its business entity name, the phrases "IHOP," "International House of Pancakes," "House of Pancakes," "IHOP Express" "DineEquity" or any phrase or combination of words confusingly similar thereto.

(b) Franchisee will not develop, create, generate, own, license, lease or use in any manner any computer medium or other electronic medium (including any internet home page, website, bulletin board, newsgroup or other internet-related medium) which in any way uses or displays the Marks, in whole or in part. Franchisee will not cause or allow the IHOP name or Marks to be used or displayed in whole or in part on any social networking website (for example, Twitter, Facebook or My Space), in any internet domain name or in connection with any internet home page, website, bulletin board, newsgroup or other internet-related activity without IHOP's prior written consent, and then only in such manner and in accordance with such procedures, policies, standards and specifications as IHOP may establish from time to time.

(c) IHOP may, but is not required to develop an internet network through which IHOP and its franchisees (including Franchisee) can communicate by email or similar electronic means and through which IHOP may disseminate updates to the System and other Confidential Information (defined below) (“**Intranet**”). If IHOP develops such an Intranet, Franchisee agrees to use the Intranet in strict compliance with the Standards (including, without limitation, standards, protocols and restrictions relating to the encryption of Confidential Information and prohibitions against the transmission of libelous, derogatory or defamatory statements). If IHOP develops an Intranet, IHOP will have no obligation to maintain the Intranet, and may discontinue its use at any time without liability to Franchisee.

5.4 Confidentiality and Non-Competition.

(a) **Owners.** Prior to execution of this Agreement, Franchisee will provide IHOP with a list of its owners, which must include all individuals, shareholders, general partners, limited partners, members or other owners of or an ownership interest in Franchisee (“**Owners**”). Franchisee will cause its Owners to complete an application and such other documentation as IHOP may require, and to execute covenants similar in substance to the covenants contained in this Section 5.4. Upon an Assignment in accordance with this Agreement, Franchisee will cause any new Owners to execute covenants similar in substance to the covenants contained in this Section 5.4.

(b) **Nondisclosure of Confidential Information.** Except as required by law, neither Franchisee, nor any Owner will, during the Term and the term of each NT FA or thereafter, communicate, divulge, or use for the benefit of, anyone else, any confidential information, knowledge, trade secrets or know-how (“**Confidential Information**”) which may be communicated to them, or of which they may be apprised. Franchisee will divulge Confidential Information only to its respective employees that must have access to it to perform their responsibilities; provided, however, that Franchisee acknowledges IHOP may utilize information regarding the operations, expenses and financial performance of Franchised Restaurant(s) that Franchisee discloses to IHOP. All matters, information, knowledge, know-how, trade secrets, techniques and other data of IHOP will be deemed Confidential Information for purposes of this Agreement. Franchisee will require its Owners and any other person who may have access to any Confidential Information to execute covenants, guarantees and/or undertakings that such person will maintain the confidentiality of information they receive in connection with their association with IHOP, and that they will comply with non-competition covenants similar in substance to those contained in Section 5.4(c) below. Franchisee agrees to maintain all IHOP’s Confidential Information separately from Franchisee’s other businesses. Franchisee will not permit any Designated Representative, manager or other person who has access to IHOP’s Confidential Information, Operations Bulletins or Standards to be employed within or involved with any of Franchisee’s other businesses.

(c) **Non-Competition.** Franchisee and its Owners will not, during the term of this Agreement, any Restaurant Franchise Term and any renewal thereof, directly or indirectly, own, operate, control or have any interest in any family style restaurant, pancake house, coffee shop (defined to mean a full service or fast casual restaurant; not, by way of example, a Starbuck’s), buffet serving breakfast, or diner, including but not limited to Village Inn, Bob’s Big Boy, Shoney’s, Denny’s, Perkins’, Waffle House, Baker’s Square, Coco’s, JB’s, Allie’s, Cracker Barrel, Marie Callendar’s, Friendly’s, Bob Evans’ Farms, Mimi’s Carrows, Hometown Buffet, or any other food service operation that sells pancakes or omelettes or derives more than 25% of its total sales from breakfast items (“**Competitive Business**”). Notwithstanding the foregoing, IHOP may, but is not obligated to, approve Franchisee’s and/or its Owners’ ownership of a Competitive Business or the location of a Franchised Restaurant in a Facility within which Franchisee or an Owner has an existing Competitive Business (“**Existing Business**”). If IHOP excludes Franchisee’s or a

Controlling Owner's Existing Business from this Section 5.4(c), such exclusion will be noted in the NT FA for the Franchised Restaurant(s) to be developed within such Facility.

(d) **Reverse Engineering Prohibited.** IHOP retains all rights, title and interest in and to all Proprietary Products and all product specifications which may be disclosed to Franchisee or utilized by Franchisee pursuant to this Agreement. Franchisee and its Owners will not reverse engineer, decompile or disassemble any IHOP product, including, but not limited to, any Proprietary Product. Franchisee will take reasonable steps to ensure that no employee reverse engineers, decompiles or disassembles any IHOP product, including, but not limited to, any Proprietary Product. Notwithstanding anything to the contrary in this Agreement, IHOP will have the right to terminate this Agreement and all NT FAs or other franchise agreements then in effect, and seek all remedies at law and in equity which may be available to IHOP for violation of this Section 5.4(d), upon reasonable belief or proof that Franchisee, any current or former employee of Franchisee or any Owner, agent or other representative of Franchisee, has violated this Section 5.4(d).

6. ASSIGNMENT

6.1 Assignment or Delegation by IHOP. IHOP may transfer or assign this Agreement or any of its rights or obligations under this Agreement, each NT FA or any of its rights or obligations under each NT FA, its direct or indirect ownership interests or its assets, in whole or in part, without the consent of Franchisee; provided that the assignee will agree to assume all of IHOP's obligations under this Agreement and each NT FA that IHOP assigns to the assignee. Without limiting the foregoing, IHOP may: (i) assign any and all of its rights and obligations under this Agreement to an affiliate; (ii) sell its assets, its Marks, or its System outright to a third party; (iii) engage in a public offering of its securities; (iv) engage in a private placement of some or all of its securities; (v) undertake a refinancing recapitalization, leveraged buy-out or other economic or financial restructuring; or (vi) merge, acquire other business entities or be acquired by another business entity. IHOP shall be permitted to perform such actions without liability or obligation to Franchisee who expressly and specifically waives any claims, demands, or damages arising from or related to any or all the above actions (or variations thereof). Franchisee agrees upon request to execute such documents as IHOP may reasonably request, including but not limited to a consent to assignment and an estoppel certificate, as may be required by the terms of IHOP's financing arrangements. Following assignment, IHOP will no longer be responsible for post-assignment obligations. IHOP will have the right to delegate to one or more of its affiliates some of all IHOP's duties to Franchisee under this Agreement.

6.2 Assignment by Franchisee.

(a) This Agreement has been entered into by IHOP in reliance upon and in consideration of the singular personal skill, qualifications and trust and confidence reposed in Franchisee. Accordingly, neither Franchisee nor any immediate or remote successor to any part of Franchisee's interest in this Agreement, nor any individual, partnership, corporation, or other legal entity which directly or indirectly owns any interest in Franchisee will sell, encumber, assign, transfer, convey, pledge, merge, or give away, voluntarily or involuntarily, in whole or in part, by operation of applicable law or otherwise ("**Assign**" or an "**Assignment**"), any direct or indirect interest in this Agreement or any Non-Traditional Franchise Addendum or any of its rights or privileges under this Agreement or any Non-Traditional Franchise Addendum, in Franchisee (except as provided with respect to Assignments that do not effect a Change of Control in Section 6.2(d) below), or in all or substantially all of the assets of the businesses which are the subject of this Agreement and each NT FA without the prior written consent of IHOP, which consent may be withheld at IHOP's option. Except as provided in Section 6.2(b) of this Agreement, Franchisee acknowledges and agrees that it will not

be permitted to Assign any interest in this Agreement or sell, gift, convey, assign or transfer the assets used in any of the Franchised Restaurant(s) developed under this Agreement or any NT FA executed pursuant to this Agreement except in conjunction with a concurrent Assignment to the same approved assignee of all of the assets used in all of Franchisee's Franchised Restaurant(s), and of all interests in the NT FAs executed pursuant to this Agreement. At IHOP's election, the assignee must execute IHOP's then-current form of Non-Traditional Multi-Unit Franchise Agreement and IHOP's then-current form of NT FA for each Franchised Restaurant then developed or under development by Franchisee.

(b) Franchisee will not, directly or indirectly, pledge, encumber, hypothecate or otherwise grant any third party a security interest in this Agreement or any Non-Traditional Franchise Addendum in any manner whatsoever without the prior express written consent of IHOP. To the extent that the foregoing prohibition may be ineffective under applicable law, Franchisee will provide not less than 30 days' prior written notice (which notice will contain the name and address of the secured party and the terms of such pledge, encumbrance, hypothecation or security interest) of any pledge, encumbrance, hypothecation or security interest in this Agreement or any NT FA. Franchisee will pay IHOP a transfer fee specified from time to time in the Operations Bulletins ("**Transfer Fee**"). Franchisee will pay IHOP 50% of the Transfer Fee at the time Franchisee serves written notice upon IHOP of the proposed Assignment. IHOP may waive all or a part of the training fee to the extent IHOP determines that the assignee's Designated Representative does not require training. Franchisee will sign a general release of claims upon IHOP's receipt of a Transfer Fee in accordance with this Section 6.2(b).

(c) To the extent Franchisee's securities, partnership or other ownership interests are not currently publicly traded, securities, partnership or other ownership interests in Franchisee may be (i) offered to the public under the Securities Act of 1933, as amended, (ii) registered under the Securities Exchange Act of 1934, as amended, or any comparable federal, state or foreign law, rule or regulation; or (iii) offered by private offering or otherwise, but in all cases all materials required for any such private offering by federal or state law will be submitted to IHOP for a limited review as discussed below prior to being filed with any governmental agency; and any materials to be used in any exempt offering will be submitted to IHOP for such review prior to their use. No such offering by Franchisee will imply that IHOP is participating in an underwriting, issuance or offering of securities of Franchisee or IHOP, and IHOP's review of any offering materials will be limited solely to the subject of the relationship between Franchisee and IHOP and its Affiliates. IHOP may, at its option, require Franchisee's offering materials to contain a written statement prescribed by IHOP concerning the limitations described in the preceding sentence. Franchisee, its owners and the other participants in the offering shall fully defend and indemnify IHOP, and its affiliates, their respective partners and the officers, directors, manager(s) (if a limited liability company), shareholders, members, partners, agents, representatives, independent contractors, servants and employees of each of them, from and against any and all losses, costs and liability in connection with the offering and will execute any additional documentation required by IHOP to further evidence this indemnity. For each proposed offering, Franchisee will pay to IHOP a non-refundable fee ("**Offering Fee**"), which will be in addition to any Transfer Fee, or such greater amount as is necessary to reimburse IHOP for its reasonable costs and expenses associated with reviewing the proposed offering, including without limitation, legal and accounting fees. Franchisee will give IHOP written notice at least 30 days prior to the date of commencement of any offering or other transaction covered by this Section.

(d) Notwithstanding the above, any transfer of interests in Franchisee that does not result in a Change in Control of Franchisee may be completed without IHOP's prior written consent, if the conditions and requirements set forth in this Section 6.2(d) are met. In connection with any proposed transfer of interests in Franchisee that does not result in a Change in Control of Franchisee, Franchisee will promptly notify IHOP

of such proposed transfer in writing and will provide such information relative thereto as IHOP may reasonably request prior to the transfer. The transferee will not be one of IHOP's competitors and will not be a "Specially Designated National" or "Blocked Person" as designated by the U.S. Department of the Treasury's Office of Foreign Assets Control, or support, or be in any way associated with, any terrorist group or any groups or organizations that provide any form of direct or indirect support or assistance to terrorist groups. As to entities or individuals who will hold any ownership interests in the transferee and therefore will be Owners as defined in Section 5.4 of this Agreement, such entities or individuals may be required to execute non-competition covenants (including covenants applicable upon the termination of a person's relationship with Franchisee). For the purposes of this Section 6.2(d), a "**Change in Control**" is effected upon a transfer, in a single transaction or in a series of transactions, (a) if Franchisee is a corporation or limited liability company, of more than 49% of the ownership or voting shares or membership interests, as applicable, or each class of Franchisee's issued and outstanding capital stock or membership interests, as applicable including, by way of example and without limitations, a 49% owner acquiring an additional 2% ownership interest, or (b) if Franchisee is a partnership, if the transfer would result in a change of the owner of more than 49% interest in the operating profits and operating losses of the partnership as well as more than 49% of the ownership or voting interests in the partnership (and more than 49% interest in the shares of each class of capital stock or voting interests of any corporate general partner).

6.3 Third Party Operator. Franchisee may transfer management or operations of any Franchised Restaurant to a third-party operator, subject to IHOP's consent, which consent will not be unreasonably withheld; provided IHOP may, at its option, revoke its consent to the manager or operations of any Franchised Restaurant by a third-party operator in the event that such third-party operator fails to operate the Franchised Restaurant in compliance with the Standards. Franchisee further agrees that any third-party operator must, and its key managerial employees must, sign a form of confidentiality and non-competition agreement containing the covenants in Section 5.4 of this Agreement.

7.

TERMINATION

7.1 Termination Right. If a Facility unilaterally terminates the Facility Contract with Franchisee and requires that Franchisee close a Franchised Restaurant within that Facility, Franchisee will have the right to terminate without penalty or liability for damages, the NT FA for the Franchised Restaurant located within the Facility, upon providing IHOP with 60 days' written notice; provided, however, that any action or inaction by Franchisee which causes, facilitates or allows a Facility to terminate its contract with Franchisee will void this Section 7.1.

7.2 Notice of Material Default and Cure Rights.

(a) If IHOP determines that Franchisee is in material default of this Agreement and/or a NT FA, IHOP may, at its option, notify Franchisee that it will have seven days after its receipt of a notice of default within which to remedy such material default, or such lesser time as set forth herein below and to provide evidence of such remedy. If such default is not cured within the specified time (or for non-monetary defaults, such additional reasonable time period not to exceed 30 days, if Franchisee has commenced and is diligently pursuing cure of a material default that by its nature requires additional cure time), IHOP will have the right to immediately terminate this Agreement and/or the applicable NT FA by providing notice of termination to Franchisee.

(b) Notwithstanding anything to the contrary in this Agreement, IHOP may, at its option, terminate this Agreement or any NT FA immediately upon notice to Franchisee:

(i) If Franchisee's continued operation of one or more Franchised Restaurants will result in an imminent danger to health or public safety as determined by IHOP in its reasonable discretion;

(ii) If Franchisee's continued operation of one or more Franchised Restaurants will devalue the Marks or cause a loss of goodwill for the IHOP brand and Franchisee fails to cure such default within 48 hours after receiving written notice from IHOP of the default;

(iii) If any Franchised Restaurant is not ready to be opened for business in compliance with Section 3.4 of this Agreement by the Anticipated Opening Date, or the additional time permitted by Section 3.5 of this Agreement lapses, IHOP may terminate the applicable NT FA;

(iv) If Franchisee attempts to Assign this Agreement, without the prior written consent of IHOP and in violation of Section 6.2 of this Agreement, or if an Assignment of this Agreement by Franchisee will occur by operation of law, or due to judicial process;

(v) If Franchisee fails or refuses to pay its payment obligations to IHOP in accordance with the terms of this Agreement and fails to cure such default by paying all amounts in full no more than seven days after receiving notice of such default from IHOP;

(vi) If Franchisee fails to maintain at least a "B" rating or its equivalent under IHOP's then-current evaluation criteria for franchisees and Franchisees and fails to commence curing such default within seven days after receiving notice of such default from IHOP;

(vii) If Franchisee understates Gross Sales by 5% or more in any report to IHOP or its affiliates;

(viii) If Franchisee fails, for a period of 10 days after notification of noncompliance, to comply with any applicable law governing the operation of a Franchised Restaurant;

(ix) If Franchisee fails or refuses to pay its payment obligations to IHOP in accordance with the terms of this Agreement three or more times during any 12-month period, whether or not IHOP provides notice of such default and whether or not Franchisee has cured such defaults; or

(x) If Franchisee fails to open the number of Franchised Restaurants specified in **Attachment A** by the applicable Anticipated Opening Date.

(c) Notwithstanding anything to the contrary in this Agreement, this Agreement and all NT FAs then in effect will terminate automatically if Franchisee is insolvent, or, if Franchisee files a voluntary petition and is adjudicated bankrupt; or if an involuntary petition is filed against it and such petition is not dismissed within 30 days; or if it will make an assignment for the benefit of creditors; or if a receiver or trustee in bankruptcy or similar officer, temporary or permanent, be appointed to take charge of Franchisee's affairs or any of its property; or if dissolution be commenced by or against Franchisee or if any judgment against Franchisee remains unsatisfied or unbonded of record for 15 days.

(d) IHOP and Franchisee agree that if a default by Franchisee can be reasonably attributed to specific acts, errors or omissions stemming from operations or personnel at one (or more) specific Franchised Restaurants(s), and such default gives rise to a right of termination by IHOP under this Agreement, IHOP will be limited to terminating Franchisee's rights to operate only those Franchised Restaurants(s) and the NT FAs to which such default is directly attributable, and this Agreement and Franchisee's rights under this Agreement and other NT FAs then in effect will otherwise remain in full force and effect as to such other non-defaulting Franchised Restaurants from and after the termination of rights to such defaulting Franchised Restaurant(s). Notwithstanding the foregoing, in the event the greater of three Franchised Restaurants owned and/or operated by Franchisee or its affiliates or 25% or more of the Franchised Restaurants owned and/or operated by Franchisee or its affiliates are in default, IHOP shall have the right to terminate this Agreement and all other NT FAs then in effect.

8.

OBLIGATIONS OF FRANCHISEE UPON TERMINATION

8.1 Upon termination or expiration of this Agreement and/or a NT FA, all rights granted under this Agreement and/or the applicable the NT FA will terminate (as set forth in the applicable notice of termination or expiration), and (except as to any remaining rights under this Agreement, if still effective or any other NT FA still in effect, as applicable):

(a) **Cessation of Operations.** Franchisee will immediately cease to operate the applicable Franchised Restaurant(s), and if Franchisee is then no longer operating any Franchised Restaurant(s), will not thereafter, directly or indirectly, represent to the public or hold itself out as a present or former franchisee or Franchisee of IHOP.

(b) **Cessation of Use of Confidential Information and Marks.** Franchisee will immediately and permanently cease to use, by advertising or in any other manner whatsoever, any Confidential Information, including as to Franchisee Confidential Information associated with the Standards, Operations Bulletins and all Marks, and return any hardcopy Operations Bulletins to IHOP.

(c) **De-Identification Requirement.** Upon the expiration or earlier termination of any Non-Traditional Restaurant Franchise Addendum for any reason, Franchisee shall, upon written demand of IHOP, at its sole cost and expense remove all IHOP Marks from all buildings, signs, fixtures and furnishings, and alter to and paint all buildings and other improvements maintained pursuant to the NT FA to a design and color which is basically different from IHOP's authorized building design and paint schedule. In addition to and without limiting the generality of the foregoing, Franchisee shall make any other changes which IHOP deems prudent.

(d) **Payment of Monies Due.** Franchisee will promptly pay all sums owing to IHOP and its Affiliates with respect to the terminated Franchised Restaurants.

8.2 Compliance with Post Term Covenants and Other Continuing Obligations. All covenants, obligations, and agreements of IHOP and/or Franchisee which by their terms or by reasonable implication are to be performed, in whole or in part, after the termination or expiration of this Agreement, will survive such termination or expiration.

GUARANTEE, INDEPENDENT CONTRACTOR, EXPERIENCE, INSURANCE AND INDEMNIFICATION

9.1 Guarantee. If IHOP, at its option, based upon Franchisee's financial position and performance history, requires Franchisee's obligations to be guaranteed, each person or entity owning (directly or indirectly), the equity or voting rights of Franchisee and their spouses, if and as applicable, will execute a guarantee of obligations ("**Guarantee**") in a form prescribed by IHOP, personally, irrevocably and unconditionally guaranteeing, jointly and severally, with all other guarantors, the full payment and performance of all of the obligations to IHOP and its affiliates under this Agreement and each NT FA executed pursuant to this Agreement. Franchisee will provide IHOP, prior to execution of this Agreement, a statement of ownership interests or other similar shareholder or member information of Franchisee and its Owners in the form that IHOP prescribes.

9.2 No Fiduciary Relationship. This Agreement does not create a fiduciary relationship between the parties to this Agreement. Franchisee is an independent contractor; and nothing in this Agreement is intended to constitute or appoint either party an agent, legal representative, subsidiary, joint venture, partner, employee, or servant of the other for any purpose whatsoever. Neither party is authorized to make any contract, agreement, warranty, or representation on the other parties' behalf, or to incur any debt or other obligations in the other parties' name. Franchisee will conspicuously identify itself and the Franchised Restaurant(s) in all dealings with its customers, contractors, suppliers, public officials, and others, as an independent Franchisee of IHOP, and will place such notice of independent ownership in its Franchised Restaurant(s) and on all forms.

9.3 Franchisee's Experience. IHOP has entered this Agreement upon the knowledge and belief that Franchisee and/or one or more of its Owners, officers, partners, directors, managers, members and employees, as applicable, have significant experience operating one or more similar restaurants, whether under the IHOP brand or other brands. IHOP is relying on Franchisee's and/or its Owners', officers' and directors' experience operating one or more restaurants under the IHOP brand or other brands. Franchisee represents and warrants to IHOP that Franchisee has such knowledge and experience in the financial, operational and other business matters associated with developing one or more Restaurants in Facility(ies) as to be capable of evaluating the merits and risks of developing one or more Franchised Restaurants in Facility(ies) and as to be capable of independently undertaking to construct and operate a Franchised Restaurant in a Facility. Franchisee will not rely on IHOP to instruct Franchisee as to the specific risks or preferred practices with respect to opening Franchised Restaurant(s) in Facility(ies).

9.4 Insurance. Subject to any other additional requirements set forth in the Facility Contract, Franchisee will procure, prior to the opening of each Franchised Restaurant, and will maintain in full force and effect at all times during the term of each NT FA, at Franchisee's expense, an insurance policy or policies protecting Franchisee, IHOP, their affiliates, and their respective partners, managers, members, officers, shareholders, directors, agents, and employees, against any demand or claim with respect to personal and bodily injury, death, or property damage, or any loss, liability, or expense whatsoever arising or occurring upon or in connection with the operation of the Franchised Restaurant(s). IHOP will prescribe minimum standards, coverages and limits in the Operations Bulletins, and Franchisee agrees to procure and maintain insurance policies in compliance with the Operations Bulletins. Such policy or policies will: (a) be written by insurer(s) licensed and admitted to write coverage in the states in which the Franchised Restaurants are located and with a rating of "A" or better as set forth in the most recent edition of Best's Key Rating Guide; (b) name IHOP and its partners, stockholders, directors, agents, and employees as additional insured's on a primary non-contributory basis; and (c) comply with the general requirements prescribed by Facilities from time to time.

Franchisee will supply IHOP with certificates of insurance from time to time during the term of this Agreement, including 10 days prior to the date that a Franchised Restaurant opens for business to the public, 10 days prior to the date on which any insurance policy is scheduled to expire, and at such other times as IHOP may reasonably require. If Franchisee fails to procure and maintain insurance for any Franchised Restaurant, IHOP, at Franchisee's expense may, but is not obligated to, procure such insurance as is necessary to meet IHOP's requirements. Franchisee may obtain such other additional insurance as Franchisee deems proper in connection with the operation of its business.

9.5 Indemnification. Franchisee will indemnify and hold harmless to the fullest extent by law, IHOP, its parents and affiliates and their respective directors, officers, managers, members, partners, employees, shareholders, and agents, ("**Indemnitees**") from any and all "**losses and expenses**" (as defined below) incurred in connection with any formal or informal dispute, procedure, claim, demand, investigation, or inquiry, or any settlement thereof, which arises directly or indirectly from, as a result of, or in connection with Franchisee's material acts, errors or omissions in connection with this Agreement and each NT FA and the Franchised Restaurant(s) ("**event(s)**"), and regardless of whether such losses and expenses resulted from any strict or vicarious liability imposed by law on the Indemnitees. The term "**losses and expenses**" will be deemed to include compensatory, exemplary, or punitive damages; fines and penalties; attorneys' fees; experts' fees; court costs; costs associated with investigating and defending against claims; settlement amounts; judgments; compensation for damages to reputation and goodwill; and all other costs associated with any of the foregoing losses and expenses. The Indemnitees will give Franchisee prompt notice of any event of which it is aware, for which indemnification is required, and, at the expense and risk of Franchisee, the Indemnitees may elect to assume (but under no circumstance is obligated to undertake) the defense and/or settlement thereof, provided the Indemnitees will seek the advice and counsel of Franchisee in connection with any such defense and/or settlement. Any assumption of defense by the Indemnitees will not modify the indemnification obligation.

9.6 [Reserved].

10.

GENERAL CONDITIONS AND PROVISIONS

10.1 Choice of Law. IHOP and Franchisee agree that the laws of California (without giving effect to any conflict of laws) will govern the parties' relationship and the interpretation and enforcement of this Agreement and the NT FAs; except that as to Section 5.4(c) of this Agreement the law of the state where the affected Franchised Restaurant is domiciled will govern the interpretation and enforcement of this Agreement.

10.2 Non-Binding Mediation; Arbitration; Injunctive Relief; Costs and Expenses.

(a) The parties agree that either party must submit any claim, controversy, or dispute arising out of this Agreement to non-binding mediation before bringing any action in any court or other adversarial proceeding, including arbitration as provided below, provided that Franchisee will not be required to pursue mediation of any claim, controversy, or dispute involving its contract with a Facility, and provided that IHOP will not be required to pursue mediation (or arbitration) for any action relating to amounts owed to IHOP by Franchisee or for any action involving violation of its intellectual property rights, including without limitation, its ownership of the Marks, or for any action in which IHOP seeks injunctive relief. Any non-binding mediation will take place in Glendale, California and will be conducted through either an individual mediator or a mediation services organization agreed by the parties, provided the mediator will be experienced in the mediation of food service business disputes, and IHOP and Franchisee agree to each bear one-half of the

mediator's fees and their own costs related to the mediation. Failing agreement by IHOP and Franchisee on the mediator within 30 days after a party provides a written demand for mediation, the mediator will be selected by the American Arbitration Association ("AAA") from its approved panel of mediators.

(b) With respect to any controversies, disputes or claims which are not finally resolved through non-binding mediation (or if either party fails to respond to or participate in non-binding mediation within 60 days following delivery of notice of a request for mediation to the other party), the parties agree that such controversies, disputes or claims will be submitted to arbitration before and in accordance with the then-current commercial rules of the AAA; provided that the jurisdiction of the arbitrators will be limited to a decision rendered pursuant to California common and statutory law. Judgment upon the award may be entered in any court having jurisdiction thereof. All arbitration claims and proceedings will be filed and prosecuted separately and individually in the name of Franchisee and IHOP (and/or its affiliates), and not in any representative capacity, and will not be consolidated with claims asserted by any other franchisee or licensee. The situs of arbitration proceedings shall be in Los Angeles, California.

(c) If either party initiates non-binding mediation or arbitration in accordance with this Section 10.2, the applicable statute of limitations will be tolled while such proceedings are pending.

(d) Nothing contained in this Agreement will bar either party's right to seek injunctive relief in any court of competent jurisdiction without the posting of any bond or security to obtain the entry of temporary and permanent injunctions and orders of specific performance enforcing the provisions of this Agreement relating to Confidential Information, the Marks or an action or omission by Franchisee arising from an obligation to a Facility.

(e) If any party to this Agreement commences any action or proceeding for the purpose of enforcing, or preventing the default of, any provision hereof, whether by arbitration, judicial or quasi-judicial action or otherwise, or for damages for any alleged default of any provision hereof, or for a declaration of such party's rights or obligations under this Agreement, then the prevailing party will be reimbursed by the losing party for all costs and expenses incurred in connection therewith, including reasonable attorneys' fees for the services rendered to such prevailing party.

10.3 Non-exclusivity of Remedy. No right or remedy conferred upon or reserved to IHOP or Franchisee by this Agreement is intended to be, nor will be deemed, exclusive of any other right or remedy in this Agreement or by law or equity provided or permitted, but each will be cumulative of every other right or remedy.

10.4 IHOP's Remedies.

(a) In addition to all other remedies granted by this Agreement, if Franchisee defaults in the performance of any of its obligations or materially breaches any term or condition of this Agreement or any NT FA, IHOP or its affiliate may, at their election, immediately or at any time thereafter, without waiving any claim for breach under this Agreement and without notice to Franchisee cure such default for the account and on behalf of Franchisee, and the cost to IHOP or its affiliate will be due and payable on demand and will be deemed to be additional compensation due to IHOP or its affiliate under this Agreement and will be added to the amount of compensation next accruing hereunder, at the election of IHOP or its affiliate.

(b) In the event of a material breach of this Agreement, IHOP may, at its election pursue the following remedies in addition to such other remedies as may be available to IHOP under this Agreement

and at law or equity: (i) terminate this Agreement and all NT FAs entered into under this Agreement, and thereafter bring such action as IHOP may deem proper to protect its rights under this Agreement, in accordance with this Section 10, and (ii) seek to recover such damages, including all sums due and owing pursuant to this Agreement, the NT FAs and any other agreement between IHOP or one of its affiliates and Franchisee, as IHOP may, at its option, deem appropriate. In computing such damages, it is agreed that the benefit of IHOP's bargain will include the present value of average Continuing Royalty fees, computed on the basis of the last 52 weeks that Franchisee conducted business at one or more Franchised Restaurants (or if no Franchised Restaurant has been open for 52 weeks, the longest period that any Franchised Restaurant was open for business) multiplied by the aggregate of the number of weeks remaining under each Term, computed from the effective date of the termination of this Agreement.

(c) In addition to the other remedies available to IHOP, in the event that Franchisee shall fail or refuse to make any of the payments due under this Agreement or any NT FA entered into pursuant to this Agreement, when due, Franchisee shall pay interest at the highest rate permitted by law, or 1% per month, whichever is less, on such late obligations to defray the cost of maintaining Franchisee's account in arrears, it being expressly understood that payment of this charge shall not forgive or excuse any arrearage.

10.5 LIMITATION OF ADJUDICATIVE PROCEEDINGS; WAIVER OF DAMAGES. IHOP AND FRANCHISEE IRREVOCABLY WAIVE TRIAL BY JURY IN ANY ACTION, PROCEEDING, OR COUNTERCLAIM, WHETHER AT LAW OR IN EQUITY, BROUGHT BY EITHER OF THEM AGAINST THE OTHER, WHETHER OR NOT THERE ARE OTHER PARTIES IN SUCH ACTION OR PROCEEDING. ANY AND ALL CLAIMS AND ACTIONS ARISING OUT OF OR RELATING TO THIS AGREEMENT, THE RELATIONSHIP OF IHOP AND FRANCHISEE BROUGHT BY ANY PARTY TO THIS AGREEMENT AGAINST THE OTHER, WILL BE COMMENCED WITHIN TWO YEARS FROM THE OCCURRENCE OF THE FACTS GIVING RISE TO SUCH CLAIM OR ACTION, OR SUCH CLAIM OR ACTION WILL BE BARRED. IHOP AND FRANCHISEE HEREBY WAIVE TO THE FULLEST EXTENT PERMITTED BY LAW ANY RIGHT TO OR CLAIM OF ANY PUNITIVE, EXEMPLARY OR SPECIAL DAMAGES AGAINST THE OTHER (INCLUDING BUT NOT LIMITED TO LOST PROFITS) AND AGREE THAT IN THE EVENT OF A DISPUTE BETWEEN THEM EACH WILL BE LIMITED TO THE RECOVERY OF ANY DIRECT OR GENERAL DAMAGES SUSTAINED BY IT.

10.6 Waiver and Delay. Subject to the parties' agreements in Section 3.1, no waiver by IHOP of any defaults, and no failure, refusal or neglect of IHOP to exercise any right, power or option given to it under this Agreement or under any Non-Traditional Franchise Addendum or other agreement between IHOP or one of its affiliates and Franchisee, or IHOP's insistence upon material compliance with or performance of the obligations under this Agreement or any NT FA or other agreement between IHOP or one of its affiliates and Franchisee, will constitute a waiver of the provisions of this Agreement with respect to any continuing or subsequent default or a waiver by either party of its right at any time thereafter to require compliance with the applicable provisions.

10.7 Successors and Assigns. This Agreement will be binding upon and inure to the benefit of the successors and assigns of the parties, subject to the prohibitions and restrictions against transfer and assignment contained in this Agreement.

10.8 Entire Agreement. This Agreement and the Attachments incorporated into this Agreement contain all the terms and conditions agreed upon by the parties to this Agreement concerning the subject matter hereof. Except as set forth in the franchise disclosure document, no other agreements concerning the subject matter hereof, written or oral, will be deemed to exist or to bind any of the parties to this Agreement and all

prior agreements, understandings and representations, are merged into this Agreement and superseded hereby. This Agreement cannot be modified or changed except by written instrument signed by all the parties to this Agreement. Nothing in this Agreement or in any related agreement is intended to disclaim the representations we made in the franchise disclosure document.

10.9 Severability, Modification. Nothing contained in this Agreement will be construed as requiring the commission of any act contrary to applicable law. Whenever there is any conflict between any provisions of this Agreement and any present or future statute, law, ordinance or regulation contrary to which the parties have no legal right to contract, the latter will prevail, but in such event the provisions of this Agreement thus affected will be curtailed and limited only to the extent necessary to bring it within the requirements of the law. In the event that any part, Section, paragraph, sentence or clause of this Agreement will be held to be indefinite, invalid or otherwise unenforceable, the indefinite, invalid or unenforceable provision will be deemed deleted, and the remaining part of this Agreement will continue in full force and effect.

10.10 Notices. Except as otherwise expressly provided in this Agreement, all written notices and reports permitted or required to be delivered by the parties pursuant to this Agreement will be deemed so delivered at the time delivered by hand or email; one business day after electronically confirmed transmission by facsimile; one business day after delivery by Express Mail or other recognized, reputable overnight courier; or three business days after placement in the United States Mail by Registered or Certified Mail, Return Receipt Requested, postage prepaid and addressed to Franchisee or IHOP, as applicable, at the addresses set forth on the signature page. Either party may change its address for receiving notices, demands and other communications as in this Agreement provided by a written notice given in the manner aforesaid to the other party.

10.11 Counterparts. This Agreement may be executed in any number of counterparts, each of which will be deemed to be an original and all of which together will be deemed to be one and the same instrument. Signatures transmitted electronically or by facsimile will be deemed original signatures; provided the party delivering such electronic or facsimile signature will deliver to the other an original signature page within 24 hours after transmission.

11.

REPRESENTATIONS, COVENANTS AND ACKNOWLEDGMENTS

11.1 Organizational Representations and Warranties. IHOP and Franchisee each represent and warrant to the other that it is duly organized and validly existing under the law of the state of its formation, is duly qualified and authorized to do business in each jurisdiction in which its business activities or the nature of the properties it owns require such qualification and the execution of this Agreement and the performance of the transactions contemplated by this Agreement are within its corporate power.

11.2 Anti-Terrorism and Anti-Corruption Laws. Franchisee represents and warrants to IHOP that neither it nor any of its owners is identified, either by name or an alias, pseudonym or nickname, on the lists of “Specially Designated Nationals” or “Blocked Persons” maintained by the U.S. Treasury Department’s Office of Foreign Assets Control (texts currently available at www.treas.gov/offices/enforcement/ofac/). Further, Franchisee represents and warrants that has not violated, and agrees not to violate, any law prohibiting corrupt business practices, money laundering or the aid or support of persons who conspire to commit acts of terror against any person or government, including acts prohibited by the U.S. Patriot Act (text currently available at <http://www.epic.org/privacy/terrorism/hr3162.html>), U.S. Executive Order 13224 (text currently

available at <http://www.treas.gov/offices/enforcement/ofac/legal/eo/13224.pdf>), or any similar law. The foregoing constitutes continuing representations and warranties, and Franchisee will immediately notify IHOP in writing of the occurrence of any event or the development of any circumstance that might render any of the foregoing representations and warranties false, inaccurate or misleading.

[SIGNATURES ON NEXT PAGE]

The parties have executed this Agreement as of the Effective Date set forth below.

IHOP:

FRANCHISEE:

IHOP FRANCHISOR LLC,
a Delaware limited liability company

By: _____
Name: _____
Title: _____

By: _____
Name: _____
Title: _____

***Effective Date:** _____

Address for Notice Purposes:

Address for Notice Purposes:

General Counsel
IHOP Franchisor LLC
10 W. Walnut St.
Pasadena, CA 91103
Fax: (818) 637-5362

ATTACHMENT A

NON-TRADITIONAL MULTI-UNIT FRANCHISE AGREEMENT TERMS

1. The **Franchised Area** described in Section 1.1(a) is defined as the geographic territory contained within the boundaries described below:

2. Franchisee may develop Franchised Restaurants in the following type(s) of Facility(ies):

- ☐ a. Airports
- ☐ b. Educational Facilities (for example, schools, colleges or universities)
- ☐ c. Sports Facilities (for example, stadiums or arenas)
- ☐ d. Recreational Facilities (for example, theme parks, amusement parks, casinos, zoos)
- ☐ e. Healthcare Facilities (for example, hospitals)
- ☐ f. Government Facilities (for example, military bases)
- ☐ g. Convention and Conference Centers
- ☐ h. Business Facilities (for example, cafeterias or office campuses)
- ☐ i. Travel Hubs (for example, train stations, turnpikes and limited access toll road plazas)
- ☐ j. Other non-traditional venues, specifically: _____

3. Franchisee may develop up to _____ (specify number) Franchised Restaurants. Franchisee will develop the Franchised Restaurants [within _____ years from the Effective Date] according to the following time periods:

# of Franchised Restaurants:	Anticipated Opening Date:	Type of Restaurant(s) (IHOP Limited-Service or IHOP Full-Service or "Flip'd by IHOP", as defined in Attachment B):

4. The **Expiration Date** described in Section 2.1 is: _____
5. The **Renewal Fee** as of the date of this Agreement described in Section 4.3(c)(iii) is \$5,000.
6. The **National Advertising Fee** described in Section 4.4(c) is up to 3.5% of Gross Sales.
7. The **Local Advertising Expenditure Requirement** described in Section 4.4(d) is up to 1% of Gross Sales.
8. The current **Transfer Fee** described in Section 6.2(b) consists of a \$7,500 transfer fee and a \$5,000 training fee for each NT FA.
9. The current **Offering Fee** described in Section 6.2(c) is \$5,000.
10. The current training costs, as described in Section 4.5(f), are as follows:
 - a) Initial Training: Franchisee will not pay any initial training fee for up to two persons. Franchisee shall pay all expenses for such trainees. If IHOP provides initial training for more than two persons for each Franchised Restaurant, or if Franchisee requests training for a general manager more than one year after the Effective Date of a NT FA, Franchisee must pay IHOP's then-current training fee for such training, which is \$5,000 as of the date of this Agreement.
 - b) Opening Training Support: Franchisee shall pay an opening training support fee for each Franchised Restaurant for which IHOP elects to provide such assistance, which may be up to \$55,000 for an IHOP Full-Service Restaurant or up to \$7,000 for an IHOP Limited-Service Restaurant. Franchisee shall pay all expenses for such trainers.
11. The **Designated Representative** as described in Section 4.5(f) shall be _____,
whose address, email and telephone number are as follows:

IHOP # _____
City/State: _____
Facility: _____

ATTACHMENT B

NON-TRADITIONAL RESTAURANT FRANCHISE ADDENDUM

This Non-Traditional Restaurant Franchise Addendum (“NT FA”) is made and entered into as of _____, 20____ (“Commencement Date”), by and between IHOP FRANCHISOR LLC, a Delaware limited liability company (“IHOP”), and _____, a _____, having its principal offices at _____ (“Franchisee”) with reference to the following facts:

A. IHOP and Franchisee have entered into an IHOP Non-Traditional Multi-Unit Franchise Agreement (“IHOP NT MUFA”) pursuant to which IHOP granted Franchisee rights to develop one or more Franchised Restaurants in the Franchise Area (defined in Attachment A to the IHOP NT MUFA).

B. IHOP has agreed to permit Franchisee to develop one or more Franchised Restaurant(s) at non-traditional venue(s) (“Facility(ies)”), which include, but are not limited to, educational facilities such as schools and universities, travel facilities such as airports, bus stations, train stations, travel centers and truck stops recreational facilities such as theme parks, amusement parks, zoos, casinos and shopping malls, government facilities such as military bases, healthcare facilities such as hospitals, sports facilities such as stadiums and arenas, convention centers and other venues in which foodservice is or may be provided by a master concessionaire or contract foodservice provider, as set forth in Attachment A to the IHOP NT MUFA;

C. Under the IHOP Limited-Service Program, IHOP has agreed to permit Franchisee to develop one or more quick-serve Franchised Restaurants, which occupy approximately 800-1,200 square feet, with counter order, pay and pick up service, portable items from a limited menu offering and with shared seating such as in a food court setting or limited dedicated seating (“Quick-Serve Restaurant”) or fast-casual Franchised Restaurants, which occupy approximately 1,200 – 3,500 square feet, with counter ordering and table delivery service, an expanded menu offering packaged items for dine in or take out and dedicated seating (“Fast-Casual Restaurant,” and collectively with Quick-Serve Restaurant as “IHOP Limited-Service Restaurant(s)”). Under the Full-Service Program, IHOP has agreed to permit Franchisee to develop one or more full-service Franchised Restaurants, which occupy approximately 2,500 – 5,000 square feet, with table delivery service in a dedicated dining area with a full menu offering (“Full-Service Restaurant”).

D. Franchisee now desires to locate, develop and operate one Franchised Restaurant, under the Standards and Marks, and pursuant to the IHOP NT MUFA, at the Location listed below, and IHOP has agreed to grant Franchisee the right to locate, develop and operate such Franchised Restaurant.

NOW THEREFORE, the parties agree as follows:

1. **Incorporation by Reference.** It is agreed that, except for those specific items set forth below, all the terms, conditions and provisions of the IHOP NT MUFA (including all defined terms) are incorporated-

in this NT FA as if fully and completely set forth in this NT FA. The incorporation of the applicable terms and provisions of the IHOP NT MUFA into this NT FA will continue in effect so long as this NT FA remains in effect, notwithstanding the expiration or termination of the development rights under the IHOP NT MUFA.

2. **Grant.** Subject to the terms and conditions of the IHOP NT MUFA and Franchisee's continuing faithful performance, IHOP hereby grants to Franchisee the right to operate one restaurant under the Standards and the Marks ("**Franchised Restaurant**") to be located at:

("**Location**")

The Franchised Restaurant at the Location will be operated as an:

____ a. IHOP Limited-Service Restaurant

____ (i) Fast-Casual Restaurant
____ (ii) Quick-Serve Restaurant

____ b. IHOP Full-Service Restaurant

3. **Initial Term.** This Term will commence on the Effective Date and continue for a term of _____ years from the Actual Opening Date, unless terminated earlier as provided in the IHOP NT MUFA. Termination of this NT FA will not, in and of itself, effect a termination of the NT MUFA. Franchisee will have the right to obtain a successor term in accordance with the terms and conditions of Section 4.2 of the IHOP NT MUFA.

4. **Franchised Area.** The following area within the Facility has been designated by IHOP and accepted by Franchisee as the "**Franchised Area**" of the Franchised Restaurant in accordance with Section 4.1 of the IHOP NT MUFA:

[] The area is described as follows:

5. **Initial Franchise Fee.** Franchisee will pay to IHOP an initial franchise fee of:

____ a. \$15,000 for an IHOP Limited-Service Restaurant (Fast-Casual Restaurant or Quick-Serve Restaurant)

____ b. \$25,000 for an IHOP Full-Service Restaurant

6. **Continuing Royalty.** IHOP and Franchisee agree that the Continuing Royalty for the Franchised Restaurant authorized by this Addendum will be in the amount of 4.5% of Gross Sales.

7. **Anticipated Opening Date:** _____

8. **National Advertising Fee:**

___ Level 1: 3.5% of Gross Sales

___ Level 2: 2% of Gross Sales

___ Level 3: 1% of Gross Sales

9. **Local Advertising Expenditure Requirement:**

___ Level 1: 0% of Gross Sales

___ Level 2: 1% of Gross Sales

___ Level 3: Other: _____

10. **Permitted to join Regional Advertising Cooperative:** ___ Yes
___ No

11. **Existing Business(es).** IHOP agrees that Franchisee's Existing Business(es) are not deemed Competitive Businesses for purposes of Section 5.4(c) of the IHOP NT MUFA:

Existing Business: _____

Specific Location within Facility: _____

12. **Training** (Check as applicable):

_____ # of people to go to Initial Training: _____

_____ Initial Training Waived

_____ Opening Training Support Required

_____ # of Trainers IHOP to Provide: _____

_____ # of Trainers Franchisee to Provide: _____

_____ Opening Training Support Fee: _____

_____ Opening Training Support Waived

13. **General Release.** Franchisee (on its behalf and on behalf of its respective parents, subsidiaries and affiliates and each of their respective past and present members, officers, directors, stockholders, agents and employees, in their corporate and individual capacities) ("**Releasors**") freely and without any influence forever releases and covenants not to sue IHOP, or its respective parents, subsidiaries and affiliates and each of their respective past and present members, officers, directors, shareholders, agents and employees, in their corporate and individual capacities ("**Releasees**") with respect to any and all claims, demands, liabilities and causes of action of whatever kind or nature, whether known or unknown, vested or contingent, suspected or unsuspected ("**Claims**"), which any Releasors now own or hold or may at any time have owned or held as of the Effective Date of this NT FA, including, without limitation, Claims arising under federal, state and local laws, rules and ordinances and claims arising out of, or relating to the NT FA, this NT FA and all other agreements between any Releasor and any Releasee, the sale of any franchise or license to any Releasor and the development and operation of all existing Franchised Restaurants. Franchisee expressly agrees that fair

consideration has been given by it for this mutual general release and fully understands that this is a negotiated, complete and final release of all Claims. This general release does not release or otherwise impair or affect any claims arising after the date of this NT FA.

WAIVER OF SECTION 1542 OF THE CALIFORNIA CIVIL CODE.

Franchisee, for itself and for the Releasors, acknowledges that it is familiar with Section 1542 of the California Civil Code, which reads as follows:

A GENERAL RELEASE DOES NOT EXTEND TO CLAIMS THAT THE CREDITOR OR RELEASING PARTY DOES NOT KNOW OR SUSPECT TO EXIST IN HIS OR HER FAVOR AT THE TIME OF EXECUTING THE RELEASE AND THAT, IF KNOWN BY HIM OR HER, WOULD HAVE MATERIALLY AFFECTED HIS OR HER SETTLEMENT WITH THE DEBTOR OR RELEASED PARTY.

With respect to those claims, demands, obligations, liabilities, actions, and causes of actions being released pursuant to this General Release, Franchisee, for itself and for the Releasors, acknowledges that it is releasing unknown claims and waives all rights it has or may have under Section 1542 of the California Civil Code or any other statute or common law principle of similar effect.

Franchisee, for itself and for the Releasors, acknowledges that this General Release extends to claims which the Releasors do not know or suspect to exist in favor of the Releasors at the time of executing this General Release, which if known by the Releasors may have materially affected its decision to enter this General Release. It is understood by the Releasors that the facts in respect of which this General Release is given may hereafter turn out to be other than or different from the facts in that connection known or believed to be true. The Releasors, therefore, expressly assume the risk of the facts turning out to be so different and agrees that this Mutual General Release shall be in all respects effective and not subject to termination or rescission by any such difference in facts.

[SIGNATURES ON NEXT PAGE]

IN WITNESS WHEREOF, the parties have executed this Non-Traditional Restaurant Franchise Addendum on _____, 20____.

IHOP:

IHOP FRANCHISOR LLC

a Delaware limited liability company

By: _____

Name: _____

Title: _____

FRANCHISEE:

By: _____

Name: _____

Title: _____

**GUARANTEE OF OBLIGATIONS
(IHOP NT MUFA)**

EXHIBIT C

**GUARANTEE OF OBLIGATIONS
(IHOP Non-Traditional Multi-Unit Franchise Agreement)**

THIS GUARANTEE OF OBLIGATIONS (IHOP Non-Traditional Multi-Unit Franchise Agreement) (“**Guarantee**”) is given by _____ (hereinafter referred to as “**the undersigned**”) to IHOP FRANCHISOR LLC, a Delaware limited liability company (hereinafter referred to as “**IHOP**”), in consideration of the execution of the IHOP Non-Traditional Multi-Unit Agreement by _____ (hereinafter referred to as “**Franchisee**”).

The undersigned hereby covenants with IHOP that if default shall, at any time, be made by Franchisee in the payment of any sums of money due IHOP pursuant to the Non-Traditional Multi-Unit Franchise Agreement between IHOP Franchisor LLC and Franchisee to be executed concurrently herewith (hereinafter referred to as the “**IHOP NT MUFA**”), or if Franchisee shall default in fulfilling any of the covenants, agreements or conditions of the IHOP NT MUFA to be performed by Franchisee, the undersigned shall pay to IHOP, its successors or assigns, any sums of money which may be owing under the IHOP NT MUFA and/or shall take such action as may be required to cure the default in any of the covenants, agreements or conditions of the IHOP NT MUFA to be performed by Franchisee, and the undersigned will pay all damages that may arise as a consequence thereof.

This Guarantee shall be a continuing guarantee, and the liability of the undersigned hereunder shall in no way be affected or diminished in any manner whatsoever by reason of the assertion by IHOP against Franchisee of any of the rights or remedies reserved to IHOP pursuant to the IHOP NT MUFA, by reason of the waiver by IHOP, or the failure of IHOP to enforce any, of the provisions, covenants, or conditions of the IHOP NT MUFA, or by reason of the granting by IHOP of any indulgence or extension of time to Franchisee, and the liability hereunder shall in no way be affected or diminished by reason of any amendment, modification, renewal or extension of the IHOP NT MUFA, or the abandonment or surrender of the IHOP NT MUFA by Franchisee.

The undersigned hereby expressly waives the following:

- (i) Notice of the acceptance of this Guarantee by any person or entity; and
- (ii) Any and all notices to which the undersigned might otherwise be entitled to in connection with this Guarantee and the IHOP NT MUFA. It shall not be necessary for IHOP, in order to enforce this Guarantee, to first institute any suit or proceeding or exhaust legal remedies against Franchisee.

The undersigned hereby waives any right to require, as a condition precedent to bringing action on this Guarantee:

- (a) Proceeding against Franchisee under the IHOP NT MUFA; or
- (b) Pursuing any other remedy in IHOP’s, their successors’ or assigns’ power whatsoever.

This Guarantee shall not be discharged or affected by the dissolution, liquidation or bankruptcy of Franchisee or the merger of Franchisee with another business entity.

This Guarantee is an absolute guaranty of payment and not of collection. The undersigned agrees to pay reasonable attorneys' fees, court costs and any and all other costs and expenses which may be incurred in the enforcement of this Guarantee, whether or not suit is brought hereon.

This Guarantee shall inure to the benefit of the IHOP and their successors and assigns. Notice of assignment, transfer or disposition by IHOP of their interests hereunder or under the IHOP NT MUFA is hereby waived by the undersigned.

The undersigned agrees to be personally bound by each and every provision of the IHOP NT MUFA including, without limitation, the agreement to arbitrate disputes in Section 10.2 of the IHOP NT MUFA.

This Guarantee shall be construed under the laws of the State of California.

IN WITNESS WHEREOF, this Guarantee of Obligations is executed this _____ day of _____, 20__.

APPROVED:
FRANCHISEE:

ACCEPTED:
IHOP:
IHOP FRANCHISOR LLC

By: _____

Its: _____

FINANCIAL STATEMENTS

EXHIBIT D

FINANCIAL STATEMENTS

IHOP Franchisor LLC

Fiscal Years Ended December 28, 2025 and December 29, 2024

With Report of Independent Auditors

IHOP Franchisor LLC

Financial Statements

Fiscal Years Ended December 28, 2025 and December 29, 2024

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KPMG LLP
Suite 1100
4655 Executive Drive
San Diego, CA 92121-3132

Independent Auditors' Report

Member of IHOP Franchisor LLC:

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of IHOP Franchisor LLC (the Company), which comprise the balance sheet as of December 28, 2025, and the related statements of income, member's equity, and cash flows for the year then ended, and the related notes to the financial statements.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as of December 28, 2025, and the results of its operations and its cash flows for the year then ended in accordance with U.S. generally accepted accounting principles.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Emphasis of Matter

As discussed in Notes 1 and 5 to the financial statements, the Company has various agreements with Dine Brands Global, Inc. and its affiliates related to administrative, management, and support activities and various other items. The accompanying financial statements may not be indicative of conditions that would have existed if IHOP Franchisor LLC had been operated as an unaffiliated entity. Our opinion is not modified with respect to this matter.

Other Matter

The accompanying financial statements of the Company as of December 29, 2024, and for the year then ended were audited by other auditors whose report thereon dated March 20, 2025, expressed an unmodified opinion on those financial statements.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with U.S. generally accepted accounting principles, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date that the financial statements are available to be issued.



Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the combined consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the combined consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the combined consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.

KPMG LLP

San Diego, California
March 25, 2026

IHOP Franchisor LLC

Balance Sheets (In thousands)

	December 28, 2025	December 29, 2024
Assets		
Current assets:		
Cash and cash equivalents	\$ 897	\$ 1,223
Receivables, net of allowance of \$2,763 (2025) and \$1,832 (2024)	20,130	19,474
Related party note receivable	—	7,000
Other current assets	218	42
Total current assets	21,245	27,739
Long-term restricted cash	22,000	19,500
Long-term receivables, net of allowance of \$471 (2025) and \$730 (2024)	7,507	9,844
Related party note receivable	10,500	3,500
Other non-current assets	2,860	732
Total assets	\$ 64,112	\$ 61,315
Liabilities and Member's Equity		
Current liabilities:		
Deferred revenue	\$ 3,063	\$ 2,956
Other accrued expenses	49	100
Total current liabilities	3,112	3,056
Long-term deferred revenue	19,915	20,295
Total liabilities	23,027	23,351
Member's equity:		
Contributed capital	35,465	35,465
Due from Member, net of Due to Affiliates of \$752,684 (2025) and \$638,779 (2024)	(473,318)	(399,158)
Retained earnings	478,938	401,657
Total member's equity	41,085	37,964
Total liabilities and member's equity	\$ 64,112	\$ 61,315

See accompanying notes to the financial statements.

IHOP Franchisor LLC

Statements of Income (In thousands)

	Fiscal Year Ended	
	December 28, 2025	December 29, 2024
Revenues		
Franchise revenues:		
Royalties	\$ 99,196	\$ 92,783
Advertising fees	78,332	73,610
Franchise, development and other fees	4,336	4,444
Total franchise revenues	181,864	170,837
Financing revenues	670	846
Total revenues	182,534	171,683
Costs and Expenses		
Franchise expenses:		
Advertising expenses	78,332	73,610
Bad debt expense	1,056	1,457
Other franchise expenses	1,209	1,016
Total franchise expenses	80,597	76,083
Financing expenses	77	107
General and administrative expenses	26,130	22,269
Total costs and expenses	106,804	98,459
Other income, net	1,551	1,570
Net income	\$ 77,281	\$ 74,794

See accompanying notes to the financial statements.

IHOP Franchisor LLC

Statements of Member's Equity (In thousands)

	Contributed Capital	Due from Member, net	Retained Earnings	Total
Balance, January 1, 2024	\$ 35,465	\$ (323,457)	\$ 326,863	\$ 38,871
Net income	—	—	74,794	74,794
Change in Due from Member, net	—	(75,701)	—	(75,701)
Balance, December 29, 2024	35,465	(399,158)	401,657	37,964
Net income	—	—	77,281	77,281
Change in Due from Member, net	—	(74,160)	—	(74,160)
Balance, December 28, 2025	<u>\$ 35,465</u>	<u>\$ (473,318)</u>	<u>\$ 478,938</u>	<u>\$ 41,085</u>

See accompanying notes to the financial statements.

IHOP Franchisor LLC

Statements of Cash Flows (In thousands)

	Fiscal Year Ended	
	December 28, 2025	December 29, 2024
Cash flows from operating activities		
Net income	\$ 77,281	\$ 74,794
Adjustments to reconcile net income to cash flows provided by operating activities:		
Due from Member, net	(74,160)	(75,701)
Provision for bad debt expense	1,056	1,457
Changes in operating assets and liabilities		
Receivables	625	308
Deferred revenue	(273)	1,040
Other accrued expenses	(51)	(824)
Other assets	(2,304)	(623)
Cash flows provided by operating activities	<u>2,174</u>	<u>451</u>
Net change in cash, cash equivalents and restricted cash	2,174	451
Cash, cash equivalents and restricted cash at beginning of year	<u>20,723</u>	<u>20,272</u>
Cash, cash equivalents and restricted cash at end of year	<u>\$ 22,897</u>	<u>\$ 20,723</u>

See accompanying notes to the financial statements.

IHOP Franchisor LLC

Notes to the Financial Statements

1. Formation and Business

Organization and Nature of Operations

IHOP Franchisor LLC (the Company) is a single-member limited liability company formed in Delaware on July 28, 2014 and is governed by the limited liability company agreement dated July 28, 2014. The Company is a wholly-owned subsidiary of IHOP Funding LLC (the Member), which, through various entities, is a wholly-owned subsidiary of International House of Pancakes, LLC (IHOP LLC), which is a wholly-owned subsidiary of Dine Brands Global, Inc. (Dine).

The Company was formed as a special purpose entity to act as franchisor and to hold all rights, title and interest in new franchise agreements for International House of Pancakes® (IHOP) restaurants in the United States effective after September 30, 2014 (the Agreements) and all accrued and future rights to collection under the Agreements. In its capacity as the franchisor, the Company enters into all additional development and franchise agreements for IHOP restaurants within the United States (including all substitute or replacement franchise agreements for existing IHOP restaurants).

As of December 28, 2025, there were 1,198 IHOP restaurants subject to franchise agreements held by the Company located in 46 states of the United States and District of Columbia. As of December 29, 2024, there were 1,136 IHOP restaurants subject to franchise agreements held by the Company located in 48 states of the United States.

Fiscal Periods

The Company has a 52/53 week fiscal year that ends on the Sunday nearest to December 31 of each year. The 2025 year presented herein began on December 30, 2024 and ended on December 28, 2025. The 2024 year presented herein began on January 1, 2024 and ended on December 29, 2024. Both 2025 and 2024 fiscal years contained 52 weeks.

Profits and Losses and Distributions

In accordance with the Company's LLC agreement, net income, losses and distributions are all allocated entirely to the Member.

2. Summary of Significant Accounting Policies

Use of Estimates

The preparation of financial statements in conformity with U.S. generally accepted accounting principles (U.S. GAAP) requires the Company's management to make estimates and assumptions that affect the reported amounts of assets and liabilities, disclosures of contingent assets and liabilities, if any, at the date of the financial statements, and the reported amounts of revenues and expenses during the reporting period.

IHOP Franchisor LLC

Notes to the Financial Statements (continued)

Significant estimates are made in the calculation and assessment of allowance for doubtful accounts and notes receivable and contingencies. On an ongoing basis, the Company evaluates its estimates based on historical experience, current conditions and various other assumptions that are believed to be reasonable under the circumstances. The Company adjusts such estimates and assumptions when facts and circumstances dictate. Actual results could differ from those estimates.

Cash and Cash Equivalents

The Company considers all unrestricted, highly-liquid investments with an original maturity of three months or less to be cash equivalents.

Restricted Cash

Long-term restricted cash of \$22.0 million and \$19.5 million at December 28, 2025 and December 29, 2024, respectively, represent interest reserves held on behalf of its Member.

Revenue Recognition

Franchise revenues consist primarily of royalty revenues, advertising fees and franchise fees. Franchise revenues are recognized upon transfer of control of promised goods or services to customers in an amount that reflects the consideration the Company expects to receive for those goods or services.

The intellectual property subject to the franchise license is symbolic intellectual property as it does not have significant standalone functionality. Substantially all the utility is derived from its association with the Company's past or ongoing activities. The nature of the Company's promise in granting the franchise license is to provide the franchisee with access to the brand's symbolic intellectual property over the term of the license.

Accordingly, the franchise revenues are recognized as follows:

- Franchise and development fees – recognized on a straight-line basis over the term of the franchise agreement commencing with the restaurant opening date. As these fees are typically received in cash at or near the beginning of the franchise term, the cash received is initially recorded as a contract liability until recognized as revenue;
- Royalties and advertising fees – recognized as the franchisee's sales occur. Depending on timing within a fiscal period, the recognition of revenue results in either a contract asset (unbilled receivable) or, once billed, accounts receivable, on the balance sheet.

In determining the amount and timing of revenue from contracts with customers, the Company exercises significant judgment with respect to collectability of the amount; however, the timing of recognition does not require significant judgment as it is based on either the franchise term or the month of reported sales by the franchisee, neither of which requires estimation.

The Company does not incur a significant amount of contract acquisition costs in conducting its franchising activities. The Company believes its franchising arrangements do not contain a significant financing component. Financing revenue is recorded as earned.

IHOP Franchisor LLC

Notes to the Financial Statements (continued)

Advertising

Costs of advertising typically are expensed either as incurred or the first time the advertising takes place. Any excess or deficiency of advertising fee revenue compared to advertising expenditures, is recognized on an annual basis. Any excess of revenue over expenditures is recognized only to the extent of previously recognized deficits. When advertising revenues exceed the related advertising expenses and there is no recovery of a previously recognized deficit of advertising revenues, advertising costs are accrued up to the amount of revenues. The advertising fees are recorded as a component of Due to Affiliates against which specific costs are charged. See *Note 5 – Related Party Transaction* of the Notes to the Financial Statements.

Receivables and Allowance for Credit Losses

The Company determines the allowance based on historical experience, current payment patterns and reasonable and supportable forecasts used in assessing the franchisees' ability to pay outstanding balances. The primary indicator of credit quality is delinquency, which is considered to be a receivable balance greater than 90 days past due. Allowance for doubtful accounts is continually reviewed. Past due balances are reviewed individually for collectability. Account balances are charged against the allowance after all collection efforts have been exhausted and the potential for recovery is considered remote.

Concentrations of Credit Risk

The Company's cash and receivables are potentially subject to concentration of credit risk. Cash is placed with financial institutions that management believes are creditworthy. The Company does not believe that it is exposed to any significant credit risk on cash. At times, cash balances may be in excess of FDIC insurance limits.

Accounts receivables are derived from revenues earned from franchisees located in the United States. Financing receivables arise from the financing of restaurant equipment by franchisees. The Company is not subject to a significant concentration of credit risk with respect to accounts receivable.

As of December 28, 2025, two franchisees owned a total of 163 IHOP restaurants, representing 14% of the Company's restaurants. Revenues from these franchisees represented 14% of the Company's total revenues for the year ended December 28, 2025. As of December 29, 2024, two franchisees owned a total of 155 IHOP restaurants, representing 14% of the Company's restaurants. Revenues from these franchisees represented 13% of the Company's total revenues for the year ended December 29, 2024. No individual franchisee represented more than 10% of the Company's total revenue for the year ended December 28, 2025.

Income Taxes

The Company, a disregarded entity for both federal and state tax filing purposes, elected to simplify the accounting for income taxes under ASC740, *Income Taxes*, which does not require tax allocation. Accordingly, its results are included in the consolidated tax returns of Dine.

Pre-opening Expenses

Expenditures related to the opening of new or relocated restaurants are charged to expense when incurred and are included as a component of franchise expenses in the Statement of Income.

IHOP Franchisor LLC

Notes to the Financial Statements (continued)

Accounting Standards

The Company reviewed new accounting guidance that became effective as of the beginning of fiscal 2025 as well as other newly issued accounting pronouncements and concluded that they were either not applicable to its operations or had no material effect on its financial statements in the current or future fiscal years.

3. Revenue

The components of the change in the Company's deferred revenue during the year ended December 28, 2025 are as follows:

	Deferred Franchise Revenue (short- and long-term)
	(In thousands)
Balance at December 29, 2024	\$ 23,251
Recognized as revenue during the fiscal year	(4,547)
Fees deferred during the fiscal year	4,274
Balance at December 28, 2025	<u>\$ 22,978</u>

The balance of deferred revenue as of December 28, 2025 is expected to be recognized as follows:

	(In thousands)
2026	\$ 3,063
2027	2,555
2028	2,079
2029	1,847
2030	1,722
Thereafter	11,712
Total deferred franchise revenue	<u>\$ 22,978</u>

4. Receivables

Receivables at December 28, 2025 and December 29, 2024 were as follows (in thousands):

IHOP Franchisor LLC

Notes to the Financial Statements (continued)

	2025		2024
Accounts receivable	\$ 19,783	\$	17,635
Equipment leases receivable	3,214		6,558
Notes receivable	7,874		7,687
Total receivables	<u>30,871</u>		<u>31,880</u>
Less: allowance for doubtful accounts	<u>(3,234)</u>		<u>(2,562)</u>
	27,637		29,318
Less: current portion	<u>(20,130)</u>		<u>(19,474)</u>
Long-term receivables	<u>\$ 7,507</u>	\$	<u>9,844</u>

Accounts receivable primarily includes royalty and advertising receivables due from franchisees. Equipment leases receivables primarily relate to leasing of the restaurant equipment to franchisees. Equipment lease contracts are due in equal weekly installments, and bear a weighted-average interest rate of 9.4% and 9.2% per annum at December 28, 2025 and December 29, 2024, respectively, and are collateralized by the equipment. The Company recognized interest income on equipment leases of \$0.4 million and \$0.7 million during the fiscal years ended December 28, 2025 and December 29, 2024, respectively.

As the Company's equipment leases portfolio reaches maturity, its future minimum payments to be received are as follows:

		(In thousands)
2026	\$	1,876
2027		976
2028		232
2029		25
2030		11
Thereafter	\$	93

The primary indicator of the credit quality of financing receivables is delinquency. The Company continually reviews the allowance for credit losses.

Changes in the allowance for credit losses during the fiscal years ended December 28, 2025 and December 29, 2024 were as follows:

IHOP Franchisor LLC

Notes to the Financial Statements (continued)

	<u>Accounts Receivable</u>	<u>Notes Receivable, long-term</u>	<u>Equipment Leases Receivable</u>	<u>Total</u>
Balance, January 1, 2024	\$ 1,173	\$ 27	\$ 79	\$ 1,279
Bad debt expense	674	420	363	1,457
Write-offs	(15)	—	(159)	(174)
Balance, December 29, 2024	1,832	447	283	2,562
Bad debt (credit) expense	1,009	(155)	202	1,056
Write-offs	(78)	—	(306)	(384)
Balance, December 28, 2025	<u>\$ 2,763</u>	<u>\$ 292</u>	<u>\$ 179</u>	<u>\$ 3,234</u>

5. Related Party Transactions

All cash receipts from the Company's operating revenue are collected and administered by the Member, resulting in a balance due from Member. All cash disbursements related to the Company's operating expenses are paid by affiliated entities (the Affiliates), resulting in a balance due to Affiliates. The Company, the Member and the Affiliates are under the common control of Dine. The Company and Dine determined that the balance due to Affiliates and the balance due from Member (collectively, the Related Party balances) will not be settled until the Company's and its Member's organizations are dissolved. Since the Related Party balances will not be settled until the dissolution of the Company and the Company, the Member and the Affiliates are all under the common control of Dine, the net amount of the Related Party balances is classified within equity as Due from Member, net.

IHOP LLC allocates costs of general and administrative services to the Company, including information technology, human resources, quality assurance, training, legal, payroll, audit, tax, and communication. These costs are allocated on a basis the Company believes to be reasonable, primarily proportional allocation based on revenue, or specific identification, where applicable. The Company cannot estimate with any reasonable certainty what the charges for similar transactions would have been on a stand-alone basis. The total amounts of allocated costs charged to the Company of \$26.1 million and \$22.2 million for the fiscal years ended December 28, 2025 and December 29, 2024, respectively, is included in general and administrative expenses in the Statements of Income.

In November 2019, Dine borrowed \$7.0 million from the Company at an interest rate of 6.5% per annum with interest payable semiannually beginning in December 2019. This note was originally due in the second quarter of 2022. In June 2022 and 2025, the note was amended and extended to June 2025 and 2035, respectively. In April 2023, Dine borrowed an additional \$3.5 million from the Company at an interest rate of 8.0% per annum. The note is due in December 2027 with interest payable annually beginning in December 2023. Total interest income of \$0.7 million related to these notes is included in other income, net in the Statements of Income for each of the fiscal years ended December 28, 2025 and December 29, 2024.

IHOP Franchisor LLC

Notes to the Financial Statements (continued)

6. Commitments and Contingencies

The Company is subject to various lawsuits, governmental inspections, administrative proceedings, audits, and claims arising in the ordinary course of business. Some of these lawsuits purport to be class actions and/or seek substantial damages. The Company is required to record an accrual for litigation loss contingencies that are both probable and reasonably estimable. Legal fees and expenses associated with the defense of the Company's litigation are expensed as incurred. In the opinion of management, these matters are adequately covered by insurance or, if not so covered, are without merit or are of such a nature or involve amounts that would not have a material adverse impact on the Company's business or financial statements. Management regularly assesses the Company's insurance deductibles, analyzes litigation information with the Company's attorneys and evaluates its loss experience in connection with pending legal proceedings. While the Company does not presently believe that any of the legal proceedings to which the Company is currently a party will ultimately have a material adverse impact on the Company, there can be no assurance that the Company will prevail in all the proceedings the Company is party to, or that the Company will not incur material losses from them.

7. Subsequent Events

The Company has evaluated subsequent events for potential recognition or disclosure through March 25, 2026, the date the financial statements were available to be issued.

FINANCIAL STATEMENTS

IHOP Franchisor LLC

Fiscal Years Ended December 29, 2024 and December 31, 2023

With Report of Independent Auditors

IHOP Franchisor LLC

Financial Statements

Fiscal Years Ended December 29, 2024 and December 31, 2023

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Report of Independent Auditors

Member of IHOP Franchisor LLC

Opinion

We have audited the financial statements of IHOP Franchisor LLC (the Company), which comprise the balance sheets as of December 29, 2024 and December 31, 2023, and the related statements of income, member's equity and cash flows for the fiscal years then ended, and the related notes (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company at December 29, 2024 and December 31, 2023, and the results of its operations and its cash flows for the fiscal years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free of material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free of material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood



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that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Ernst & Young LLP

March 20, 2025

IHOP Franchisor LLC

Balance Sheets (In thousands)

	December 29, 2024	December 31, 2023
Assets		
Current assets:		
Cash	\$ 1,223	\$ 689
Restricted cash	—	83
Receivables, net of allowance of \$1,832 and \$1,173 as of December 29, 2024 and December 31, 2023, respectively	19,474	20,245
Related party note receivable	7,000	—
Other current assets	<u>42</u>	<u>15</u>
Total current assets	27,739	21,032
Long-term restricted cash	19,500	19,500
Long-term receivables, net of allowance of \$730 and \$106 as of December 29, 2024 and December 31, 2023, respectively	9,844	10,838
Related party note receivable	3,500	10,500
Other non-current assets	<u>732</u>	<u>136</u>
Total assets	<u>\$ 61,315</u>	<u>\$ 62,006</u>
Liabilities and member's equity		
Current liabilities:		
Deferred revenue	\$ 2,956	\$ 2,942
Other accrued expenses	<u>100</u>	<u>924</u>
Total current liabilities	3,056	3,866
Long-term deferred revenue	<u>20,295</u>	<u>19,269</u>
Total liabilities	23,351	23,135
Commitments and contingencies		
Member's equity:		
Contributed capital	35,465	35,465
Due from Member (net of Due to Affiliates of \$638,779 and \$531,121 as of December 29, 2024 and December 31, 2023, respectively)	(399,158)	(323,457)
Retained earnings	<u>401,657</u>	<u>326,863</u>
Total member's equity	<u>37,964</u>	<u>38,871</u>
Total liabilities and member's equity	<u>\$ 61,315</u>	<u>\$ 62,006</u>

See accompanying notes to the financial statements.

IHOP Franchisor LLC

Statements of Income (In thousands)

	Fiscal Year Ended	
	December 29, 2024	December 31, 2023
Revenues		
Franchise revenues	\$ 170,837	\$ 160,692
Financing revenues	846	1,086
Total revenues	<u>171,683</u>	<u>161,778</u>
Costs and Expenses		
Franchise expenses:		
Advertising expenses	73,610	69,010
Bad debt expense	1,457	2,241
Other franchise expenses	<u>1,016</u>	<u>2,079</u>
Total franchise expenses	76,083	73,330
Financing expenses	107	135
General and administrative expenses	<u>22,269</u>	<u>22,853</u>
Total costs and expenses	<u>98,459</u>	<u>96,318</u>
Other income, net	<u>1,570</u>	<u>1,541</u>
Net income	<u>\$ 74,794</u>	<u>\$ 67,001</u>

See accompanying notes to the financial statements.

IHOP Franchisor LLC

Statements of Member's Equity (In thousands)

	Contributed Capital	Due from Member, net	Retained Earnings	Total
Balance, January 1, 2023	35,465	(264,041)	259,862	31,286
Net income	—	—	67,001	67,001
Change in Due from Member, net (Note 5)	—	(59,416)	—	(59,416)
Balance, December 31, 2023	35,465	(323,457)	326,863	38,871
Net income	—	—	74,794	74,794
Change in Due from Member, net (Note 5)	—	(75,701)	—	(75,701)
Balance, December 29, 2024	\$ 35,465	\$ (399,158)	\$ 401,657	\$ 37,964

See accompanying notes to the financial statements.

IHOP Franchisor LLC

Statements of Cash Flows (In thousands)

	Fiscal Year Ended	
	December 29, 2024	December 31, 2023
Operating activities		
Net income	\$ 74,794	\$ 67,001
Adjustments to reconcile net income to cash flows provided by operating activities:		
Provision for bad debt expense	1,457	2,241
Changes in operating assets and liabilities		
Due from Member, net	(75,701)	(59,416)
Receivables	308	(6,186)
Deferred revenue	1,040	(1,149)
Other accrued expenses	(824)	492
Other	(623)	530
Cash flows provided by operating activities	<u>451</u>	<u>3,513</u>
Investing activities		
Issuance of related party note receivable	<u>—</u>	<u>(3,500)</u>
Cash flows used in investing activities	<u>—</u>	<u>(3,500)</u>
Net change in cash and restricted cash	451	13
Cash and restricted cash at beginning of year	<u>20,272</u>	<u>20,259</u>
Cash and restricted cash at end of year	<u>\$ 20,723</u>	<u>\$ 20,272</u>
Supplemental Disclosure of non-cash financing activity:		
Transfer from Due from Member to Member's Equity	<u>\$ 75,701</u>	<u>\$ 59,416</u>

See accompanying notes to the financial statements.

IHOP Franchisor LLC

Notes to the Financial Statements

1. Formation and Business

Organization

IHOP Franchisor LLC (the Company) is a single-member limited liability company formed in Delaware on July 28, 2014 and is governed by the limited liability company agreement dated July 28, 2014. The Company is a wholly-owned subsidiary of IHOP Funding LLC (the Member), which, through various entities, is a wholly-owned subsidiary of International House of Pancakes, LLC (IHOP LLC), which is a wholly-owned subsidiary of Dine Brands Global, Inc. (Dine).

On June 5, 2019, the Member and a sister entity (the Co-Issuers), each a special purpose, wholly-owned indirect subsidiary of Dine, issued two tranches of fixed rate senior secured notes, \$700 million of 2019 Class A-2-I Notes and \$600 million of 2019 Class A-2-II Notes. On August 12, 2022, the Co-Issuers also replaced their existing revolving financing facility with a new revolving financing facility (the Credit Facility). On April 17, 2023, the Co-Issuers completed a refinancing transaction and issued \$500 million of 2023 Class A-2 Notes and paid off the remaining balance of the 2019 Class A-2-I Notes. The Class A-2-II Notes and the 2023 Class A-2 Notes have an anticipated repayment date of June 2026 and June 2029, respectively. The fixed rate senior secured notes and the Credit Facility are referred to collectively herein as the “Notes.” The Notes were issued in a securitization transaction pursuant to which substantially all of Dine’s domestic revenue-generating assets and domestic intellectual property are held by the Co-Issuers and certain other special-purpose, wholly-owned indirect subsidiaries of Dine (the “Guarantors”) that act as guarantors of the Notes and that have pledged substantially all of their assets to secure the Notes.

Nature of Operations

The Company was formed as a special purpose entity to act as franchisor and to hold all rights, title and interest in new franchise agreements for International House of Pancakes® (IHOP) restaurants in the United States effective after September 30, 2014 (the Agreements) and all accrued and future rights to collection under the Agreements. In its capacity as the franchisor, the Company enters into all additional development and franchise agreements for IHOP restaurants within the United States (including all substitute or replacement franchise agreements for existing IHOP restaurants).

As of December 29, 2024, there were 1,136 IHOP restaurants subject to franchise agreements held by the Company located in 48 states and District of Columbia. As of December 31, 2023, there were 1,053 IHOP restaurants subject to franchise agreements held by the Company located in 47 states.

Fiscal Period

The Company has a 52/53 week fiscal year that ends on the Sunday nearest to December 31 of each year. The 2024 year presented herein began on January 1, 2024 and ended on December 29, 2024. The 2023 year presented herein began on January 2, 2023 and ended on December 31, 2023. Both 2024 and 2023 fiscal years contained 52 weeks.

Profits and Losses and Distributions

All profits and losses and distributions will be allocated entirely to the Member.

IHOP Franchisor LLC

Notes to the Financial Statements (continued)

2. Summary of Significant Accounting Policies

Use of Estimates

The preparation of financial statements in conformity with U.S. generally accepted accounting principles (U.S. GAAP) requires the Company's management to make estimates and assumptions that affect the reported amounts of assets and liabilities, disclosures of contingent assets and liabilities, if any, at the date of the financial statements, and the reported amounts of revenues and expenses during the reporting period. Significant estimates are made in the calculation and assessment of allowance for doubtful accounts and notes receivable and contingencies. On an ongoing basis, the Company evaluates its estimates based on historical experience, current conditions and various other assumptions that are believed to be reasonable under the circumstances. The Company adjusts such estimates and assumptions when facts and circumstances dictate. Actual results could differ from those estimates.

Cash and Cash Equivalents

The Company considers all unrestricted, highly-liquid investments with an original maturity of three months or less to be cash equivalents.

Restricted Cash

Long-term restricted cash of \$19.5 million at December 29, 2024 and December 31, 2023 represents interest reserves set aside for the duration of the Notes.

Revenue Recognition

Franchise revenues consist primarily of royalty revenues, advertising fees and franchise fees. Franchise revenue is recognized in accordance with Accounting Standards Codification 606 - *Revenue from Contracts with Customers* ("ASC 606"). Under ASC 606, revenue is recognized upon transfer of control of promised services or goods to customers in an amount that reflects the consideration the Company expects to receive for those services or goods.

The Company owns and franchises the IHOP restaurant concept. The franchise arrangement is documented in the form of a franchise agreement and, in most cases, a development agreement. The franchise arrangement between the Company as the franchisor and the franchisee as the customer requires the Company to perform various activities to support the brand that do not directly transfer goods and services to the franchisee, but instead represent a single performance obligation, which is the transfer of the franchise license. The intellectual property subject to the franchise license is symbolic intellectual property as it does not have significant standalone functionality, and substantially all the utility is derived from its association with the Company's past or ongoing activities. The nature of the Company's promise in granting the franchise license is to provide the franchisee with access to the brand's symbolic intellectual property over the term of the license. The services provided by the Company are highly interrelated with the franchise license and as such are considered to represent a single performance obligation.

IHOP Franchisor LLC

Notes to the Financial Statements (continued)

2. Summary of Significant Accounting Policies (continued)

The transaction price in a standard franchise arrangement primarily consists of (a) initial franchise/development fees; (b) continuing franchise fees (royalties); and (c) advertising fees. Since the Company considers the licensing of the franchising right to be a single performance obligation, no allocation of the transaction price is required.

The Company recognizes the primary components of the transaction price as follows:

- Franchise and development fees are recognized as revenue ratably on a straight-line basis over the term of the franchise agreement commencing with the restaurant opening date. As these fees are typically received in cash at or near the beginning of the franchise term, the cash received is initially recorded as a contract liability until recognized as revenue over time;
- The Company is entitled to royalties and advertising fees based on a percentage of the franchisee's gross sales as defined in the franchise agreement. Royalty and advertising revenue are recognized when the franchisee's reported sales occur. Depending on timing within a fiscal period, the recognition of revenue may result in accounts receivable on the balance sheet.

In determining the amount and timing of revenue from contracts with customers, the Company exercises significant judgment with respect to collectability of the amount; however, the timing of recognition does not require significant judgment as it is based on either the franchise term or the month of reported sales by the franchisee, neither of which requires estimation.

The Company does not incur a significant amount of contract acquisition costs in conducting its franchising activities. The Company believes its franchising arrangements do not contain a significant financing component.

Financing revenue is recorded as earned.

Advertising

Costs of advertising typically are expensed either as incurred or the first time the advertising takes place. Any excess or deficiency of advertising fee revenue compared to advertising expenditures, is recognized on an annual basis. Any excess of revenue over expenditures is recognized only to the extent of previously recognized deficits. When advertising revenues exceed the related advertising expenses and there is no recovery of a previously recognized deficit of advertising revenues, advertising costs are accrued up to the amount of revenues. The advertising fees are recorded as a liability to IHOP LLC as a component of Due to Affiliates against which specific costs are charged.

Concentrations of Credit Risk

The Company's cash and receivables are potentially subject to concentration of credit risk. Cash is placed with financial institutions that management believes are creditworthy. The Company does not believe that it is exposed to any significant credit risk on cash. At times, cash balances may be in excess of FDIC insurance limits.

IHOP Franchisor LLC

Notes to the Financial Statements (continued)

2. Summary of Significant Accounting Policies (continued)

Accounts receivables are derived from revenues earned from franchisees located in the United States. Financing receivables arise from the financing of restaurant equipment by franchisees. The Company is not subject to a significant concentration of credit risk with respect to accounts receivable.

As of December 29, 2024, two franchisees owned a total of 155 IHOP restaurants, representing 14% of the Company's restaurants. Revenues from these franchisees represented 13% of the Company's total revenues for the year ended December 29, 2024. As of December 31, 2023, two franchisees owned a total of 131 IHOP restaurants, representing 12% of the Company's restaurants. Revenues from these franchisees represented 14% of the Company's total revenues for the year ended December 31, 2023. No individual franchisee represented more than 10% of the Company's total revenue for the year ended December 29, 2024.

Allowance for Credit Losses

The Company determines the allowance based on historical experience, current payment patterns and reasonable and supportable forecasts used in assessing the franchisees' ability to pay outstanding balances. The primary indicator of credit quality is delinquency, which is considered to be a receivable balance greater than 90 days past due. Allowance for doubtful accounts is continually reviewed. Past due balances are reviewed individually for collectability. Account balances are charged against the allowance after all collection efforts have been exhausted and the potential for recovery is considered remote.

Income Taxes

The Company, a disregarded entity for both federal and state tax filing purposes, elected to simplify the accounting for income taxes under Accounting Standards Update No. 2019—12, *Income Taxes*, which does not require tax allocation. Accordingly, its results are included in the consolidated tax returns of Dine.

Pre-opening Expenses

Expenditures related to the opening of new or relocated restaurants are charged to expense when incurred and are included as a component of franchise expenses in the Statement of Income.

Reclassification

The prior year provision for bad debt expense on the Statements of Cash Flows has been reclassified to conform with the current year presentation.

Accounting Standards

The Company reviewed new accounting guidance that became effective as of the beginning of fiscal 2024 as well as other newly issued accounting pronouncements and concluded that they were either not applicable to its operations or had no material effect on its financial statements in the current or future fiscal years.

IHOP Franchisor LLC

Notes to the Financial Statements (continued)

3. Revenue

The following table disaggregates franchise revenue by major type for the years December 29, 2024 and December 31, 2023 (in thousands):

	Fiscal Year Ended	
	December 29, 2024	December 31, 2023
Franchise revenue:		
Royalties	\$ 92,783	\$ 87,557
Advertising fees	73,610	69,010
Franchise, development and other fees	4,444	4,125
Total franchise revenue	<u>\$ 170,837</u>	<u>\$ 160,692</u>

The components of the change in the Company's deferred revenue during the year ended December 29, 2024 are as follows:

	Deferred Franchise Revenue (short- and long-term)
	<i>(In thousands)</i>
Balance at December 31, 2023	\$ 22,211
Recognized as revenue during the fiscal year	(3,731)
Fees deferred during the fiscal year	4,771
Balance at December 29, 2024	<u>\$ 23,251</u>

The balance of deferred revenue as of December 29, 2024 is expected to be recognized as follows:

	<i>(In thousands)</i>
2025	\$ 2,956
2026	2,654
2027	2,270
2028	1,839
2029	1,596
Thereafter	11,936
Total deferred franchise revenue	<u>\$ 23,251</u>

IHOP Franchisor LLC

Notes to the Financial Statements (continued)

4. Receivables

Receivables at December 29, 2024 and December 31, 2023 were as follows (in thousands):

	2024	2023
Accounts receivable	\$ 17,635	\$ 17,368
Equipment leases receivable	6,558	9,194
Notes receivable	<u>7,687</u>	<u>5,800</u>
Total receivables	31,880	32,362
Less: allowance for doubtful accounts	<u>(2,562)</u>	<u>(1,279)</u>
	29,318	31,083
Less: current portion	<u>(19,474)</u>	<u>(20,245)</u>
Long-term receivables	<u>\$ 9,844</u>	<u>\$ 10,838</u>

Accounts receivable primarily includes royalty receivables due from franchisees. Financing receivables primarily relate to leasing of the restaurant equipment to franchisees. Equipment lease contracts are due in equal weekly installments, and bear a weighted-average interest rate of 9.2% and 9.4% per annum at December 29, 2024 and December 31, 2023, respectively, and are collateralized by the equipment. The term of an equipment lease contract typically coincides with the term of the corresponding restaurant building lease.

The primary indicator of the credit quality of financing receivables is delinquency. The Company continually reviews the allowance for credit losses.

Changes in the allowance for credit losses during the fiscal years ended December 29, 2024 and December 31, 2023 were as follows:

	Accounts Receivable	Notes Receivable, long-term	Equipment Leases Receivable	Total
Balance, January 1, 2023	\$ 58	\$ 3	\$ 77	\$ 138
Bad debt expense	1,115	374	752	2,241
Write-offs	—	(350)	(815)	(1,165)
Recoveries	—	—	65	65
Balance, December 31, 2023	<u>1,173</u>	<u>27</u>	<u>79</u>	<u>1,279</u>
Bad debt expense	674	420	363	1,457
Write-offs	(15)	—	(159)	(174)
Balance, December 29, 2024	<u>\$1,832</u>	<u>\$ 447</u>	<u>\$ 283</u>	<u>\$ 2,562</u>

IHOP Franchisor LLC

Notes to the Financial Statements (continued)

5. Related Party Transactions

All cash receipts from the Company's operating revenue are collected and administered by the Member, resulting in a balance due from Member. All cash disbursements related to the Company's operating expenses are paid by affiliated entities (the Affiliates), resulting in a balance due to Affiliates. The Company, the Member and the Affiliates are under the common control of Dine. The Company and Dine determined that the balance due to Affiliates and the balance due from Member (collectively, the Related Party balances) will not be settled until the securitization structure described in Note 1 is dissolved. Since the Related Party balances will not be settled until the dissolution of the Company and the Company, the Member and the Affiliates are all under the common control of Dine, the net amount of the Related Party balances is classified within equity as Due from Member, net. Changes in Related Party balances are considered to be non-cash financing activity.

IHOP LLC allocates costs of general and administrative services to the Company, including information technology, human resources, quality assurance, training, legal, payroll, audit, tax, and communication. These costs are allocated on a basis the Company believes to be reasonable, primarily proportional allocation based on revenue, or specific identification, where applicable. The Company cannot estimate with any reasonable certainty what the charges for similar transactions would have been on a stand-alone basis. The total amounts of allocated costs charged to the Company of \$22.2 million and \$22.7 million for the fiscal years ended December 29, 2024 and December 31, 2023, respectively, is included in general and administrative expenses in the Statements of Income.

In November 2019, Dine borrowed \$7.0 million from the Company at an interest rate of 6.5% per annum. This note was due in the second quarter of 2022 with interest payable semiannually beginning in December 2019. In June 2022, the note was amended and extended to June 2025. In April 2023, Dine borrowed an additional \$3.5 million from the Company at an interest rate of 8.0% per annum. The note is due in December 2027 with interest payable annually beginning in December 2023. Total interest income of \$0.7 million and \$0.7 million related to these notes is included in other income, net in the Statements of Income for the fiscal years ended December 29, 2024 and December 31, 2023, respectively.

6. Leases

The Company engages in leasing activity as a lessor. The Company's lease portfolio originated when Dine was actively involved in the development and financing of IHOP restaurants prior to the franchising of the restaurant to the franchisee. This activity included Dine's purchase or leasing of the site on which the restaurant was located, equipping the restaurant and subsequently leasing/subleasing the site and equipment to the franchisee. With a few exceptions, Dine ended this practice in 2003. The Company's lease activity is comprised of pre-existing lease arrangements renewed after September 30, 2014.

The Company recognized interest income on equipment leases of \$0.7 million and \$1.0 million during the fiscal years ended December 29, 2024 and December 31, 2023, respectively.

IHOP Franchisor LLC

Notes to the Financial Statements (continued)

6. Leases (continued)

Future minimum payments to be received under equipment leases as of December 29, 2024 were as follows:

	<i>(In thousands)</i>
2025	\$ 3,142
2026	2,280
2027	1,152
2028	543
2029	330
Thereafter	<u>-</u>
Total	7,447
Less: interest	<u>(889)</u>
Total net investment in leases	6,558
Less: current portion	<u>(2,676)</u>
Total long-term investment in leases	<u>\$ 3,882</u>

7. Commitments and Contingencies

The Company is subject to lawsuits, governmental inspections, administrative proceedings, audits, and claims arising in the ordinary course of business. Some of these lawsuits purport to be class actions and/or seek substantial damages. The Company is required to record an accrual for litigation loss contingencies that are both probable and reasonably estimable. Management regularly assesses the Company's insurance deductibles, analyzes litigation information with the Company's attorneys and evaluates its loss experience related to pending legal proceedings. While the Company does not presently believe that any of the legal proceedings to which the Company is currently a party will ultimately have a material adverse impact on the Company, there can be no assurance that the Company will prevail in all the proceedings the Company is party to, or that the Company will not incur material losses from them.

8. Subsequent Events

The Company has evaluated subsequent events for potential recognition or disclosure through March 20, 2025, the date the financial statements were available to be issued.

Item 8. Financial Statements and Supplementary Data.

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KPMG LLP
Suite 1100
4655 Executive Drive
San Diego, CA 92121-3132

Report of Independent Registered Public Accounting Firm

To the Stockholders and the Board of Directors
Dine Brands Global, Inc.:

Opinion on the Consolidated Financial Statements

We have audited the accompanying consolidated balance sheet of Dine Brands Global, Inc. and subsidiaries (the Company) as of December 28, 2025, the related consolidated statements of comprehensive income, stockholders' deficit, and cash flows for the year ended December 28, 2025, and the related notes (collectively, the consolidated financial statements). In our opinion, the consolidated financial statements present fairly, in all material respects, the financial position of the Company as of December 28, 2025, and the results of its operations and its cash flows for the year ended December 28, 2025, in conformity with U.S. generally accepted accounting principles.

Basis for Opinion

These consolidated financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these consolidated financial statements based on our audit. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to the Company in accordance with the U.S. federal securities laws and the applicable rules and regulations of the Securities and Exchange Commission and the PCAOB.

We conducted our audit in accordance with the standards of the PCAOB. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free of material misstatement, whether due to error or fraud. Our audit included performing procedures to assess the risks of material misstatement of the consolidated financial statements, whether due to error or fraud, and performing procedures that respond to those risks. Such procedures included examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements. Our audit also included evaluating the accounting principles used and significant estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements. We believe that our audit provides a reasonable basis for our opinion.

Critical Audit Matter

The critical audit matter communicated below is a matter arising from the current period audit of the consolidated financial statements that was communicated or required to be communicated to the audit committee and that: (1) relates to accounts or disclosures that are material to the consolidated financial statements and (2) involved our especially challenging, subjective, or complex judgments. The communication of a critical audit matter does not alter in any way our opinion on the consolidated financial statements, taken as a whole, and we are not, by communicating the critical audit matter below, providing a separate opinion on the critical audit matter or on the accounts or disclosures to which it relates.

Valuation of the Fuzzy's tradename

As discussed in Notes 2 and 7 to the consolidated financial statements, indefinite-lived intangible assets, which include the Fuzzy's tradename, are evaluated for impairment annually during the fourth quarter of each year and more frequently if events or changes in circumstances indicate the potential for an impairment. During the fourth quarter of 2025, the Company determined that indicators of impairment



existed for the Fuzzy's tradename and performed a quantitative impairment test. To estimate its fair value, the Company used the relief from royalty method under the income approach method of valuation. The Company measured impairment as the amount by which the Fuzzy's tradename carrying amount exceeded its fair value. The Company recorded impairment for the Fuzzy's tradename of \$29.0 million for the year ended December 28, 2025.

We identified the valuation of the Fuzzy's tradename as a critical audit matter. Evaluating the key assumptions used to determine the estimated fair value of the Fuzzy's tradename involved a high degree of subjective auditor judgment. Specifically, the future trends in system sales, the royalty rate applied to system sales, and the discount rate used to calculate the present value of the forecasted cash flow stream were challenging to evaluate as changes to these assumptions could have had a significant impact on the Company's estimate of fair value for the Fuzzy's tradename.

The following are the primary procedures we performed to address this critical audit matter. We evaluated the design and tested the operating effectiveness of certain internal controls related to the Company's process for evaluating the Fuzzy's tradename for impairment. This included controls related to the Company's development of the future trends in system sales, the royalty rate, and the discount rate used to estimate the fair value of the Fuzzy's tradename. We evaluated the reasonableness of the future trends in system sales for the Fuzzy's brand by comparing them to industry reports and to historical system sales. We performed sensitivity analyses over such future trends in system sales to assess the impact that changes could have had on the Company's estimate of the fair value of the Fuzzy's tradename. In addition, we involved valuation professionals with specialized skills and knowledge, who assisted in evaluating the royalty rate and the discount rate assumptions used by management to estimate the fair value of the Fuzzy's tradename by comparing them to publicly available market data for comparable entities.

/s/ KPMG LLP

We have served as the Company's auditor since 2025.

San Diego, California
February 25, 2026

Report of Independent Registered Public Accounting Firm

To the Stockholders and the Board of Directors of Dine Brands Global, Inc.

Opinion on the Financial Statements

We have audited the accompanying consolidated balance sheet of Dine Brands Global, Inc. and Subsidiaries (the Company) as of December 29, 2024, and the related consolidated statements of comprehensive income, stockholders' deficit and cash flows for each of the two years in the period ended December 29, 2024, and the related notes (collectively referred to as the "consolidated financial statements"). In our opinion, the consolidated financial statements present fairly, in all material respects, the financial position of the Company at December 29, 2024, and the results of its operations and its cash flows for each of the two years in the period ended December 29, 2024, in conformity with U.S. generally accepted accounting principles.

Basis for Opinion

These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on the Company's financial statements based on our audits. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to the Company in accordance with the U.S. federal securities laws and the applicable rules and regulations of the Securities and Exchange Commission and the PCAOB.

We conducted our audits in accordance with the standards of the PCAOB. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement, whether due to error or fraud. Our audits included performing procedures to assess the risks of material misstatement of the financial statements, whether due to error or fraud, and performing procedures that respond to those risks. Such procedures included examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements. Our audits also included evaluating the accounting principles used and significant estimates made by management, as well as evaluating the overall presentation of the financial statements. We believe that our audits provide a reasonable basis for our opinion.

/s/ ERNST & YOUNG LLP

We served as the Company's auditor from 2004 to 2025.

Los Angeles, California
March 5, 2025

Dine Brands Global, Inc. and Subsidiaries
Consolidated Balance Sheets
(In millions, except share and par amounts)

Assets	December 28, 2025	December 29, 2024
Current assets:		
Cash and cash equivalents	\$ 128.2	\$ 186.7
Receivables, net of allowance of \$5.1 (2025) and \$3.4 (2024)	119.0	115.2
Restricted cash	51.5	42.4
Prepaid expenses	49.0	39.3
Other current assets	4.1	2.4
Total current assets	351.8	386.0
Other intangible assets, net	534.1	575.7
Operating lease right-of-use assets	328.7	323.5
Goodwill	249.6	248.6
Property and equipment, net	160.5	156.1
Long-term receivables, net of allowance of \$1.2 (2025) and \$1.4 (2024)	33.8	35.9
Non-current restricted cash	22.0	19.5
Other non-current assets, net	57.1	45.3
Total assets	<u>\$ 1,737.7</u>	<u>\$ 1,790.6</u>
Liabilities and Stockholders' Deficit		
Current liabilities:		
Accounts payable and other accrued liabilities	\$ 93.2	\$ 75.8
Gift card liability	182.7	177.6
Current portion of operating leases obligations	67.6	65.3
Current portion of finance leases	6.6	6.4
Accrued interest payable	7.3	6.4
Dividends payable	2.5	7.8
Deferred franchise revenue, short-term	5.6	6.0
Current portion of long-term debt	—	100.0
Total current liabilities	365.6	445.3
Long-term debt, net, less current portion	1,188.2	1,086.6
Operating lease obligations, less current portion	305.3	310.5
Finance lease obligations, less current portion	32.2	34.3
Deferred income taxes, net	51.2	54.6
Deferred franchise revenue, long-term	34.2	36.7
Other non-current liabilities	35.0	38.7
Total liabilities	<u>2,011.5</u>	<u>2,006.6</u>
Stockholders' deficit:		
Preferred stock, \$1 par value, 10,000,000 shares authorized, no shares issued and outstanding	—	—
Common stock, \$0.01 par value; shares: 40,000,000 authorized; 2025 - 24,623,226 issued, 13,326,537 outstanding; 2024 - 24,756,637 issued, 15,273,210 outstanding	0.2	0.2
Additional paid-in-capital	239.9	254.8
Retained earnings	175.1	183.6
Accumulated other comprehensive loss	(0.1)	(0.1)
Treasury stock, at cost; shares: 2025 - 11,296,689; 2024 - 9,483,427	(689.1)	(654.6)
Total stockholders' deficit	(273.9)	(216.0)
Total liabilities and stockholders' deficit	<u>\$ 1,737.7</u>	<u>\$ 1,790.6</u>

See the accompanying notes to the consolidated financial statements.

Dine Brands Global, Inc. and Subsidiaries
Consolidated Statements of Comprehensive Income
(In millions, except per share amounts)

	2025	2024	2023
Revenues:			
Franchise revenues:			
Royalties, franchise fees and other	\$ 383.7	\$ 395.5	\$ 405.6
Advertising revenues	281.8	290.4	300.8
Total franchise revenues	665.5	686.0	706.4
Company-owned restaurant revenues	104.6	9.3	2.1
Rental revenues	109.3	117.1	122.6
Total revenues	879.3	812.3	831.1
Cost of revenues:			
Franchise expenses:			
Advertising expenses	278.8	295.3	301.0
Other franchise expenses	44.4	44.6	43.4
Total franchise expenses	323.2	339.9	344.4
Company-owned restaurant expenses	112.6	9.9	2.1
Rental expenses	84.2	87.2	87.8
Total cost of revenues	520.0	437.0	434.4
Gross profit	359.3	375.3	396.7
General and administrative expenses	203.8	196.7	198.1
Interest expense, net	78.0	72.1	70.0
Closure and impairment charges	40.0	9.2	3.6
Amortization of intangible assets	11.9	10.8	10.9
Loss on extinguishment of debt	0.9	—	—
(Gain) loss on disposition of assets	(0.5)	(3.2)	2.4
Income before income taxes	25.2	89.5	111.7
Income tax provision	(8.1)	(24.7)	(14.5)
Net income	17.1	64.9	97.2
Other comprehensive income, net of tax:			
Foreign currency translation adjustment	—	—	—
Total comprehensive income	<u>\$ 17.1</u>	<u>\$ 64.9</u>	<u>\$ 97.2</u>
Net income available to common stockholders:			
Net income	\$ 17.1	\$ 64.9	\$ 97.2
Less: Net income allocated to unvested restricted stock	(1.1)	(1.9)	(2.3)
Net income available to common stockholders	<u>\$ 16.0</u>	<u>\$ 63.0</u>	<u>\$ 94.9</u>
Net income available to common stockholders per share:			
Basic	\$ 1.11	\$ 4.22	\$ 6.23
Diluted	<u>\$ 1.11</u>	<u>\$ 4.22</u>	<u>\$ 6.22</u>
Weighted average shares outstanding:			
Basic	14.3	14.9	15.2
Diluted	<u>14.3</u>	<u>14.9</u>	<u>15.2</u>

See the accompanying notes to the consolidated financial statements.

Dine Brands Global, Inc. and Subsidiaries
Consolidated Statements of Stockholders' Deficit
(In millions except share amounts)

					Accumulated Other Comprehensive Loss	Treasury Stock		Total Stockholders' Deficit
	Shares Outstanding	Common Stock	Additional Paid-in Capital	Retained Earnings		Shares	Cost	
Balance as of January 1, 2023	15,599,239	\$ 0.2	\$ 259.3	\$ 84.5	\$ (0.1)	9,360,733	\$ (645.1)	\$ (301.1)
Net income	—	—	—	97.2	—	—	—	97.2
Purchase of Company common stock	(446,189)	—	(0.1)	—	—	446,189	(26.0)	(26.1)
Reissuance of treasury stock	281,161	—	(9.6)	—	—	(281,161)	13.5	3.8
Net issuance of shares for stock plans	(28,069)	—	—	—	—	—	—	—
Repurchase of restricted shares for taxes	(61,374)	—	(4.4)	—	—	—	—	(4.4)
Stock-based compensation	—	—	12.0	—	—	—	—	12.0
Dividends on common stock	—	—	0.2	(31.7)	—	—	—	(31.5)
Tax payments for share settlement of restricted stock units	—	—	(0.9)	—	—	—	—	(0.9)
Balance as of December 31, 2023	15,344,768	0.2	256.5	150.0	(0.1)	9,525,761	(657.7)	(251.0)
Net income	—	—	—	64.9	—	—	—	64.9
Purchase of Company common stock	(269,621)	—	—	—	—	269,621	(12.0)	(12.0)
Reissuance of treasury stock	311,955	—	(15.2)	—	—	(311,955)	15.1	(0.1)
Net issuance of shares for stock plans	(56,246)	—	—	—	—	—	—	—
Repurchase of restricted shares for taxes	(57,646)	—	(2.7)	—	—	—	—	(2.7)
Stock-based compensation	—	—	16.0	—	—	—	—	16.0
Dividends on common stock	—	—	0.1	(31.3)	—	—	—	(31.1)
Balance as of December 29, 2024	15,273,210	0.2	254.8	183.6	(0.1)	9,483,427	(654.6)	(216.0)
Net income	—	—	—	17.1	—	—	—	17.1
Purchase of Company common stock	(2,352,636)	—	—	—	—	2,352,636	(60.1)	(60.1)
Reissuance of treasury stock	539,374	—	(26.2)	—	—	(539,374)	25.7	(0.6)
Net issuance of shares for stock plans	(55,532)	—	—	—	—	—	—	—
Repurchase of restricted shares for taxes	(77,879)	—	(2.0)	—	—	—	—	(2.0)
Stock-based compensation	—	—	13.2	—	—	—	—	13.2
Dividends on common stock	—	—	0.1	(25.6)	—	—	—	(25.5)
Balance as of December 28, 2025	13,326,537	\$ 0.2	\$ 239.9	\$ 175.1	\$ (0.1)	11,296,689	\$ (689.1)	\$ (273.9)

See the accompanying notes to the consolidated financial statements.

Dine Brands Global, Inc. and Subsidiaries
Consolidated Statements of Cash Flows
(In millions)

	2025	2024	2023
Cash flows from operating activities			
Net income	\$ 17.1	\$ 64.9	\$ 97.2
Adjustments to reconcile net income to cash flows provided by operating activities:			
Depreciation and amortization	42.9	39.2	35.6
Non-cash stock-based compensation expense	13.2	16.0	12.0
Non-cash closure and impairment charges	40.0	9.2	3.6
Non-cash interest expense	3.6	3.3	3.5
Deferred income taxes	(3.5)	(6.5)	(13.8)
Loss on extinguishment of debt	0.9	—	—
Provision for doubtful accounts	3.4	0.7	—
(Gain) loss on disposition of assets	(0.4)	(3.2)	2.4
Other	(2.7)	(4.2)	(3.6)
Changes in operating assets and liabilities:			
Receivables	(9.6)	(1.4)	1.9
Prepaid expenses	(9.9)	8.3	3.1
Other assets	(9.1)	4.8	9.0
Operating lease assets and liabilities	(13.5)	(12.5)	7.3
Gift card receivables and payables	4.8	(0.7)	5.1
Accounts payable and other accrued expenses	14.0	(7.1)	(28.9)
Accrued interest payable	0.9	(0.1)	1.0
Deferred revenue	(3.1)	(2.5)	(4.2)
Cash flows provided by operating activities	89.0	108.2	131.2
Cash flows from investing activities			
Principal receipts from notes, equipment contracts and other long-term receivables	8.1	12.3	9.3
Additions to property and equipment	(35.6)	(14.1)	(37.2)
Proceeds from sale of property and equipment	1.1	3.0	—
Additions to long-term receivables	(4.7)	(0.7)	(1.1)
Acquisition of business, net of cash acquired	1.6	(8.5)	(0.1)
Other	(2.0)	(0.5)	(1.0)
Cash flows used in investing activities	(31.6)	(8.5)	(30.1)
Cash flows from financing activities			
Proceeds from issuance of long-term debt, including revolving line of credit	600.0	—	530.0
Repayment of long-term debt	(594.0)	—	(651.7)
Repayments of revolving credit facility	—	—	(30.0)
Payment of debt issuance costs	(11.6)	—	(8.0)
Dividends paid on common stock	(31.0)	(31.3)	(31.7)
Repurchase of common stock	(60.7)	(12.1)	(26.1)
Principal payments of finance lease and financing obligations	(5.0)	(5.6)	(6.4)
Proceeds from stock options exercised	—	—	3.8
Repurchase of restricted stock for tax payments upon vesting	(2.0)	(2.7)	(4.4)
Tax payments for share settlement of restricted stock units	—	—	(0.9)
Cash flows used in financing activities	(104.3)	(51.7)	(225.4)
Net change in cash, cash equivalents and restricted cash	(46.9)	48.0	(124.4)
Cash, cash equivalents and restricted cash at beginning of year	248.6	200.6	325.0
Cash, cash equivalents and restricted cash at end of year	\$ 201.7	\$ 248.6	\$ 200.6
Supplemental disclosures			
Interest paid	\$ 83.7	\$ 79.2	\$ 74.0
Income taxes paid	\$ 15.9	\$ 38.3	\$ 28.4
Non-cash conversion of notes receivable	\$ 2.3	\$ 3.3	\$ 1.4
Non-cash balance sheet gross-up of receivables and other accrued expenses	\$ —	\$ 11.0	\$ (11.0)

See the accompanying notes to the consolidated financial statements.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements

1. The Company

The Company owns, franchises and operates three restaurant concepts: IHOP®, in the full-service family dining category; Applebee's Neighborhood Grill + Bar® ("Applebee's"), in the full-service casual dining category; and Fuzzy's Taco Shop®, in the limited service fast-casual dining category of the restaurant industry.

As of December 28, 2025, there were 1,824 IHOP restaurants, of which 1,658 were subject to franchise agreements, 154 were subject to area license agreements and 12 were company-owned. These IHOP restaurants were located in 48 states of the United States, the District of Columbia, two United States territories and 17 countries outside the United States. As of December 28, 2025, there were 1,579 Applebee's® restaurants, of which 1,520 were subject to franchise agreements and 59 were company-owned. These Applebee's restaurants were located in 49 states of the United States, two United States territories and 17 countries outside the United States. As of December 28, 2025, the Company had 106 Fuzzy's restaurants in 14 states of the United States, of which 105 were subject to franchise agreements and one was company-owned.

References herein to IHOP, Applebee's and Fuzzy's restaurants are to these restaurant concepts, whether operated by franchisees, area licensees or the Company.

2. Basis of Presentation and Summary of Significant Accounting Policies

Principles of Consolidation

The consolidated financial statements include the accounts of Dine Brands Global, Inc. and its wholly-owned subsidiaries. All intercompany accounts and transactions have been eliminated in consolidation. Certain amounts in the Consolidated Financial Statements and associated notes may not foot due to rounding.

Fiscal Periods

The Company has a 52/53 week fiscal year that ends on the Sunday nearest to December 31 of each year. In a 52-week fiscal year, each fiscal quarter contains 13 weeks, comprised of two, four-week fiscal months followed by a five-week fiscal month. In a 53-week fiscal year, the last month of the fourth fiscal quarter contains six weeks. There were 52 weeks in our 2025, 2024, and 2023 fiscal years that ended December 28, 2025, December 29, 2024, and December 31, 2023, respectively.

Use of Estimates

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities, disclosures of contingent assets and liabilities, if any, at the date of the consolidated financial statements, and the reported amounts of revenues and expenses during the reporting periods. Actual results may differ from those estimates.

Concentration of Credit Risk

The Company's cash, cash equivalents, restricted cash and accounts receivable are potentially subject to concentration of credit risk. Cash and cash equivalents are placed with financial institutions that management believes are creditworthy. The Company does not believe that it is exposed to any significant credit risk related to cash, cash equivalents and restricted cash. At times, cash, cash equivalents and restricted cash balances may be in excess of FDIC insurance limits.

Accounts receivable are derived from revenues earned from franchisees and area licensees located primarily in the United States. The Company is subject to a concentration of credit risk with respect to receivables from franchisees that own a large number of IHOP, Applebee's or Fuzzy's restaurants. As of December 28, 2025, two franchisees (one Applebee's franchisee and one franchisee with cross-brand ownership) operated a combined total of 780 IHOP and Applebee's restaurants in the United States, which comprised 24.5% of the total IHOP, Applebee's and Fuzzy's franchise restaurants in the United States. Revenues from these two franchisees represented 19.0%, 22.2%, and 21.1% of total consolidated revenue for the years ended December 28, 2025, December 29, 2024 and December 31, 2023, respectively. Receivables from these franchisees totaled \$20.0 million and \$20.1 million at December 28, 2025 and December 29, 2024, respectively. One of the two franchisees represented 13.5%, 14.4%, and 13.9% of total consolidated revenue for the years ended December 28, 2025, December 29, 2024 and December 31, 2023, respectively.

Cash and Cash Equivalents

The Company considers all highly liquid investment securities with remaining maturities at the date of purchase of three months or less to be cash equivalents. Cash held related to IHOP advertising funds and the Company's gift card programs is not

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

2. Basis of Presentation and Summary of Significant Accounting Policies (Continued)

considered to be restricted cash as there are no restrictions on the use of these funds. The components of cash and cash equivalents were as follows:

	<u>December 28, 2025</u>	<u>December 29, 2024</u>
	(In millions)	
Money market funds	\$ 2.0	\$ 35.0
Other depository accounts, including IHOP advertising and gift card	126.2	151.7
Total cash and cash equivalents	<u>\$ 128.2</u>	<u>\$ 186.7</u>

Restricted Cash

Current

Current restricted cash primarily consisted of funds required to be held in trust in connection with the Company's securitized debt and cash for Applebee's and Fuzzy's advertising funds. The components of current restricted cash were as follows:

	<u>December 28, 2025</u>	<u>December 29, 2024</u>
	(In millions)	
Securitized debt reserves	\$ 46.0	\$ 40.0
Applebee's and Fuzzy's advertising funds	5.5	2.4
Total current restricted cash	<u>\$ 51.5</u>	<u>\$ 42.4</u>

Non-current

Non-current restricted cash of \$22.0 million and \$19.5 million as of December 28, 2025 and December 29, 2024, respectively, represents one quarter of interest reserves contractually restricted as required under the terms of our debt agreements.

Property and Equipment and Finite-Lived Intangible Assets

Property and equipment are stated at cost, net of accumulated depreciation. Depreciation is computed using the straight-line method over the estimated useful lives. Generally, the estimated useful lives are as follows:

Category	Depreciable Life
Buildings and improvements	25 to 40 years
Leaseholds and improvements	Shorter of primary lease term or useful life (up to 40 years)
Equipment and fixtures	Three to five years
Internal-use software	Three to 10 years
Properties under finance leases	Greater of lease term or remaining useful life
Finite-lived intangible assets	10 to 15 years

The Company assesses whether property and equipment and finite-lived intangible assets that are held and used are impaired whenever events or changes in circumstances indicate the carrying amount may not be recoverable. These assets are primarily made up of property and equipment and ROU assets of Company-owned restaurants, ROU assets leased or subleased to franchisees and Applebee's and Fuzzy's franchising rights. When there is an indication an asset may not be recoverable, the analysis requires the asset to be grouped together with assets used to generate cash flows that are largely independent of cash flows generated by other assets of the Company. The sum of the estimated undiscounted future cash flows of the group is compared to its carrying amount. If the carrying amount of the group of assets exceeds the sum of the estimated undiscounted future cash flows, the fair value of the group of assets is required to be determined. The fair value of the group of assets is primarily determined using the discounted cash flows. An impairment charge is recorded for the amount by which the group's carrying amount exceeds its fair value. For assets of Company-owned restaurants and ROU assets leased or subleased, we generally determine the individual restaurant to be the group of assets. For property and equipment and finite-lived intangible assets held for sale, the group of assets is written down to its fair value, less costs to sell.

See Note 12 - Closure and Long-lived Asset Impairment Charges, of the Notes to the Consolidated Financial Statements for additional information.

2. Basis of Presentation and Summary of Significant Accounting Policies (Continued)

Goodwill and Intangible Assets

Goodwill and intangible assets considered to have an indefinite life are required to be tested for impairment annually or more frequently if indicators of impairment exist. Such indicators include, but are not limited to, events or circumstances such as a significant adverse change in our business, climate of the business, unanticipated competition, a loss of key personnel, adverse legal or regulatory developments or a significant decline in the market price of our common stock.

If no indicators of impairment exist, we perform our annual impairment test of goodwill and indefinite-lived intangible assets annually in the fourth fiscal quarter. In doing so, we first perform a qualitative assessment of whether it is more likely than not that an impairment exists. Factors considered in this assessment include, but are not limited to, macro-economic conditions, market and industry conditions, cost considerations, the competitive environment, share price fluctuations, overall financial performance and results of past impairment tests. If we qualitatively determine that it is more likely than not that an impairment exists, we perform a quantitative impairment test. Alternatively, in any given year, we may elect to skip the qualitative assessment and only perform a quantitative assessment of impairment.

Goodwill is tested for impairment at our reporting units. Reporting units are operating segments or one level below an operating segment. In performing a quantitative test for impairment of goodwill, we compare the carrying value of a reporting unit to its fair value. We primarily use a discounted cash flow method of valuation to determine the fair value of a reporting unit. In addition, we may use a market approach that includes the guideline public company method to determine the fair value of a reporting unit or to compare to the value derived from our discounted cash flow. Significant assumptions made by management in estimating fair value under the discounted cash flow model include restaurant sales trends, future development plans, restaurant closures, cost of revenues, operating expenses, and an appropriate discount rate based on our estimated cost of equity capital and after-tax cost of debt. Significant assumptions used to determine fair value under the guideline public company method include the selection of guideline companies and the valuation multiples applied. We believe our assumptions and valuation methodologies are consistent with those that would be used by a market participant.

Our indefinite-lived intangible assets have primarily consisted of the Applebee's and Fuzzy's tradenames. In performing a quantitative impairment test of these, we primarily use the relief from royalty method under the income approach of valuation. Significant assumptions used to determine fair value under the relief from royalty method include future trends in system sales, the royalty rate applied to system sales, and the discount rate used to calculate the present value of the forecasted cash flow stream.

There is an inherent degree of uncertainty in preparing any forecast of future results. Future trends in system sales are dependent to a large degree on national, regional and local economic conditions, and, to a lesser degree, on global economic conditions, particularly those conditions affecting the demographics of the guests that frequently patronize our restaurants. There are numerous potential events that could reasonably be expected to negatively affect the forecast of system sales, from a decrease in customers' disposable income to an unexpected event such as a global pandemic. As a result, our restaurants could experience a decline in system sales as a result of numerous factors.

During the year ended December 28, 2025, the Company performed a qualitative test of goodwill and the Applebee's tradename and a quantitative test of Fuzzy's tradename, using the approaches described above. Based on our qualitative assessment of goodwill and the Applebee's tradename we determined it was more likely than not that the fair value of the reporting units and Applebee's tradename were greater than their respective carrying values. Our quantitative test of the Fuzzy's tradename showed that the fair value was less than its carrying value and we recorded a non-cash impairment charge of \$29.0 million in the fourth quarter in the Franchise segment. In fiscal year 2024, our quantitative test of goodwill determined that the fair value of the Fuzzy's reporting unit was less than its carrying value and we recorded a non-cash impairment charge of \$7.1 million during the year in the Franchise segment.

Business Combinations

From time to time, the Company may enter into business combinations. The Company applies the acquisition method of accounting for acquisitions that meet the definition of a business. Under the acquisition method, the Company estimates the fair value of the identifiable assets and liabilities of the acquired entity as of the acquisition date. Acquired intangible assets are valued using different methods under the income approach, including but not limited to, the relief from royalty method. The Company measures goodwill as the excess of consideration transferred and liabilities assumed over the fair values of the identifiable assets acquired. Goodwill is assigned to each reporting unit that is expected to benefit from the synergies of the business combination. Acquisition-related expenses and transaction costs associated with business combinations are expensed in the period incurred.

2. Basis of Presentation and Summary of Significant Accounting Policies (Continued)

Revenue Recognition

The Company's revenues are primarily derived from franchise operations, company-owned restaurant operations, and rental operations. Franchise revenues and revenues from company-owned restaurants are recognized upon transfer of control of promised goods or services to customers in an amount that reflects the consideration the Company expects to receive for those goods or services.

Franchise Segment Revenues

The intellectual property subject to the franchise license is symbolic intellectual property as it does not have significant standalone functionality. Substantially all the utility is derived from its association with the Company's past or ongoing activities. The nature of the Company's promise in granting the franchise license is to provide the franchisee with access to the brand's symbolic intellectual property over the term of the license.

Accordingly, the Franchise Segment revenues are recognized as follows:

- Franchise and development fees – recognized on a straight-line basis over the term of the franchise agreement commencing with the restaurant opening date. As these fees are typically received in cash at or near the beginning of the franchise term, the cash received is initially recorded as a contract liability until recognized as revenue;
- Royalties and advertising fees – recognized as the franchisee's sales occur. Depending on timing within a fiscal period, the recognition of revenue results in either a contract asset (unbilled receivable) or, once billed, accounts receivable, on the balance sheet;
- Revenues from the sales of proprietary products (primarily pancake and waffle dry mix) are recognized in the period in which distributors ship the franchisee's order.

From time to time, the Company may provide franchisee incentives to develop restaurants in conducting its franchising activities. Generally, the Company recognizes incentives as a contract asset amortized against revenues over the expected term of the franchise agreement. Franchising arrangements do not contain a significant financing component.

Company-Owned Restaurant Revenues

Company-owned restaurant revenues represent sales of food and beverage items at company-owned restaurants and are recognized as these services are delivered to the customer. Company-owned restaurant revenues are reported net of sales taxes collected from guests that are remitted to the appropriate taxing authorities.

Rental Revenues

Rental revenues consist primarily of revenues from operating leases and interest income from real estate leases of property we own and lease to franchisees and leases from third parties and we then sublease to franchisees. Revenues are generally recognized over the term of the lease, beginning when control over the leased space is given to the franchisee.

Gift Card

The Company administers gift card programs for each restaurant concept. The Company records a liability in the period in which a gift card is sold and recognizes costs associated with its administration of the gift card programs as a prepaid asset when the costs are incurred. The liability and prepaid asset recorded on the Company's balance sheet are relieved when a gift card is redeemed and settlement with the restaurant where redemption occurred takes place. If redemption occurs at a restaurant of a franchisee, the gift card proceeds, net of costs, are remitted to the franchisee.

Allowance for Credit Losses

The Company's receivables and long-term receivables balances are primarily comprised of receivables from franchisees, distributors, and gift card vendors. Generally, accounts receivables are due from franchisees for royalty, advertising and other franchise-related fees, and from distributors related to the sale of proprietary products to franchisees through the Company's network of suppliers and distributors. Gift card receivables primarily consist of amounts due from third-party vendors for cash collected on purchased cards. Notes receivable balances primarily relate to the conversion of certain past due franchisee accounts receivable, cash loans to franchisees for working capital purposes, or financing of the sale of IHOP and Applebee's company restaurants and franchise fees. Interest accrues on notes receivable based on the contractual terms. Leases receivable primarily relate to the Previous IHOP Business Model.

The Company closely monitors the financial condition of our franchisees and estimates the allowance for credit losses based on historical collection experience, credit quality, and current market conditions.

2. Basis of Presentation and Summary of Significant Accounting Policies (Continued)

Leases

Lessee arrangements:

The Company leases property under various operating and finance leases. An arrangement is or contains a lease if the Company receives substantially all the economic benefits and can direct the use of the asset. Operating lease assets (right-of-use or ROU) represent the right to use the asset over the lease term and are based on the operating lease liabilities adjusted for prepayments, certain costs, lease incentives and impairments of the asset. Lease liabilities represent the present value of lease payments not yet paid. The Company does not separate lease and non-lease components but has elected to include non-lease components in its ROU asset and lease liability calculation. The subsequent measurement of a lease is dependent on whether the lease is classified as an operating lease or a finance lease. Leases with initial term of twelve months or less are not recorded on the balance sheets.

The Company uses its incremental borrowing rate (IBR) which is defined as the rate of interest that the Company would have to pay to borrow, on a collateralized basis, an amount over a similar term as the lease payments.

The cost of an operating lease is generally recognized over the lease term on a straight-line basis. Certain leases may include rent escalations based on an index or contain contingent rental provisions that include a fixed base rent plus an additional percentage of the restaurant's sales. Subsequent escalations subject to such an index and contingent rental payments are recognized as variable lease expense in the period they occur.

As a lessee, rental payments on finance leases are recognized as interest expense and amortized as a reduction of finance lease obligation.

Lessor arrangements:

As part of its business, the Company enters into lease arrangements with certain franchisees that grants them the right to use properties to operate restaurants. The Company accounts for its lease agreements with franchisees as either an operating or sales-type lease.

The underlying assets subject to operating leases are shown in the Company's Consolidated Balance Sheets and are depreciated in accordance with its depreciation policies. Revenue from operating leases is recognized on a straight-line basis over the lease term. The Company recognizes a net investment in its sales type leases at the lease commencement date. The net investment consists of a lease receivable and the expected unguaranteed residual value, if any. Interest income on the net investment in the lease is recognized using the effective interest method to produce a consistent yield over the lease term. For sales-type leases, the Company recognizes a profit at the lease commencement date.

The Company's lease agreements with its franchisees include fixed lease payments and, in certain cases, may include variable lease payments based on a percentage of restaurant sales. The Company does not separate lease and non-lease components for its leases for which it is a lessor.

The lease term is determined at the lease commencement date as the noncancelable period plus any period subject to a renewal option that is deemed reasonably certain of being exercised. Generally, the Company does not include the renewal options as part of the lease term as it does not believe that it is reasonably certain that such options will be exercised.

Pre-opening Expenses

Expenditures related to the opening of new or relocated restaurants, such as training and labor costs, professional fees, and general and administrative expenses are charged to expense when incurred.

Advertising

Advertising expense reflected in the Consolidated Statements of Comprehensive Income represents the advertising and marketing costs of our advertising funds that we administer for our brands. Our company-owned restaurants also incur costs for their contributions to the funds. Costs of advertising are typically expensed the first time the advertising airs. Any excess of revenues over expenses is recognized only to the extent of previously recognized deficits. When advertising revenues exceed the related advertising expenses and there is no recovery of a previously recognized deficit, advertising costs are accrued up to the amount of revenues.

Fair Value Measurements

For financial assets and liabilities, as well as non-financial assets and liabilities that are recognized or disclosed at fair value, we may use the following inputs to derive the fair value:

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

2. Basis of Presentation and Summary of Significant Accounting Policies (Continued)

- Level 1 inputs are quoted prices in active markets for identical assets or liabilities.
- Level 2 inputs are observable for the asset or liability, either directly or indirectly, including quoted prices in active markets for similar assets or liabilities.
- Level 3 inputs are unobservable and reflect the Company's own assumptions.

The Company believes the fair values of cash and cash equivalents, restricted cash, accounts receivable and accounts payable approximate their carrying amounts due to their short duration.

The Company believes the fair value of the Credit Facility approximates its carrying value as it is based on the Secured Overnight Financing Rate ("SOFR") or prevailing benchmark rate. The fair value of the Company's long-term debt, excluding the Credit Facility, is based on quoted market prices which represent Level 1 inputs. The fair value of the Company's long-term debt, excluding the Credit Facility, as of December 28, 2025 and December 29, 2024 were as follows:

	<u>December 28, 2025</u>	<u>December 29, 2024</u>
	(In millions)	
Face Value	\$ 1,100.0	\$ 1,094.0
Fair Value	\$ 1,112.3	\$ 1,095.5

Income Taxes

The Company utilizes the asset and liability method of accounting for income taxes. Under the asset and liability method, deferred taxes are determined based on the temporary differences between the financial statement and tax basis of assets and liabilities using enacted tax rates. The Company recognizes a tax benefit only to the extent it is more likely than not that the tax position will be sustained by taxing authorities based on its technical merits. A valuation allowance is recorded when it is more likely than not that some portion or all of a deferred tax asset may not be realized. The Company records an estimated tax liability to the extent a contingency is probable and can be reasonably estimated. The Company recognizes interest accrued related to unrecognized tax benefits and penalties as a component of the income tax expense recognized in the Consolidated Statements of Comprehensive Income.

Stock-Based Compensation

The Company accounts for all stock-based payments to employees and non-employee directors, including grants of stock options, restricted stock, restricted stock units and performance units to be recognized in the financial statements, based on their grant date fair values. The value of the portion of the award that is ultimately expected to vest is recognized as expense ratably over the requisite service periods.

The grant date fair value of restricted stock and stock-settled restricted stock units is determined based on the Company's stock price on the grant date. The Company estimates the grant date fair value of stock option awards using the Black-Scholes option pricing model, which considers, among other factors, a risk-free interest rate, the expected life of the award and the volatility of the Company's stock price. The Company estimates the grant date fair value of its long-term cash incentive awards ("LTIP awards") using a Monte Carlo simulation which considers, among other factors, the performance-based market condition, a risk-free interest rate, the expected life of the award and the historical volatility of the Company's stock price.

The Company estimates forfeitures for its restricted stock, stock-settled restricted stock units, and stock option plans at the time of grant based on historical turnover rates. As of December 28, 2025, the Company used a forfeiture rate of 14%. If actual forfeitures differ from this estimate, adjustments to compensation expense are recorded in the period the estimate is revised.

Net Income Per Share

Net income per share is calculated using the two-class method prescribed in U.S. GAAP. Basic net income (loss) per share is computed by dividing the net income available to common stockholders for the period by the weighted average number of common shares outstanding during the period. Diluted net income per share is computed by dividing the net income available to common stockholders for the period by the weighted average number of common shares outstanding and dilutive potential shares of common stock. The Company uses the treasury stock method to calculate the weighted average shares used in the diluted earnings per share calculation. Dilutive potential common shares include the assumed exercise of stock options. The Company had no dilutive potential shares outstanding for the periods presented.

Treasury Stock

Repurchases of the Company's common stock are included in treasury stock at the cost of shares repurchased which includes transaction costs. Treasury stock may be re-issued when vested stock options are exercised, when restricted stock

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

2. Basis of Presentation and Summary of Significant Accounting Policies (Continued)

awards are granted and when restricted stock units vest. The cost of treasury stock re-issued is determined on the first-in, first-out ("FIFO") method.

Dividends

Dividends declared on common stock are recorded as a reduction of retained earnings to the extent retained earnings are available at the close of the period prior to the date of the dividend declaration. Dividends declared in excess of retained earnings are recorded as a reduction of additional paid-in capital.

Reportable Segments

The Company's Chief Executive Officer is the chief operating decision maker ("CODM"). The CODM regularly reviews revenues, segment profit and segment operating profits to allocate resources and assess performance against the annual budget and current forecasts. Based on the information regularly reviewed by the CODM, we have determined the Company has six operating segments: IHOP domestic franchise, Applebee's domestic franchise, Fuzzy's franchise, international franchise, Company-owned restaurants and Rental. The Company has three reportable segments: Franchise, Company-owned Restaurants and Rental. Prior to fiscal 2025, the Company used to report results inclusive of a Financing Segment. Given the insignificance of the operations from financing activities, the CODM no longer receives information related to financing activities and those activities are now reported in our Rental Segment. Fiscal years 2024 and 2023 have been recast to reflect that change. We do not present a measure of assets for our reportable segments as this information is not used by the CODM to allocate resources or assess performance.

Franchise Segment

As of December 28, 2025, the franchise reportable segment consisted of 1,520 restaurants operated by Applebee's franchisees, 1,812 restaurants operated by IHOP franchisees and area licensees, and 105 restaurants operated by Fuzzy's franchisees.

Franchise operations expenses include advertising expense, the cost of proprietary products, bad debt expense, pre-opening training expenses and other franchise-related costs.

Company-Owned Restaurants Segment

As of December 28, 2025, the Company owned 59 Applebee's restaurants, 12 IHOP restaurants and one Fuzzy's restaurant, all in the United States.

Company-owned restaurant expenses are operating expenses at company-owned restaurants and include food, beverage, labor, benefits, utilities, rent and other operating costs.

Rental Segment

Rental expenses are costs of operating leases and interest expense of finance leases. The Rental activities are primarily related to activities with IHOP franchisees. Applebee's and Fuzzy's have no or an insignificant amount of rental activity.

Accounting Standards Adopted in the Current Fiscal Year

In December 2025, the Company adopted ASU No. 2023-09, "Income Taxes (Topic 740): Improvements to Income Tax Disclosures (ASU 2023-09)." The standard requires a reconciliation of a company's effective tax rate in both dollar amount and percentage as well as information on income taxes paid. The Company adopted ASU 2023-09 on a prospective basis. Accordingly, prior period disclosures have not been adjusted to reflect the new disclosure requirements. Refer to *Note 15 - Income Taxes* in the Notes to Consolidated Financial Statements for additional details.

Newly Issued Accounting Standards Not Yet Adopted

In November 2024, the FASB issued ASU No. 2024-03, "Disaggregation of Income Statement Expenses," which requires public business entities to provide disaggregated disclosures of certain expense categories that are included in expense line items on the Statement of Comprehensive Income. The guidance is effective for the Company for annual periods beginning in 2027 and interim periods beginning in 2028. The Company is currently evaluating the impact of adopting this ASU on our disclosures.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

3. Revenues

The following table disaggregates our franchise revenues by major type:

	2025	2024	2023
<i>Franchise Revenues</i>	(In millions)		
Royalties	\$ 307.8	\$ 313.4	\$ 325.6
Advertising fees	281.8	290.4	300.8
Proprietary product sales and other	66.9	72.4	71.1
Franchise and development fees	9.0	9.7	8.9
Total franchise revenues	<u>\$ 665.5</u>	<u>\$ 686.0</u>	<u>\$ 706.4</u>

Changes in the Company's contract liability for deferred franchise and development fees during the year ended December 28, 2025 were as follows:

	Deferred Franchise Revenue (short- and long-term)
	(In millions)
Balance at December 29, 2024	\$ 42.7
Recognized during the year	(8.6)
Deferred during the year	5.7
Balance at December 28, 2025	<u>\$ 39.8</u>

The balance of deferred franchise revenue as of December 28, 2025 is expected to be recognized as follows:

Fiscal Years	(In millions)
2026	\$ 5.6
2027	4.7
2028	3.8
2029	3.3
2030	3.0
Thereafter	19.4
Total	<u>\$ 39.8</u>

4. Receivables

Total receivables balances at December 28, 2025 and December 29, 2024 were as follows:

<i>Receivables</i>	2025	2024
	(In millions)	
Accounts receivable	\$ 75.2	\$ 72.0
Gift card receivables	33.3	34.7
Notes receivable	20.9	14.7
Leases receivable	24.8	31.5
Other receivables	4.9	2.9
	159.1	155.8
Less: allowance for doubtful accounts and notes receivable	(6.3)	(4.7)
	152.8	151.1
Less: current portion	(119.0)	(115.2)
Long-term receivables	<u>\$ 33.8</u>	<u>\$ 35.9</u>

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

4. Receivables (Continued)

Changes in the allowance for credit losses during the years ended December 28, 2025 and December 29, 2024 were as follows:

	Total
	(In millions)
Balance, December 31, 2023	\$ 9.5
Bad debt expense (recovery)	0.7
Other	0.1
Write-offs	(5.5)
Balance, December 29, 2024	\$ 4.7
Bad debt expense (recovery)	3.4
Other	(0.3)
Write-offs	(1.5)
Balance, December 28, 2025	<u>\$ 6.3</u>

The \$5.5 million of write-offs for the year ended December 29, 2024 is primarily due to \$3.8 million recorded for notes receivable and \$1.0 million recorded for accounts receivable. The \$3.4 million of bad debt expense recorded for the year ended December 28, 2025 is primarily due to \$2.6 million recorded for accounts receivable. All other adjustments to the reserve for both years presented is not significant.

The Company's primary credit quality indicator for all portfolio segments is delinquency. Generally, the notes receivables, real estate leases receivables, equipment leases receivables, and other receivables (primarily consists of credit card receivables) are not delinquent.

The year of origination of the Company's notes and financing receivables at December 28, 2025 is as follows:

	Notes receivable, short and long- term	Leases Receivables	Total
		(In millions)	
2025	\$ 8.8	\$ 1.4	\$ 10.2
2024	7.2	2.0	9.2
2023	4.4	3.5	7.9
2022	0.3	7.3	7.6
2021	0.2	1.9	2.1
Prior	—	8.8	8.8
Total	<u>\$ 20.9</u>	<u>\$ 24.9</u>	<u>\$ 45.8</u>

The Company does not place its financing receivables in non-accrual status.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

5. Property and Equipment

Property and equipment by category:

	December 28, 2025	December 29, 2024
	(In millions)	
Leaseholds and improvements	\$ 226.2	\$ 222.2
Properties under finance leases	56.5	57.5
Equipment and fixtures	20.1	15.2
Buildings and improvements	44.9	48.2
Construction in progress	16.4	4.3
Internal-use software	74.0	71.5
Land	40.3	44.4
Property and equipment, gross	478.4	463.3
Less: accumulated depreciation and amortization	(317.9)	(307.2)
Property and equipment, net	<u>\$ 160.5</u>	<u>\$ 156.1</u>

The Company recorded depreciation expense on property and equipment of \$31.0 million, \$28.6 million and \$24.7 million for the years ended December 28, 2025, December 29, 2024 and December 31, 2023, respectively.

Accumulated depreciation and amortization includes accumulated amortization for properties under finance leases in the amount of \$40.9 million and \$41.3 million as of December 28, 2025 and December 29, 2024, respectively.

6. Goodwill

Changes in the carrying amount of goodwill for the years ended December 28, 2025, December 29, 2024 and December 31, 2023 were as follows:

	Franchise Segment	Company-Owned Restaurants Segment	Total
	(In millions)		
Balance at January 1, 2023	\$ 254.0	\$ —	\$ 254.0
Purchase price adjustment	0.1	—	0.1
Balance at December 31, 2023	254.1	—	254.1
Business acquisition	—	2.8	2.8
Impairment loss	(7.1)	—	(7.1)
Disposition of assets	—	(1.2)	(1.2)
Balance at December 29, 2024	247.0	1.6	248.6
Business acquisition	—	1.6	1.6
Purchase price adjustment	—	(0.6)	(0.6)
Balance at December 28, 2025	<u>\$ 247.0</u>	<u>\$ 2.6</u>	<u>\$ 249.6</u>

In November 2024, the Company acquired 56 Applebee's restaurants from franchisees, of which nine were simultaneously refranchised and sold to a different franchisee. The Company completed the purchase price allocation as described in *Note 18 - Business Acquisition* of the Notes to the Consolidated Financial Statements, and allocated \$2.8 million of resulting goodwill to the Company-owned restaurants Segment. The Company simultaneously allocated \$1.2 million of this goodwill to the disposal group related to the refranchising and sale of the restaurant assets of the nine Applebee's company-owned restaurants.

In May 2025, the Company acquired 12 Applebee's restaurants from a franchisee as described in *Note 18 - Business Acquisition* of the Notes to the Consolidated Financial Statements, and allocated \$1.6 million of resulting goodwill to the Company-owned restaurants Segment.

Gross and net carrying amounts of goodwill at December 28, 2025 and December 29, 2024 are as follows:

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

6. Goodwill (Continued)

	December 28, 2025			December 29, 2024		
	Gross	Accumulated Impairment Loss	Net	Gross	Accumulated Impairment Loss	Net
	(In millions)					
Franchise Segment	\$ 704.6	\$ (457.6)	\$ 247.0	\$ 704.6	\$ (457.6)	\$ 247.0
Company-Owned Restaurants Segment	2.6	—	2.6	1.6	—	1.6
Total	<u>\$ 707.2</u>	<u>\$ (457.6)</u>	<u>\$ 249.6</u>	<u>\$ 706.2</u>	<u>\$ (457.6)</u>	<u>\$ 248.6</u>

2025 Assessment

In the fourth quarter of 2025, the Company performed qualitative assessments of its goodwill in accordance with its accounting policies. As result of the qualitative assessment, the Company concluded it was more likely than not that the fair values of each reporting unit exceeded the respective carrying amounts and therefore, a quantitative test of impairment was not necessary.

2024 Assessment

In the fourth quarter of 2024, the Company noted, the unfavorable trend in Fuzzy's same-restaurant sales experienced throughout the year and a decrease in Fuzzy's revenue compared to the same period of the prior year. Based on these unfavorable developments, the Company determined that indicators of impairment existed and that a test of goodwill for impairment should be performed in the fourth quarter of 2024.

As a result of performing the quantitative test of impairment, the Company recognized an impairment of Fuzzy's goodwill of \$7.1 million. The amount of goodwill impairment was determined as the amount by which the carrying amount of the goodwill exceeded the fair value of the Fuzzy's goodwill within the franchise segment as estimated in the impairment test.

Also in the fourth quarter of fiscal 2024, the Company performed qualitative assessments of the remaining goodwill balance within the franchise segment in accordance with its accounting policies. As result of the qualitative assessment, the Company concluded it was more likely than not that the fair values exceeded the respective carrying amounts and therefore, a quantitative test for the remaining goodwill balance within the franchise segment was not necessary.

2023 Assessment

In the fourth quarter of 2023, the Company performed qualitative assessments of its goodwill in accordance with its accounting policies, and determined that it was more-likely-than-not that an impairment does not exist. As a result of performing the quantitative test of impairment, the fair value was substantially in excess of its respective carrying value as of the testing date.

7. Other Intangible Assets

Changes in the balance for the years ended December 28, 2025, December 29, 2024 and December 31, 2023 are as follows:

	Tradenames	Franchising Rights	Other	Total
	(In millions)			
Balance at December 31, 2023	525.2	53.0	7.8	586.0
Amortization expense	—	(10.7)	(0.1)	(10.8)
Additions	—	—	0.8	0.8
Disposition	—	—	(0.3)	(0.3)
Balance at December 29, 2024	525.2	42.3	8.2	575.7
Impairment	(29.0)	—	(2.8)	(31.8)
Amortization expense	—	(10.7)	(1.1)	(11.9)
Additions	—	—	2.1	2.1
Balance at December 28, 2025	<u>\$ 496.2</u>	<u>\$ 31.6</u>	<u>\$ 6.3</u>	<u>\$ 534.1</u>

The \$29.0 million Fuzzy's tradename impairment recorded in Closure and impairment charges in the Consolidated Statements of Comprehensive Income in fiscal year 2025 was determined by comparing the carrying amount of tradename to its fair value.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

7. Other Intangible Assets (Continued)

Gross and net carrying amounts of intangible assets subject to amortization and the respective weighted average amortization period at December 28, 2025 and December 29, 2024 are as follows:

	December 28, 2025				December 29, 2024			
	Gross	Accumulated Amortization (In millions)	Net	Weighted Average Remaining Period	Gross	Accumulated Amortization (In millions)	Net	Weighted Average Remaining Period
Franchising rights	\$ 214.8	\$ (183.2)	\$ 31.6	7.9	\$ 214.8	\$ (172.5)	\$ 42.3	7.6
Other	2.2	(1.2)	1.0	9.1	3.9	(0.7)	3.2	10.5
Total	<u>\$ 217.0</u>	<u>\$ (184.4)</u>	<u>\$ 32.6</u>	<u>7.9</u>	<u>\$ 218.7</u>	<u>\$ (173.2)</u>	<u>\$ 45.5</u>	<u>7.8</u>

Given the recent performance of the business, the Company reassessed the Fuzzy's tradename's life and determined it to be finite. The estimated annual amortization expense of the Fuzzy's tradename and other intangible assets is as follows:

	Franchising rights	Tradename and other	Total
	(In millions)		
2026	\$ 11.3	\$ 3.0	\$ 14.2
2027	10.3	2.9	13.1
2028	1.3	2.9	4.1
2029	1.3	2.9	4.1
2030	1.3	2.9	4.1
Thereafter	6.3	14.3	20.6

8. Long-Term Debt

The Company's long-term debt consists of the following:

	December 28, 2025	December 29, 2024
	(In millions)	
Series 2019-1 4.723% Fixed Rate Senior Secured Notes, Class A-2-II	—	594.0
Series 2022-1 Variable Funding Senior Notes, Class A-1 ^(a)	—	100.0
Series 2023-1 7.824% Fixed Rate Senior Secured Notes, Class A-2	500.0	500.0
Series 2025-1 6.720% Fixed Rate Senior Secured Notes, Class A-2	600.0	—
Series 2025-1 Variable Funding Senior Notes, Class A-1 ^(b)	100.0	—
Unamortized debt issuance costs	(11.8)	(7.4)
Long-term debt, net of debt issuance costs	1,188.2	1,186.6
Current portion of long-term debt	—	(100.0)
Long-term debt	<u>\$ 1,188.2</u>	<u>\$ 1,086.6</u>

(a) Variable interest rate of 7.14% at December 29, 2024.

(b) Variable interest rate of 6.56% at December 28, 2025.

Long-Term Debt

On April 17, 2023, Applebee's Funding LLC and IHOP Funding LLC (the "Co-Issuers") completed a refinancing transaction and issued \$500 million of Series 2023-1 7.824% Fixed Rate Senior Secured Notes, Class A-2 (the "2023 Class A-2 Notes"). The 2023 Class A-2 Notes were issued pursuant to an offering exempt from registration under the Securities Act of 1933, as amended.

On June 17, 2025, the Co-Issuers completed a refinancing transaction and issued \$600 million of Series 2025-1 6.720% Fixed Rate Senior Secured Notes, Class A-2 (the "2025 Class A-2 Notes"). The Company used the net proceeds of the 2025 Class A-2 Notes to repay the entire outstanding balance of approximately \$594.0 million of the Series 2019-1 4.723% Fixed Rate Senior Secured Notes, Class A-2-II (the "2019 Class A-2-II Notes") and to pay fees and expenses incurred in connection

8. Long-Term Debt (Continued)

with the issuance of the 2025 Class A-2 Notes. The 2023 Class A-2 Notes and the 2025 Class A-2 Notes are referred to collectively herein as the "A-2 Notes".

Also on June 17, 2025, the Co-Issuers established a new revolving financing facility, the Series 2025-1 Variable Funding Senior Notes, Class A-1 (the "Credit Facility"), that allows for drawings up to \$325 million of variable funding notes on a revolving basis and the issuance of letters of credit. In connection with this transaction, the Co-Issuers terminated their existing \$325 million revolving financing facility, the Series 2022-1 Variable Funding Senior Notes, Class A-1 (the "2022 Credit Facility"). The 2023 Class A-2 Notes, the Credit Facility and the 2025 Class A-2 Notes (collectively referred to herein as the "Notes") were issued in securitization transactions pursuant to which substantially all the domestic revenue-generating assets and domestic intellectual property held by the Co-Issuers and certain other special-purpose, wholly-owned indirect subsidiaries of the Company (the "Guarantors") were pledged as collateral.

The Notes were issued under a Base Indenture, dated as of September 30, 2014, amended and restated as of June 5, 2019 and April 17, 2023 (the "Base Indenture"). The 2023 Class A-2 Notes were issued under the related Series 2023-1 Supplement to the Base Indenture, dated April 17, 2023 (the "Series 2023-1 Supplement") and the 2025 Class A-2 Notes and the Credit Facility were issued under the related Series 2025-1 Supplement to the Base Indenture, dated June 17, 2025 (the "Series 2025-1 Supplement", collectively, the "Indenture").

The A-2 Notes

The legal final maturity of the 2023 Class A-2 Notes is in March 2053 and the 2025 Class A-2 Notes is in June 2055. However, it is anticipated that, unless repaid earlier to the extent permitted under the Indenture, the 2023 Class A-2 Notes will be repaid in June 2029 and the 2025 Class A-2 Notes in June 2030 (the "A-2 Anticipated Repayment Dates"). If the Co-Issuers have not repaid or refinanced the A-2 Notes by those respective dates, additional interest will accrue at the greater of: (A) 5.0% and (B) the amount, if any, by which the sum of the following exceeds the 2023 Class A-2 Notes' or the 2025 Class A-2 Notes', as applicable, stated interest rates: (x) the yield to maturity as of the A-2 Anticipated Repayment Dates of the United States Treasury Security having a term closest to 10 years plus (y) 9.24% with respect to the 2023 Class A-2 Notes or 7.85% with respect to the 2025 Class A-2 Notes.

While the A-2 Notes are outstanding, payment of principal and interest is required to be made on a quarterly basis. The quarterly principal payment of \$1.25 million on the 2023 Class A-2 Notes and \$1.5 million on the 2025 Class A-2 Notes may be suspended when the leverage ratio for the Company and its subsidiaries is less than or equal to 5.25x.

As of December 28, 2025, the Company's leverage ratio was approximately 4.84x. As a result, quarterly principal payments on the A-2 Notes are not required.

The Company may voluntarily repay the A-2 Notes at any time; however, if they are repaid prior to certain dates, the Company would be required to pay make-whole premiums. As of December 28, 2025, the make-whole premium associated with voluntary prepayment of the 2023 Class A-2 Notes was approximately \$17.4 million and \$37.1 million on the 2025 Class A-2 Notes. The Company is also subject to a make-whole premium in the event of a mandatory prepayment required following a Rapid Amortization Event or certain asset dispositions. The make-whole premiums are considered derivatives embedded in the A-2 Notes that must be bifurcated for separate accounting. The Company estimated the fair value of these derivatives to be immaterial as of December 28, 2025.

The Credit Facility

The applicable interest rate under the Credit Facility depends on the type of borrowing by the Co-Issuers. The applicable interest rate for advances is generally calculated at a per annum rate equal to the commercial paper funding rate or one-, two-, three- or six-month Term SOFR Rate, in either case, plus 2.50%. The applicable interest rate for swingline advances and unreimbursed draws on outstanding letters of credit is a per annum base rate equal to the sum of (a) the greatest of (A) the Prime Rate in effect from time to time, (B) the Federal Funds Rate in effect from time to time plus 0.50% and (C) Term SOFR for a one-month tenor in effect at such time plus 0.50% plus (b) 2.00%.

The legal final maturity of the Credit Facility is June 2055, but rapid amortization will apply if there are outstanding amounts under the Credit Facility after June 2030. The June 2030 date may be extended at the Co-Issuers' election for up to two successive one-year periods if certain conditions are met. If the Co-Issuers have not repaid or refinanced the Credit Facility by June 2030 (after giving effect to any extensions), then interest will accrue on the Credit Facility at a rate equal to 5.00% in addition to the regular interest rate applicable to the Credit Facility at that time.

As of December 28, 2025, the outstanding balance of the Credit Facility was \$100 million. The amount of \$0.6 million was pledged against the Credit Facility for outstanding letters of credit, leaving \$224.4 million of the Credit Facility available for

8. Long-Term Debt (Continued)

borrowing at December 28, 2025. It is anticipated that the principal and interest on the Credit Facility will be repaid in full on or prior to the quarterly payment date in June 2030, subject to the two extensions. The weighted average interest rate for the period outstanding during the twelve months ended December 28, 2025 was 6.78%.

Management Agreement

Under the terms of the Management Agreement, dated September 30, 2014, as amended and restated, among the Co-Issuers and the Guarantors (collectively, the “Securitization Entities”), the Company, Applebee’s Services, Inc., International House of Pancakes, LLC and the Trustee, the Company will act as the manager with respect to substantially all of the assets of the Securitization Entities (the “Securitized Assets”). The primary responsibilities of the manager will be to perform certain franchising, distribution, intellectual property and operational functions on behalf of the Securitization Entities with respect to the Securitized Assets pursuant to the Management Agreement. The manager will be entitled to the payment of the weekly management fee, as set forth in the Management Agreement and will be subject to the liabilities set forth in the Management Agreement.

Covenants and Restrictions

The Notes are subject to a series of covenants and restrictions customary for transactions of this type, including: (i) that the Co-Issuers maintain specified reserve accounts to be used to make required payments in respect of the Notes, (ii) provisions relating to optional and mandatory prepayments, and the related payment of specified amounts, including specified call redemption premiums in the case of the A-2 Notes; (iii) certain indemnification payments in the event, among other things, the transfers of the assets pledged as collateral for the Notes are in stated ways defective or ineffective and (iv) covenants relating to recordkeeping, access to information and similar matters. The Notes are subject to customary rapid amortization events provided for in the Indenture, including events tied to failure of the Securitization Entities (as defined in the Indenture) to maintain the stated debt service coverage ratio (“DSCR”), the sum of domestic retail sales for all restaurants being below certain levels on certain measurement dates, certain manager termination events, certain events of default and the failure to repay or refinance the A-2 Notes on the anticipated repayment dates. The Notes are also subject to certain events of default, including events relating to non-payment of required interest, principal or other amounts due on or with respect to the Notes, failure of the Securitization Entities to maintain the stated DSCR, failure to comply with covenants within certain time frames, certain bankruptcy events, breaches of specified representations and warranties and certain judgments.

In general, the DSCR ratio is Net Cash Flow (as defined in the Indenture) for the four quarters preceding the calculation date divided by the total debt service payments (as defined in the Indenture) of the preceding four quarters. The complete definitions of the DSCR and all calculation elements are contained in the Indenture. Failure to maintain a prescribed DSCR can trigger a Cash Trapping Event, A Rapid Amortization Event, a Manager Termination Event or a Default Event (each as defined in the Indenture) as described below. In a Cash Trapping Event, the Trustee is required to retain respective Cash Trapping Percentage (as defined in the Indenture) of excess cash flow in a restricted account. In a Rapid Amortization Event, all excess cash flow is retained and used to retire principal amounts of debt. In a Manager Termination Event, the Company may be replaced as manager of the assets securitized under the Indenture. In a Default Event, the outstanding principal amount and any accrued but unpaid interest can be called to become immediately due and payable. Key DSCRs are as follows:

- DSCR less than 1.75x - Cash Flow Sweeping Event
- DSCR less than 1.20x - Rapid Amortization Event
- Interest-only DSCR less than 1.20x - Manager Termination Event
- Interest-only DSCR less than 1.10x - Default Event

The Company's DSCR for the reporting period ended December 28, 2025 was approximately 3.0x.

Repurchase Program

On February 16, 2023, the Company's Board of Directors authorized a debt repurchase program of up to \$100 million. Repurchases of the Company's debt, if any, are expected to reduce future interest payments, as well as future amounts due at maturity or upon redemption. Under the authorization, the Company may make repurchases of the Company's debt from time to time in the open market or in privately negotiated transactions upon such terms and at such prices as management may determine.

8. Long-Term Debt (Continued)

Debt Issuance Costs

Credit Facility

In June 2025, the Company incurred costs of approximately \$4.1 million in connection with the issuance of the Credit Facility. These debt issuance costs are deferred along with the unamortized costs of the terminated 2022 Credit Facility and are being amortized over the terms of the new arrangement. Amortization costs of \$1.2 million, \$1.2 million and \$1.2 million were included in interest expense for the years ended December 28, 2025, December 29, 2024 and December 31, 2023. As of December 28, 2025, total unamortized debt issuance costs of \$6.3 million related to the Credit Facility are classified as other non-current assets in the Consolidated Balance Sheets.

2025 Class A-2 Notes

The Company incurred costs of approximately \$7.6 million in connection with the issuance of the 2025 Class A-2 Notes. These debt issuance costs are being amortized using the effective interest method over estimated life of the 2025 Class A-2 Notes. Amortization costs of \$0.7 million were included in interest expense for the year ended December 28, 2025. As of December 28, 2025, unamortized debt issuance costs of \$6.8 million are reported as a direct reduction of the 2025 Class A-2 Notes in the Consolidated Balance Sheets.

2023 Class A-2 Notes

The Company incurred costs of approximately \$8.0 million in connection with the issuance of the 2023 Class A-2 Notes. These debt issuance costs are being amortized using the effective interest method over the estimated life of the 2023 Class A-2 Notes. Amortization costs of \$1.2 million, \$1.1 million, and \$0.7 million were included in interest expense for the years ended December 28, 2025, December 29, 2024 and December 31, 2023, respectively. As of December 28, 2025, unamortized debt issuance costs of \$5.0 million are reported as a direct reduction of the 2023 Class A-2 Notes in the Condensed Consolidated Balance Sheets.

2019 Class A-2-II Notes

Debt issuance costs incurred in connection with the issuance of the 2019 Class A-2-II Notes were amortized using the effective interest method over the estimated life of the 2019 Class A-2-II Notes. The 2019 Class A-2-II Notes amortization costs of \$0.4 million, \$1.0 million, and \$1.6 million were included in interest expense for the years ended December 28, 2025, December 29, 2024 and December 31, 2023, respectively. In connection with the repayment of the 2019 Class A-2-II Notes discussed above, the Company recognized a loss on extinguishment of debt of \$0.9 million, representing the remaining unamortized debt issuance costs.

9. Leases

The Company currently leases from third parties the real property for company-owned and certain of its franchise operated restaurants and subleases to the franchisees for franchise operated restaurants. The Company also leases office space for its principal corporate office in Pasadena, California and a restaurant support center in Irving, Texas. The Company does not have a significant amount of non-real estate leases.

The Company's existing leases/subleases related to IHOP restaurants generally provide for an initial term of 20 to 25 years, with most having one or more five-year renewal options. Leases related to Applebee's restaurants generally have an initial term of 10 to 20 years, with renewal terms of five to 20 years. Option periods were not included in determining liabilities and right-of-use assets related to operating leases. Leases also include variable rental payments based on a percentage of restaurant sales if restaurant sales threshold are met.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

9. Leases (Continued)

The Company's lease cost for the years ended December 28, 2025, December 29, 2024 and December 31, 2023 was as follows:

	<u>2025</u>	<u>2024</u>	<u>2023</u>
	(In millions)		
Finance lease cost:			
Amortization of right-of-use assets	\$ 2.7	\$ 2.6	\$ 2.5
Interest on lease liabilities	2.7	2.9	2.8
Operating lease cost	81.9	74.1	75.3
Variable lease cost	7.9	8.0	7.8
Short-term lease cost	—	—	—
Lease cost	<u>\$ 95.2</u>	<u>\$ 87.6</u>	<u>\$ 88.4</u>

Maturity analysis of the finance lease and operating lease liabilities as of December 28, 2025 were as follows:

	<u>Finance Leases</u>	<u>Operating Leases</u>
	(In millions)	
Fiscal Years		
2026	\$ 7.6	\$ 91.7
2027	6.8	72.3
2028	5.3	56.1
2029	5.4	53.6
2030	4.9	48.5
Thereafter	19.0	156.4
Total minimum lease payments	<u>49.0</u>	<u>478.6</u>
Less: interest/imputed interest	(11.7)	(105.7)
Total obligations	<u>37.3</u>	<u>372.9</u>
Less: current portion	(5.1)	(67.6)
Long-term lease obligations	<u>\$ 32.2</u>	<u>\$ 305.3</u>

Other lease information is as follows:

	<u>2025</u>	<u>2024</u>	<u>2023</u>
	(In millions)		
Assets obtained in exchange for operating lease obligations	\$ 72.3	\$ 109.4	\$ 47.9
Assets obtained in exchange for finance lease obligations	\$ 3.8	\$ 6.8	\$ 10.5

	<u>2025</u>	<u>2024</u>
	(In millions)	
Weighted-average remaining lease term - operating leases	6.4 years	6.2 years
Weighted-average remaining lease term - finance leases	5.3 years	5.5 years
Weighted-average discount rate - operating leases	6.2 %	6.1 %
Weighted-average discount rate - finance leases	9.1 %	9.2 %

During the years ended December 28, 2025, December 29, 2024 and December 31, 2023, the Company made the following cash payments for leases:

	<u>2025</u>	<u>2024</u>	<u>2023</u>
	(In millions)		
Cash paid on operating leases	\$ 89.0	\$ 83.8	\$ 75.2
Cash paid on finance leases	5.0	5.6	6.4

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

9. Leases (Continued)

The Company's income from operating leases for the years ended December 28, 2025, December 29, 2024 and December 31, 2023 was as follows:

	2025	2024	2023
		(In millions)	
Minimum lease payments	\$ 89.1	\$ 96.0	100.7
Variable lease income	17.1	17.4	17.5
Total operating lease income	<u>\$ 106.2</u>	<u>\$ 113.4</u>	<u>\$ 118.2</u>

The Company's income from real estate leases receivable at December 28, 2025, December 29, 2024 and December 31, 2023 was as follows:

	2025	2024	2023
		(In millions)	
Selling profit	\$ 0.4	\$ 0.2	\$ 0.2
Interest income	1.2	1.2	1.1
Variable lease income	0.3	0.3	0.4
Total financing lease income	<u>\$ 1.9</u>	<u>\$ 1.7</u>	<u>\$ 1.7</u>

Future lease payments to be received as lessor under noncancellable real estate leases as of December 28, 2025 were as follows:

Fiscal Years	Sales-Type Leases	Operating Leases
	(in millions)	
2026	\$ 2.7	\$ 88.8
2027	2.7	73.2
2028	2.7	58.9
2029	2.6	51.4
2030	2.5	47.2
Thereafter	11.5	158.5
Total minimum rents receivable	24.8	478.0
Less: unearned income	(6.6)	
Total real estate leases receivable	18.2	
Less: current portion	(1.6)	
Long-term real estate leases receivable	<u>\$ 16.6</u>	

Sale-Leaseback Transaction

In 2007, the Company entered into a Purchase and Sale Agreement relating to the sale and leaseback of 181 parcels of real property (the "Sale-Leaseback Transaction"), each of which is improved with a restaurant operating as an Applebee's Neighborhood Grill and Bar (the "Properties"). Under these agreements, the Company sold the Properties and then leased the Properties back through leaseback transactions.

Based on certain criteria and in accordance with GAAP under ASC 842, Leases, these transactions were accounted for as failed sale-leasebacks. As a result, the assets of the Properties remain on the Consolidated Balance Sheet at their historical net book value and are depreciated over the remaining term of the applicable master lease. Financing liabilities were recognized in the amount of the proceeds received. The Company does not recognize rent expense related to the leased assets. Instead, monthly rent payments under the applicable master lease agreement are recorded as interest expense and a reduction of the outstanding liability.

As of December 28, 2025 the long-term outstanding liability of \$19.3 million was recorded in Other non-current liabilities and the current outstanding liability of \$1.5 million was recorded in Current portion of finance leases on the Consolidated Balance Sheets related to the financing liability.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

9. Leases (Continued)

As of December 28, 2025, future minimum lease payments under financing obligations during the initial terms of the leases related to the sale-leaseback transactions are as follows:

Fiscal Years	(In millions)
2026	\$ 4.0
2027	3.7
2028	18.4
2029	—
2030	—
Thereafter	—
Total minimum lease payments	26.1
Less: interest	(5.4)
Total financing obligations	20.7
Less: current portion	(1.5)
Long-term financing obligations	\$ 19.3

10. Commitments and Contingencies

Purchase Commitments

In some instances, the Company enters into commitments to purchase advertising and other items. Most of these agreements are fixed price purchase commitments. As of December 28, 2025, the outstanding purchase commitments were \$104.4 million, of which \$82.6 million related to advertising over the next twelve months.

Lease Guarantees

In connection with refranchising restaurants to franchisees, in certain cases the Company has guaranteed lease payments. As of December 28, 2025 and December 29, 2024 the notional amount of lease guarantees by the Company were \$323.1 million and \$345.0 million, respectively. Excluding unexercised option periods, the Company's potential liability for future payments under these leases were \$83.1 million and \$90.5 million as of December 28, 2025 and December 29, 2024, respectively. These amounts represent the maximum potential liability of future payments under these leases. These leases expire at the end of the respective lease terms, which range from 2026 through 2058. In the event of default, the indemnity and default clauses in our sale or assignment agreements govern our ability to pursue and recover damages incurred. No material liabilities for these guarantees have been recorded as of December 28, 2025.

Litigation, Claims and Disputes

The Company is subject to various lawsuits, governmental inspections, administrative proceedings, audits, and claims arising in the ordinary course of business. Some of these lawsuits purport to be class actions and/or seek substantial damages. The Company is required to record an accrual for litigation loss contingencies that are both probable and reasonably estimable. Legal fees and expenses associated with the defense of the Company's litigation are expensed as incurred. In the opinion of management, these matters are adequately covered by insurance or, if not so covered, are without merit or are of such a nature or involve amounts that would not have a material adverse impact on the Company's business or consolidated financial statements. Management regularly assesses the Company's insurance deductibles, analyzes litigation information with the Company's attorneys and evaluates its loss experience in connection with pending legal proceedings. While the Company does not presently believe that any of the legal proceedings to which the Company is currently a party will ultimately have a material adverse impact on the Company, there can be no assurance that the Company will prevail in all the proceedings the Company is party to, or that the Company will not incur material losses from them.

Letters of Credit

The Company provides letters of credit, primarily to various insurance carriers to collateralize obligations for outstanding claims. As of December 28, 2025, the Company had approximately \$0.6 million of unused letters of credit outstanding that reduce the Company's available borrowing under its Credit Facility. These letters of credit expire on various dates in 2026 and are automatically renewed for an additional year if no cancellation notice is submitted.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

11. Stockholders' Deficit

Stock Repurchase Programs

On February 17, 2022, the Company's Board of Directors authorized a share repurchase program, effective April 1, 2022, of up to \$250 million (the "2022 Repurchase Program"). In connection with the approval of the 2022 Repurchase Program, all prior repurchase programs terminated effective April 1, 2022.

A summary of shares repurchased under the current 2022 Repurchase Program and prior programs, during the years ended December 28, 2025, December 29, 2024 and December 31, 2023 is as follows:

	Shares	Cost of shares (In millions)
Repurchased during the year ended December 28, 2025	2,352,636	\$ 60.1
Repurchased during the year ended December 29, 2024	269,621	\$ 12.0
Repurchased during the year ended December 31, 2023	446,189	\$ 26.1
Repurchases prior to fiscal year 2023	1,149,589	\$ 78.7
Cumulative repurchases	4,218,035	\$ 176.8
Remaining value of shares that may be repurchased under the 2022 Repurchase Program	n/a	\$ 73.2

Dividends

During the fiscal years ended December 28, 2025, December 29, 2024 and December 31, 2023, the Company declared and paid dividends on common stock as follows:

Year ended December 28, 2025	Declaration Date	Payment Date	Dividends declared per share	Total dividends declared (In millions)	Total dividends paid (In millions)
Payment of prior year declaration	n/a	January 7, 2025	\$ —	\$ 7.8	\$ 7.8
First quarter	February 21, 2025	April 4, 2025	0.51	8.0	8.0
Second quarter	May 14, 2025	July 9, 2025	0.51	7.8	7.8
Third quarter	September 4, 2025	October 8, 2025	0.51	7.4	7.4
Fourth quarter	November 5, 2025	January 7, 2026	0.19	2.5	—
Total			\$ 1.72	\$ 33.5	\$ 31.0

Year ended December 29, 2024	Declaration Date	Payment Date	Dividends declared per share	Total dividends declared	Total dividends paid
Payment of prior year declaration	n/a	January 5, 2024	\$ —	\$ 7.7	\$ 7.7
First quarter	February 26, 2024	April 5, 2024	0.51	7.9	7.9
Second quarter	May 14, 2024	July 5, 2024	0.51	7.8	7.8
Third quarter	September 5, 2024	October 8, 2024	0.51	7.8	7.8
Fourth quarter	November 22, 2024	January 7, 2025	0.51	7.8	—
Total			\$ 2.04	\$ 39.0	\$ 31.3

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

11. Stockholders' Deficit (Continued)

<u>Year ended December 31, 2023</u>	<u>Declaration Date</u>	<u>Payment Date</u>	<u>Dividends declared per share</u>	<u>Total dividends declared</u>	<u>Total dividends paid</u>
Payment of prior year declaration	n/a	January 6, 2023	\$ —	\$ 8.0	\$ 8.0
First quarter	February 21, 2023	March 31, 2023	0.51	8.0	8.0
Second quarter	May 11, 2023	July 7, 2023	0.51	7.9	7.9
Third quarter	September 7, 2023	September 29, 2023	0.51	7.8	7.8
Fourth quarter	November 30, 2023	January 5, 2024	0.51	7.7	\$ —
Total			<u>\$ 2.04</u>	<u>\$ 39.4</u>	<u>\$ 31.7</u>

Dividends declared on common stock are recorded as a reduction of retained earnings.

12. Closure and Impairment Charges

	<u>2025</u>	<u>2024</u>	<u>Change</u>
	<u>(In millions)</u>		
Closure charges	\$ 5.0	\$ 2.2	\$ (2.8)
Goodwill impairment	—	7.1	7.1
Tradenname impairment	29.0	—	(29.0)
Other asset impairment charges	6.0	—	(6.0)
Total	<u>\$ 40.0</u>	<u>\$ 9.2</u>	<u>\$ (30.7)</u>

Closure charges

For the year ended December 28, 2025, the Company recorded \$5.0 million of closure charges primarily comprised of \$3.6 million for restaurant closure costs related to IHOP restaurants closed in 2025 or earlier. This includes \$2.0 million related to two leased properties the Company acquired in March 2025 and closed during 2025 related to the acquisition and closure of certain IHOP restaurants. The Company also incurred \$0.7 million related to the exit of office space in the Leawood, Kansas restaurant support center.

The closure charges of \$2.2 million for the year ended December 29, 2024 were \$1.5 million for revisions to existing reserves, for approximately 21 IHOP restaurants closed prior to 2023, and \$0.6 million related to the office space in the Leawood, Kansas restaurant support center referenced above.

Intangible assets impairment charges

In the fourth quarter of 2025, the Company determined the Fuzzy's tradenname intangible asset was impaired and recorded a \$29.0 million noncash impairment charge. In the fourth quarter of 2024, the Company wrote off goodwill of \$7.1 million related to our acquisition of Fuzzy's. See *Note 2 - Basis of Presentation and Summary of Significant Accounting Policy*, *Note 6 - Goodwill* and *Note 7 - Other Intangible Assets* of the Notes to the Consolidated Financial Statements.

Asset Impairment Charges

The \$6.0 million impairment charge of other assets for the year ended December 28, 2025 primarily relates to \$2.7 million of off-market leases attributable to the acquisition and closure of certain IHOP restaurants in March 2025, \$2.0 million write-off of work-in-process assets associated with the transition of Applebee's to a new point-of-sale platform, and a \$1.0 million write off of an investment the Company had in a robotic automation company focused on developing automation solutions for the food industry.

13. Stock-Based Incentive Plans

General Description

Currently, the Company is authorized to grant stock options, stock appreciation rights, restricted stock, cash-settled and stock-settled restricted stock units and performance units to employees and non-employee directors under the Dine Brands

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

13. Stock-Based Incentive Plans (Continued)

Global, Inc. 2019 Stock Incentive Plan (the “Plan”). The Plan was approved by stockholders on May 14, 2019 to permit the issuance of up to 2,050,000 shares (subject to adjustment as defined in the Plan for shares that may become available from prior plans) of the Company’s common stock for incentive stock awards. The Plan was amended and approved by stockholders on May 14, 2022 to permit the issuance of an additional 2,020,000 shares (subject to adjustment as defined in the Plan Amendment for shares that may become available from prior plans) of the Company’s common stock for incentive stock awards. The Plan will expire in May 2029.

Stock-Based Compensation Expense

Non-qualified stock options generally vest ratably over a three-year period in one-third increments and have a life of ten years from the grant date. Options vest immediately upon a change in control of the Company, as defined in the Plan. Option exercise prices equal the closing price of the Company's common stock on the New York Stock Exchange on the date of grant. Restricted stock and restricted stock units are issued at no cost to the holder and vest over terms as determined under the Plan. Generally, these awards vest either three years from the date of grant or in one-third increments over three years. These awards also vest immediately upon a change in control of the Company, as defined in the Plan. The Company utilizes treasury stock or issues new shares from its authorized but unissued share pool when vested stock options are exercised, restricted stock awards are granted and when restricted stock units vest. See *Note 11, Stockholders' Deficit*, of Notes to the Consolidated Financial Statements, for treasury shares utilized related to equity grants during the years ended December 28, 2025, December 29, 2024 and December 31, 2023.

The following table summarizes the Company's stock-based compensation expense included as a component of general and administrative expenses in the Consolidated Statements of Comprehensive Income:

	2025	2024	2023
	(In millions)		
Equity classified awards expense	\$ 13.4	\$ 16.0	\$ 12.0
Liability classified awards expense	2.5	0.3	(1.4)
Total stock-based compensation expense	<u>15.9</u>	<u>16.3</u>	<u>10.6</u>

As of December 28, 2025, total unrecognized compensation cost related to restricted stock awards and restricted stock units of \$14.6 million and \$0.8 million related to stock options is expected to be recognized over a weighted average period of approximately 1.4 years for restricted stock and restricted stock units and 0.8 years for stock options.

Equity Classified Awards - Stock Options

The per share fair values of the stock options granted have been estimated as of the grant date using the Black-Scholes option pricing model. The Black-Scholes model considers, among other factors, the expected life of the option and the historical volatility of the Company's share price.

The following table summarizes the assumptions used in the Black-Scholes model for stock options granted in the years then ended. No options were granted for the year ended December 28, 2025.

	2024	2023
Risk free interest rate	4.3 %	4.4 %
Weighted average historical volatility	70.2 %	70.9 %
Dividend yield	4.2 %	2.7 %
Expected years until exercise	4.5	4.5
Weighted average fair value of options granted	\$ 22.3	\$ 37.4

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

13. Stock-Based Incentive Plans (Continued)

Stock option activity for the year ended December 28, 2025 is summarized as follows:

	Number of Shares Under Option	Weighted Average Exercise Price Per Share	Weighted Average Remaining Contractual Term (in years)	Aggregate Intrinsic Value (in millions)
Outstanding at January 1, 2023	539,575	75.65	n/a	n/a
Granted	74,390	74.94	n/a	n/a
Exercised	(69,443)	54.90	n/a	n/a
Forfeited	(20,876)	79.11	n/a	n/a
Expired	(61,140)	82.47	n/a	n/a
Outstanding at December 31, 2023	462,506	77.59	n/a	n/a
Granted	133,729	49.06	n/a	n/a
Forfeited	(14,717)	56.03	n/a	n/a
Expired	(56,872)	87.07	n/a	n/a
Outstanding at December 29, 2024	524,646	69.89	n/a	n/a
Forfeited	(10,318)	54.10	n/a	n/a
Expired	(33,746)	85.57	n/a	n/a
Outstanding at December 28, 2025	480,582	69.13	4.57	\$ —
Vested and Expected to Vest at December 28, 2025	476,186	\$ 69.30	4.54	\$ —
Exercisable at December 28, 2025	405,052	\$ 71.91	3.94	\$ —

The total intrinsic value of options exercised during the year ended December 31, 2023 was \$1.1 million.

Cash received from options exercised under all stock-based payment arrangements for the year ended December 31, 2023 was \$3.8 million. The tax benefit realized for the tax deduction from option exercises under the stock-based payment arrangements for the year ended December 31, 2023 was \$0.3 million.

Equity Classified Awards - Restricted Stock and Restricted Stock Units

Activity in equity classified awards of restricted stock and restricted stock units for the years then ended is as follows:

	Shares of Restricted Stock	Weighted Average Grant-Date Per Share Fair Value	Restricted Stock Units	Weighted Average Grant-Date Per Share Fair Value
Outstanding at January 1, 2023	355,900	\$ 73.57	123,895	\$ 62.11
Granted	211,820	73.12	21,731	74.01
Vested/Distributed	(165,533)	73.64	(47,857)	64.04
Forfeited	(63,565)	73.15	(39,294)	77.23
Outstanding at December 31, 2023	338,622	73.33	58,475	54.07
Granted	311,955	47.55	32,630	49.06
Vested/Distributed	(155,368)	74.37	(18,115)	73.97
Forfeited	(73,750)	60.10	(37)	74.94
Outstanding at December 29, 2024	421,459	56.18	72,953	46.83
Granted	539,374	26.13	56,213	26.13
Vested/Distributed	(199,439)	59.81	(34,030)	47.70
Forfeited	(88,735)	39.08	(36,516)	39.61
Outstanding at December 28, 2025	672,659	\$ 33.26	58,620	\$ 31.78

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

13. Stock-Based Incentive Plans (Continued)

Liability Classified Awards - Long-Term Incentive Awards

The Company has granted annual cash LTIP awards that vest over a three-year period. The awards use a multiplier from 0% to 200% of the target amount based on the total stockholder return of the Company's common stock compared to the total stockholder returns of a peer group of companies. The expense for these awards are recognized ratably over their life. For the years ended December 28, 2025, December 29, 2024 and December 31, 2023, the Company recorded an expense of \$2.4 million, \$0.2 million and a reversal of expense of \$1.4 million, respectively. As of December 28, 2025 and December 29, 2024, a liability of \$3.3 million and \$0.8 million, respectively, was recorded as Other non-current liabilities on the Consolidated Balance Sheets.

14. Employee Benefit Plans

401(k) Savings and Investment Plan

The Company matches 100% of the first four percent of the employee's eligible compensation deferral and 50% of the next two percent of the employee's eligible compensation deferral. All contributions under this plan vest immediately. Substantially all of the administrative cost of the 401(k) plan is borne by the Company. For the years ended December 28, 2025, December 29, 2024 and December 31, 2023 the Company's matching contribution expense was \$3.8 million, \$3.4 million and \$3.3 million, respectively.

15. Income Taxes

The income from continuing operations before income taxes and provision (benefit) for income taxes for the years ended December 28, 2025, December 29, 2024 and December 31, 2023 was as follows:

Income from continuing operations before income tax expense (benefit)

	2025	2024	2023
	(In millions)		
U.S. ⁽¹⁾	\$ 24.9	\$ 88.7	\$ 110.9
Foreign	0.3	0.8	0.8
Total	\$ 25.2	\$ 89.5	\$ 111.7

Income tax expense (benefit) from continuing operations

	2025	2024	2023
Current			
Federal	\$ 7.2	\$ 25.0	\$ 25.6
State	2.7	3.8	0.6
Foreign ⁽¹⁾	1.6	2.0	2.2
Total Current	11.5	30.8	28.4
Deferred			
Federal	(2.1)	(8.1)	(1.2)
State	(1.3)	2.0	(12.6)
Total Deferred	(3.4)	(6.1)	(13.8)
Total income tax expense			
Federal	5.1	16.9	24.4
State	1.4	5.8	(12.1)
Foreign	1.6	2.0	2.2
Provision (benefit) for income taxes	\$ 8.1	\$ 24.7	\$ 14.5

⁽¹⁾ Certain foreign-source income is included in U.S. income from continuing operations before income tax expense, while the related withholding taxes are recorded within foreign income tax expense from continuing operations.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

15. Income Taxes (Continued)

The provision (benefit) for income taxes differs from the statutory Federal income tax for the years ended December 28, 2025, December 29, 2024 and December 31, 2023 as follows:

	2025	
	Amount (in millions)	Percent (%)
U.S Federal statutory tax rate	\$ 5.3	21.0 %
State and local income taxes, net of federal⁽¹⁾	\$ 2.0	7.8 %
Foreign tax effects		
Mexico		
Withholding taxes	0.5	2.0 %
Puerto Rico		
Withholding taxes	0.3	1.4 %
Canada		
Withholding taxes	0.3	0.8 %
Other jurisdictions	0.5	2.3 %
Total foreign tax effects	\$ 1.6	6.5 %
Effect of changes in tax laws or rates enacted in the current period	—	— %
Effect of cross-border tax laws		
Foreign tax credit	(1.5)	(6.1) %
Foreign-derived intangible income (FDII)	(0.3)	(1.0) %
Total effect of cross-border tax laws	\$ (1.8)	(7.1) %
Tax credits		
R&D tax credit	(0.6)	(2.4) %
FICA tip credit	(0.4)	(1.6) %
Total tax credits	\$ (1.0)	(4.0) %
Changes in valuation allowances	\$ 0.4	1.6 %
Nontaxable or nondeductible items		
Nondeductible stock compensation	1.3	5.3 %
Nondeductible officer's compensation	0.9	3.8 %
Other nontaxable or nondeductible items	0.1	0.3 %
Total nontaxable or nondeductible items	\$ 2.3	9.3 %
Changes in unrecognized tax benefits	\$ (0.8)	(3.2) %
Other adjustments	\$ 0.1	0.1 %
Income tax expense	\$ 8.1	32.0 %

⁽¹⁾ State taxes in GA, TX, NJ and MI made up the majority (greater than 50%) of the tax effect in this category.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

15. Income Taxes (Continued)

	2024	2023
Statutory federal income tax rate	21.0 %	21.0 %
Non-deductibility of goodwill	0.4	—
Non-deductibility of officer's compensation	1.1	1.1
State and other taxes, net of federal tax benefit	3.9	3.8
State income tax audit settlement	—	(13.5)
Excess tax deficiencies or (benefits)	1.2	(0.7)
Change in unrecognized tax benefits	—	1.1
Change in valuation allowance	0.8	0.7
Changes in tax rates and state tax laws	0.6	—
General business credits	(0.7)	(0.7)
Other	(0.8)	0.2
Effective tax rate	27.5 %	13.0 %

The Company or one of its subsidiaries files federal income tax returns and tax returns in various state and international jurisdictions. With few exceptions, the Company is no longer subject to federal tax examinations by tax authorities for years before 2022 and state or non-United States tax examinations by tax authorities for years before 2020.

Disclosed below is a summary of income taxes paid, net of refunds by jurisdiction for the year ended December 28, 2025:

	(in millions)
United States - Federal	\$ 10.9
United States - State and local ⁽¹⁾	3.3
Total U.S. Federal, State and local	\$ 14.2
Foreign ⁽¹⁾	1.7
Total income taxes paid, net of refunds	\$ 15.9

⁽¹⁾ The amount of income taxes paid during the year for state and foreign does not meet the 5% disaggregation threshold.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

15. Income Taxes (Continued)

Net deferred tax assets (liabilities) as of December 28, 2025 and December 29, 2024 consisted of the following components:

	2025	2024
	(In millions)	
Lease liabilities	\$ 102.2	\$ 104.3
Employee compensation	10.9	8.8
Deferred revenue	37.8	38.9
Tax attributes	13.2	13.5
Other	13.8	8.1
Deferred tax assets	\$ 177.9	\$ 173.6
Valuation allowance	(5.4)	(5.0)
Total deferred tax assets after valuation allowance	\$ 172.5	\$ 168.6
Capitalization and depreciation ⁽¹⁾	(124.6)	(122.1)
Lease assets	(94.8)	(96.1)
Other	(4.3)	(5.0)
Deferred tax liabilities	\$ (223.7)	\$ (223.2)
Net deferred tax liabilities	\$ (51.2)	\$ (54.6)

⁽¹⁾ Primarily related to the 2007 Applebee's acquisition.

The Company considers new evidence, both positive and negative, that could impact management's view with regards to future realization of deferred tax assets. Management believes that the future realizability of benefits arising from foreign tax credit carryforwards and certain state net operating loss carryforwards does not meet the more-likely-than-not threshold. In recognition of this risk, there is a valuation allowance of \$5.4 million as of December 28, 2025.

The Company had gross operating loss carryforwards for state tax purposes of \$112.4 million and \$113.7 million as of December 28, 2025 and December 29, 2024, respectively. Certain net operating loss carryforwards will expire in 2029 if not utilized. The Company had income tax credit carryforwards of \$7.5 million and \$7.5 million as of December 28, 2025 and December 29, 2024, respectively. Certain income tax credit carryforwards will begin to expire in 2029 if not utilized.

The total gross unrecognized tax benefit as of December 28, 2025 and December 29, 2024 was \$3.0 million and \$2.5 million, respectively, excluding interest, penalties and related income tax benefits. If recognized, these amounts would affect the Company's effective income tax rates.

A reconciliation of the beginning and ending amount of unrecognized tax benefits is as follows:

	2025	2024	2023
	(In millions)		
Beginning unrecognized tax benefit	\$ 2.5	\$ 3.5	\$ 2.1
Changes for tax positions of prior years	(0.5)	—	—
Increases for tax positions related to the current year	1.1	0.4	1.9
Decreases relating to settlements and lapsing of statutes of limitations	(0.1)	(1.4)	(0.5)
Ending unrecognized tax benefit	\$ 3.0	\$ 2.5	\$ 3.5

As of December 28, 2025, the accrued interest was \$0.2 million, excluding any related income tax benefits. As of December 29, 2024, the accrued interest and penalties were \$0.8 million, excluding any related income tax benefits. The Company recognizes interest accrued related to unrecognized tax benefits and penalties as a component of the income tax provision recognized in the Consolidated Statements of Comprehensive Income.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

16. Net Income Per Share

The computation of the Company's basic and diluted net income per share for the years then ended is as follows:

	2025	2024	2023
	(in millions, except per share data)		
Numerator for basic and diluted income per common share			
Net income	\$ 17.1	\$ 64.9	\$ 97.2
Less: Net income allocated to restricted stock	(1.1)	(1.9)	(2.3)
Net income available to common stockholders - basic and diluted	16.0	63.0	94.9
Denominator			
Weighted average outstanding shares of common stock - basic	14.3	14.9	15.2
Weighted average outstanding shares of common stock - diluted	14.3	14.9	15.2
Net income per common share			
Basic	\$ 1.11	\$ 4.22	\$ 6.23
Diluted	\$ 1.11	\$ 4.22	\$ 6.22

17. Reportable Segments

Information on segments and a reconciliation of segment operating profit to income before income taxes is as follows:

	2025			
	Franchise	Company-Owned Restaurants	Rental	Total
	(In millions)			
Revenues	\$ 665.5	\$ 104.6	\$ 109.3	\$ 879.3
Less: Advertising revenue	281.8	—	—	281.8
Revenues excluding advertising revenue	383.7	104.6	109.3	597.5
<i>Less:</i>				
Interest expense from finance leases	—	—	2.7	2.7
Depreciation and amortization	0.6	3.1	9.6	13.3
Other segment items ^(a)	40.8	109.5	71.9	222.2
Segment profit	342.3	(8.1)	25.0	359.3
Stock based compensation (direct)	3.6	—	—	3.6
Gain on disposition of assets	(0.5)	—	—	(0.5)
Other G&A expenses (direct and allocated)	125.0	7.9	—	132.9
Segment operating profit	\$ 214.2	\$ (16.0)	\$ 25.0	\$ 223.3
<i>Reconciliation of segment operating profit</i>				
Segment operating profit				\$ 223.3
Depreciation and amortization (unallocated)				17.5
Stock based compensation (unallocated)				9.6
Other G&A expenses (unallocated)				40.2
Interest expense, net				78.0
Closure and impairment charges				40.0
Amortization of intangible assets				11.9
Loss on extinguishment of debt				0.9
Income before income taxes				\$ 25.2

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

17. Reportable Segments (Continued)

	2024			
	Franchise	Company- Owned Restaurants	Rental	Total
	(In millions)			
Revenues	\$ 686.0	\$ 9.3	\$ 117.1	\$ 812.3
Less: Advertising revenue	290.4	—	—	290.4
Revenues excluding advertising revenue	395.5	9.3	117.1	521.9
<i>Less:</i>				
Interest expense from finance leases	—	—	2.9	2.9
Depreciation and amortization	1.4	(0.6)	10.1	11.0
Other segment items ^(a)	48.0	10.5	74.2	132.7
Segment profit	346.1	(0.6)	29.9	375.3
Stock based compensation (direct)	5.7	—	—	5.7
Gain on disposition of assets	—	(2.2)	(1.0)	(3.2)
Other G&A expenses (direct and allocated)	119.3	—	—	119.3
Segment operating profit	\$ 221.1	\$ 1.6	\$ 30.9	\$ 253.5
<i>Reconciliation of segment operating profit</i>				
Segment operating profit				\$ 253.5
Depreciation and amortization (unallocated)				17.4
Stock based compensation (unallocated)				10.2
Other G&A expenses (unallocated)				44.2
Interest expense, net				72.1
Closure and impairment charges				9.2
Amortization of intangible assets				10.8
Income before income taxes				\$ 89.5

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

17. Reportable Segments (Continued)

	2023			
	Franchise	Company-Owned Restaurants	Rental	Total
	(In millions)			
Revenues	\$ 706.4	\$ 2.1	\$ 122.6	\$ 831.1
Less: Advertising revenue	300.8	—	—	300.8
Revenues excluding advertising revenue	405.6	2.1	122.6	530.3
<i>Less:</i>				
Interest expense from finance leases	—	—	2.8	2.8
Depreciation and amortization	1.1	(0.2)	10.5	11.4
Other segment items ^(a)	42.5	2.4	74.6	119.4
Segment profit	362.0	0.0	34.7	396.7
Stock based compensation (direct)	2.5	—	—	2.5
Loss on disposition of assets	—	0.2	0.3	0.6
Other G&A expenses (direct and allocated)	126.9	—	—	126.9
Segment operating profit	\$ 232.5	\$ (0.2)	\$ 34.4	\$ 266.7
<i>Reconciliation of segment operating profit</i>				
Segment operating profit				\$ 266.7
Depreciation and amortization (unallocated)				13.3
Stock based compensation (unallocated)				9.5
Other G&A expenses (unallocated)				45.8
Loss on disposition of assets (unallocated)				1.8
Interest expense, net				70.0
Closure and impairment charges				3.6
Amortization of intangible assets				10.9
Income before income taxes				\$ 111.7

(a) Segment items include:

Franchise: Costs of proprietary products, bad debt expense, pre-opening training expenses and other franchise-related costs.

Company-owned restaurants: Operating expenses at company-owned restaurants include food, beverage, labor, benefits, utilities, rent and other operating costs.

Rental: Costs of operating leases, such as rent expense, and interest expense of finance leases on franchisee-operated restaurants.

18. Business Acquisition

From time to time, the Company may acquire restaurants from franchisees to invest in the system, improve operations through innovation tests and create a blueprint for franchisee success and growth.

2025 Acquisitions

On March 5, 2025, the Company entered into an agreement with an IHOP franchisee to acquire 10 IHOP restaurants across Ohio and Kentucky for \$0.2 million of consideration. Due to the fair value of the assets acquired exceeding the consideration transferred, the transaction resulted in a \$0.2 million gain on bargain purchase, recorded in general and administrative expenses in the Condensed Consolidated Statements of Comprehensive Income for the year ended December 28, 2025.

On May 19, 2025, the Company entered into an agreement with an Applebee's franchisee to acquire 12 Applebee's restaurants across Kentucky, Indiana, Arkansas, and Oklahoma for \$1.3 million of consideration. The following table summarizes the estimated fair value of net assets acquired at the date of acquisition:

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

18. Business Acquisition (Continued)

	(In millions)
Off-market leases	\$ 1.2
Cash	0.9
Inventory and other current assets	0.4
Total identifiable assets acquired	2.5
Liabilities assumed	(2.8)
Net identifiable liabilities acquired	(0.3)
Goodwill	1.6
Consideration transferred	\$ 1.3

The excess of the purchase price over the fair value of identifiable net assets acquired amounted to \$1.6 million. During the allowable allocation period in 2025, the Company recorded a \$0.1 million purchase price adjustment. The goodwill allocated to the Company-owned restaurants Segment of \$1.7 million as of December 28, 2025 is deductible for federal income tax purposes.

2024 Acquisitions

On November 11, 2024, the Company entered into an agreement with a former Applebee's franchisee to acquire 15 Applebee's restaurants. The transaction was structured as a non-cash transaction, for no consideration transferred by the Company. This resulted in a \$0.6 million gain on bargain purchase, which was recognized in the General and administrative expenses in the Consolidated Statements of Comprehensive Income for the year ended December 29, 2024.

The following table summarizes the estimated fair value of net assets acquired at the date of acquisition:

	(In millions)
Equipment and fixtures	\$ 1.1
Inventory and other current assets	0.2
Total identifiable assets acquired	1.3
Liabilities assumed	(0.7)
Bargain purchase gain	\$ 0.6

On November 19, 2024, the Company entered into an agreement with an Applebee's franchisee to acquire 41 Applebee's restaurants for consideration transferred of \$8.3 million.

The following table summarizes the recognized amount of assets acquired and liabilities assumed as of the date of acquisition:

	(In millions)
Equipment and fixtures	\$ 12.0
Inventory and other current assets	0.9
Reacquired franchise rights	0.3
Off-market leases	(4.1)
Total identifiable assets acquired	9.1
Liabilities assumed	(3.6)
Total identifiable net assets	5.5
Goodwill	2.8
Consideration transferred	\$ 8.3

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

18. Business Acquisition (Continued)

The excess of the purchase price over the fair value of identifiable net assets acquired amounted to \$2.8 million. During the allowable allocation period in 2025, the Company recorded a \$(1.0) million purchase price adjustment.

The results of operation of these restaurants are included in the Company's consolidated results from the acquisition date. The Company has not presented pro forma results of the restaurants for periods prior to the acquisition because the business is not considered significant as measured by the amount of the Company's investment in and assets of the business relative to the Company's consolidated balance sheet and by the income before income taxes of the business relative to the Company's average consolidated income before income taxes for the most recent five-year period excluding loss years.

19. Refranchising of Company-Owned Restaurants

On November 19, 2024, the Company completed the refranchising and sale of related restaurant assets of nine company-owned Applebee's restaurants in Texas to a franchisee. As part of the transaction, the Company entered into an asset purchase agreement and nine franchise agreements. The Company received cash of \$1.4 million and a note receivable for \$5.9 million. The Company recognized a gain of \$1.8 million on the refranchising and sale as the difference between the book value of the assets sold compared to the consideration received. For the year ended December 29, 2024 the gain was recognized in the (Gain) loss on disposition of assets in the Consolidated Statements of Comprehensive Income.

20. Subsequent Events

On February 20, 2026, our Board of Directors declared a first quarter 2026 cash dividend of \$0.19 per share of common stock, payable on April 10, 2026 to the stockholders of record as of the close of business on March 18, 2026.

Report of Independent Registered Public Accounting Firm

To the Stockholders and the Board of Directors of Dine Brands Global, Inc.

Opinion on the Financial Statements

We have audited the accompanying consolidated balance sheets of Dine Brands Global, Inc. and Subsidiaries (the Company) as of December 29, 2024 and December 31, 2023, the related consolidated statements of comprehensive income, stockholders' deficit and cash flows for each of the three years in the period ended December 29, 2024, and the related notes (collectively referred to as the "consolidated financial statements"). In our opinion, the consolidated financial statements present fairly, in all material respects, the financial position of the Company at December 29, 2024 and December 31, 2023, and the results of its operations and its cash flows for each of the three years in the period ended December 29, 2024, in conformity with U.S. generally accepted accounting principles.

We also have audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States) (PCAOB), the Company's internal control over financial reporting as of December 29, 2024, based on criteria established in Internal Control-Integrated Framework issued by the Committee of Sponsoring Organizations of the Treadway Commission (2013 framework) and our report dated March 5, 2025 expressed an unqualified opinion thereon.

Basis for Opinion

These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on the Company's financial statements based on our audits. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to the Company in accordance with the U.S. federal securities laws and the applicable rules and regulations of the Securities and Exchange Commission and the PCAOB.

We conducted our audits in accordance with the standards of the PCAOB. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement, whether due to error or fraud. Our audits included performing procedures to assess the risks of material misstatement of the financial statements, whether due to error or fraud, and performing procedures that respond to those risks. Such procedures included examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements. Our audits also included evaluating the accounting principles used and significant estimates made by management, as well as evaluating the overall presentation of the financial statements. We believe that our audits provide a reasonable basis for our opinion.

Critical Audit Matters

The critical audit matters communicated below are matters arising from the current period audit of the financial statements that were communicated or required to be communicated to the audit committee and that: (1) relate to accounts or disclosures that are material to the financial statements and (2) involved our especially challenging, subjective or complex judgments. The communication of critical audit matters does not alter in any way our opinion on the consolidated financial statements, taken as a whole, and we are not, by communicating the critical audit matters below, providing separate opinions on the critical audit matters or on the accounts or disclosures to which they relate.

Goodwill and Indefinite Lived Intangible Assets Impairment Assessment

Description of the Matter

At December 29, 2024, the Company's goodwill and indefinite lived tradename intangible asset balances related to the Fuzzy's franchised restaurants reporting unit (Fuzzy's franchise unit) were \$7.1 million and \$57.2 million, respectively. As discussed in Notes 2, 6 and 7 to the consolidated financial statements, goodwill and tradename are tested for impairment at least annually, and more frequently if the Company believes indicators of impairment exist or at management's discretion. As a result of identifying impairment indicators, Management performed a quantitative impairment test of the Fuzzy's franchise unit goodwill and tradename assets as of December 29, 2024. The impairment test concluded that the estimated fair value of the tradename exceeded the carrying value and the carrying value of the reporting unit exceeded the estimated fair value resulting in a goodwill impairment loss of \$7.1 million.

Auditing management's goodwill and tradename impairment tests was especially challenging and complex due to the significant estimation underlying the determination of fair values. In particular, the fair value estimates were sensitive to changes in the significant assumptions used under the income and market approaches utilized to determine the fair value of the Fuzzy's franchise unit and the relief of royalty method utilized to determine the fair value of tradename. Significant assumptions made by management in estimating fair value of the Fuzzy's franchise unit under the income and market approaches included future trends in royalty revenue, sales growth rates for royalty revenue and other franchise revenue, and the appropriate discount rate. Significant assumptions used to determine fair value of the tradename under the relief of royalty method included future trends in system-wide sales, system-wide sales growth rate, and royalty rate.

How We Addressed the Matter in Our Audit

We obtained an understanding, evaluated the design and tested the operating effectiveness of controls over the Company's goodwill and tradename impairment tests, including controls over the review of the assumptions used and the accuracy of the underlying data.

Our testing of the Company's impairment assessment included, among other procedures, evaluating the significant assumptions and data used in estimating fair values. For example, we compared the forecasted future sales growth rates to historical results and industry trends. We also performed sensitivity analyses on the significant assumptions used, agreed historical balances to accounting records, and recalculated management's estimates. Additionally, we involved our valuation specialists to assist with our evaluation of the methodology used and to assess whether assumptions such as discount rates and royalty rates were comparable to observable market data.

Measurement and Valuation of Allowance for Credit Losses

<i>Description of the Matter</i>	As of December 29, 2024, the Company's allowance for credit losses was \$4.7 million against a gross accounts receivable balance of \$155.8 million. As discussed in Notes 2 and 4 to the consolidated financial statements, the Company's gross receivables primarily consist of franchise-related accounts receivable, gift card receivables, notes receivable, equipment leases receivable, real estate leases receivable, and distributor receivables. The carrying amounts of the receivables, net of the allowance, represent the total amounts expected to be collected over the life of the receivables. Included in the allowance for credit losses are specific reserves against account balances due from franchisees which are deemed to be at risk for collection based on payment delinquency and a reserve for receivables that are not currently deemed at risk that is based on past events, current conditions, and expectations of the future effects of macroeconomic factors. Auditing the allowance for credit losses was complex due to the judgmental nature and degree of subjectivity involved in evaluating management's assessment of the collectability of receivables. Estimates of the amounts expected to be collected include assessments of franchisee financial health and creditworthiness.
<i>How We Addressed the Matter in Our Audit</i>	We obtained an understanding, evaluated the design, and tested the operating effectiveness of the Company's controls over the allowance for credit losses process, including management's review and approval of the model used to calculate the estimate and the evaluation of the completeness and accuracy of data inputs, assumptions, and outputs of the model. Our audit procedures included, among others, validating the completeness of the identified at-risk receivables based on payment delinquency. We tested the completeness and accuracy of the underlying inputs considered in management's model. We evaluated the reasonableness of the overall allowance estimate, inclusive of the assumptions, and performed sensitivity analyses on the significant assumptions used. We also reviewed subsequent events and transactions and considered whether they corroborated or contradicted the Company's estimate conclusion.

/s/ ERNST & YOUNG LLP

We have served as the Company's auditor since 2004.

Los Angeles, California
March 5, 2025

Dine Brands Global, Inc. and Subsidiaries
Consolidated Balance Sheets
(In thousands, except share amounts)

Assets	December 31,	
	2024	2023
Current assets:		
Cash and cash equivalents	\$ 186,650	\$ 146,034
Receivables, net of allowance of \$3,383 (2024) and \$4,462 (2023)	115,218	127,937
Restricted cash	42,448	35,058
Prepaid gift card costs	28,552	29,545
Prepaid income taxes	1,446	3,445
Other current assets	11,685	15,759
Total current assets	385,999	357,778
Other intangible assets, net	575,654	586,033
Operating lease right-of-use assets	323,468	275,214
Goodwill	248,622	254,062
Property and equipment, net	156,134	161,891
Long-term receivables, net of allowance of \$1,354 (2024) and \$5,002 (2023)	35,873	35,602
Deferred rent receivable	24,804	33,326
Non-current restricted cash	19,500	19,500
Other non-current assets, net	20,530	16,881
Total assets	<u>\$ 1,790,584</u>	<u>\$ 1,740,287</u>
Liabilities and Stockholders' Deficit		
Current liabilities:		
Current maturities of long-term debt	\$ 100,000	\$ 100,000
Accounts payable	37,718	36,193
Gift card liability	177,584	175,640
Current maturities of operating lease obligations	65,336	63,498
Current maturities of finance lease and financing obligations	6,387	7,243
Accrued employee compensation and benefits	16,674	23,211
Accrued advertising expenses	4,735	9,446
Dividends payable	7,790	7,827
Other accrued expenses	29,081	37,394
Total current liabilities	445,305	460,452
Long-term debt, net, less current maturities	1,086,551	1,084,502
Operating lease obligations, less current maturities	310,476	269,097
Finance lease obligations, less current maturities	34,286	34,389
Financing obligations, less current maturities	23,251	26,984
Deferred income taxes, net	54,572	60,829
Deferred franchise revenue, long-term	36,700	38,658
Other non-current liabilities	15,462	16,350
Total liabilities	<u>2,006,603</u>	<u>1,991,261</u>
Commitments and contingencies		
Stockholders' deficit:		
Preferred stock, \$1 par value, 10,000,000 shares authorized, no shares issued and outstanding	—	—
Common stock, \$0.01 par value; shares: 40,000,000 authorized; 2024 -24,756,637 issued, 15,273,210 outstanding; 2023 - 24,870,529 issued, 15,344,768 outstanding	248	249
Additional paid-in-capital	254,814	256,542
Retained earnings	183,614	150,008
Accumulated other comprehensive loss	(76)	(64)
Treasury stock, at cost; shares: 2024 - 9,483,427; 2023 - 9,525,761	(654,619)	(657,709)
Total stockholders' deficit	<u>(216,019)</u>	<u>(250,974)</u>
Total liabilities and stockholders' deficit	<u>\$ 1,790,584</u>	<u>\$ 1,740,287</u>

See the accompanying notes to the consolidated financial statements.

Dine Brands Global, Inc. and Subsidiaries
Consolidated Statements of Comprehensive Income
(In thousands, except per share amounts)

	Year Ended December 31,		
	2024	2023	2022
Revenues:			
Franchise revenues:			
Royalties, franchise fees and other	\$ 395,524	\$ 405,569	\$ 373,110
Advertising revenues	290,436	300,796	289,328
Total franchise revenues	685,960	706,365	662,438
Company restaurant sales	9,262	2,128	126,869
Rental revenues	115,286	119,970	116,491
Financing revenues	1,798	2,605	3,604
Total revenues	812,306	831,068	909,402
Cost of revenues:			
Franchise expenses:			
Advertising expenses	295,263	300,962	287,063
Bad debt expense	701	2,659	261
Other franchise expenses	43,892	40,782	34,584
Total franchise expenses	339,856	344,403	321,908
Company restaurant expenses	9,920	2,136	121,722
Rental expenses:			
Interest expense from finance leases	2,904	2,771	2,962
Other rental expenses	84,008	84,705	85,033
Total rental expenses	86,912	87,476	87,995
Financing expenses	309	369	419
Total cost of revenues	436,997	434,384	532,044
Gross profit	375,309	396,684	377,358
General and administrative expenses	196,702	198,057	190,746
Interest expense, net	72,142	70,047	60,952
Closure and impairment charges	9,240	3,594	3,062
Amortization of intangible assets	10,832	10,923	10,559
Loss (gain) on extinguishment of debt	—	10	(210)
(Gain) loss on disposition of assets	(3,150)	2,350	(2,536)
Income before income taxes	89,543	111,703	114,785
Income tax provision	(24,653)	(14,527)	(33,674)
Net income	64,890	97,176	81,111
Other comprehensive income, net of tax:			
Foreign currency translation adjustment	(12)	1	(6)
Total comprehensive income	\$ 64,878	\$ 97,177	\$ 81,105
Net income available to common stockholders:			
Net income	\$ 64,890	\$ 97,176	\$ 81,111
Less: Net income allocated to unvested participating restricted stock	(1,915)	(2,317)	(2,174)
Net income available to common stockholders	\$ 62,975	\$ 94,859	\$ 78,937
Net income available to common stockholders per share:			
Basic	\$ 4.22	\$ 6.23	\$ 4.97
Diluted	\$ 4.22	\$ 6.22	\$ 4.96
Weighted average shares outstanding:			
Basic	14,931	15,233	15,873
Diluted	14,931	15,242	15,901

See the accompanying notes to the consolidated financial statements.

Dine Brands Global, Inc. and Subsidiaries
Consolidated Statements of Stockholders' Deficit
(In thousands except share amounts)

	Common Stock		Additional Paid-in Capital	Retained Earnings	Accumulated Other Comprehensive Loss	Treasury Stock		
	Shares Outstanding	Amount				Shares	Cost	Total
Balance at December 31, 2021	17,163,946	\$ 250	\$ 256,189	\$ 35,415	\$ (59)	7,828,329	\$ (534,602)	\$ (242,807)
Net income	—	—	—	81,111	—	—	—	81,111
Other comprehensive loss	—	—	—	—	(6)	—	—	(6)
Purchase of Company common stock	(1,737,697)	—	—	—	—	1,737,697	(120,163)	(120,163)
Reissuance of treasury stock	205,293	—	(9,378)	—	—	(205,293)	9,619	241
Net issuance of shares for stock plans	6,886	—	—	—	—	—	—	—
Repurchase of restricted shares for taxes	(39,189)	—	(2,867)	—	—	—	—	(2,867)
Stock-based compensation	—	—	16,131	—	—	—	—	16,131
Dividends on common stock	—	—	219	(31,988)	—	—	—	(31,769)
Tax payments for share settlement of restricted stock units	—	—	(955)	—	—	—	—	(955)
Balance at December 31, 2022	15,599,239	250	259,339	84,538	(65)	9,360,733	(645,146)	(301,084)
Net income	—	—	—	97,176	—	—	—	97,176
Other comprehensive income	—	—	—	—	1	—	—	1
Purchase of Company common stock	(446,189)	—	(113)	—	—	446,189	(26,017)	(26,130)
Reissuance of treasury stock	281,161	(1)	(9,641)	—	—	(281,161)	13,454	3,812
Net issuance of shares for stock plans	(28,069)	—	—	—	—	—	—	—
Repurchase of restricted shares for taxes	(61,374)	—	(4,355)	—	—	—	—	(4,355)
Stock-based compensation	—	—	11,990	—	—	—	—	11,990
Dividends on common stock	—	—	181	(31,706)	—	—	—	(31,525)
Tax payments for share settlement of restricted stock units	—	—	(859)	—	—	—	—	(859)
Balance at December 31, 2023	15,344,768	249	256,542	150,008	(64)	9,525,761	(657,709)	(250,974)
Net income	—	—	—	64,890	—	—	—	64,890
Other comprehensive loss	—	—	—	—	(12)	—	—	(12)
Purchase of Company common stock	(269,621)	—	—	—	—	269,621	(12,000)	(12,000)
Reissuance of treasury stock	311,955	(1)	(15,155)	—	—	(311,955)	15,090	(66)
Net issuance of shares for stock plans	(56,246)	—	—	—	—	—	—	—
Repurchase of restricted shares for taxes	(57,646)	—	(2,667)	—	—	—	—	(2,667)
Stock-based compensation	—	—	15,978	—	—	—	—	15,978
Dividends on common stock	—	—	146	(31,284)	—	—	—	(31,138)
Tax payments for share settlement of restricted stock units	—	—	(30)	—	—	—	—	(30)
Balance at December 31, 2024	15,273,210	\$ 248	\$ 254,814	\$ 183,614	\$ (76)	9,483,427	\$ (654,619)	\$ (216,019)

See the accompanying notes to the consolidated financial statements.

Dine Brands Global, Inc. and Subsidiaries
Consolidated Statements of Cash Flows
(In thousands)

	Year Ended December 31,		
	2024	2023	2022
Cash flows from operating activities			
Net income	\$ 64,890	\$ 97,176	\$ 81,111
Adjustments to reconcile net income to cash flows provided by operating activities:			
Depreciation and amortization	39,153	35,630	37,952
Non-cash stock-based compensation expense	15,978	11,990	16,131
Non-cash closure and impairment charges	9,240	3,594	2,927
Non-cash interest expense	3,290	3,505	3,226
Deferred income taxes	(6,520)	(13,822)	(1,071)
Deferred revenue	(6,278)	(4,224)	(4,474)
Loss (gain) on extinguishment of debt	—	10	(210)
(Gain) loss on disposition of assets	(3,150)	2,359	(2,536)
Other	(4,204)	(3,552)	(5,160)
Changes in operating assets and liabilities:			
Accounts receivable, net	(671)	1,913	(2,574)
Deferred rent receivable	8,522	9,003	7,928
Income tax receivables and payables	667	1,160	8,326
Operating lease assets and liabilities	(12,530)	7,256	(11,823)
Gift card receivables and payables	(678)	5,095	2,783
Other current assets	7,618	1,911	(12,706)
Accounts payable	1,032	(16,027)	(3,665)
Accrued employee compensation and benefits	(6,368)	(1,748)	(16,264)
Accrued advertising expenses	(1,441)	(14,711)	(10,020)
Other current liabilities	(390)	4,622	(545)
Cash flows provided by operating activities	108,160	131,140	89,336
Cash flows from investing activities			
Principal receipts from notes, equipment contracts and other long-term receivables	12,264	9,319	17,057
Additions to property and equipment	(14,069)	(37,172)	(35,318)
Proceeds from sale of property and equipment	3,021	10	17,028
Additions to long-term receivables	(718)	(1,069)	(1,069)
Acquisition of business, net of cash acquired	(8,452)	(101)	(78,264)
Other	(497)	(1,084)	(338)
Cash flows used in investing activities	(8,451)	(30,097)	(80,904)
Cash flows from financing activities			
Proceeds from issuance of long-term debt, including revolving line of credit	—	530,000	100,000
Repayment of long-term debt	—	(651,713)	(38,768)
Borrowings from revolving credit facility	—	—	—
Repayments of revolving credit facility	—	(30,000)	—
Payment of debt issuance costs	—	(8,044)	(6,289)
Dividends paid on common stock	(31,302)	(31,715)	(30,765)
Repurchase of common stock	(12,066)	(26,130)	(120,452)
Principal payments of finance lease and financing obligations	(5,638)	(6,431)	(8,946)
Proceeds from stock options exercised	—	3,812	241
Repurchase of restricted stock for tax payments upon vesting	(2,667)	(4,355)	(2,867)
Tax payments for share settlement of restricted stock units	(30)	(859)	(955)
Cash flows used in financing activities	(51,703)	(225,435)	(108,801)
Net change in cash, cash equivalents and restricted cash	48,006	(124,392)	(100,369)
Cash, cash equivalents and restricted cash at beginning of year	200,592	324,984	425,353
Cash, cash equivalents and restricted cash at end of year	\$ 248,598	\$ 200,592	\$ 324,984
Supplemental disclosures			
Interest paid	\$ 79,231	\$ 73,976	\$ 64,599
Income taxes paid	\$ 38,332	\$ 28,409	\$ 28,085
Non-cash conversion of accounts receivable to notes receivable	\$ 3,254	\$ 1,367	\$ 84
Non-cash balance sheet gross-up of receivables and other accrued expenses	\$ 11,000	\$ (11,000)	\$ —

See the accompanying notes to the consolidated financial statements.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements

1. The Company

The first International House of Pancakes® (“IHOP”) restaurant opened in 1958 in Toluca Lake, California. Shortly thereafter, the Company began developing and franchising additional restaurants. The Company was incorporated as IHOP Corp. under the laws of the State of Delaware in 1976. In November 2007, the Company acquired Applebee's International, Inc., which became a wholly-owned subsidiary of the Company. Effective June 2, 2008, the name of the Company was changed to DineEquity, Inc. and on February 20, 2018, the name of the Company was changed to Dine Brands Global, Inc.® (“Dine Brands Global”). In December 2022, the Company acquired FTO Holding Company, LLC (“Fuzzy's”), which owns the Fuzzy's Taco Shop® concept and became a wholly-owned subsidiary of the Company.

The Company owns, franchises and operates three restaurant concepts: Applebee's Neighborhood Grill + Bar® (“Applebee's”), in the American full-service restaurant segment within the casual dining category of the restaurant industry; IHOP®, in the family dining mid-scale full-service category of the restaurant industry; and Fuzzy's Taco Shop®, in the Mexican food segment within the fast-casual dining category of the restaurant industry.

As of December 31, 2024, there were 1,824 IHOP restaurants, of which 1,670 were subject to franchise agreements and 154 were subject to area license agreements. These IHOP restaurants were located in 49 states of the United States, the District of Columbia, two United States territories and 14 countries outside the United States. As of December 31, 2024, there were 1,614 Applebee's® restaurants, of which 1,567 were subject to franchise agreements and 47 were company-operated. These Applebee's restaurants were located in 49 states of the United States, two United States territories and 15 countries outside the United States. As of December 31, 2024, the Company had 117 Fuzzy restaurants in 15 states of the United States, of which 116 were subject to franchise agreements and one was company-operated.

References herein to Applebee's, IHOP and Fuzzy's restaurants are to these restaurant concepts, whether operated by franchisees, area licensees or the Company. Retail sales at restaurants that are owned by franchisees and area licensees are not attributable to the Company.

2. Basis of Presentation and Summary of Significant Accounting Policies

Principles of Consolidation

The consolidated financial statements include the accounts of Dine Brands Global, Inc. and its wholly-owned subsidiaries. All intercompany accounts and transactions have been eliminated in consolidation. Certain amounts in the Consolidated Financial Statements and associated notes may not foot due to rounding.

Fiscal Periods

The Company has a 52/53 week fiscal year that ends on the Sunday nearest to December 31 of each year. In a 52-week fiscal year, each fiscal quarter contains 13 weeks, comprised of two, four-week fiscal months followed by a five-week fiscal month. In a 53-week fiscal year, the last month of the fourth fiscal quarter contains six weeks. For convenience, the Company refers to its fiscal years as ending on December 31 and its fiscal quarters as ending on March 31, June 30 and September 30. There were 52 calendar weeks in our 2024, 2023, and 2022 fiscal year that ended December 29, 2024, December 31, 2023, and January 1, 2023, respectively.

Use of Estimates

The preparation of financial statements in conformity with United States generally accepted accounting principles (“U.S. GAAP”) requires the Company's management to make estimates and assumptions that affect the reported amounts of assets and liabilities, disclosures of contingent assets and liabilities, if any, at the date of the consolidated financial statements, and the reported amounts of revenues and expenses during the reporting period. Significant estimates are made in the calculation and assessment of the following: impairment of tangible and intangible assets and goodwill; purchase price allocation of acquired companies to the assets acquired and liabilities assumed; income taxes; allowance for doubtful accounts and notes receivables; lease accounting estimates; contingencies; and stock-based compensation. On an ongoing basis, the Company evaluates its estimates based on historical experience, current conditions and various other assumptions that are believed to be reasonable under the circumstances. The Company adjusts such estimates and assumptions when facts and circumstances dictate. Actual results could differ from those estimates.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

2. Basis of Presentation and Summary of Significant Accounting Policies (Continued)

Concentration of Credit Risk

The Company's cash, cash equivalents, restricted cash and accounts receivable are potentially subject to concentration of credit risk. Cash and cash equivalents are placed with financial institutions that management believes are creditworthy. The Company does not believe that it is exposed to any significant credit risk on cash, cash equivalents and restricted cash. At times, cash, cash equivalents and restricted cash balances may be in excess of FDIC insurance limits.

Accounts receivable are derived from revenues earned from franchisees and area licensees located primarily in the United States. Financing receivables arise from the financing of restaurant equipment, real estate leases or franchise fees with the Company by IHOP franchisees. The Company is subject to a concentration of credit risk with respect to receivables from franchisees that own a large number of Applebee's, IHOP or Fuzzy's restaurants. As of December 31, 2024, two franchisees (one Applebee's franchisee and one franchisee with cross-brand ownership) operated a combined total of 790 Applebee's and IHOP restaurants in the United States, which comprised 23.9% of the total Applebee's, IHOP and Fuzzy's franchise and area license restaurants in the United States. Revenues from these two franchisees represented 22.2%, 21.1%, and 18.8% of total consolidated revenue for the years ended December 31, 2024, 2023 and 2022, respectively. One franchisee represented 14.4%, 13.9%, and 12.5% of total consolidated revenue for the years ended December 31, 2024, 2023 and 2022, respectively. Receivables from these franchisees totaled \$20.1 million and \$19.7 million at December 31, 2024 and 2023, respectively.

Cash and Cash Equivalents

The Company considers all highly liquid investment securities with remaining maturities at the date of purchase of three months or less to be cash equivalents. These cash equivalents are stated at cost which approximates market value. Cash held related to IHOP advertising funds and the Company's gift card programs is not considered to be restricted cash as there are no restrictions on the use of these funds. The components of cash and cash equivalents were as follows:

	December 31,	
	2024	2023
	(In millions)	
Money market funds	\$ 35.0	\$ 42.0
IHOP advertising funds and gift card programs	73.1	82.8
Other depository accounts	78.6	21.2
Total cash and cash equivalents	<u>\$ 186.7</u>	<u>\$ 146.0</u>

Restricted Cash

Current

Current restricted cash primarily consisted of funds required to be held in trust in connection with the Company's securitized debt and funds from Applebee's and Fuzzy's franchisees pursuant to franchise agreements, usage of which was restricted to advertising activities. The components of current restricted cash were as follows:

	December 31,	
	2024	2023
	(In millions)	
Securitized debt reserves	\$ 40.0	\$ 31.2
Applebee's advertising funds	1.6	2.0
Other	0.8	1.9
Total current restricted cash	<u>\$ 42.4</u>	<u>\$ 35.1</u>

Non-current

Non-current restricted cash of \$19.5 million at December 31, 2024 and 2023, represents interest reserves set aside for the duration of the securitized debt. The required reserve is approximately one quarter's interest payment on the Company's securitized debt.

Property and Equipment

Property and equipment are stated at cost, net of accumulated depreciation. Properties under finance leases are stated at the present value of the minimum lease payments. Depreciation is computed using the straight-line method over the estimated useful lives of the assets or remaining useful lives. Leasehold improvements and properties under finance leases are amortized

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

2. Basis of Presentation and Summary of Significant Accounting Policies (Continued)

on a straight-line basis over their estimated useful lives or the lease term, if less. The general ranges of depreciable and amortizable lives are as follows:

Category	Depreciable Life
Buildings and improvements	25 to 40 years
Leaseholds and improvements	Shorter of primary lease term or between three to 40 years
Equipment and fixtures	Three to five years
Internal-use software	Three to 10 years
Properties under finance leases	Primary lease term or remaining primary lease term

Long-Lived Assets

On a regular basis, the Company assesses whether events or changes in circumstances have occurred that potentially indicate the carrying value of long-lived assets (primarily assets related to property and equipment leased or subleased to franchisees) may not be recoverable. The analysis is performed at the restaurant level for indicators of impairment. The Company tests for impairment using current and historical operating results and cash flows as well as other relevant facts and circumstances as the primary basis for estimates of future cash flows. The Company considers factors such as the number of years the franchisee's restaurant has been in operation, sales trends, cash flow trends, remaining lease life and other factors which apply on a case-by-case basis. Continuing losses associated with an asset are an indicator of impairment.

If it is decided that there has been an impairment, the carrying amount of the asset is written down to the estimated fair value as determined in accordance with U.S. GAAP governing fair value measurements. The primary method of estimating fair value is based on a discounted cash flow analysis. Any loss resulting from impairment is recognized as a charge against operations.

See *Note 13 - Closure and Long-lived Tangible Asset Impairment Charges*, of the Notes to the Consolidated Financial Statements for additional information.

Goodwill and Intangible Assets

Goodwill is recorded when the aggregate purchase price of an acquisition exceeds the estimated fair value of the net identified tangible and intangible assets acquired. Intangible assets resulting from an acquisition are accounted for using the purchase method of accounting and are estimated by management based on the fair value of the assets received. The Company's identifiable intangible assets are comprised primarily of the Applebee's tradename, Applebee's franchising rights, Fuzzy's tradename and Fuzzy's franchising rights. Identifiable intangible assets with finite lives are amortized over the estimated useful lives using the straight-line method. Goodwill and intangible assets considered to have an indefinite life (primarily tradenames) are not subject to amortization. The determination of indefinite life is subject to reassessment if changes in facts and circumstances indicate the period of benefit has become finite.

Goodwill has been allocated to two reporting segments. The significant majority of the Company's goodwill resulted from the November 29, 2007 acquisition of Applebee's and was allocated between the franchise operations segment ("franchise segment") and company restaurants operations segment ("company restaurants segment"). Smaller amounts of goodwill arising from other business combinations has been allocated to the franchise segment. In November 2024, the Company acquired 47 Applebee's restaurants and the goodwill arising from the acquisition have been allocated to the company restaurants segment. See *Note 6 - Goodwill* and *Note 19 - Business Acquisition*, of the Notes to the Consolidated Financial Statements for additional information.

The Company evaluates the majority of its goodwill for impairment as of October 31 and the remaining as of December 31 of each year. In addition to the annual evaluation for impairment, goodwill and indefinite-lived intangible assets are evaluated more frequently if the Company believes indicators of impairment exist.

When evaluating goodwill and indefinite-lived intangible assets for impairment, under U.S. GAAP, the Company may first perform an assessment of qualitative factors to determine if the fair value of the reporting unit or the intangible asset is more-likely-than-not greater than the carrying amount. Such qualitative factors include, but are not limited to, macro-economic conditions, market and industry conditions, cost considerations, current and future income tax rates, the competitive environment, fluctuations in the market value of the Company's common stock, absolute and relative to peers, overall financial performance and results of past impairment tests. If, based on a review of the qualitative factors, the Company determines it is more-likely-than-not that the fair value is greater than the carrying value, the Company may bypass a quantitative test for impairment. Additionally, in any given year, the Company can elect to perform a quantitative assessment of impairment.

2. Basis of Presentation and Summary of Significant Accounting Policies (Continued)

In performing the quantitative test for impairment of goodwill, the Company primarily uses the income approach method of valuation that includes the discounted cash flow method and the market approach that includes the guideline public company method. Significant assumptions used to determine fair value under the discounted cash flow method include expected restaurant sales trends, future development plans, restaurant closures, cost of revenues, operating expenses, and an appropriate discount rate based on the Company's estimated cost of equity capital and after-tax cost of debt. Significant assumptions used to determine fair value under the guideline public company method include the selection of guideline companies and the valuation multiples applied. The Company measures impairment as the excess of a reporting unit's carrying amount over its fair value as determined by the quantitative test described above.

In the process of performing its quantitative impairment review of intangible assets considered to have an indefinite life, the Company primarily uses the relief of royalty method under the income approach method of valuation. Significant assumptions used to determine fair value under the relief of royalty method include future trends in sales, a royalty rate and an appropriate discount rate based on the Company's estimated cost of equity capital and after-tax cost of debt to be applied to the forecast revenue stream.

Business Combinations

From time to time, the Company may enter into business combinations. In accordance with Accounting Standards Codification ("ASC") 805, Business Combinations, the Company applies the acquisition method for acquisitions that meet the definition of a business combination. Under the acquisition method, the Company estimates the fair value of the identifiable assets and liabilities of the acquired entity on the acquisition date. Acquired intangible assets are valued using different methods under the income approach, including but not limited to, the multi-period excess earnings method for tradenames and franchising rights and the relief of royalty method for recipes. The Company measures goodwill as the excess of consideration transferred over the net of the acquisition date fair values of the identifiable assets acquired and liabilities assumed. Goodwill is assigned to each reporting unit that is expected to benefit from the synergies of the business combination. Acquisition-related expenses and transaction costs associated with business combinations are expensed in the period incurred which is included in the General and administrative expenses line item of the Consolidated Statements of Comprehensive Income.

Revenue Recognition

The Company's revenues are recorded in four categories: franchise operations, company restaurant operations, rental operations and financing operations. Franchise revenue (which comprises most of the Company's revenues) and revenue from company-operated restaurants are recognized in accordance with ASC 606 - Revenue from Contracts with Customers ("ASC 606"). Under ASC 606, revenue is recognized upon transfer of control of promised services or goods to customers in an amount that reflects the consideration the Company expects to receive for those services or goods. The Company's rental and financing revenues are recognized in accordance with other U.S. GAAP accounting standards and are not subject to ASC 606.

Franchise Revenues

The Company franchises the Applebee's, IHOP and Fuzzy's restaurant concepts. The franchise arrangement for the brands is documented in the form of a franchise agreement and, in most cases, a development agreement. The franchise arrangement between the Company as the franchisor and the franchisee as the customer requires the Company to perform various activities to support the brand that do not directly transfer goods and services to the franchisee, but instead represent a single performance obligation, which is the transfer of the franchise license. The intellectual property subject to the franchise license is symbolic intellectual property as it does not have significant standalone functionality, and substantially all the utility is derived from its association with the Company's past or ongoing activities. The nature of the Company's promise in granting the franchise license is to provide the franchisee with access to the brand's symbolic intellectual property over the term of the license. The services provided by the Company are highly interrelated with the franchise license and as such are considered to represent a single performance obligation.

The transaction price in a standard franchise arrangement for the brands primarily consists of (a) initial franchise/development fees; (b) continuing franchise fees (royalties); and (c) advertising fees. Since the Company considers the licensing of the franchising right to be a single performance obligation, no allocation of the transaction price is required. Additionally, domestic franchise agreements require franchisees to purchase proprietary products, if applicable, from the Company.

The Company recognizes the primary components of the transaction price as follows:

- Franchise and development fees are recognized as revenues ratably on a straight-line basis over the term of the franchise agreement commencing with the restaurant opening date. As these fees are typically received in cash at or near the beginning of the franchise term, the cash received is initially recorded as a contract liability until recognized as revenue over time;

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

2. Basis of Presentation and Summary of Significant Accounting Policies (Continued)

- The Company is entitled to royalties and advertising fees based on a percentage of the franchisee's gross sales as defined in the franchise agreement. Royalty and advertising revenues are recognized when the franchisee's reported sales occur. Depending on timing within a fiscal period, the recognition of revenue results in either a contract asset (unbilled receivable) or, once billed, accounts receivable, on the balance sheet;
- Revenue from the sales of proprietary products (primarily pancake and waffle dry mix) is recognized in the period in which distributors ship the franchisee's order; recognition of revenue results in accounts receivable on the balance sheet.

In determining the amount and timing of revenue from contracts with customers, the Company exercises judgment with respect to collectability of the amount; however, the timing of recognition does not require significant judgment as it is based on either the franchise term, the month of sale as reported by the franchisee or the date of product shipment, none of which require estimation.

The Company does not incur a significant amount of contract acquisition costs in conducting its franchising activities. The Company believes its franchising arrangements do not contain a significant financing component.

Company Restaurant Revenues

Company restaurant revenues comprise retail sales at company-operated restaurants. Sales by company-operated restaurants are recognized when food and beverage items are sold. Company restaurant sales are reported net of sales taxes collected from guests that are remitted to the appropriate taxing authorities, with no significant judgments required.

Rental Revenues

Rental operations revenues include revenues from operating leases and interest income from real estate leases. See *Basis of Presentation and Summary of Significant Accounting Policies - Leases*.

Financing Revenues

Financing operations revenues consist primarily of interest income from the financing of franchise fees and equipment leases, other notes receivable from franchisees and sales of equipment associated with refranchised IHOP restaurants. Interest income is recorded as earned.

Gift Card

The Company administers gift card programs for each restaurant concept. The Company records a liability in the period in which a gift card is sold and recognizes costs associated with its administration of the gift card programs as prepaid assets when the costs are incurred. The liability and prepaid asset recorded on the Company's books are relieved when gift cards are redeemed. If redemption occurs at a franchisee-operated restaurant, the gift card proceeds, net of costs, is remitted to the franchisee. The Company recognizes gift card breakage revenue only from gift cards redeemed at company-operated restaurants. Breakage revenue for gift cards estimated to be unredeemable at company-operated restaurants for the years ended December 31, 2024, 2023 and 2022 were \$5.6 thousand, zero and \$0.3 million, respectively.

Allowance for Credit Losses

The allowance for credit losses is the Company's best estimate of the amount of probable credit losses incurred on existing receivables; however, changes in circumstances relating to receivables may result in changes to the allowance in the future. The Company determines the allowance based on historical losses, current conditions, and reasonable and supportable forecasts used in assessing the franchisee's or area licensee's ability to pay outstanding balances. The primary indicator of credit quality is delinquency, which is considered to be a receivable balance greater than 90 days past due. The Company continually reviews the allowance for credit losses. Past due balances and future obligations are reviewed individually for collectability. Account balances are charged against the allowance after all collection efforts have been exhausted and the potential for recovery is considered remote. See *Note 4 - Current Expected Credit Losses*, of the Notes to the Consolidated Financial Statements for additional information.

Leases

The Company accounts for its leasing activities in accordance with accounting guidance for leases, as codified in ASC 842. In adopting ASC 842, the Company utilized expedients that allowed it to retain the classification, as either an operating lease or a finance lease, that was previously determined under prior accounting guidance for leases. The Company reassesses this classification upon renewal, extension or the modification of an existing lease agreement. The Company determines the appropriate classification upon entering into a new contract determined to contain a lease.

2. Basis of Presentation and Summary of Significant Accounting Policies (Continued)

Operating lease assets and liabilities are recognized at the lease commencement date, or were recognized upon adoption of ASC 842. Operating lease liabilities represent the present value of lease payments not yet paid. Operating lease assets represent the Company's right to use an underlying asset and are based upon the operating lease liabilities adjusted for prepayments or accrued lease payments, initial direct costs, lease incentives and impairment of operating lease assets. In the case of operating leases acquired in a business combination, the operating lease assets are adjusted for any favorable or unfavorable lease terms.

The Company's lease agreements generally do not provide information to determine the implicit interest rate in the agreements. This requires the Company to estimate an incremental borrowing rate to be used in calculating operating lease liabilities as of the commencement or modification date. The Company estimates the incremental borrowing rate primarily by reference to (i) yield rates on debt issuances by companies of a similar credit rating as the Company; (ii) U.S. Treasury rates as of the adoption or commencement date; and (iii) adjustments for differences between these rates and the lease term.

The cost of an operating lease is recognized over the lease term on a straight-line basis. The lease term commences on the date the Company has the right to control the use of the leased property. Certain leases may contain provisions for rent holidays and fixed-step escalations in payments over the base lease term, as well as renewal periods. The effects of the holidays and fixed-step escalations are reflected in rent expense on a straight-line basis over the expected lease term. Differences between amounts paid and amounts expensed are recorded as a component of the right of use assets. Certain leases may include rent escalations based on inflation indexes and fair market value adjustments. Certain leases may contain contingent rental provisions that include a fixed base rent plus an additional percentage of the restaurant's sales. Subsequent escalations subject to such an index and contingent rental payments are recognized as variable lease expense.

The rental payments (as lessee) or receipts (as lessor) on those property leases that meet the finance lease criteria result in the recognition of interest expense or interest income and a reduction of finance lease obligation or financing lease receivable, respectively. Finance lease obligations are amortized based on the Company's incremental borrowing rate and real estate leases receivable are amortized using the implicit interest rate.

Pre-opening Expenses

Expenditures related to the opening of new or relocated restaurants are charged to expense when incurred.

Advertising

Advertising expense reflected in the Consolidated Statements of Comprehensive Income includes our contributions to the national advertising funds, local marketing advertising costs incurred by company-operated restaurants, and certain advertising costs incurred by the Company to benefit future franchise operations. Costs of advertising typically are expensed either as incurred or the first time the advertising takes place. Any excess or deficiency of advertising fee revenue compared to advertising expenditures, is recognized in the fourth quarter of the Company's fiscal year. Any excess of revenue over expenditures is recognized only to the extent of previously recognized deficits. When advertising revenues exceed the related advertising expenses and there is no recovery of a previously recognized deficit of advertising revenues, advertising costs are accrued up to the amount of revenues.

Advertising expense included in company restaurant operations for the years ended December 31, 2024, 2023 and 2022 was \$0.4 million, \$0.1 million and \$5.6 million, respectively.

Fair Value Measurements

The Company determines the fair market values of its financial assets and liabilities, as well as non-financial assets and liabilities that are recognized or disclosed at fair value on a recurring basis, based on the fair value hierarchy established in U.S. GAAP. As necessary, the Company measures its financial assets and liabilities using inputs from the following three levels of the fair value hierarchy:

- Level 1 inputs are quoted prices in active markets for identical assets or liabilities.
- Level 2 inputs are observable for the asset or liability, either directly or indirectly, including quoted prices in active markets for similar assets or liabilities.
- Level 3 inputs are unobservable and reflect the Company's own assumptions.

The Company does not have a material amount of financial assets or liabilities that are required under U.S. GAAP to be measured at fair value on a recurring basis. None of the Company's non-financial assets or non-financial liabilities is required to be measured at fair value on a recurring basis. Assets recognized or disclosed at fair value in the consolidated financial statements on a nonrecurring basis include items such as property and equipment, operating lease assets, goodwill and other intangible assets, which are measured at fair value if determined to be impaired. The Company has not elected to use fair value measurement for any assets or liabilities for which fair value measurement is not presently required.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

2. Basis of Presentation and Summary of Significant Accounting Policies (Continued)

The Company believes the fair values of cash and cash equivalents, restricted cash, accounts receivable and accounts payable approximate their carrying amounts due to their short duration.

The Company believes the fair value of the Credit Facility approximates carrying value as it is based on the SOFR or prevailing benchmark rate. The fair values of the Company's long-term debt, excluding the Credit Facility, at December 31, 2024 and December 31, 2023 were as follows:

	December 31,	
	2024	2023
	(In millions)	
Face Value	<u>\$ 1,094.0</u>	<u>\$ 1,094.0</u>
Fair Value	<u>\$ 1,095.5</u>	<u>\$ 1,085.8</u>

Income Taxes

The Company utilizes the liability method of accounting for income taxes. Under the liability method, deferred taxes are determined based on the temporary differences between the financial statement and tax basis of assets and liabilities using enacted tax rates. A valuation allowance is recorded when it is more likely than not that some or all of the deferred tax assets will not be realized. The Company records estimated tax liabilities to the extent the contingencies are probable and can be reasonably estimated. The Company recognizes interest accrued related to unrecognizable tax benefits and penalties as a component of the income tax provision recognized in the Consolidated Statements of Comprehensive Income.

The Company is taxed on global intangible low-tax income ("GILTI") earned by certain foreign subsidiaries and recognizes the current tax on GILTI as an expense in the period the tax is incurred. The Company includes the current tax impact of GILTI in our effective tax rate.

The Company recognizes the tax benefit from an uncertain tax position only if it is more likely than not that the tax position will be sustained upon examination by taxing authorities based on its technical merits, including all appeals or litigation processes. The tax benefits recognized in the financial statements from such a position are measured based on the largest benefit that has a greater than fifty percent likelihood of being realized upon ultimate resolution. For each reporting period, management applies a consistent methodology to measure and adjust all uncertain tax positions based on the available information.

Stock-Based Compensation

Members of the Board of Directors and certain employees are eligible to receive stock options, restricted stock, restricted stock units and performance units pursuant to the Dine Brands Global, Inc. 2019 Stock Incentive Plan. Shares of unvested restricted stock are subject to restrictions on transfer and forfeiture under certain circumstances. The holder of unvested restricted stock has the right to vote and receive regular cash dividends with respect to the shares of unvested restricted stock.

The Company accounts for all stock-based payments to employees and non-employee directors, including grants of stock options, restricted stock, restricted stock units and performance units to be recognized in the financial statements, based on their respective grant date fair values. The value of the portion of the award that is ultimately expected to vest is recognized as expense ratably over the requisite service periods.

The grant date fair value of restricted stock and stock-settled restricted stock units is determined based on the Company's stock price on the grant date. The Company estimates the grant date fair value of stock option awards using the Black-Scholes option pricing model, which considers, among other factors, a risk-free interest rate, the expected life of the award and the historical volatility of the Company's stock price. The Company estimates the grant date fair value of awards with performance-based market conditions using a Monte Carlo simulation method which considers, among other factors, the performance-based market condition, a risk-free interest rate, the expected life of the award and the historical volatility of the Company's stock price. Awards of cash-settled restricted stock units are classified as liabilities with the liability and compensation expense related to cash-settled awards adjusted to fair value at each balance sheet date.

Net Income (Loss) Per Share

Net income (loss) per share is calculated using the two-class method prescribed in U.S. GAAP. Basic net income (loss) per share is computed by dividing the net income (loss) available to common stockholders for the period by the weighted average number of common shares outstanding during the period. Diluted net income (loss) per share is computed by dividing the net income (loss) available to common stockholders for the period by the weighted average number of common shares and potential shares of common stock outstanding during the period if their effect is dilutive. The Company uses the treasury stock

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

2. Basis of Presentation and Summary of Significant Accounting Policies (Continued)

method to calculate the weighted average shares used in the diluted earnings per share calculation. Potentially dilutive common shares include the assumed exercise of stock options and assumed vesting of restricted stock.

Treasury Stock

The Company may from time to time utilize treasury stock when vested stock options are exercised, when restricted stock awards are granted and when restricted stock units settle in stock upon vesting. The cost of treasury stock re-issued is determined using the first-in, first-out method.

Dividends

Dividends declared on common stock are recorded as a reduction of retained earnings to the extent retained earnings are available at the close of the period prior to the date of the dividend declaration. Dividends declared in excess of retained earnings are recorded as a reduction of additional paid-in capital.

Reporting Segments

The Company identifies its reporting segments based on the organizational units used by management to monitor performance and make operating decisions. The Company has six operating segments: Applebee's franchise operations, IHOP franchise operations, Fuzzy's franchise operations, rental operations, financing operations and company-operated restaurant operations. The Company has four reporting segments: franchise operations, (an aggregation of each restaurant concept's franchise operations), rental operations, financing operations and company-operated restaurant operations. The Company considers these to be its reportable segments, regardless of whether any segment exceeds 10% of consolidated revenues, income before income tax provision or total assets.

Franchise Segment

As of December 31, 2024, the franchise operations reportable segment consisted of 1,567 restaurants operated by Applebee's franchisees in the United States, two United States territories and 15 countries outside the United States; 1,824 restaurants operated by IHOP franchisees and area licensees in the United States, two United States territories and 14 countries outside the United States; and 116 restaurants operated by Fuzzy's franchisees in the United States. Franchise operations revenue consists primarily of royalties and advertising fees based on a percentage of the franchisee's gross sales, sales of proprietary products (primarily IHOP pancake and waffle dry mixes) and other franchise fees.

Franchise operations expenses include advertising expense, the cost of proprietary products, bad debt expense, pre-opening training expenses and other franchise-related costs.

Company Restaurants Segment

In connection with our acquisition of Fuzzy's in December 2022, the Company acquired three company Fuzzy's restaurants, and subsequently refranchised two of the restaurants in April 2023. During 2022, the Company operated 69 Applebee's restaurants that were acquired from a former franchisee in December 2018, and the 69 Applebee's company-operated restaurants were subsequently sold in October 2022. In November 2024, the Company acquired 56 Applebee's restaurants from franchisees and simultaneously sold and refranchised nine to a different franchisee. See *Note 19 - Business Acquisition*, of the Notes to the Consolidated Financial Statements for additional information. As of December 31, 2024, the Company operated one Fuzzy's restaurant and 47 Applebee's restaurants.

All company-operated restaurants were located in the United States. Company restaurant sales are retail sales at company-operated restaurants. Company restaurant expenses are operating expenses at company-operated restaurants and include food, beverage, labor, benefits, utilities, rent and other operating costs.

Rental Segment

Rental operations revenue includes revenue from operating leases and interest income from real estate leases. Rental operations expenses are costs of operating leases and interest expense of finance leases on franchisee-operated restaurants. The rental operations revenue and expenses are primarily generated by IHOP. Applebee's and Fuzzy's have no or an insignificant amount of rental activity.

Financing Segment

Financing operations revenue primarily consists of interest income from the financing of equipment leases and franchise fees, notes receivable from franchisees and sales of equipment associated with refranchised IHOP restaurants. Financing expenses are the cost of restaurant equipment.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

2. Basis of Presentation and Summary of Significant Accounting Policies (Continued)

Accounting Standards Adopted in the Current Fiscal Year

In November 2023, the FASB issued ASU No. 2023-07, "Segment Reporting (Topic 280): Improvements to Reportable Segment Disclosure," which updates reportable segment disclosure requirements. The ASU primarily requires enhanced disclosures about significant segment expenses and information used to assess segment performance that are regularly provided to the chief operating decision maker. The Company adopted ASU 2023-07 effective January 1, 2024, and applied the disclosure requirements retrospectively to all prior periods presented in the financial statements. Adoption of the standard did not have an impact on the Company's Consolidated Balance Sheets, Consolidated Statements of Comprehensive Income, or the Consolidated Statements of Cash Flows.

Additional new accounting guidance became effective for the Company as of the beginning of fiscal 2024 that the Company reviewed and concluded was either not applicable to its operations or had no material effect on its consolidated financial statements in the current or future fiscal years.

Newly Issued Accounting Standards Not Yet Adopted

In December 2023, the FASB issued ASU No. 2023-09, "Income Taxes (Topic 740): Improvements to Income Tax Disclosures." The standard requires disaggregated information about a reporting entity's effective tax rate reconciliation as well as information on income taxes paid. The guidance is effective for fiscal years beginning after December 15, 2024, with early adoption permitted, and should be applied on a prospective basis with the option to apply the standard retrospectively. The Company is currently evaluating the impact of adopting this ASU on our disclosures.

In November 2024, the FASB issued ASU No. 2024-03, "Disaggregation of Income Statement Expenses," which requires public business entities to provide disaggregated disclosures, in the Notes to the Consolidated Financial Statements, of certain expense categories that are included in expense line items on the face of the income statement. The guidance is effective for fiscal years beginning after December 15, 2026 and interim periods within fiscal years beginning after December 15, 2027 with early adoption permitted. The Company is currently evaluating the impact of adopting this ASU in our disclosures.

The Company reviewed all other recently issued accounting pronouncements and concluded that they were either not applicable or not expected to have a significant impact to the consolidated financial statements.

3. Revenue

The following table disaggregates our franchise revenues by major type for the years ended December 31, 2024, 2023 and 2022:

	Year ended December 31,		
	2024	2023	2022
<i>Franchise Revenues</i>	(In millions)		
Royalties	\$ 313.4	\$ 325.6	\$ 303.7
Advertising fees	290.4	300.8	289.3
Proprietary product sales and other	72.4	71.1	60.7
Franchise and development fees	9.7	8.9	8.6
Total franchise revenues	<u>\$ 686.0</u>	<u>\$ 706.4</u>	<u>\$ 662.4</u>

Changes in the Company's contract liability for deferred franchise and development fees during the year ended December 31, 2024 were as follows:

	Franchise Revenue (short- and long-term)
	(In millions)
Balance at December 31, 2023	\$ 45.3
Recognized as revenue during the year ended December 31, 2024	(9.2)
Fees deferred during the year ended December 31, 2024	6.6
Balance at December 31, 2024	<u>\$ 42.7</u>

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

3. Revenue (Continued)

The balance of deferred franchise revenue as of December 31, 2024 is expected to be recognized as follows:

	(In millions)
2025	\$ 6.0
2026	5.2
2027	4.4
2028	3.5
2029	3.3
Thereafter	20.3
Total	\$ 42.7

The current balance of deferred franchise revenue is included as Other accrued expenses on the Consolidated Balance Sheets.

4. Current Expected Credit Losses (“CECL”)

The CECL reserve methodology requires companies to measure expected credit losses on financial instruments based on the total estimated amount to be collected over the lifetime of the instrument. Under the CECL model, reserves may be established against financial asset balances even if the risk of loss is remote or has not yet manifested itself.

In applying the CECL methodology, the Company developed its estimated loss reserves in the following manner. The Company continued to record specific reserves against account balances of franchisees deemed “at-risk” when a potential loss is likely or imminent as a result of prolonged payment delinquency (greater than 90 days past due) and where notable credit deterioration has become evident. For financial assets that are not currently deemed “at-risk,” an allowance is recorded based on expected loss rates derived pursuant to the following CECL methodology that assesses four components - historical losses, current conditions, reasonable and supportable forecasts, and reversion to history, if applicable.

Historical Losses

Historical loss rates over a five-year span were calculated for financial assets with common risk characteristics. The Company determined historical loss rate data for each franchise brand concept was more relevant than a single blended rate. Historical losses were determined based on the average charge-off method. Historical loss rates are further adjusted by factors related to current conditions and forecasts of future economic conditions.

Current Conditions

The Company identified three metrics that it believes provide the most relevant reflection of the current risks inherent in the Company’s franchisee-based restaurant business, as follows: (1) delinquency status, (2) system-wide same-restaurant sales, and (3) restaurant unit-level economics.

Reasonable and Supportable Forecasts

The third component in the CECL methodology involves consideration of macroeconomic conditions that can impact the estimate of expected credit losses in the future. The Company has not developed an internal methodology in this regard; rather, the Company utilizes existing, publicly accessible sources of economic data, primarily forecasts of overall unemployment rate as well as consumer spending based on the personal consumption expenditure index.

Reversion to History

The Company has determined that reversion to history was not required since the remaining average lives of the Company’s financial assets are not exceedingly lengthy.

The Company considers its portfolio segments to be the following:

Accounts Receivable

Most of the Company’s short-term receivables due from franchisees are derived from royalty, advertising and other franchise-related fees, and from distributors related to the sale of proprietary products to franchisees through the Company’s network of suppliers and distributors.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

4. Current Expected Credit Losses (Continued)

Gift Card Receivables

Gift card receivables consist primarily of amounts due from third-party vendors. Receivables related to gift card sales are subject to seasonality and usually peak around year end as a result of the December holiday season.

Notes Receivable

Notes receivable balances primarily relate to the conversion of certain past due franchisee accounts receivable to notes receivable, cash loans to franchisees for working capital purposes, notes receivables in connection with the sale of IHOP and Applebee's company restaurants, franchise fees and other notes. The notes are typically collateralized by the franchise. The notes generally have a term from one to eight years and bear interest averaging 6.1% and 5.0% per annum at December 31, 2024 and 2023, respectively. During the year ended December 31, 2024, the Company wrote off \$4.4 million of Applebee's notes receivable which were fully reserved as of December 31, 2023. The Company's remaining notes have reserves recorded against them amounting to \$1.1 million as of December 31, 2024.

Equipment Leases Receivable

Equipment leases receivable primarily relate to IHOP franchise development activity prior to 2003. IHOP provided the financing for the leasing of the equipment. Equipment lease contracts are collateralized by the equipment in the restaurant. Equipment lease contracts are due in equal weekly installments, and bear interest averaging 9.5% and 9.6% per annum at December 31, 2024 and 2023, respectively. The term of an equipment lease contract typically coincides with the term of the corresponding restaurant building lease. The weighted average remaining life of the Company's equipment leases is 2.6 years as of December 31, 2024. The estimated fair value of the equipment collateralizing these lease contracts are not deemed to be significant given the very seasoned and mature nature of this portfolio.

Real Estate Leases Receivable

Real estate leases receivable also primarily relate to IHOP franchise development activity prior to 2003 when IHOP typically leased or purchased the restaurant site, built and equipped the restaurant, and then franchised the restaurant to a franchisee. IHOP provided the financing for leasing or subleasing the site. Real estate lease receivables at December 31, 2024, were comprised of 15 leases with a weighted average remaining life of 10.5 years, and relate to locations that IHOP is leasing from third parties and subleasing to franchisees. Where applicable, building leases and equipment contracts contain cross-default provisions wherein a default under one constitutes a default under all.

Total receivables balances at December 31, 2024 and 2023 were as follows:

<i>Receivables</i>	2024	2023
	(In millions)	
Accounts receivable*	\$ 72.0	\$ 73.3
Gift card receivables	34.7	33.6
Notes receivable	14.7	15.0
Financing receivables:		
Equipment leases receivable	13.2	19.7
Real estate leases receivable	18.3	18.4
Other receivables*	2.9	13.0
	155.8	173.0
Less: allowance for doubtful accounts and notes receivable	(4.7)	(9.5)
	151.1	163.5
Less: current portion	(115.2)	(127.9)
Long-term receivables	<u>\$ 35.9</u>	<u>\$ 35.6</u>

* The 2023 balance related to distributor receivables of \$5.3 million has been reclassified from other receivables to accounts receivable to conform with the current year's presentation.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

4. Current Expected Credit Losses (Continued)

Changes in the allowance for credit losses during the years ended December 31, 2024 and 2023 were as follows:

	Accounts Receivable	Notes Receivable, short-term	Notes Receivable, long-term	Real estate leases receivable	Equipment leases receivable	Other ⁽¹⁾	Total
(In millions)							
Balance, December 31, 2022	\$ 1.3	\$ 3.5	\$ 5.3	\$ 0.1	\$ 0.2	\$ 0.0	\$ 10.3
Bad debt expense (credit)	1.6	0.4	(0.2)	0.0	0.8	(0.0)	2.7
Advertising provision adjustment	1.0	(0.2)	—	—	—	—	0.8
Write-offs	(1.2)	(1.9)	(0.3)	(0.0)	(0.9)	0.0	(4.3)
Balance, December 31, 2023	\$ 2.7	\$ 1.8	\$ 4.8	\$ 0.1	\$ 0.2	\$ 0.0	\$ 9.5
Bad debt expense (credit)	1.3	(0.9)	(0.1)	0.0	0.4	—	0.7
Advertising provision adjustment	0.1	—	—	—	—	—	0.1
Write-offs	(1.0)	(0.6)	(3.8)	0.0	(0.2)	—	(5.5)
Balance, December 31, 2024	\$ 3.1	\$ 0.3	\$ 0.8	\$ 0.1	\$ 0.4	\$ 0.0	\$ 4.7

⁽¹⁾ Primarily gift card receivable and credit card receivable.

The Company's primary credit quality indicator for all portfolio segments is delinquency. Generally, the notes receivables, real estate leases receivables, equipment leases receivables, and other receivables (primarily consists of credit card receivables) are not delinquent.

The year of origination of the Company's notes and financing receivables at December 31, 2024 is as follows:

	Notes receivable, short and long- term	Real estate leases Receivables	Equipment leases Receivables	Total
(In millions)				
2024	\$ 8.6	\$ 1.9	\$ 0.3	\$ 10.8
2023	5.1	3.4	0.6	9.1
2022	0.5	7.7	—	8.2
2021	0.4	2.1	—	2.5
2020	0.1	1.1	—	1.2
Prior	0.0	2.1	12.3	14.4
Total	\$ 14.7	\$ 18.3	\$ 13.2	\$ 46.2

The Company does not place its financing receivables in non-accrual status.

5. Property and Equipment

Property and equipment by category at December 31, 2024 and 2023 were as follows:

	2024	2023
(In millions)		
Leaseholds and improvements	\$ 222.2	\$ 219.2
Properties under finance leases	57.5	59.0
Equipment and fixtures	15.2	42.7
Buildings and improvements	48.2	51.3
Land	44.4	47.8
Internal-use software	71.5	64.6
Construction in progress	4.3	3.2
Property and equipment, gross	463.3	487.8
Less: accumulated depreciation and amortization	(307.2)	(325.9)
Property and equipment, net	\$ 156.1	\$ 161.9

The Company recorded depreciation expense on property and equipment of \$28.6 million, \$24.7 million and \$27.4 million for the years ended December 31, 2024, 2023 and 2022, respectively.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

5. Property and Equipment (Continued)

Accumulated depreciation and amortization includes accumulated amortization for properties under finance leases in the amount of \$41.3 million and \$43.7 million at December 31, 2024 and 2023, respectively.

6. Goodwill

The significant majority of the Company's goodwill arose from the November 29, 2007 acquisition of Applebee's which was allocated between the franchise and company restaurants segments.

Changes in the carrying amount of goodwill for the years ended December 31, 2024, 2023 and 2022 are as follows:

	Franchise Segment	Company Restaurants Segment	Total
	(In millions)		
Balance at December 31, 2021	\$ 247.0	\$ 4.6	\$ 251.6
Disposition of assets	—	(4.6)	(4.6)
Business acquisition	7.0	—	7.0
Balance at December 31, 2022	254.0	—	254.0
Purchase price adjustment	0.1	—	0.1
Balance at December 31, 2023	254.1	—	254.1
Business acquisition	—	2.8	2.8
Impairment loss	(7.1)	—	(7.1)
Disposition of assets	—	(1.2)	(1.2)
Balance at December 31, 2024	<u>\$ 247.0</u>	<u>\$ 1.6</u>	<u>\$ 248.6</u>

In October 2022, the then remaining Applebee's company restaurants segment goodwill balance of \$4.6 million was disposed of in connection with the refranchising and sale of the restaurant assets of 69 Applebee's company-operated restaurants. In December 2022, the addition to the franchise segment goodwill of \$7.0 million arose from the acquisition of Fuzzy's and was increased by \$0.1 million in 2023 in connection with a purchase price adjustment.

In November 2024, the Company acquired 56 Applebee's restaurants from franchisees, of which nine were simultaneously refranchised and sold to a different franchisee. The Company has provisionally completed the purchase price allocation as described in *Note 19 - Business Acquisition* of the Notes to the Consolidated Financial Statements, and allocated \$2.8 million of resulting goodwill to the company restaurants segment. The Company simultaneously allocated \$1.2 million of this goodwill to the disposal group related to the refranchising and sale of the restaurant assets of the nine Applebee's company-operated restaurants. The remaining goodwill allocated to the company restaurants segment of \$1.6 million is not deductible for federal income tax purposes and, therefore, has no associated tax benefit.

Gross and net carrying amounts of goodwill at December 31, 2024 and 2023 are as follows:

	December 31, 2024			December 31, 2023		
	Gross	Accumulated Impairment Loss	Net	Gross	Accumulated Impairment Loss	Net
	(In millions)					
Franchise Segment	\$ 704.6	\$ (457.6)	\$ 247.0	\$ 704.6	\$ (450.5)	\$ 254.1
Company Restaurants Segment	1.6	—	1.6	—	—	—
Total	<u>\$ 706.2</u>	<u>\$ (457.6)</u>	<u>\$ 248.6</u>	<u>\$ 704.6</u>	<u>\$ (450.5)</u>	<u>\$ 254.1</u>

The Company assesses goodwill for impairment in accordance with its policy described in *Note 2 - Basis of Presentation and Summary of Significant Accounting Policies*.

The Company evaluates its goodwill and the indefinite-lived tradenames for impairment annually in the fourth quarter of each year or on an interim basis if events or changes in circumstances between annual tests indicate a potential impairment.

2024 Assessment

In the fourth quarter of 2024, the Company noted, the unfavorable trend in Fuzzy's same-restaurant sales experienced throughout the year, and a decrease in Fuzzy's revenue compared to the same period of the prior year. Based on these unfavorable developments, the Company determined that indicators of impairment existed and that a test of goodwill for impairment should be performed in the fourth quarter of 2024. In determining fair value, the Company utilized valuation

6. Goodwill (Continued)

techniques that maximize the use of observable inputs and minimize the use of unobservable inputs to the extent possible. The fair value technique used in this instance was classified as Level 3, where unobservable inputs are used when little or no market data is available.

In performing the quantitative test of goodwill, the Company primarily used the income approach method of valuation that included the discounted cash flow method and the market approach that included the guideline public company method to determine the fair value of goodwill and intangible assets. Significant assumptions used to determine fair value under the discounted cash flow model included expected restaurant sales trends, future development plans, restaurant closures, cost of revenues, operating expenses, and an appropriate discount rate based on the Company's estimated cost of equity capital and after-tax cost of debt.

As a result of performing the quantitative test of impairment, the Company recognized an impairment of Fuzzy's goodwill of \$7.1 million. The amount of goodwill impairment was determined as the amount by which the carrying amount of the goodwill exceeded the fair value of the Fuzzy's goodwill within the franchise segment as estimated in the impairment test.

Also in the fourth quarter of fiscal 2024, the Company performed qualitative assessments of the remaining goodwill balance within the franchise segment in accordance with its accounting policies. The Company first assesses qualitatively whether it is more-likely-than-not that an impairment does not exist. Significant factors considered in this assessment include macro-economic conditions, market and industry conditions, cost considerations, the competitive environment, share price fluctuations, overall financial performance and results of past impairment tests. As result of the qualitative assessment, the Company concluded it was more likely than not that the fair values exceeded the respective carrying amounts and therefore, a quantitative test for the remaining goodwill balance within the franchise segment was not necessary.

2023 Assessment

In the fourth quarter of 2023, the Company performed qualitative assessments of its goodwill in accordance with its accounting policies, and determined that it was more-likely-than-not that an impairment does not exist. Significant factors considered in this assessment include macro-economic conditions, market and industry conditions, cost considerations, the competitive environment, share price fluctuations, overall financial performance and results of past impairment tests.

Additionally, we elected to perform quantitative tests for impairment on the Applebee's goodwill. In determining fair value, the Company utilizes valuation techniques that maximize the use of observable inputs and minimize the use of unobservable inputs to the extent possible. The fair value technique used in this instance is classified as Level 3, where unobservable inputs are used when little or no market data is available.

In performing the quantitative test for impairment of goodwill, the Company used the income approach method of valuation that includes the discounted cash flow method and the market approach that includes the guideline public company method to determine the fair value of goodwill and intangible assets. Significant assumptions made by management in estimating fair value under the discounted cash flow model include future trends in sales, operating expenses, overhead expenses, depreciation, capital expenditures and changes in working capital, along with an appropriate discount rate based on the Company's estimated cost of equity capital and after-tax cost of debt. Significant assumptions used to determine fair value under the guideline public company method include the selection of guideline companies and the valuation multiples applied.

As a result of performing the quantitative test of impairment, the fair value was substantially in excess of its respective carrying value as of the testing date.

2022 Assessment

In the fourth quarter of 2022, the Company performed qualitative assessments of its goodwill in accordance with its accounting policies. The Company first assesses qualitatively whether it is more-likely-than-not that an impairment does not exist. Significant factors considered in this assessment include macro-economic conditions, market and industry conditions, cost considerations, the competitive environment, share price fluctuations, overall financial performance and results of past impairment tests. As result of the qualitative assessment, the Company concluded it was more likely than not that the fair values of each unit exceeded the respective carrying amounts and therefore, a quantitative test of impairment was not necessary.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

7. Other Intangible Assets

The significant majority of the Company's other intangible assets arose from the November 29, 2007 acquisition of Applebee's. Franchising rights, reacquired franchise rights, favorable leaseholds, and recipes, which is included in Other below, is subject to amortization. Changes in the carrying amounts for the years ended December 31, 2024, 2023 and 2022 are as follows:

	Tradenames	Franchising Rights	Reacquired Franchise Rights	Favorable Leaseholds	Other	Total
	(In millions)					
Balance at December 31, 2021	\$ 468.0	\$ 59.0	\$ 5.1	\$ 3.1	\$ 4.2	\$ 539.4
Amortization expense	—	(10.0)	(0.4)	(0.1)	—	(10.6)
Additions	57.2	14.8	—	—	0.8	72.8
Disposition	—	—	(4.7)	—	—	(4.7)
Balance at December 31, 2022	525.2	63.8	—	3.0	5.0	597.0
Impairment	—	—	—	—	(0.3)	(0.3)
Amortization expense	—	(10.8)	—	(0.1)	—	(10.9)
Additions	—	—	—	—	0.2	0.2
Balance at December 31, 2023	525.2	53.0	—	2.9	4.9	586.0
Amortization expense	—	(10.7)	—	(0.1)	0.0	(10.8)
Additions	—	—	0.3	—	0.5	0.8
Disposition	—	—	(0.3)	—	—	(0.3)
Balance at December 31, 2024	\$ 525.2	\$ 42.3	\$ —	\$ 2.8	\$ 5.4	\$ 575.7

In December 2022, the Company acquired Fuzzy's and recorded \$57.2 million of tradename, \$14.8 million of franchising rights and \$0.5 million of recipes as intangible assets. In October 2022, the \$4.7 million disposition of assets was related to the refranchising and sale of the restaurant assets of 69 Applebee's company-operated restaurants. In November 2024, the Company acquired 56 Applebee's restaurants and simultaneously refranchised nine restaurants. The Company provisionally completed the purchase price allocation as described in *Note 19 - Business Acquisition*, of the Notes to the Consolidated Financial Statements and recorded \$0.3 million of reacquired franchise rights as an intangible asset and simultaneously disposed of \$0.3 million of reacquired franchise rights related to the sale of the nine restaurants. Additions and impairment of other intangibles for the years ended December 31, 2024, 2023, and 2022 are individually insignificant.

The estimated annual amortization expense for the next five fiscal years are as follows:

	Franchising rights	Favorable leaseholds	Other	Total
	(In millions)			
2025	10.7	0.2	0.0	\$ 10.9
2026	10.7	0.2	0.0	\$ 10.9
2027	9.8	0.2	0.0	\$ 10.0
2028	0.7	0.2	0.0	\$ 0.9
2029	0.7	0.2	0.0	\$ 0.9

Gross and net carrying amounts of intangible assets subject to amortization and the respective weighted average amortization period at December 31, 2024 and 2023 are as follows:

	December 31, 2024				December 31, 2023			
	Gross	Accumulated Amortization	Net	Weighted Average Remaining Period	Gross	Accumulated Amortization	Net	Weighted Average Remaining Period
	(In millions)				(In millions)			
Franchising rights	\$ 214.8	\$ (172.5)	\$ 42.3	7.6	\$ 214.8	\$ (161.8)	\$ 53.0	7.9
Favorable leaseholds	3.4	(0.6)	2.8	10.1	\$ 3.4	\$ (0.5)	2.9	11.1
Other	0.5	(0.1)	0.4	13.0	0.5	0.0	0.5	14.0
Total	\$ 218.7	\$ (173.2)	\$ 45.5	7.8	\$ 218.7	\$ (162.3)	\$ 56.4	8.1

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

7. Other Intangible Assets (Continued)

In the fourth quarter of fiscal 2024, the Company performed a qualitative assessment of the Applebee's tradename and a quantitative assessment of the Fuzzy's tradename and franchise rights and concluded the fair value exceeded the carrying amounts. In the fourth quarter of fiscal 2023, the Company performed a quantitative assessment of the Applebee's tradename and a qualitative assessment of the Fuzzy's tradename and franchise rights and concluded the fair value exceeded the carrying amounts.

8. Long-Term Debt

Long-term debt at December 31, 2024 and 2023 consists of the following components:

	<u>2024</u>	<u>2023</u>
	<u>(In millions)</u>	
Series 2019-1 4.723% Fixed Rate Senior Secured Notes, Class A-2-II	594.0	594.0
Series 2022-1 Variable Funding Senior Secured Notes, Class A-1, variable interest rate of 7.14% and 7.95% at December 31, 2024 and December 31, 2023, respectively	100.0	100.0
Series 2023-1 7.824% Fixed Rate Senior Secured Notes, Class A-2	500.0	500.0
Unamortized debt issuance costs	(7.4)	(9.5)
Long-term debt, net of debt issuance costs	1,186.6	1,184.5
Current portion of long-term debt	(100.0)	(100.0)
Long-term debt	<u>\$ 1,086.6</u>	<u>\$ 1,084.5</u>

Long-Term Debt

On June 5, 2019, Applebee's Funding LLC and IHOP Funding LLC (the "Co-Issuers"), each a special purpose, wholly-owned indirect subsidiary of the Company, issued two tranches of fixed rate senior secured notes, the Series 2019-1 4.194% Fixed Rate Senior Secured Notes, Class A-2-I ("2019 Class A-2-I Notes") in an initial aggregate principal amount of \$700 million and the Series 2019-1 4.723% Fixed Rate Senior Secured Notes, Class A-2-II in an initial aggregate principal amount of \$600 million (the "2019 Class A-2-II Notes" and, together with the 2019 Class A-2-I Notes, the "2019 Class A-2 Notes"). The 2019 Class A-2 Notes were issued pursuant to an offering exempt from registration under the Securities Act of 1933, as amended.

On August 12, 2022, the Co-Issuers established a new revolving financing facility, the 2022-1 Variable Funding Senior Secured Notes, Class A-1 (the "Credit Facility"), that allows for drawings up to \$325 million of variable funding notes on a revolving basis and the issuance of letters of credit. In connection with this transaction, the Co-Issuers terminated their \$225 million revolving financing facility, the 2019-1 Variable Funding Senior Secured Notes, Class A-1.

On April 17, 2023, the Co-Issuers completed a refinancing transaction and issued \$500 million of Series 2023-1 7.824% Fixed Rate Senior Secured Notes, Class A-2 (the "2023 Class A-2 Notes"). The 2023 Class A-2 Notes were issued pursuant to an offering exempt from registration under the Securities Act of 1933, as amended. The Company used the net proceeds of the 2023 Class A-2 Notes to repay the entire outstanding balance of approximately \$585.1 million of the 2019 Class A-2-I Notes and to pay fees and expenses incurred in connection with the issuance of the 2023 Class A-2 Notes. The remaining 2019 Class A-2-II Notes and the Credit Facility, together with the 2023 Class A-2 Notes are referred to collectively herein as the "Notes." The Notes were issued in securitization transactions pursuant to which substantially all the domestic revenue-generating assets and domestic intellectual property held by the Co-Issuers and certain other special-purpose, wholly-owned indirect subsidiaries of the Company (the "Guarantors") were pledged as collateral to secure the Notes.

The Notes were issued under a Base Indenture, dated as of September 30, 2014, amended and restated as of June 5, 2019 and further amended and restated as of April 17, 2023 (the "Base Indenture"). In addition, the 2019 Class A-2-II Notes were issued under the related Series 2019-1 Supplement to the Base Indenture, dated June 5, 2019 (the "Series 2019-1 Supplement"), among the Co-Issuers and Citibank, N.A., as the trustee (in such capacity, the "Trustee") and securities intermediary, the Credit Facility was issued under the related Series 2022-1 Supplement to the Base Indenture, dated August 12, 2022 ("Series 2022-1 Supplement"), among the Co-Issuers and Citibank, N.A., as Trustee and securities intermediary, and the 2023 Class A-2 Notes were issued under the related Series 2023-1 Supplement to the Base Indenture, dated April 17, 2023 (the "Series 2023-1 Supplement"), among the Co-Issuers and Citibank, N.A., as Trustee and securities intermediary. The Base Indenture, Series 2019-1 Supplement, Series 2022-1 Supplement, and Series 2023-1 Supplement (collectively, the "Indenture") will allow the Co-Issuers to issue additional series of notes in the future subject to certain conditions set forth therein.

8. Long-Term Debt (Continued)

2019 Class A-2 Notes

The 2019 Class A-2-I Notes were voluntarily repaid in full on April 17, 2023, while the 2019 Class A-2-II Notes remain outstanding as of December 31, 2024. For a description of the 2019 Class A-2-I Notes, refer to *Note 8 - Long-Term Debt* of the Notes to the Consolidated Financial Statements included in the Company's Annual Report on Form 10-K for the year ended December 31, 2022.

The legal final maturity of the 2019 Class A-2-II Notes is June 2049, but rapid amortization will apply if the 2019 Class A-2-II Notes are not repaid by June 2026 (the "2019 Class A-2-II Anticipated Repayment Date"). If the Co-Issuers have not repaid or refinanced the 2019 Class A-2-II Notes by the 2019 Class A-2-II Anticipated Repayment Date, then additional interest will accrue on the 2019 Class A-2-II Notes, as applicable, at the greater of: (A) 5.0% and (B) the amount, if any, by which the sum of the following exceeds the applicable 2019 Class A-2-II Note interest rate: (x) the yield to maturity (adjusted to a quarterly bond-equivalent basis) on the 2019 Class A-2-II Anticipated Repayment Date of the United States Treasury Security having a term closest to 10 years plus (y) 7.64% for the 2019 Class A-2-II Notes.

While the 2019 Class A-2-II Notes are outstanding, payment of principal and interest is required to be made on the 2019 Class A-2-II Notes on a quarterly basis. The quarterly principal payment of \$1.5 million on the 2019 Class A-2-II Notes may be suspended when the leverage ratio for the Company and its subsidiaries is less than or equal to 5.25x. Exceeding the leverage ratio of 5.25x does not violate any covenant related to the Notes. In general, the leverage ratio is the Company's indebtedness (as defined in the Indenture) divided by adjusted EBITDA (as defined in the Indenture) for the four preceding quarterly periods. The complete definitions of all calculation elements of the leverage ratio are contained in the Indenture.

As of December 31, 2024 the Company's leverage ratio was approximately 4.1x. As a result, quarterly principal payments on the 2019 Class A-2-II Notes of \$1.5 million currently are not required. The Company may voluntarily repay the 2019 Class A-2-II Notes at any time without any associated make-whole premium.

2019 Class A-1 Notes

The 2019-1 Variable Funding Senior Secured Notes, Class A-1 (the "Previous Credit Facility") allowed for drawings up to \$225 million of variable funding notes on a revolving basis and the issuance of letters of credit. There were no outstanding borrowings since March 2021 under the Previous Credit Facility until its termination in August 2022.

The interest rate for borrowings under the Previous Credit Facility was the three-month LIBOR rate plus 2.15% for 60% of the advances and the commercial paper funding rate of our conduit investor plus 2.15% for 40% of the advances.

2022 Class A-1 Notes

In August 2022, the Co-Issuers entered into the Credit Facility that allows for drawings up to \$325 million of variable funding notes on a revolving basis and the issuance of letters of credit. The applicable interest rate under the Credit Facility depends on the type of borrowing by the Co-Issuers. The applicable interest rate for advances is generally calculated at a per annum rate equal to the commercial paper funding rate or one-, two-, three- or six-month Term SOFR Rate, in either case, plus 2.50%. The applicable interest rate for swingline advances and unreimbursed draws on outstanding letters of credit is a per annum base rate equal to the sum of (A) the greatest of (i) the Prime Rate in effect from time to time; (ii) the Federal Funds Rate in effect from time to time plus 0.50%; and (iii) Term SOFR for a one-month tenor in effect at such time plus 0.50% plus (B) 2.00%.

The legal final maturity of the Credit Facility is June 2052, but rapid amortization will apply if there are outstanding amounts under the Credit Facility after June 2027 (the "Class A-1 Renewal Date"). The Class A-1 Renewal Date may be extended at the Co-Issuers' election for up to two successive one-year periods if certain conditions are met. If the Co-Issuers have not repaid or refinanced the Credit Facility by the Class A-1 Renewal Date (after giving effect to any extensions), then interest will accrue on the Credit Facility at a rate equal to 5.00% in addition to the regular interest rate applicable to the Credit Facility.

As of December 31, 2024, the outstanding balance of the Credit Facility was \$100 million. The amount of \$0.6 million was pledged against the Credit Facility for outstanding letters of credit, leaving \$224.4 million of the Credit Facility available for borrowing at December 31, 2024. It is anticipated that any principal and interest on the Credit Facility outstanding will be repaid in full on or prior to the quarterly payment date in June 2027, subject to two additional one-year extensions at the option of the Company upon the satisfaction of certain conditions. The letters of credit are used primarily to satisfy insurance-related collateral requirements. The weighted average interest rate for the period outstanding during the year ended December 31, 2024 was 7.78%.

8. Long-Term Debt (Continued)

2023 Class A-2 Notes

The legal final maturity of the 2023 Class A-2 Notes is in March 2053, but it is anticipated that, unless repaid earlier to the extent permitted under the Indenture, the 2023 Class A-2 Notes will be repaid in June 2029 (the “2023 Class A-2 Anticipated Repayment Date”). If the Co-Issuers have not repaid or refinanced the 2023 Class A-2 Notes by the 2023 Class A-2 Anticipated Repayment Date, then additional interest will accrue on the 2023 Class A-2 Notes, as applicable, at the greater of: (A) 5.0% and (B) the amount, if any, by which the sum of the following exceeds the Series 2023-1 Class A-2 Note interest rate: (x) the yield to maturity (adjusted to a quarterly bond-equivalent basis) on the 2023 Class A-2 Anticipated Repayment Date of the United States Treasury Security having a term closest to 10 years plus (y) 9.24% for the 2023 Class A-2 Notes.

While the 2023 Class A-2 Notes are outstanding, payment of principal and interest is required to be made on the 2023 Class A-2 Notes on a quarterly basis. The quarterly principal payment of \$1.25 million on the 2023 Class A-2 Notes may be suspended when the leverage ratio for the Company and its subsidiaries is less than or equal to 5.25x.

As of December 31, 2024, the Company's leverage ratio was approximately 4.1x. As a result, quarterly principal payments on the 2023 Class A-2 Notes of \$1.25 million currently are not required.

The Company may voluntarily repay the 2023 Class A-2 Notes at any time; however, if the 2023 Class A-2 Notes are repaid prior to certain dates, the Company would be required to pay make-whole premiums. As of December 31, 2024, the make-whole premium associated with voluntary prepayment of the 2023 Class A-2 Notes was approximately \$28.0 million. The Company also would be subject to a make-whole premium in the event of a mandatory prepayment required following a Rapid Amortization Event or certain asset dispositions. The mandatory make-whole premium requirements are considered derivatives embedded in the Notes that must be bifurcated for separate valuation. The Company estimated the fair value of these derivatives to be immaterial as of December 31, 2024, based on the probability-weighted discounted cash flows associated with either event.

Management Agreement

Under the terms of the Management Agreement, dated September 30, 2014, as amended and restated as of September 5, 2018, as further amended and restated as of June 5, 2019 and as further amended and restated as of April 17, 2023, among the Co-Issuers and the Guarantors (collectively, the “Securitization Entities”), the Company, Applebee’s Services, Inc., International House of Pancakes, LLC and the Trustee, the Company will act as the manager with respect to substantially all of the assets of the Securitization Entities (the “Securitized Assets”). The primary responsibilities of the manager will be to perform certain franchising, distribution, intellectual property and operational functions on behalf of the Securitization Entities with respect to the Securitized Assets pursuant to the Management Agreement. The manager will be entitled to the payment of the weekly management fee, as set forth in the Management Agreement and will be subject to the liabilities set forth in the Management Agreement.

Repurchase Program

On February 16, 2023, the Company's Board of Directors authorized a debt repurchase program of up to \$100 million. Repurchases of the Company's debt, if any, are expected to reduce future cash interest payments, as well as future amounts due at maturity or upon redemption. Under the authorization, the Company may make repurchases of the Company's debt from time to time in the open market or in privately negotiated transactions upon such terms and at such prices as management may determine.

Covenants and Restrictions

The Notes are subject to a series of covenants and restrictions customary for transactions of this type, including: (i) that the Co-Issuers maintain specified reserve accounts to be used to make required payments in respect of the Notes, (ii) provisions relating to optional and mandatory prepayments, and the related payment of specified amounts, including specified call redemption premiums in the case of Class A-2 Notes under certain circumstances; (iii) certain indemnification payments in the event, among other things, the transfers of the assets pledged as collateral for the Notes are in stated ways defective or ineffective and (iv) covenants relating to recordkeeping, access to information and similar matters. The Notes are subject to customary rapid amortization events provided for in the Indenture, including events tied to failure of the Securitization Entities (as defined in the Indenture) to maintain the stated debt service coverage ratio (“DSCR”), the sum of domestic retail sales for all restaurants being below certain levels on certain measurement dates, certain manager termination events, certain events of default and the failure to repay or refinance the Class A-2 Notes on the anticipated repayment dates. The Notes are also subject to certain customary events of default, including events relating to non-payment of required interest, principal or other amounts due on or with respect to the Notes, failure of the Securitization Entities to maintain the stated DSCR, failure to comply with

8. Long-Term Debt (Continued)

covenants within certain time frames, certain bankruptcy events, breaches of specified representations and warranties and certain judgments.

In general, the DSCR ratio is Net Cash Flow (as defined in the Indenture) for the four quarters preceding the calculation date divided by the total debt service payments (as defined in the Indenture) of the preceding four quarters. The complete definitions of the DSCR and all calculation elements are contained in the Indenture. Failure to maintain a prescribed DSCR can trigger a Cash Flow Sweeping Event, a Rapid Amortization Event, a Manager Termination Event or a Default Event (each as defined in the Indenture) as described below. In a Cash Flow Sweeping Event, the Trustee is required to retain 50% of excess Cash Flow (as defined in the Indenture) in a restricted account. In a Rapid Amortization Event, all excess Cash Flow is retained and used to retire principal amounts of debt. In a Manager Termination Event, the Company may be replaced as manager of the assets securitized under the Indenture. In a Default Event, the outstanding principal amount and any accrued but unpaid interest can be called to become immediately due and payable. Key DSCRs are as follows:

- DSCR less than 1.75x - Cash Flow Sweeping Event
- DSCR less than 1.20x - Rapid Amortization Event
- Interest-only DSCR less than 1.20x - Manager Termination Event
- Interest-only DSCR less than 1.10x - Default Event

The Company's DSCR for the reporting period ended December 31, 2024 was approximately 3.4x.

Debt Issuance Costs

2023 Class A-2 Notes

The Company incurred costs of approximately \$8.0 million in connection with the issuance of the 2023 Class A-2 Notes. These debt issuance costs are being amortized using the effective interest method over the estimated life of the 2023 Class A-2 Notes. Amortization costs of \$1.1 million and \$0.7 million were included in interest expense for the years ended December 31, 2024 and 2023, respectively. As of December 31, 2024, unamortized debt issuance costs of \$6.2 million are reported as a direct reduction of the 2023 Series Class A-2 Notes in the Consolidated Balance Sheets.

2022 Class A-1 Notes

In August 2022, the Company incurred costs of approximately \$6.3 million in connection with the issuance of the Credit Facility. These debt issuance costs are being amortized over the estimated life of the Credit Facility. Amortization costs of \$1.2 million, \$1.2 million, and \$0.4 million were included in interest expense for the years ended December 31, 2024, 2023, and 2022, respectively. As of December 31, 2024, unamortized debt issuance costs of \$3.4 million related to the Credit Facility are classified as other non-current assets in the Consolidated Balance Sheets.

2019 Class A-2 Notes

The Company incurred costs of approximately \$12.9 million in connection with the issuance of the 2019 Class A-2 Notes. These debt issuance costs are being amortized using the effective interest method over estimated life of each tranche of the 2019 Class A-2 Notes. Amortization costs of \$1.0 million, \$1.6 million, and \$2.4 million are included in interest expense for the years ended December 31, 2024, 2023 and 2022, respectively.

The Company repaid the entire outstanding balance of approximately \$585.1 million of its 2019 Class A-2-I Notes during the year ended December 31, 2023 and wrote off the related remaining issuance costs of \$1.7 million. As of December 31, 2024, unamortized debt issuance costs of \$1.3 million are reported as a direct reduction of the 2019 Class A-2-II Notes in the Consolidated Balance Sheets.

2019 Class A-1 Notes

Amortization costs incurred in connection with the Previous Credit Facility of \$0.4 million were included in interest expense for the year ended December 31, 2022. In connection with the termination of the Previous Credit Facility in August 2022, the Company recognized as a loss on extinguishment of debt of \$1.2 million, representing the remaining unamortized debt issuance costs associated with the Previous Credit Facility.

Loss (Gain) on Extinguishment of Debt

The Company purchased of \$67.9 million of its 2019 Class A-2-I Notes under par and recognized a \$1.7 million gain on extinguishment of debt during the year ended December 31, 2023. In addition, the Company purchased \$40 million of its 2019 Class A-2-I Notes under par and recognized a \$1.4 million gain on extinguishment of debt during the year ended December 31, 2022.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

8. Long-Term Debt (Continued)

In connection with the repayment of the 2019 Class A-2-I Notes, the Company recognized a loss on extinguishment of debt of \$1.7 million, representing the remaining unamortized costs related to the 2019 Class A-2-I Notes, during the year ended December 31, 2023.

Maturities of Long-term Debt

- The final maturity of the 2019 Class A-2 Notes is in June 2049, but it is anticipated that, unless repaid earlier, the 2019 Class A-2-II Notes will be repaid in June 2026.
- The final maturity of the 2023 Class A-2 Notes is in March 2053, but it is anticipated that, unless repaid earlier, the 2023 Class A-2 Notes will be repaid in June 2029.
- The renewal date of the Credit Facility is June 2027, subject to two additional one-year extensions at the option of the Company upon the satisfaction of certain conditions.
- Quarterly principal payments on the 2019 Class A-2-II Notes totaling \$1.50 million (\$6.0 million per annum) are required if the Company's leverage ratio is greater than 5.25x.
- Quarterly principal payments on the 2023 Class A-2 Notes totaling \$1.25 million (\$5.0 million per annum) are required if the Company's leverage ratio is greater than 5.25x.

9. Financing Obligations

On May 19, 2008, the Company entered into a Purchase and Sale Agreement relating to the sale and leaseback of 181 parcels of real property (the "Sale-Leaseback Transaction"), each of which is improved with a restaurant operating as an Applebee's Neighborhood Grill and Bar (the "Properties"). On June 13, 2008, the closing date of the Sale-Leaseback Transaction, the Company entered into a Master Land and Building Lease ("Master Lease") for the Properties. The proceeds received from the transaction were \$337.2 million. The Master Lease calls for an initial term of twenty years and four, five-year options to extend the term.

The Sale-Leaseback Transaction does not qualify as a sale under current U.S. GAAP. Accordingly, the Sale-Leaseback Transaction continues to be recorded under the financing method. The value of the land and leasehold improvements will remain on the Company's books and the leasehold improvements will continue to be depreciated over their remaining useful lives. The net proceeds received were recorded as a financing obligation. A portion of the lease payments is recorded as a decrease to the financing obligation and a portion is recognized as interest expense. In the event the lease obligation of any individual property or group of properties is assumed by a qualified franchisee, the portion of the transaction related to that property or group of properties is recorded as a sale in accordance with U.S. GAAP and the net book value of those properties will be removed from the Company's books, along with a ratable portion of the remaining financing obligation.

As of December 31, 2024, the portion of the original Sale-Leaseback Transaction related to 162 of the 181 Properties has qualified as a sale by assignment of the lease obligation to a qualified franchisee or a release from the lessor. In accordance with the accounting described above, the property and equipment and financing obligations have each been cumulatively reduced by approximately \$289.4 million.

As of December 31, 2024, future minimum lease payments under financing obligations during the initial terms of the leases related to the sale-leaseback transactions are as follows:

Fiscal Years	(In millions)
2025	\$ 4.1
2026	4.5
2027	4.1
2028	20.7
2029	—
Thereafter	—
Total minimum lease payments	33.4
Less: interest	(8.8)
Total financing obligations	24.6
Less: current portion ⁽¹⁾	(1.3)
Long-term financing obligations	\$ 23.3

⁽¹⁾ Included in current maturities of finance lease and financing obligations on the consolidated balance sheets.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

10. Leases (Continued)

10. Leases

The Company engages in leasing activity as both a lessee and a lessor. The majority of the Company's lease portfolio originated when the Company was actively involved in the development and financing of IHOP restaurants prior to the franchising of the restaurant to the franchisee. This activity included the Company's purchase or leasing of the site on which the restaurant was located and subsequently leasing/subleasing the site to the franchisee. With a few exceptions, the Company ended this practice in 2003 and the Company's current lease activity is predominantly comprised of renewals of existing lease arrangements and exercises of options on existing lease arrangements.

The Company currently leases from third parties the real property on which approximately 502 IHOP franchisee-operated restaurants and one Applebee's franchisee-operated restaurant are located; the Company (as lessor) subleases the property to the franchisees that operate those restaurants. The Company also leases property it owns to the franchisees that operate 52 IHOP restaurants and one Applebee's restaurant. The Company leases from a third party the real property on which one Fuzzy's company-operated restaurant is located. The Company also leases office space for its principal corporate office in Pasadena, California and a restaurant support center in Irving, Texas. The Company does not have a significant amount of non-real estate leases.

The Company's existing leases/subleases related to IHOP restaurants generally provide for an initial term of 20 to 25 years, with most having one or more five-year renewal options. Leases related to Applebee's restaurants generally have an initial term of 10 to 20 years, with renewal terms of five to 20 years. Option periods were not included in determining liabilities and right-of-use assets related to operating leases. Restaurants associated with approximately 348 of the Company's leases met the sales levels that required variable rent payments to the Company (as lessor), based on a percentage of restaurant sales in 2024. Restaurants associated with approximately 46 of the Company's leases met the sales levels that required variable rent payments by the Company (as lessee), based on a percentage of restaurant sales in 2024.

The individual lease agreements do not provide information to determine the implicit interest rate in the agreements. The Company made significant judgments in determining the incremental borrowing rates that were used in calculating operating lease liabilities. Due to the large number of leases, the Company applied a portfolio approach by grouping the leases based on the original lease term. The Company estimated the interest rate for each grouping primarily by reference to (i) yield rates on debt issuances by companies of a similar credit rating as the Company; (ii) U.S. Treasury rates as of the adoption date; and (iii) adjustments for differences in years to maturity.

The Company's lease cost for the years ended December 31, 2024, 2023, and 2022 was as follows:

	Year Ended December 31,		
	2024	2023	2022
	(In millions)		
Finance lease cost:			
Amortization of right-of-use assets	\$ 2.6	\$ 2.5	\$ 3.6
Interest on lease liabilities	2.9	2.8	4.5
Operating lease cost	74.1	75.3	83.5
Variable lease cost	8.0	7.8	7.6
Short-term lease cost	0.0	0.0	0.0
Sublease income	(106.1)	(110.4)	(106.8)
Lease cost	<u>\$ (18.5)</u>	<u>\$ (22.0)</u>	<u>\$ (7.6)</u>

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

10. Leases (Continued)

Future minimum lease payments under noncancellable leases as lessee as of December 31, 2024 were as follows:

	Finance Leases	Operating Leases
	(In millions)	
2025	\$ 7.6	\$ 87.2
2026	7.5	82.8
2027	6.4	63.2
2028	4.8	47.7
2029	4.9	44.6
Thereafter	21.2	149.2
Total minimum lease payments	52.4	474.7
Less: interest/imputed interest	(13.1)	(98.9)
Total obligations	39.3	375.8
Less: current portion	(5.0)	(65.3)
Long-term lease obligations	<u>\$ 34.3</u>	<u>\$ 310.5</u>

Other lease information is as follows:

	Year Ended December 31,		
	2024	2023	2022
	(In millions)		
Assets obtained in exchange for operating lease obligations	\$ 109.4	\$ 47.9	\$ 74.9
Assets obtained in exchange for finance lease obligations	\$ 6.8	\$ 10.5	\$ 10.8

The weighted average remaining lease term as of December 31, 2024 was 5.5 years for finance leases and 6.2 years for operating leases. The weighted average discount rate as of December 31, 2024 was 9.2% for finance leases and 6.1% for operating leases.

During the years ended December 31, 2024, 2023 and 2022, the Company made the following cash payments for leases:

	Year Ended December 31,		
	2024	2023	2022
	(In millions)		
Principal payments on finance lease obligations	\$ 5.6	\$ 6.4	\$ 8.9
Interest payments on finance lease obligations	\$ 2.9	\$ 2.8	\$ 4.5
Payments on operating leases	\$ 83.8	\$ 75.2	\$ 83.5
Variable lease payments	\$ 8.0	\$ 7.8	\$ 7.6

The Company's income from operating leases for the years ended December 31, 2024, 2023 and 2022 was as follows:

	Year Ended December 31,		
	2024	2023	2022
	(In millions)		
Minimum lease payments	\$ 96.0	\$ 100.7	96.4
Variable lease income	17.4	17.5	16.9
Total operating lease income	<u>\$ 113.4</u>	<u>\$ 118.2</u>	<u>\$ 113.3</u>

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

10. Leases (Continued)

Future minimum payments to be received as lessor under noncancellable operating leases as of December 31, 2024 were as follows:

	(In millions)
2025	\$ 95.7
2026	82.9
2027	66.0
2028	49.8
2029	42.1
Thereafter	147.4
Total minimum rents receivable	<u>\$ 483.9</u>

The Company's income from real estate leases receivable at December 31, 2024, 2023 and 2022 was as follows:

	Year Ended December 31,		
	2024	2023	2022
	(In millions)		
Selling profit	\$ 0.2	\$ 0.2	\$ 0.9
Interest income	1.2	1.1	1.5
Variable lease income	0.3	0.4	0.7
Total financing lease income	<u>\$ 1.7</u>	<u>\$ 1.7</u>	<u>\$ 3.1</u>

Future minimum payments to be received as lessor under noncancellable real estate leases as of December 31, 2024 were as follows:

	(In millions)
2025	\$ 2.5
2026	2.6
2027	2.5
2028	2.5
2029	2.5
Thereafter	12.9
Total minimum rents receivable	<u>25.5</u>
Less: unearned income	<u>(7.2)</u>
Total real estate leases receivable	<u>18.3</u>
Less: current portion	<u>(1.4)</u>
Long-term real estate leases receivable	<u>\$ 16.9</u>

11. Commitments and Contingencies

Purchase Commitments

In some instances, the Company enters into commitments to purchase advertising and other items. Most of these agreements are fixed price purchase commitments. At December 31, 2024, the outstanding purchase commitments were \$129.3 million, of which \$77.7 million related to advertising commitments over the next twelve months.

Lease Guarantees

In connection with the refranchising of Applebee's restaurants to franchisees, the Company has, in certain cases, guaranteed or had potential continuing liability for lease payments. The Company had outstanding lease guarantees or was contingently liable for approximately \$345.0 million and \$402.1 million as of December 31, 2024 and 2023, respectively. These amounts represent the maximum potential liability of future payments under these leases. These leases have been assigned to the buyers and expire at the end of the respective lease terms, which range from 2025 through 2058. Excluding unexercised option periods, the Company's potential liability for future payments under these leases as of December 31, 2024 was \$90.5 million. In the event of default, the indemnity and default clauses in our sale or assignment agreements govern our ability to pursue and recover damages incurred. No material liabilities for these guarantees have been recorded as of December 31, 2024.

11. Commitments and Contingencies (Continued)

Litigation, Claims and Disputes

The Company is subject to various lawsuits, governmental inspections, administrative proceedings, audits, and claims arising in the ordinary course of business. Some of these lawsuits purport to be class actions and/or seek substantial damages. The Company is required to record an accrual for litigation loss contingencies that are both probable and reasonably estimable. Legal fees and expenses associated with the defense of the Company's litigation are expensed as such fees and expenses are incurred. In the opinion of management, these matters are adequately covered by insurance or, if not so covered, are without merit or are of such a nature or involve amounts that would not have a material adverse impact on the Company's business or consolidated financial statements. Management regularly assesses the Company's insurance deductibles, analyzes litigation information with the Company's attorneys and evaluates its loss experience in connection with pending legal proceedings. While the Company does not presently believe that any of the legal proceedings to which the Company is currently a party will ultimately have a material adverse impact on the Company, there can be no assurance that the Company will prevail in all the proceedings the Company is party to, or that the Company will not incur material losses from them.

Letters of Credit

The Company provides letters of credit, primarily to various insurance carriers to collateralize obligations for outstanding claims. As of December 31, 2024, the Company had approximately \$0.6 million of unused letters of credit outstanding that reduce the Company's available borrowing under its 2022 Class A-1 Notes. These letters of credit expire on various dates in 2025 and are automatically renewed for an additional year if no cancellation notice is submitted.

12. Stockholders' Deficit

Stock Repurchase Programs

In February 2019, the Company's Board of Directors approved a stock repurchase program authorizing the Company to repurchase up to \$200 million of the Company's common stock (the "2019 Repurchase Program") on an opportunistic basis from time to time in the open market or in privately negotiated transactions based on business, market, applicable legal requirements and other considerations. The 2019 Repurchase Program, as approved by the Board of Directors, does not require the repurchase of a specific number of shares and can be terminated at any time.

On February 17, 2022, the Company's Board of Directors authorized a new share repurchase program, effective April 1, 2022, of up to \$250 million (the "2022 Repurchase Program"). In connection with the approval of the 2022 Repurchase Program, the 2019 Repurchase Program terminated effective April 1, 2022.

A summary of shares repurchased under the 2022 Repurchase Program and the 2019 Repurchase Program, during the years ended December 31, 2024, 2023 and 2022, and cumulatively for each program, is as follows:

	<u>Shares</u>	<u>Cost of shares</u> (In millions)
<i>2022 Repurchase Program</i>		
Repurchased during the year ended December 31, 2024	269,621	\$ 12.0
Repurchased during the year ended December 31, 2023	446,189	\$ 26.1
Repurchased during the year ended December 31, 2022	1,149,589	\$ 78.7
Cumulative (life-of-program) repurchases	1,865,399	\$ 116.8
Remaining dollar value of shares that may be repurchased	n/a	\$ 133.2
<i>2019 Repurchase Program</i>		
Repurchased during the year ended December 31, 2022	588,108	\$ 41.4
Repurchased during the year ended December 31, 2021	59,099	\$ 4.5
Repurchased during the year ended December 31, 2020	459,899	\$ 26.5
Cumulative (life-of-program) repurchases	2,344,804	\$ 175.8
Remaining dollar value of shares that may be repurchased (1)	n/a	n/a

(1) In connection with the 2022 Repurchase Program, the 2019 Repurchase Program terminated effective April 1, 2022.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

12. Stockholders' Deficit (Continued)

Dividends

During the fiscal years ended December 31, 2024, 2023 and 2022, the Company declared and paid dividends on common stock as follows:

Year ended December 31, 2024	Declaration Date	Payment Date	Dividends declared per share	Dividends paid per share	Total dividends paid⁽¹⁾
					(In millions)
Payment of prior year declaration	(3)	January 5, 2024	\$ —	\$ 0.51	\$ 7.7
First quarter	February 26, 2024	April 5, 2024	0.51	0.51	7.9
Second quarter	May 14, 2024	July 5, 2024	0.51	0.51	7.8
Third quarter	September 5, 2024	October 8, 2024	0.51	0.51	7.8
Fourth quarter	November 22, 2024	(2)	0.51	—	—
Total			\$ 2.04	\$ 2.04	\$ 31.3

Year ended December 31, 2023	Declaration Date	Payment Date	Dividends declared per share	Dividends paid per share	Total dividends paid⁽¹⁾
Payment of prior year declaration	(4)	January 6, 2023	\$ —	\$ 0.51	\$ 8.0
First quarter	February 21, 2023	March 31, 2023	0.51	0.51	8.0
Second quarter	May 11, 2023	July 7, 2023	0.51	0.51	7.9
Third quarter	September 7, 2023	September 29, 2023	0.51	0.51	7.8
Fourth quarter	November 30, 2023	(3)	0.51	—	—
Total			\$ 2.04	\$ 2.04	\$ 31.7

Year ended December 31, 2022	Declaration Date	Payment Date	Dividends declared per share	Dividends paid per share	Total dividends paid⁽¹⁾
Payment of prior year declaration	(5)	January 7, 2022	\$ —	\$ 0.40	\$ 6.9
First quarter	February 17, 2022	April 1, 2022	0.46	0.46	7.8
Second quarter	May 12, 2022	July 8, 2022	0.51	0.51	8.2
Third quarter	September 9, 2022	September 30, 2022	0.51	0.51	8.1
Fourth quarter	December 2, 2022	(4)	0.51	—	—
Total			\$ 1.99	\$ 1.88	\$ 31.0

(1) Includes dividend equivalents paid on restricted stock units.

(2) The fourth quarter 2024 dividend of \$7.8 million was paid on January 7, 2025.

(3) The fourth quarter 2023 dividend of \$7.7 million was paid on January 5, 2024.

(4) The fourth quarter 2022 dividend of \$8.0 million was paid on January 6, 2023.

(5) The fourth quarter 2021 dividend of \$6.9 million was paid on January 7, 2022.

Dividends declared on common stock are recorded as a reduction of retained earnings to the extent retained earnings are available at the close of the period prior to the date of the declared dividend. Dividends in excess of retained earnings are recorded as a reduction of additional paid-in capital. All dividends declared during the fiscal years ended December 31, 2024, 2023 and 2022 were declared from retained earnings.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

12. Stockholders' Deficit (Continued)

Treasury Stock

Repurchases of the Company's common stock are included in treasury stock at the cost of shares repurchased plus any transaction costs. Treasury stock may be re-issued when vested stock options are exercised, when restricted stock awards are granted and when restricted stock units settle in stock upon vesting. The cost of treasury stock re-issued is determined on the first-in, first-out ("FIFO") method. The Company re-issued 311,955 shares, 281,161 shares and 205,293 shares, respectively, during the years ended December 31, 2024, 2023 and 2022 at a total FIFO cost of \$15.1 million, \$13.5 million and \$9.6 million, respectively.

13. Closure and Long-lived Tangible Asset Impairment Charges

Closure and long-lived tangible asset impairment charges for the years ended December 31, 2024, 2023 and 2022 were as follows:

	Year Ended December 31,		
	2024	2023	2022
	(In millions)		
Closure charges	\$ 2.2	\$ 1.6	\$ 1.7
Long-lived tangible asset impairment	0.0	2.0	1.4
Total closure and long-lived tangible asset impairment charges	<u>\$ 2.2</u>	<u>\$ 3.6</u>	<u>\$ 3.1</u>

Closure Charges

The closure charges of \$2.2 million for the year ended December 31, 2024 comprised of \$1.5 million for revisions to existing closure reserves, including accretion, for approximately 21 IHOP restaurants closed prior to 2023, and \$0.6 million related to the conversion of approximately 20,000 square feet of office space in the Leawood, Kansas restaurant support center to a remote work model in February 2024.

The closure charges of \$1.6 million for the year ended December 31, 2023 primarily related to revisions to existing closure reserves, including accretion, for approximately 40 restaurants closed prior to 2022. The closure charges of \$1.7 million for the year ended December 31, 2022 comprised of \$1.3 million for revisions to existing closure reserves, including accretion for approximately 40 restaurants closed prior to 2021 and \$0.4 million related to three IHOP restaurants closed in 2022.

Long-lived Tangible Asset Impairment

Long-lived tangible asset impairment charges for the year ended December 31, 2024 were insignificant. The long-lived asset impairment of \$2.0 million for the year ended December 31, 2023 primarily related to four IHOP subleased restaurants for which the carrying amount exceeded the future projected cash flows. The long-lived asset impairment of \$1.4 million for the year ended December 31, 2022 primarily related to five IHOP subleased restaurants for which the carrying amount exceeded the future projected cash flows. The primary method of estimating fair value is based on a discounted cash flow analysis. The Company also considers factors such as sales trends, cash flow trends, remaining lease life and other factors which apply on a case-by-case basis. For locations owned by the Company, current purchase offers, if any, or valuations from independent third party sources are utilized, if available. The analysis is performed at the restaurant level for indicators of impairment. The impairment recorded represented the difference between the carrying value and the estimated fair value. The impairments primarily related to operating lease right-of-use assets.

14. Stock-Based Incentive Plans

General Description

Currently, the Company is authorized to grant stock options, stock appreciation rights, restricted stock, cash-settled and stock-settled restricted stock units and performance units to officers, other employees and non-employee directors under the Dine Brands Global, Inc. 2019 Stock Incentive Plan (the "2019 Plan"). The 2019 Plan was approved by stockholders on May 14, 2019 to permit the issuance of up to 2,050,000 shares (subject to adjustment as defined in the 2019 Plan for shares that may become available from prior plans) of the Company's common stock for incentive stock awards. The 2019 Plan was amended and approved by stockholders on May 14, 2022 to permit the issuance of an additional 2,020,000 shares (subject to adjustment

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

14. Stock-Based Incentive Plans (Continued)

as defined in the 2019 Plan Amendment for shares that may become available from prior plans) of the Company's common stock for incentive stock awards. The 2019 Plan will expire in May 2029.

The Dine Brands Global, Inc. 2016 Stock Incentive Plan (the "2016 Plan") was adopted in 2016 to permit the issuance of up to 3,750,000 shares of the Company's common stock for incentive stock awards. The 2016 Plan was terminated upon adoption of the 2019 Plan, but there are stock options (vested and unvested) and unvested restricted stock and restricted stock units issued under the 2016 Plan that are outstanding as of December 31, 2024.

The DineEquity, Inc. 2011 Stock Incentive Plan (the "2011 Plan") was adopted in 2011 to permit the issuance of up to 1,500,000 shares of the Company's common stock for incentive stock awards. The 2011 Plan was terminated upon adoption of the 2016 Plan, but there are vested stock options issued under the 2011 Plan that are outstanding as of December 31, 2024.

The 2019 Plan, 2016 Plan and the 2011 Plan are collectively referred to as the "Plans."

Stock-Based Compensation Expense

From time to time, the Company has granted non-qualified stock options, restricted stock, cash-settled and stock-settled restricted stock units and performance units to officers, other employees and non-employee directors of the Company under the Plans. The non-qualified stock options generally vest ratably over a three-year period in one-third increments and have a maturity of ten years from the grant date. Options vest immediately upon a change in control of the Company, as defined in the Plans. Option exercise prices equal the closing price of the Company's common stock on the New York Stock Exchange on the date of grant. Restricted stock and restricted stock units are issued at no cost to the holder and vest over terms determined by the Compensation Committee of the Company's Board of Directors, generally either three years from the date of grant or in one-third increments over three years, as well as immediately upon a change in control of the Company, as defined in the Plans. The Company either utilizes treasury stock or issues new shares from its authorized but unissued share pool when vested stock options are exercised, when restricted stock awards are granted and when restricted stock units settle in stock upon vesting. See *Note 12, Stockholders' Deficit*, of Notes to the Consolidated Financial Statements, for treasury shares utilized related to equity grants during the years ended December 31, 2024, 2023 and 2022.

The following table summarizes the Company's stock-based compensation expense included as a component of general and administrative expenses in the Consolidated Financial Statements:

	Year Ended December 31,		
	2024	2023	2022
	(In millions)		
<i>Stock-based compensation expense</i>			
Equity classified awards expense	\$ 16.0	\$ 12.0	\$ 16.2
Liability classified awards expense	0.3	(1.4)	1.4
Total stock-based compensation expense	<u>16.3</u>	<u>10.6</u>	<u>17.6</u>

As of December 31, 2024, total unrecognized compensation cost related to restricted stock and restricted stock units of \$15.2 million and \$2.6 million related to stock options is expected to be recognized over a weighted average period of approximately 1.4 years for restricted stock and restricted stock units and 1.4 years for stock options.

Equity Classified Awards - Stock Options

The per share fair values of the stock options granted have been estimated as of the date of grant using the Black-Scholes option pricing model. The Black-Scholes model considers, among other factors, the expected life of the option and the historical volatility of the Company's stock price. The Black-Scholes model meets the requirements of U.S. GAAP, but the fair values generated by the model may not be indicative of the actual fair values of the Company's stock-based awards.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

14. Stock-Based Incentive Plans (Continued)

The following table summarizes the assumptions used in the Black-Scholes model for stock options granted in the years ended December 31, 2024, 2023 and 2022:

	2024	2023	2022
Risk free interest rate	4.3 %	4.4 %	1.7 %
Weighted average historical volatility	70.2 %	70.9 %	70.1 %
Dividend yield	4.2 %	2.7 %	2.6 %
Expected years until exercise	4.5	4.5	4.5
Weighted average fair value of options granted	\$ 22.26	\$ 37.35	\$ 33.23

Stock option activity for the years ended December 31, 2024, 2023 and 2022 is summarized as follows:

	Number of Shares Under Option	Weighted Average Exercise Price Per Share	Weighted Average Remaining Contractual Term (in years)	Aggregate Intrinsic Value (in millions)
Outstanding at December 31, 2021	475,904	76.65		
Granted	75,795	70.08		
Exercised	(3,505)	68.80		
Forfeited	(6,171)	81.13		
Expired	(2,448)	94.43		
Outstanding at December 31, 2022	539,575	75.65		
Granted	74,390	74.94		
Exercised	(69,443)	54.90		
Forfeited	(20,876)	79.11		
Expired	(61,140)	82.47		
Outstanding at December 31, 2023	462,506	77.59		
Granted	133,729	49.06		
Exercised	—	—		
Forfeited	(14,717)	56.03		
Expired	(56,872)	87.07		
Outstanding at December 31, 2024	524,646	69.89	6.01	\$ —
Vested and Expected to Vest at December 31, 2024	509,056	\$ 70.38	5.92	\$ —
Exercisable at December 31, 2024	344,411	\$ 76.38	4.60	\$ —

The total intrinsic value of options exercised during the years ended December 31, 2024, 2023, and 2022 was zero, \$1.1 million and \$36.9 thousand, respectively.

Cash received from options exercised under all stock-based payment arrangements for the years ended December 31, 2024, 2023 and 2022 was zero, \$3.8 million and \$0.2 million, respectively. The actual tax benefit realized for the tax deduction from option exercises under the stock-based payment arrangements totaled zero, \$0.3 million and \$9.2 thousand, respectively, for the years ended December 31, 2024, 2023 and 2022.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

14. Stock-Based Incentive Plans (Continued)

Equity Classified Awards - Restricted Stock and Restricted Stock Units

Activity in equity classified awards of restricted stock and restricted stock units for the years ended December 31, 2024, 2023 and 2022 is as follows:

	Shares of Restricted Stock	Weighted Average Grant-Date Per Share Fair Value	Restricted Stock Units	Weighted Average Grant-Date Per Share Fair Value
Outstanding at December 31, 2021	276,611	80.85	105,592	71.00
Granted	201,789	70.12	60,914	49.36
Released	(98,864)	86.36	(42,611)	66.63
Forfeited	(23,636)	75.89	—	—
Outstanding at December 31, 2022	355,900	73.57	123,895	62.11
Granted	211,820	73.12	21,731	74.01
Released	(165,533)	73.64	(47,857)	64.04
Forfeited	(63,565)	73.15	(39,294)	77.23
Outstanding at December 31, 2023	338,622	73.33	58,475	54.07
Granted	311,955	47.55	32,630	49.06
Released	(155,368)	74.37	(18,115)	73.97
Forfeited	(73,750)	60.10	(37)	74.94
Outstanding at December 31, 2024	421,459	\$ 56.18	72,953	\$ 46.83

Liability Classified Awards - Cash-settled Restricted Stock Units

The Company has granted cash-settled restricted stock units to certain employees in the past. These instruments are recorded as liabilities at fair value as of the respective period end.

	Cash-Settled Restricted Stock Units
Outstanding at December 31, 2021	12,799
Granted	67
Released	(12,866)
Forfeited	—
Outstanding at December 31, 2022	—
Outstanding at December 31, 2023	—
Outstanding at December 31, 2024	—

There were no liabilities outstanding related to cash-settled restricted stock units at December 31, 2024 and 2023. There was no stock-based compensation expense related to cash-settled restricted stock units for the year ended December 31, 2024 and December 31, 2023. For the year ended December 31, 2022, \$0.2 million was included as stock-based compensation expense related to cash-settled restricted stock units.

Liability Classified Awards - Long-Term Incentive Awards

The Company has granted cash long-term incentive awards to certain employees (“LTIP awards”). Annual LTIP awards vest over a three-year period and are determined using a multiplier from 0% to 200% of the target award based on the total stockholder return of the Company's common stock compared to the total stockholder returns of a peer group of companies. Though LTIP awards are only paid in cash, since the multiplier is primarily based on the price of the Company's common stock, the awards are considered stock-based compensation in accordance with U.S. GAAP and are classified as liabilities. The expense related to the LTIP awards included an expense of \$0.2 million, a credit of \$1.4 million and an expense of \$1.2 million, for the years ended December 31, 2024, 2023 and 2022, respectively. At December 31, 2024 and 2023, a liability of \$0.8 million and \$0.7 million, respectively, was included as other non-current liabilities in the Consolidated Balance Sheets.

15. Employee Benefit Plans

401(k) Savings and Investment Plan

Effective January 1, 2013, the Company amended the Dine Brands Global, Inc. 401(k) Plan to (i) modify the Company matching formula and (ii) eliminate the one-year completed service requirement that previously had to be met to become eligible for Company matching contributions. As amended, the Company matches 100% of the first four percent of the employee's eligible compensation deferral and 50% of the next two percent of the employee's eligible compensation deferral. All contributions under this plan vest immediately. Company common stock is not an investment option for employees in the 401(k) Plan, other than shares transferred from a prior employee stock ownership plan. Substantially all of the administrative cost of the 401(k) plan is borne by the Company. The Company's matching contribution expense was \$3.4 million, \$3.3 million and \$3.3 million for the years ended December 31, 2024, 2023 and 2022, respectively.

16. Income Taxes

The provision for income taxes for the years ended December 31, 2024, 2023 and 2022 was as follows:

	Year Ended December 31,		
	2024	2023	2022
	(In millions)		
Current			
Federal	\$ 25.0	\$ 25.6	\$ 27.5
State	3.8	0.6	5.5
Foreign	2.0	2.2	1.8
	<u>30.8</u>	<u>28.4</u>	<u>34.8</u>
Deferred			
Federal	(8.1)	(1.2)	(3.8)
State	2.0	(12.6)	2.7
	<u>(6.1)</u>	<u>(13.8)</u>	<u>(1.1)</u>
Provision for income taxes	<u>\$ 24.7</u>	<u>\$ 14.5</u>	<u>\$ 33.7</u>

The provision for income taxes differs from the expected federal income tax rates as follows:

	Year Ended December 31,		
	2024	2023	2022
Statutory federal income tax rate	21.0 %	21.0 %	21.0 %
Non-deductibility of goodwill	0.4	—	0.8
Non-deductibility of officer's compensation	1.1	1.1	2.9
State and other taxes, net of federal tax benefit	3.9	3.8	3.1
State income tax audit settlement	—	(13.5)	—
Excess tax deficiencies or (benefits)	1.2	(0.7)	(0.5)
Change in unrecognized tax benefits	—	1.1	—
Change in valuation allowance	0.8	0.7	(0.3)
Changes in tax rates and state tax laws	0.6	—	3.4
General business credits	(0.7)	(0.7)	(1.4)
Other	(0.8)	0.2	0.3
Effective tax rate	<u>27.5 %</u>	<u>13.0 %</u>	<u>29.3 %</u>

The fiscal year 2024 effective tax rate of 27.5% applied to pretax book income was different than the statutory Federal income tax rate of 21% primarily due to state and local taxes and a lower tax deduction related to stock-based compensation.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

Note 16. Income Taxes (Continued)

The fiscal year 2023 effective tax rate of 13.0% applied to pretax book income was different than the statutory Federal income tax rate of 21% primarily due to the conclusion of a state income tax settlement, resulting in a net income tax benefit of \$15.1 million.

The fiscal year 2022 effective tax rate of 29.3% applied to pretax book income was different than the statutory Federal income tax rate of 21% due to state and local income taxes and the non-deductibility of executive compensation. The effective tax rate further increased due to the increase in the effective state tax rate applied to revaluing deferred tax balances. The increase in the effective state tax rate was due to the non-recurring refranchising of 69 Applebee's company-operated restaurants in the fourth quarter of 2022 and various state legislative changes.

The Company files federal income tax returns and the Company or one of its subsidiaries file income tax returns in various state and international jurisdictions. With few exceptions, the Company is no longer subject to federal tax examinations by tax authorities for years before 2021 and state or non-United States tax examinations by tax authorities for years before 2019. The Company believes that adequate reserves have been recorded relating to all matters contained in the tax periods open to examination.

Net deferred tax assets (liabilities) at December 31, 2024 and 2023 consisted of the following components:

	2024	2023
	(In millions)	
Lease liabilities	\$ 104.3	\$ 93.2
Employee compensation	8.8	9.4
Revenue recognition	38.9	37.2
Tax attributes	13.5	14.9
Other	8.1	4.5
Deferred tax assets	173.6	159.2
Valuation allowance	(5.0)	(4.4)
Total deferred tax assets after valuation allowance	168.6	154.8
Recognition of franchise and equipment sales	(3.3)	(4.9)
Capitalization and depreciation ⁽¹⁾	(122.1)	(123.7)
Lease assets	(96.1)	(85.5)
Other	(1.7)	(1.5)
Deferred tax liabilities	(223.2)	(215.6)
Net deferred tax liabilities	<u>\$ (54.6)</u>	<u>\$ (60.8)</u>

⁽¹⁾ Primarily related to the 2007 Applebee's acquisition.

As of each reporting date, the Company considers new evidence, both positive and negative, that could impact management's view with regards to future realization of deferred tax assets. Management believes that the future realizability of benefits arising from foreign tax credit carryforwards and certain state net operating loss carryforwards does not meet the more-likely-than-not threshold. In recognition of this risk, there is a valuation allowance of \$5.0 million as of December 31, 2024.

The Company had gross operating loss carryforwards for state tax purposes of \$113.7 million and \$127.8 million as of December 31, 2024 and 2023, respectively. Certain net operating loss carryforwards will expire in 2029 if not utilized. The Company had income tax credit carryforwards of \$7.5 million and \$7.4 million as of December 31, 2024 and 2023, respectively. Certain income tax credit carryforwards will begin to expire in 2029 if not utilized.

The total gross unrecognized tax benefit as of December 31, 2024 and 2023 was \$2.5 million and \$3.5 million, respectively, excluding interest, penalties and related income tax benefits. If recognized, these amounts would affect the Company's effective income tax rates.

The Company estimates the unrecognized tax benefits may decrease over the upcoming 12 months by \$0.2 million related to settlements with taxing authorities and/or statute of limitations expirations. For the remaining liability, due to the

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

Note 16. Income Taxes (Continued)

uncertainties related to these tax matters, the Company is unable to make a reasonable estimate as to when cash settlement with a taxing authority will occur. A reconciliation of the beginning and ending amount of unrecognized tax benefits is as follows:

	Year Ended December 31,		
	2024	2023	2022
	(In millions)		
Unrecognized tax benefit as of January 1	\$ 3.5	\$ 2.1	\$ 1.9
Changes for tax positions of prior years	—	—	0.1
Increases for tax positions related to the current year	0.4	1.9	0.4
Decreases relating to settlements and lapsing of statutes of limitations	(1.4)	(0.5)	(0.3)
Unrecognized tax benefit as of December 31	<u>\$ 2.5</u>	<u>\$ 3.5</u>	<u>\$ 2.1</u>

As of December 31, 2024, the accrued interest was \$0.8 million, excluding any related income tax benefits. As of December 31, 2023, the accrued interest and penalties were \$0.9 million and less than \$0.1 million, respectively, excluding any related income tax benefits. The Company recognizes interest accrued related to unrecognized tax benefits and penalties as a component of the income tax provision recognized in the Consolidated Statements of Comprehensive Income.

17. Net Income Per Share

The computation of the Company's basic and diluted net income per share is as follows:

	Year Ended December 31,		
	2024	2023	2022
	(in thousands, except per share data)		
Numerator for basic and diluted income per common share			
Net income	\$ 64,890	\$ 97,176	\$ 81,111
Less: Net income allocated to unvested participating restricted stock	(1,915)	(2,317)	(2,174)
Net income available to common stockholders - basic	62,975	94,859	78,937
Effect of unvested participating restricted stock	—	—	1
Numerator - income available to common shareholders - diluted	<u>\$ 62,975</u>	<u>\$ 94,859</u>	<u>\$ 78,938</u>
Denominator			
Weighted average outstanding shares of common stock - basic	14,931	15,233	15,873
Effect of dilutive securities:			
Stock options	<u>—</u>	<u>9</u>	<u>28</u>
Weighted average outstanding shares of common stock - diluted	<u>14,931</u>	<u>15,242</u>	<u>15,901</u>
Net income per common share			
Basic	<u>\$ 4.22</u>	<u>\$ 6.23</u>	<u>\$ 4.97</u>
Diluted	<u>\$ 4.22</u>	<u>\$ 6.22</u>	<u>\$ 4.96</u>

18. Segment Reporting

The chief executive officer is the Company's chief operating decision maker ("CODM"). The CODM uses each segments' revenue and operating profit to assess its performance.

The CODM uses revenue and operating profit for each segment primarily in the annual budget and forecasting process, and in the quarterly budget-to-actual analysis when making decisions about the allocation of operating and capital resources to each segment. The CODM also uses operating profit to assess the performance of each segment by comparing the results of each segment with one another and in determining the compensation of certain employees. The CODM does not consider asset information when evaluating operating segments, therefore total segment assets are not presented.

Information on segments and a reconciliation of operating profit to income before income taxes is as follows:

	Year Ended December 31, 2024				
	Franchise	Company Restaurants	Rental	Financing	Total
	(In millions)				
Revenues	\$ 686.0	\$ 9.3	\$ 115.3	\$ 1.8	\$ 812.3
Less: Advertising revenue	290.4	—	—	—	290.4
Revenues excluding advertising revenue	395.5	9.3	115.3	1.8	521.9
<i>Less:</i>					
Interest expense from finance leases	—	—	2.9	—	2.9
Depreciation and amortization	1.4	(0.6)	10.1	—	11.0
Other segment items ^(a)	48.0	10.5	73.9	0.3	132.7
Segment profit	346.1	(0.6)	28.4	1.5	375.3
Stock based compensation (direct)	5.7	—	—	—	5.7
Gain on disposition of assets	—	(2.2)	(1.0)	—	(3.2)
Other G&A expenses (direct and allocated)	119.3	—	—	—	119.3
Segment operating profit	\$ 221.0	\$ 1.6	\$ 29.4	\$ 1.5	\$ 253.5
<i>Reconciliation of segment operating profit</i>					
Segment operating profit					\$ 253.5
Depreciation and amortization (unallocated)					17.4
Stock based compensation (unallocated)					10.2
Other G&A expenses (unallocated)					44.2
Interest expense, net					72.1
Closure and impairment charges					9.3
Amortization of intangible assets					10.8
Income before income taxes					\$ 89.5

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

18. Segment Reporting (Continued)

	Year Ended December 31, 2023				
	Franchise	Company Restaurants	Rental	Financing	Total
	(In millions)				
Revenues	\$ 706.4	\$ 2.1	\$ 120.0	\$ 2.6	\$ 831.1
Less: Advertising revenue	300.8	—	—	—	300.8
Revenues excluding advertising revenue	405.6	2.1	120.0	2.6	530.3
<i>Less:</i>					
Interest expense from finance leases	—	—	2.8	—	2.8
Depreciation and amortization	1.1	(0.2)	10.5	—	11.4
Other segment items ^(a)	42.5	2.4	74.2	0.4	119.4
Segment profit	362.0	0.0	32.5	2.2	396.7
Stock based compensation (direct)	2.5	—	—	—	2.5
Loss on disposition of assets	—	0.2	0.3	—	0.6
Other G&A expenses (direct and allocated)	126.9	—	—	—	126.9
Segment operating profit	\$ 232.5	\$ (0.2)	\$ 32.2	\$ 2.2	\$ 266.7
<i>Reconciliation of segment operating profit</i>					
Segment operating profit					\$ 266.7
Depreciation and amortization (unallocated)					13.3
Stock based compensation (unallocated)					9.5
Other G&A expenses (unallocated)					45.8
Loss on disposition of assets (unallocated)					1.8
Interest expense, net					70.1
Closure and impairment charges					3.6
Amortization of intangible assets					10.9
Income before income taxes					\$ 111.7

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

18. Segment Reporting (Continued)

	Year Ended December 31, 2022				
	Franchise	Company Restaurants	Rental	Financing	Total
	(In millions)				
Revenues	\$ 662.4	\$ 126.9	\$ 116.5	\$ 3.6	\$ 909.4
Less: Advertising revenue	289.3	—	—	—	289.3
Revenues excluding advertising revenue	373.1	126.9	116.5	3.6	620.1
<i>Less:</i>					
Interest expense from finance leases	—	—	3.0	—	3.0
Depreciation and amortization	4.8	0.0	10.7	—	15.5
Other segment items ^(a)	27.9	121.7	74.3	0.4	224.3
Segment profit	340.5	5.2	28.5	3.2	377.3
Stock based compensation (direct)	6.0	—	—	—	6.0
Gain on disposition of assets	—	0.0	(2.5)	—	(2.5)
Other G&A expenses (direct and allocated)	113.5	—	—	—	113.5
Segment operating profit	\$ 221.0	\$ 5.2	\$ 31.0	\$ 3.2	\$ 260.3
<i>Reconciliation of segment operating profit</i>					
Segment operating profit					\$ 260.3
Depreciation and amortization (unallocated)					11.9
Stock based compensation (unallocated)					10.1
Other G&A expenses (unallocated)					49.1
Interest expense, net					60.9
Closure and impairment charges					3.1
Amortization of intangible assets					10.6
Gain on extinguishment of debt					(0.2)
Income before income taxes					\$ 114.8

(a) For each reportable segment, the other segment item category includes:

Franchise: Costs of proprietary products, bad debt expense, pre-opening training expenses and other franchise-related costs.

Company Restaurants: Operating expenses at company-operated restaurants and include food, beverage, labor, benefits, utilities, rent and other operating costs.

Rental: Costs of operating leases and interest expense of finance leases on franchisee-operated restaurants.

Financing: Costs of restaurant equipment.

19. Business Acquisition

Fuzzy's Acquisition

On December 13, 2022, the Company purchased all of the issued and outstanding membership interests of Fuzzy's for approximately \$80 million in cash, pursuant to the Membership Interest Purchase Agreement, dated as of December 2, 2022, with Fuzzy's becoming a wholly-owned subsidiary of the Company. Fuzzy's is a dining company that develops, franchises and operates casual dining restaurants that offer a specialized menu of Baja-style Mexican food under the Fuzzy's Taco Shop brand. The Company acquired Fuzzy's as part of the Company's goal to invest in a high growth concept to accelerate growth.

The Company reviewed the SEC guidance in Regulation S-X on the significance of an acquired business that determines if an acquired business is required to provide financial statements and pro forma statements if the business exceeds 20% significance to the Company. Based on the three required tests (asset, investment and income) that were performed by the Company, the acquisition was not deemed to be a significant acquisition, and therefore the required disclosures are limited in

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

19. Business Acquisition (Continued)

these Consolidated Financial Statements. The results of operations related to Fuzzy's have been included in the consolidated results of the Company subsequent to the acquisition date.

The acquisition of Fuzzy's has been accounted for using the acquisition method of accounting in accordance with ASC 805, *Business Combinations*, with the Company treated as the accounting acquirer, which requires that the assets acquired and liabilities assumed be recognized at their acquisition date fair value. The Company received a third-party actuarial valuation report to determine the fair value assigned to the assets acquired and liabilities assumed.

The intangible assets acquired include franchising rights with a useful life of 20 years and a tradename with an indefinite useful life (see *Note 7 - Other Intangible Assets*). The fair value of franchising rights was estimated based on the estimated future cash flows to be generated from these franchise agreements. The earnings expected to be generated by the franchising rights were forecasted over the estimated duration of the intangible asset. The earnings were then discounted to present value at a rate commensurate with the risk of the asset. The fair value of the tradename was based on the multi-period excess earnings method, a variation of the income approach, using cash flows ("excess earnings") attributable only to the tradename intangible asset. These excess earnings were discounted to present value at a rate commensurate with the risk of the asset.

The fair value of the tangible personal property and other working capital assets and liabilities was assumed to approximate book value.

Operating lease liabilities were calculated using the present value of lease payments not yet paid and operating lease assets were calculated based upon the operating lease liabilities adjusted for prepayments or accrued lease payments. The contractual rent payments were determined to approximate market rates.

The following table summarizes the estimated fair value of net assets acquired at December 13, 2022:

	(In millions)
Receivables and other current assets	\$ 1.1
Property and equipment and other non-current assets	2.1
Tradename	57.2
Franchise agreements	14.8
Other intangible assets	0.5
Goodwill	7.0
Accounts payable and other liabilities	(4.4)
Net cash paid for acquisition	<u>\$ 78.3</u>

The excess of the purchase price over the fair value of identifiable net assets acquired amounted to approximately \$7.0 million. The acquisition goodwill arises from the expected synergies from combining the operations of the Company and Fuzzy's. During the allowable allocation period in 2023, the Company recorded a \$0.1 million purchase price adjustment.

Acquisition of Applebee's Restaurants

On November 11, 2024, the Company entered into a cooperation agreement with a former Applebee's franchisee to acquire 15 Applebee's restaurants across Tennessee, Arkansas, Illinois, Kentucky, Missouri, and Mississippi. The Company entered into the transaction to invest in the system, improve operations through innovation tests and create a blueprint for franchisee success and growth for the Company. The transaction was structured as a non-cash transaction, with no consideration transferred by the Company, resulting in a \$0.6 million gain on bargain purchase, which is recognized in the general and administrative expenses in the Consolidated Statements of Comprehensive Income as of December 31, 2024.

Dine Brands Global, Inc. and Subsidiaries
Notes to the Consolidated Financial Statements (Continued)

19. Business Acquisition (Continued)

The following table summarizes the estimated fair value of net assets acquired at the date of acquisition:

	(In millions)
Equipment and fixtures	\$ 1.1
Inventory and other current assets	0.2
Total identifiable assets acquired	1.3
Liabilities assumed	(0.7)
Bargain purchase gain	\$ 0.6

On November 19, 2024, the Company entered into an Agreement for the Purchase and Sale of Assets with an Applebee's franchisee to acquire 41 Applebee's restaurants across Georgia and Texas for a total purchase price of \$8.3 million. The Company entered into the transaction to invest in the system, improve operations through innovation tests and create a blueprint for franchisee success and growth for the Company. There were no significant indirect costs related to the transaction as of December 31, 2024.

The following table summarizes the recognized amount of assets acquired and liabilities assumed at the date of acquisition:

	(In millions)
Equipment and fixtures	\$ 12.0
Inventory and other current assets	0.9
Reacquired franchise rights	0.3
Off-market leases	(4.1)
Total identifiable assets acquired	9.1
Liabilities assumed	(3.6)
Total identifiable net assets	5.5
Goodwill	2.8
Consideration transferred	\$ 8.3

The purchase price allocation is preliminary, subject to finalization of certain transition cut-off adjustments typical with transactions of this nature. There are no significant unresolved contingencies. The Company does not expect there will be material adjustments to the preliminary purchase price allocation.

The results of operation of these restaurants are included in the Company's consolidated results from the acquisition date. The Company has not presented pro forma results of the restaurants for periods prior to the acquisition because the business is not considered significant as measured by the amount of the Company's investment in and assets of the business relative to the Company's consolidated balance sheet and by the income before income taxes of the business relative to the Company's average consolidated income before income taxes for the most recent five-year period excluding loss years.

20. Refranchising of Company-Operated Restaurants

On November 19, 2024, the Company completed the refranchising and sale of related restaurant assets of nine company-operated Applebee's restaurants in Texas to a franchisee. As part of the transaction, the Company entered into an asset purchase agreement and nine franchise agreements. The Company received cash of \$1.4 million and a note receivable for \$5.9 million. After derecognizing the assets sold, the Company recognized a gain of \$1.8 million on the refranchising and sale of related restaurant assets during the year ended December 31, 2024 which is recognized in the (Gain) loss on disposition of assets in the Consolidated Statements of Comprehensive Income.

21. Subsequent Events

On February 21, 2025, our Board of Directors declared a first quarter 2025 cash dividend of \$0.51 per share of common stock, payable on April 4, 2025 to the stockholders of record as of the close of business on March 17, 2025.

**GUARANTEE OF OBLIGATIONS
(NON-TRADITIONAL RESTAURANT FRANCHISE ADDENDUM)
("NT FA")**

EXHIBIT E

**GUARANTEE OF OBLIGATIONS
(Non-Traditional Restaurant Franchise Addendum)**

THIS GUARANTEE OF OBLIGATIONS (Non-Traditional Restaurant Franchise Addendum) (“**Guarantee**”) is given by _____ (hereinafter referred to as “**the undersigned**”) to IHOP FRANCHISOR LLC, a Delaware limited liability company, (hereinafter referred to as “**IHOP**”) in consideration of the execution of the Non-Traditional Restaurant Franchise Addendum pertaining to IHOP # _____ located at _____ (the “**Franchised Restaurant**”) by _____ (hereinafter referred to as “**Franchisee**”).

The undersigned hereby covenants with IHOP that if default shall, at any time, be made by Franchisee in the payment of any sums of money due IHOP pursuant to the IHOP Non-Traditional Multi-Unit Franchise Agreement dated _____ (hereinafter referred to as the “**IHOP NT MUFA**”) and/or the Non-Traditional Restaurant Franchise Addendum between IHOP Franchisor LLC and the undersigned, to be entered into concurrently herewith (hereinafter referred to as the “**NT FA**”), or if Franchisee shall default in fulfilling any of the covenants, agreements, or conditions of the IHOP NT MUFA and/or the NT FA to be performed by Franchisee, the undersigned shall pay to IHOP, its successors or assigns, any sums of money which may be owing under the IHOP NT MUFA and/or the NT FA, and/or shall take such action as may be required to cure the default in any of the covenants, agreements or conditions of the IHOP NT MUFA and/or the NT FA to be performed by Franchisee, and the undersigned will pay all damages that may arise as a consequence thereof.

This Guarantee shall be a continuing guarantee, and the liability of the undersigned hereunder shall in no way be affected or diminished in any manner whatsoever by reason of the assertion by IHOP against Franchisee of any of the rights or remedies reserved to IHOP pursuant to the IHOP NT MUFA and/or the NT FA, by reason of the waiver by IHOP, or the failure of IHOP to enforce any, of the provisions, covenants, or conditions of the IHOP NT MUFA and/or the NT FA, or by reason of the granting by IHOP of any indulgence or extension of time to Franchisee, and the liability hereunder shall in no way be affected or diminished by reason of any amendment, modification, renewal or extension of the IHOP NT MUFA and/or the NT FA, or the abandonment or surrender of the Franchised Restaurant by Franchisee.

The undersigned hereby expressly waives the following:

- (i) Notice of the acceptance of this Guarantee by any person or entity; and
- (ii) Any and all notices to which the undersigned might otherwise be entitled to in connection with this Guarantee, the IHOP NT MUFA and/or the NT FA. It shall not be necessary for IHOP, in order to enforce this Guarantee, to first institute any suit or proceeding or exhaust legal remedies against Franchisee.

The undersigned hereby waives any right to require, as a condition precedent to bringing action on this Guarantee:

- (a) Proceeding against Franchisee under the IHOP NT MUFA and/or the NT FA; or
- (b) Pursuing any other remedy in IHOP’s, their successors’ or assigns’ power whatsoever.

This Guarantee shall not be discharged or affected by the dissolution, liquidation or bankruptcy of Franchisee or the merger of Franchisee with another business entity.

This Guarantee is an absolute guaranty of payment and not of collection. The undersigned agrees to pay reasonable attorneys' fees, court costs and any and all other costs and expenses which may be incurred in the enforcement of this Guarantee, whether or not suit is brought hereon.

This Guarantee shall inure to the benefit of the IHOP and their successors and assigns. Notice of assignment, transfer or disposition by IHOP of their interests hereunder or under the IHOP NT MUFA and/or the NT FA is hereby waived by the undersigned.

The undersigned agrees to be personally bound by each and every provision of the IHOP NT MUFA and the NT FA including, without limitation, the agreement to arbitrate disputes in Section 10.2 of the IHOP NT MUFA.

This Guarantee shall be construed under the laws of the State of California.

IN WITNESS WHEREOF, this Guarantee of Obligations is executed this _____ day of _____, 20__.

APPROVED:
FRANCHISEE:

ACCEPTED:
IHOP:
IHOP FRANCHISOR LLC

By: _____

Its: _____

**TABLE OF CONTENTS OF OPERATIONS MANUALS
(FULL-SERVICE)**

EXHIBIT F



IHOP Standards Operations Manual

August 2024



Confidentiality Notice and Disclaimer

The information in this Standard Operations Manual (as amended, restated, supplemented or otherwise modified from time to time in IHOP's sole discretion, the "Manual") is confidential and is intended solely for the use of franchisees of the IHOP system. The information is the property of International House of Pancakes, LLC ("IHOP") and its parents, subsidiaries and affiliates.

Unauthorized review, use, disclosure or copying of this information, or any part thereof, is strictly prohibited and may be unlawful.

This Manual contains IHOP brand standards which are mandatory standards ("IHOP Standards") franchisees must meet as required by your franchise agreement. These IHOP Standards exist to protect IHOP's interests in its trademarks and the IHOP system and not for the purpose of establishing any control over those matters that are reserved to franchisees. For example, each franchisee must follow the recipes, cooking instructions, and plate presentation standards described in manuals, job aids, and other IHOP Standards materials except when a franchisee has obtained approval from IHOP for a deviation through the Form 100 Exception Authorization Request process.

Each franchisee is solely responsible for following IHOP's Standards and for the day-to-day operation of your restaurants. For example, each franchisee is responsible for the control of your employees in the daily operation of a restaurant, as well as the safety and security of your employees and customers. No information that we provide to you in these areas shifts any part of this responsibility from you. In the event there is a guest incident that occurs due to the failure to follow an IHOP Standard that may jeopardize the IHOP brand, the franchisee must contact IHOP and report the incident within 12 hours of its occurrence.

This Manual also contains suggestions and best demonstrated practices where specifically indicated. We recommend these suggested practices to enhance the likelihood that you will be in compliance with IHOP Standards relating to the operation of your restaurant.

Where this Manual provides suggestions and best demonstrated practices, IHOP's intent is to protect the image of the IHOP system and brand and not for the purpose of limiting a franchisee's control over, or a franchisee's obligation and sole responsibility to manage its restaurants, including but not limited to its employment and customer relations practices. You are not required to adopt or use any suggestions and these suggestions do not negate your sole responsibility for all employment matters related to your restaurants. Each franchisee is solely responsible for the daily operation of restaurants, including selecting, compensating, and training your employees, developing employee relations, and establishing your own policies and practices in a manner that complies with all laws applicable to your business. We advise that you consult your own employment attorney regarding workplace matters.

The information in this Manual is provided "as is." IHOP does not and cannot warrant any franchisee's results. IHOP makes no warranties, express or implied, including warranty as to performance, merchantability, or fitness for a particular purpose. IHOP is not engaged to render legal or other professional advice and makes no representation that the information is accurate or complete with respect to all laws, rules and regulations applicable to a franchisee's restaurant. IHOP recommends that the franchisee contact your own lawyer to make sure you understand and comply with all laws applicable to your business. IHOP may update this Manual to provide better service to IHOP guests and build a stronger business. IHOP will send instructions to update and maintain this Manual through various forms of communication, including email, mail, the learning management system and Batter Up communications. It is the franchisee's responsibility to use the most current version of the Manual as instructed.

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LIST OF STATE ADMINISTRATORS

EXHIBIT G

LIST OF STATE ADMINISTRATORS

We intend to register this disclosure document as a “franchise” in some or all of the following states, if required by the applicable state laws. If and when we pursue franchise registration (or otherwise comply with the franchise investment laws) in these states, the following are the state administrators responsible for the review, registration, and oversight of franchises in these states:

CALIFORNIA Commissioner of Financial Protection and Innovation Department of Financial Protection and Innovation 320 West Fourth Street, Suite 750 Los Angeles, California 90013-2344 (213) 576-7500 / Toll Free: (866) 275-2677 Email: ASK.DFPI@dfpi.ca.gov Website: http://www.dfpi.ca.gov	NEW YORK NYS Department of Law Investor Protection Bureau 28 Liberty St. 21st Fl New York, NY 10005 (212) 416-8222
HAWAII Commissioner of Securities Department of Commerce & Consumer Affairs Business Registration Division Securities Compliance Branch 335 Merchant Street, Room 203 Honolulu, Hawaii 96813 (808) 586-2722	NORTH DAKOTA North Dakota Insurance & Securities Department 600 East Boulevard Avenue, Dept. 401 Bismarck, North Dakota 58505-0510 (701) 328-2910
ILLINOIS Illinois Office of the Attorney General Franchise Bureau 500 South Second Street Springfield, Illinois 62701 (217) 782-4465	RHODE ISLAND Department of Business Regulation Securities Division, Building 69, First Floor John O. Pastore Center 1511 Pontiac Avenue Cranston, Rhode Island 02920 (401) 462-9527
INDIANA Secretary of State Franchise Section 302 West Washington, Room E-111 Indianapolis, Indiana 46204 (317) 232-6681	SOUTH DAKOTA Division of Insurance Securities Regulation 124 South Euclid Avenue, 2 nd Floor Pierre, South Dakota 57501 (605) 773-3563
MARYLAND Office of the Attorney General Securities Division 200 St. Paul Place Baltimore, Maryland 21202-2020 (410) 576-6360	VIRGINIA State Corporation Commission Division of Securities and Retail Franchising 1300 East Main Street, 9th Floor Richmond, Virginia 23219 (804) 371-9051
MICHIGAN Michigan Attorney General’s Office Corporate Oversight Division, Franchise Section 525 West Ottawa Street G. Mennen Williams Building, 5 th Floor Lansing, Michigan 48913 (517) 335-7567	WASHINGTON Department of Financial Institutions Securities Division P.O. Box 41200 Olympia, Washington 98504-1200 (360) 902-8760
MINNESOTA Minnesota Department of Commerce 85 7 th Place East, Suite 280 St. Paul, Minnesota 55101 (651) 539-1600	WISCONSIN Division of Securities 4822 Madison Yards Way, North Tower Madison, Wisconsin 53705 (608) 266-2139

LIST OF AGENTS FOR SERVICE OF PROCESS

EXHIBIT H

AGENTS FOR SERVICE OF PROCESS

We intend to register this disclosure document as a “franchise” in some or all of the following states, if required by the applicable state law. If and when we pursue franchise registration (or otherwise comply with the franchise investment laws) in these states, we will designate the following state offices or officials as our agents for service of process in these states. There may be states in addition to those listed below in which we have appointed an agent for service of process. There may also be additional agents in some of the states listed.

CALIFORNIA Commissioner of Financial Protection and Innovation Department of Financial Protection and Innovation 320 West Fourth Street, Suite 750 Los Angeles, California 90013-2344 (213) 576-7500 / Toll Free: (866) 275-2677 Email: ASK.DFPI@dfpi.ca.gov Website: http://www.dfpi.ca.gov Corporation Service Company d/b/a CSC Lawyers Incorporating Service Company 2730 Gateway Oaks Drive Suite 100 Sacramento, California 93533	NEW YORK New York Secretary of State One Commerce Plaza 99 Washington Avenue Albany, NY 12231 (518) 473-2492 Investor Protection Bureau Department of Law 120 Broadway, 23rd Floor New York, New York 10271
HAWAII Commissioner of Securities Department of Commerce & Consumer Affairs Business Registration Division Securities Compliance Branch 335 Merchant Street, Room 203 Honolulu, Hawaii 96813 (808) 586-2722 CSC Services of Hawaii, Inc. 1003 Bishop Street, Suite 1600 Pauahi Tower Honolulu, Hawaii 96813	NORTH DAKOTA North Dakota Insurance Commissioner State Capitol North Dakota Insurance & Securities Department 600 East Boulevard Avenue, Dept. 401 Bismarck, North Dakota 58505-0510 (701) 328-2910 Corporation Service Company 316 North Fifth Street P.O. Box 1695 Bismarck, North Dakota 58502
ILLINOIS Illinois Attorney General 500 South Second Street Springfield, Illinois 62701 (217) 782-4465 Illinois Corporation Service Company 801 Adlai Stevenson Drive Springfield, Illinois 62703	RHODE ISLAND Director of Department of Business Regulation Department of Business Regulation Securities Division, Building 69, First Floor John O. Pastore Center 1511 Pontiac Avenue Cranston, Rhode Island 02920 (401) 462-9527 Corporation Service Company 222 Jefferson Boulevard, Suite 200 Warwick, Rhode Island 02888
INDIANA Secretary of State Franchise Section 302 West Washington, Room E-111 Indianapolis, Indiana 46204 (317) 232-6681 Corporation Service Company 251 East Ohio Street, Suite 500 Indianapolis, Indiana 46204	SOUTH DAKOTA Division of Insurance Director of the Securities Regulation 124 South Euclid Avenue, 2nd Floor Pierre, South Dakota 57501 (605) 773-3563 Corporation Service Company 503 South Pierre Street Pierre, South Dakota 57501

MARYLAND Maryland Securities Commissioner 200 St. Paul Place Baltimore, Maryland 21202-2020 (410) 576-6360 CSC Lawyers Incorporating Service Company 7 St. Paul Street, Suite 1660 Baltimore, Maryland 21202	VIRGINIA Clerk of the State Corporation Commission 1300 East Main Street, 1 st Floor Richmond, Virginia 23219 (804) 371-9733 Corporation Service Company 11 South 12th Street, P. O. Box 1463 Richmond, Virginia 23218
MICHIGAN Michigan Attorney General's Office Corporate Oversight Division, Franchise Section 525 West Ottawa Street G. Mennen Williams Building, 5 th Floor Lansing, Michigan 48913 (517) 335-7567	WASHINGTON Director of Department of Financial Institutions Securities Division – 3 rd Floor 150 Israel Road, Southwest Tumwater, Washington 98501 (360) 902-8760 Corporation Service Company 300 Deschutes Way SW, Suite 304 Tumwater, Washington 985012
MINNESOTA Commissioner of Commerce Minnesota Department of Commerce 85 7 th Place East, Suite 280 St. Paul, Minnesota 55101 (651) 539-1600 Corporation Service Company 380 Jackson Street, Suite 700 St. Paul, Minnesota 55101	WISCONSIN Division of Securities 4822 Madison Yards Way, North Tower Madison, Wisconsin 53705 (608) 266-2139 CSC Lawyers Incorporating Service Company 8040 Excelsior Drive, Suite 400 Madison, Wisconsin 53717

**GENERAL RELEASE
(NON-TRADITIONAL)**

EXHIBIT I

**GENERAL RELEASE
(Non-Traditional)**

THIS GENERAL RELEASE (this “**Release Agreement**”) is made by and among IHOP Franchisor LLC, a Delaware limited liability company (“**Company**”), _____ (“**Franchisee**”) and the undersigned “**Majority Owner**” of Franchisee (who together with Franchisee, jointly and severally, referred to herein as “**Releasor**”), effective as of the ____ day of _____, 20__ (the “**Effective Date**”) with reference to the following facts:

A. Franchisee desires to enter into an IHOP Non-Traditional Multi-Unit Franchise Agreement; and

B. Company has agreed to execute the IHOP Non-Traditional Master License Agreement on condition, among other things, that Releasor execute this Release Agreement.

THEREFORE, in consideration of the premises set forth above, and for other good and valuable consideration, the receipt and sufficiency of which is hereby acknowledged, and intending to be legally bound hereby, Releasor and Company hereby agree as follows:

1. **General Release Agreement.** Except for the performance of the undertakings set forth herein and the Excluded Matters described in Section 2, Releasor for itself and its Constituents, hereby releases and forever discharges Company and each of its Constituents (defined below), including without limitation, Dine Brands Global, Inc., formerly known as DineEquity, Inc. and IHOP Corp., IHOP IP, LLC, IHOP Properties, LLC, IHOP Property Leasing, LLC, IHOP Property Leasing II, LLC, IHOP Real Estate, LLC, IHOP Property LLC, and IHOP Leasing LLC, and their predecessors in interest (jointly and severally the “**Company Released Parties**”) from any and all known and unknown Claims and Claims which Releasor should know or become aware of after diligent and thorough investigation. “**Claims**” shall mean all actual and alleged claims, demands, losses, damages, agreements (whether written or oral), obligations, debts, suits, causes of action, awards, judgments, liabilities, rights to terminate or rescind, and other costs, expenses including attorneys’ fees and court costs whether arising in law or equity, anticipated or unanticipated, past, present, contingent or fixed, existing, claimed to exist or which may hereafter exist which Releasor has or may have against the Company Released Parties arising out of or relating to any act, fact, matter, thing or event that occurred or existed on or before the Effective Date. “**Constituents**” means past, present and future, direct and indirect, parents, subsidiaries, affiliates, owners, shareholders, partners, members, trustees, receivers, executors, representatives, administrators and distributors, and the past, present and future officers, directors, agents, managers, principals, employees, insurers, predecessors, successors, assigns, agents, representatives and attorneys of each of the foregoing.

2. **Excluded Matters.** This Release Agreement is not intended to terminate or amend any executed written franchise, lease or other agreement heretofore executed by and between the Releasor or its Constituents and any Company Released Party or any of the following matters between the Releasor and any Company Released Party: _____ (collectively the “**Franchise Documents**”); and although it is intended to relieve Company and its Constituents of responsibility for its or their failure, if any, to have timely performed or completed obligations which by the terms of the Franchise Documents were to have been performed or completed prior to the Effective Date, it is not intended to release Company from its continuing contractual obligations which arise or continue under and pursuant to the Franchise Documents on and after the date of this Release Agreement (“**Excluded Matters**”).

3. **Waiver of California Civil Code Section 1542.** Releasor, for itself and themselves, and on behalf of its Constituents, acknowledge that it is familiar with Section 1542 of the California Civil Code, which reads as follows:

A GENERAL RELEASE DOES NOT EXTEND TO CLAIMS WHICH THE CREDITOR DOES NOT KNOW OR SUSPECT TO EXIST IN HIS OR HER FAVOR AT THE TIME OF EXECUTING THE RELEASE, WHICH IF KNOWN BY HIM OR HER MUST HAVE MATERIALLY AFFECTED HIS OR HER SETTLEMENT WITH THE DEBTOR.

With respect to those claims being released pursuant to Section 1 hereunder, Releasor, for itself and themselves, and on behalf of its Constituents, acknowledge that it is releasing certain unknown claims as provided above and waives all rights it has or may have under California Civil Code Section 1542 or any other statute or common law principle of similar effect. Releasor acknowledges that this general release extends to claims which Releasor does not know or suspect to exist in favor of Releasor at the time of executing this Release Agreement, which if known by Releasor may have materially affected its or their decision to enter into this Release Agreement. It is understood by Releasor that the facts in respect of which this Release Agreement is given may hereafter turn out to be other than or different from the facts in that connection known or believed to be true. Releasor, therefore, expressly assumes the risk of the facts turning out to be so different and agrees that this Release Agreement shall be in all respects effective and not subject to termination or rescission by any such difference in facts.

4. **Representations, Warranties and Covenant Not to Sue.** Releasor (and each of them) hereby represents and warrants to Company that, in entering into such release: it is doing so freely and voluntarily upon the advice of counsel and business advisor of its own choosing (or declined to do so, free from coercion, duress or fraud); it has read and fully understands the terms and scope of the Release Agreement that such party is entering into; it intends to be final and conclusive, as to the matters set forth in the Release Agreement entered into by the party; and it has not assigned, transferred, or conveyed to any third party all or any part of or partial or contingent interest in any of the Claims which are called for to be released by this Release Agreement and will not purport to do so, and it is aware of no third party who contends or claims otherwise. Releasor shall not, directly or indirectly, assert any Claim or commence or cause to be commenced, any proceeding of any kind against any Company Released Party, based upon any matter purported to be released hereby and shall defend, indemnify and hold harmless each Company Released Party from and against the assertion by or on behalf of Releasor or its Constituents of any Claim or other matter purported to be released pursuant to this Release Agreement and any breach of representations, warranties or covenants hereunder by Releasor or its Constituents.

5. **Miscellaneous.** This Release Agreement: (a) cannot be modified, altered or otherwise amended except by an agreement in writing signed by all of the parties hereto; (b) together with the agreements referenced herein, constitute the entire understanding between and among the parties hereto with respect to the subject matter hereof; (c) may be executed in any number of counterparts, each of which shall be deemed to be an original, but all of which together shall constitute one and the same instrument; (d) may be executed by facsimile, and signatures on a facsimile copy hereof shall be deemed authorized original signatures; (e) shall be binding upon and inure to the benefit of the parties to this Release Agreement and their respective successors and permitted assigns; and (f) supersedes any prior negotiations and agreements, oral or written, with respect to its subject matter. The rule that an agreement is to be construed against the party drafting the agreement is hereby waived by the parties hereto, and shall have no applicability in construing this Release Agreement or the terms of this Release Agreement. Any provision of this Release Agreement which is prohibited, unenforceable or not authorized in any jurisdiction shall, as to such jurisdiction, be ineffective to the extent of such prohibition, unenforceability or non-authorization without invalidating the remaining provisions hereof or affecting the validity, enforceability or legality of such provision in any other jurisdiction. None of the parties is relying upon any representation, warranty, agreement or covenant not set forth herein.

6. **Governing Law.** This Release Agreement shall be governed by and construed in accordance with the internal laws of the State of California, without reference to conflict of law principles. Any controversy or claim arising out of or relating to this Release Agreement or any alleged breach hereof, including any issues pertaining to the arbitrability of such controversy or claim and any claim that this Release Agreement or any part hereof is invalid, illegal, or otherwise voidable or void, shall be submitted to binding arbitration in the same manner and subject to the same exceptions as provided in the Franchise Documents.

IN WITNESS WHEREOF, the parties hereto have executed this Release Agreement as of the date set forth above.

COMPANY:
IHOP FRANCHISOR LLC

By: _____

Its: _____

RELEASOR:

FRANCHISEE:

By: _____

Its: _____

MAJORITY OWNER:

an individual

TRADEMARK LICENSE AGREEMENT (NON-TRADITIONAL)

EXHIBIT J

TRADEMARK LICENSE AGREEMENT (Non-Traditional)

THIS TRADEMARK LICENSE AGREEMENT (Non-Traditional)(“**Agreement**”) is made and entered into effective as of this ____ day of _____, 20__ (the “**Effective Date**”) by and between IHOP FRANCHISOR LLC, a Delaware limited liability company (“**Licensor**”), and _____, a _____, whose principal place of business is _____ (“**Licensee**”).

WHEREAS, Licensor and/or its affiliates own, have developed and continue to develop distinctive trade names, service marks, trademarks, logos, emblems, Internet domain names, and indicia of origin, including the marks set forth on **Exhibit A** to this Agreement and such other trade names, service marks, trademarks, logos, emblems, Internet domain names, and indicia of origin as are now or hereafter designated by Licensor and its successors and/or affiliates for use in connection with identifying International House of Pancakes® (“**IHOP**”) restaurants in the United States (collectively hereinafter the “**Marks**”).

WHEREAS, Licensor has acquired, pursuant to an Intellectual Property License Agreement dated as of February 25, 2009 between IHOP Restaurants LLC (“**IHOP IP Holder**”) and Licensor (the “**IP License Agreement**”), a license to use and sublicense the Marks from the owner of the Marks, IHOP IP Holder in connection with IHOP Restaurants in the United States;

WHEREAS, Section 2.4 of the IP License Agreement permits Licensor to sublicense the Marks to third parties with the prior written consent of IHOP IP; and

WHEREAS, Licensee desires to use the Marks in connection with Licensee’s submittal of a proposal for an IHOP _____ Restaurant in response to a Request for Proposal from _____ for a location to be developed at _____ (the “**Purpose**”); and

WHEREAS, Licensor, subject to the terms and conditions set forth in this Agreement, is willing to permit Licensee to use the Marks in connection with the Purpose.

NOW, THEREFORE, in consideration of the above premises, the mutual covenants set forth below, and other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the parties hereto agree as follows:

SECTION 1. LICENSE

1.1. Scope of License. Subject to the terms and conditions set forth in this Agreement, Licensor grants to Licensee a non-exclusive, non-transferable, royalty-free license to use the Marks in connection with the Purpose. Licensee shall make no other use of the Marks.

1.2. Non-Assignment. Licensee acknowledges and agrees that the rights granted to Licensee by and obtained by Licensee as a result of or in connection with this Agreement are license rights only, and nothing contained in this Agreement constitutes or shall be construed to be an assignment of any or all of Licensor’s rights in the Marks.

1.3. Ownership of the Marks. Licensee acknowledges that Licensor retains ownership of the Marks and that nothing in this Agreement gives Licensee any right, title or interest in the Marks, other than the right to use the Marks subject to the terms and conditions of this Agreement. Licensor and Licensee acknowledge that Licensor or its affiliate owns all right, title and interest in and to the Marks and all associated goodwill and that nothing herein will prohibit or restrict Licensor's use or right to license others to use the Marks in any way for any goods and services. Licensee acknowledges that all use of the Marks inures to the benefit of Licensor, and Licensor or its affiliate continues to own all trademarks and trademark rights created by such uses.

SECTION 2. LICENSOR'S CONTROL

In order to protect and preserve Licensor's rights in the Marks, Licensee understands, acknowledges, and agrees that: (i) prior to the first date of Licensee's use of the Marks in connection with the Purpose, Licensee shall obtain Licensor's written approval of all aspects of such use; and (ii) once Licensee's use of the Marks in connection with the Purpose is initially approved by Licensor, any subsequent alteration, modification, or change in such use must be reviewed and approved by Licensor prior to implementation of such alteration, modification, or change.

SECTION 3. USE OF THE MARKS

3.1. Format. Licensor retains the right to specify, from time to time, the format in which Licensee shall use and display the Marks, and Licensee shall only use or display the Marks in a format approved by Licensor.

3.2. Proper Notice and Acknowledgment. Every use of the Marks by Licensee shall incorporate appropriate notices (e.g. ® or ™) to designate the Marks as trademarks or service marks.

3.3. Impairment of Licensor's Rights. Licensee shall not at any time, whether during or after the term of this Agreement, do or cause to be done any act or thing challenging, contesting, impairing, invalidating, or tending to impair or invalidate any of Licensor's rights in the Marks or any registrations derived from such rights.

3.4. Licensor's Rights and Remedies. Licensee acknowledges and agrees that Licensor has, shall retain, and may exercise, both during the term of this Agreement and thereafter, all rights and remedies available to Licensor, whether derived from this Agreement, from statute, or otherwise, as a result of or in connection with Licensee's breach of this Agreement, misuse of the Marks, or any other use of the Marks by Licensee which is not expressly permitted by this Agreement.

3.5. Infringement. Licensee shall promptly notify Licensor in writing when it becomes aware of any infringements or imitations of the Marks by any third party. Licensor shall have the right to take any action, or not to take action, against any third party that may be infringing the Marks. Licensee shall cooperate with Licensor, at Licensor's expense, in the prosecution and defense of the Marks, the filing and prosecution of any trademark applications, the recordation of any agreements, the publication of any notices, or the doing of any other act or thing in respect to the Marks that, in Licensor's reasonable judgment, may be necessary or desirable to protect Licensor's rights in the Marks.

SECTION 4. TERM AND TERMINATION

4.1. Term. The term of this Agreement shall be for the later of (i) three months from the Effective Date or (ii) the date in which the issuer of the Request for Proposal has selected a winning bidder for the proposed IHOP _____ Restaurant; provided, however, that either party may terminate this Agreement, with or without cause, by delivering written notice of termination to the other party, and, unless a later date is specified in such notice, termination shall be effective 30 days after the date such notice is given.

4.2. Termination for Cause. Notwithstanding the provisions of Section 4.1 of this Agreement, this Agreement and all rights granted hereby, including but not limited to Licensee's right to use the Marks, shall automatically terminate without notice from Licensor if: (i) Licensee attempts to assign, sub-license, transfer or otherwise convey, without first obtaining Licensor's written consent, any of the rights granted to Licensee by or in connection with this Agreement; (ii) Licensee fails to obtain Licensor's approval of Licensee's use of the Marks in accordance with Section 2 of this Agreement; (iii) Licensee uses the Marks in a manner in violation of, or otherwise inconsistent with, the restrictions imposed by or in connection with Section 3 of this Agreement; or (iv) Licensee uses the Marks in a manner not expressly permitted by this Agreement.

4.3. Effect of Termination. All rights granted by this Agreement, including, without limitation, Licensee's right to use the Marks, shall expire upon termination of this Agreement, and upon termination Licensee shall immediately cease and desist from all further use of the Marks.

SECTION 5. MISCELLANEOUS

5.1. Assignment. Licensee shall not assign, sublicense, transfer, or otherwise convey Licensee's rights or obligations under this Agreement without Licensor's prior written consent. Licensee shall indemnify and hold harmless Licensor against all liability, costs, and expenses, including but not limited to a reasonable attorneys' fee, arising out of or in connection with claims relating to an attempted assignment, sublicense, transfer, or other conveyance of Licensee's rights and obligations.

5.2. Governing Law and Consent. This Agreement shall be interpreted, construed, and enforced pursuant to, and in accordance with, the laws of the State of California. The parties agree to submit all disputes arising under or relating to this Agreement to the exclusive jurisdiction of courts located in Los Angeles County, California.

5.3. Entire Agreement. This Agreement supersedes all previous agreements, understandings, and arrangements between the parties, whether oral or written, and constitutes the entire agreement between the parties.

5.4. Amendments. This Agreement may not be modified, amended, altered, or supplemented except by an agreement in writing executed by the parties hereto.

5.5. Waivers. The waiver by either party of a breach or other violation of any provision of this Agreement shall not operate as, or be construed to be, a waiver of any subsequent breach of the same or other provision of this Agreement.

5.6. Notice. Unless otherwise provided herein, any notice, demand, or communication required, permitted, or desired to be given hereunder shall be in writing and shall be delivered by hand, by

telex or telecopy, by facsimile, or by registered or prepaid certified mail through the United States postal service, return receipt requested, addressed as follows:

To Licensor:

IHOP Franchisor LLC
450 North Brand Blvd., 7th Floor
Glendale, California 91203
Attention: General Counsel
Fax: 818-637-5361

To Licensee:

Attention: _____

or to such other address, and to the attention of such other persons or officers as either party may designate by written notice. Any notice so addressed and mailed shall be deemed duly given three days after deposit in the United States mail, and if delivered by hand, shall be deemed given when delivered, and if telecopied, telexed, or sent by facsimile, shall be deemed given on the first business day immediately following transmittal.

5.7. Counterparts. This Agreement may be executed in several counterparts, each of which shall be an original, but all of which together shall constitute one and the same Agreement.

5.8. Articles and Other Headings. The articles and other headings contained in this Agreement are for reference purposes only, and shall not affect in any way the meaning or interpretation of the terms of this Agreement.

5.9. Relationship of the Parties. This Agreement shall not be construed to place the parties in the relationship of legal representatives, partners, joint venturers or agents of or with each other. No party shall have any power to obligate or bind the other party in any manner whatsoever, except as specifically provided herein.

5.10. Severability. If any provision of this Agreement is held invalid or unenforceable by any court of competent jurisdiction, the other provisions of this Agreement will remain in full force and effect. Any provision of this Agreement held invalid or unenforceable only in part or degree will remain in full force and effect to the extent not held invalid or unenforceable.

5.11. Specific Performance. The parties hereto agree that the remedy at law for any breach of this Agreement may be inadequate, and that any party hereto shall be entitled to specific performance in addition to any other appropriate relief or remedy.

IN WITNESS WHEREOF, the parties hereto have caused this Agreement to be executed by their duly authorized representatives as of the date first set forth above.

IHOP FRANCHISOR LLC
a Delaware limited liability company

By: _____
Name: _____
Title: _____

By: _____
Name: _____
Title: _____

CONSENT OF IHOP IP HOLDER

IHOP Restaurants LLC, a Delaware limited liability company, owner of the Marks as referenced above, hereby consents to the foregoing Trademark License Agreement (Non-Traditional) by and between IHOP FRANCHISOR LLC and _____ dated ____ __, 20__.

IHOP Restaurants LLC,
A Delaware limited liability company

By: _____

Its: _____

EXHIBIT A
MARKS

STATE ADDENDA

EXHIBIT K

ADDENDUM TO THE FRANCHISE DISCLOSURE DOCUMENT
FOR THE STATE OF CALIFORNIA

THE CALIFORNIA FRANCHISE INVESTMENT LAW REQUIRES THAT A COPY OF ALL PROPOSED AGREEMENTS RELATING TO THE SALE OF THE FRANCHISE BE DELIVERED TOGETHER WITH THE FRANCHISE DISCLOSURE DOCUMENT.

Notwithstanding anything to the contrary set forth in the Franchise Disclosure Document, the following provisions shall supersede and apply to all franchises offered and sold in the State of California:

Item 17. RENEWAL, TERMINATION, TRANSFER AND DISPUTE RESOLUTION:

1 California Business and Professions Code Sections 20000 through 20043 provide rights to the franchisee concerning termination or non-renewal of a franchise. If the Franchisee Agreement contains provision that is inconsistent with the law, the law will control.

2 The Franchise Agreement provides for termination upon bankruptcy. This provision may not be enforceable under federal bankruptcy law (11 U.S.C.A. Sec. 101 et. seq.).

3 The Franchise Agreement contains a covenant not to compete which extends beyond the termination of the franchise. This provision may not be enforceable under California law.

4 YOU MUST SIGN A GENERAL RELEASE OF CLAIMS IF YOU RENEW OR TRANSFER YOUR FRANCHISE. CALIFORNIA CORPORATIONS CODE SECTION 31512 VOIDS A WAIVER OF YOUR RIGHTS UNDER THE FRANCHISE INVESTMENT LAW (CALIFORNIA CORPORATIONS CODE SECTIONS 31000 THROUGH 31516). BUSINESS AND PROFESSIONS CODE SECTION 20010 VOIDS A WAIVER OF YOUR RIGHTS UNDER THE FRANCHISE RELATIONS ACT (BUSINESS AND PROFESSIONS CODE SECTIONS 20000 THROUGH 20043).

5 Neither the franchisor nor any person or franchise broker disclosed in Item 2 of the Disclosure Document is subject to any currently effective order of any national securities association or national securities exchange, as defined in the Securities Exchange Act of 1934, 15 U.S.C.A. 78a et seq., suspending or expelling such persons from membership in such association or exchange.

6 SECTION 31125 OF THE FRANCHISE INVESTMENT LAW REQUIRES US TO GIVE TO YOU A DISCLOSURE DOCUMENT APPROVED BY THE COMMISSIONER OF CORPORATIONS BEFORE WE ASK YOU TO CONSIDER A MATERIAL MODIFICATION OF YOUR FRANCHISE AGREEMENT.

OUR WEBSITE HAS NOT BEEN REVIEWED OR APPROVED BY THE CALIFORNIA DEPARTMENT OF BUSINESS OVERSIGHT. ANY COMPLAINTS CONCERNING THE CONTENT OF THIS WEBSITE MAY BE DIRECTED TO THE CALIFORNIA DEPARTMENT OF BUSINESS OVERSIGHT at www.dbo.ca.gov.

ADDENDUM TO THE FRANCHISE DISCLOSURE DOCUMENT
FOR THE STATE OF HAWAII

1. The following paragraph shall be added to the state cover page:

THESE FRANCHISES HAVE BEEN FILED UNDER THE FRANCHISE INVESTMENT LAW OF THE STATE OF HAWAII. FILING DOES NOT CONSTITUTE APPROVAL, RECOMMENDATION OR ENDORSEMENT BY THE DIRECTOR OF COMMERCE AND CONSUMER AFFAIRS OR A FINDING BY THE DEPARTMENT OF COMMERCE AND CONSUMER AFFAIRS THAT THE INFORMATION PROVIDED HEREIN IS TRUE, COMPLETE AND NOT MISLEADING.

THE FRANCHISE INVESTMENT LAW MAKES IT UNLAWFUL TO OFFER OR SELL ANY FRANCHISE IN THIS STATE WITHOUT FIRST PROVIDING TO THE PROSPECTIVE FRANCHISEE, OR SUBFRANCHISOR, AT LEAST SEVEN DAYS PRIOR TO THE EXECUTION BY THE PROSPECTIVE FRANCHISEE, OF ANY BINDING FRANCHISE OR OTHER AGREEMENT OR AT LEAST SEVEN DAYS PRIOR TO THE PAYMENT OF ANY CONSIDERATION BY THE FRANCHISE, OR SUBFRANCHISOR, WHICHEVER OCCURS FIRST, A COPY OF THE FRANCHISE DISCLOSURE DOCUMENT, TOGETHER WITH A COPY OF ALL PROPOSED AGREEMENTS RELATING TO THE SALE OF THE FRANCHISE.

THIS FRANCHISE DISCLOSURE DOCUMENT CONTAINS A SUMMARY ONLY OF CERTAIN MATERIAL PROVISIONS OF THE FRANCHISE AGREEMENT. THE CONTRACT OR AGREEMENT SHOULD BE REFERRED TO FOR A STATEMENT OF ALL RIGHTS, CONDITIONS, RESTRICTIONS AND OBLIGATIONS OF BOTH THE FRANCHISOR AND THE FRANCHISEE.

The agent for receipt of service of process for the Franchisor, IHOP Property Leasing, LLC, IHOP Properties, LLC, and IHOP Real Estate, LLC, is the Hawaii Commissioner of Securities, Department of Commerce and Consumer Affairs, Business Registration Division, 335 Merchant Street, Room 205, Honolulu, Hawaii 96813.

2. Each provision of this Addendum to the Disclosure Document is effective only to the extent, with respect to such provision, that the jurisdictional requirements of the Hawaii Franchise Investment Law, Hawaii Rev. Stat. §§ 482E-1, et seq., are met independently without reference to this Addendum to the Disclosure Document, and only to the extent such provision is a then valid requirement of the statute.

ADDENDUM TO DISCLOSURE DOCUMENT
PURSUANT TO THE ILLINOIS FRANCHISE DISCLOSURE ACT

Notwithstanding anything to the contrary set forth in the Franchise Disclosure Document, the following provisions will supersede and apply to all franchises offered and sold in the State of Illinois:

ITEM 17- RENEWAL, TERMINATION, TRANSFER AND DISPUTE RESOLUTION

1. Notice Required by Law:

THE TERMS AND CONDITIONS UNDER WHICH YOUR FRANCHISE CAN BE TERMINATED AND YOUR RIGHTS UPON NON-RENEWAL MAY BE AFFECTED BY ILLINOIS LAW, 815 ILCS 705/19 AND 705/20.

2. The provisions of the Franchise Agreement and all other agreements concerning governing law, jurisdiction, venue, choice of law and waiver of jury trials will not constitute a waiver of any right conferred upon Franchisee by the Illinois Franchise Disclosure Act. The Illinois Franchise Disclosure Act will govern the Franchise Agreement with respect to Illinois franchisees and any other person under the jurisdiction of the Illinois Franchise Disclosure Act.

3. Section 41 of the Illinois Franchise Disclosure Act states that “any condition, stipulation, or provision purporting to bind any person acquiring any franchise to waive compliance with any provision of this Act is void.”

4. Item 17t is amended to include the following:

“This section does not exclude representations made in this Franchise Disclosure Document.”

5. Item 17v and 17w are amended by deleting the current language under the Summary column and adding the following in its place and stead:

“Illinois law applies.”

ADDENDUM TO THE DISCLOSURE DOCUMENT
FOR THE STATE OF MARYLAND

1. The following paragraph shall be added to the end of Item 5:

“The Maryland Securities Commissioner has required a financial assurance. Dine Brands has posted a surety bond in the amount of \$325,000 for franchise sales in Maryland. The original bond is on file with the Securities Division.”

2. The following shall be inserted in Item 17:

Any general release executed by Franchisee in connection with renewal and/or assignment/transfer shall not apply to liabilities under the Maryland Franchise Registration and Disclosure Law (“Maryland Franchise Law”).

No representations contained in the IHOP Non-Traditional Master License Agreement executed by Franchisee are intended to, nor shall they act as a release, estoppel or waiver of any liability incurred under the Maryland Franchise Law.

The provision in the IHOP Non-Traditional Master License Agreement which provides for termination upon bankruptcy of the franchisee (Paragraph 12.02(f)) may not be enforceable under federal bankruptcy law (4 U.S.C. Section 101 et seq.).

3. The following paragraph shall be added to the end of the Disclosure document:

“No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.”

ADDENDUM TO IHOP NON-TRADITIONAL MASTER LICENSE AGREEMENT
FOR THE STATE OF MARYLAND

This Addendum is agreed to this _____ day of _____, 20__ between IHOP FRANCHISOR LLC and _____ to amend and revise the IHOP Non-Traditional Master License Agreement which was entered into between the parties concurrently herewith as follows:

1. Any general release required as a condition of renewal and/or assignment/transfer shall not apply to liabilities under the Maryland Franchise Law.

No representations contained in this IHOP Non- Traditional Master License Agreement are intended to, nor shall they act as a release, estoppel or waiver of any liability incurred under the Maryland Franchise Registration and Disclosure Law.

No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.

2. The Maryland Securities Commissioner has required a financial assurance. Dine Brands Global Inc. has posted a surety bond in the amount of \$325,000 for franchise sales in Maryland. The original bond is on file with the Securities Division.

IN WITNESS WHEREOF, each of the undersigned hereby acknowledges having read and understood this Addendum and consents to be bound by all its terms, and agrees that it shall be effective as of the date hereof.

IHOP:
IHOP FRANCHISOR LLC

By: _____
Its: _____

LICENSEE:

(Name of Licensee)

By: _____
Its: _____

ADDENDUM TO THE FRANCHISE DISCLOSURE DOCUMENT
FOR THE STATE OF MICHIGAN

THE STATE OF MICHIGAN PROHIBITS CERTAIN UNFAIR PROVISIONS THAT ARE SOMETIMES IN FRANCHISE DOCUMENTS. IF ANY OF THE FOLLOWING PROVISIONS ARE IN THESE FRANCHISE DOCUMENTS, THE PROVISIONS ARE VOID AND CANNOT BE ENFORCED AGAINST YOU:

(a) A PROHIBITION ON THE RIGHT OF A FRANCHISEE TO JOIN AN ASSOCIATION OF FRANCHISEES.

(b) A REQUIREMENT THAT A FRANCHISEE ASSENT TO A RELEASE, ASSIGNMENT, NOVATION, WAIVER OR ESTOPPEL WHICH DEPRIVES A FRANCHISEE OF RIGHTS AND PROTECTIONS PROVIDED IN THIS ACT. THIS SHALL NOT PRECLUDE A FRANCHISEE, AFTER ENTERING INTO A FRANCHISE AGREEMENT, FROM SETTling ANY AND ALL CLAIMS.

(c) A PROVISION THAT PERMITS A FRANCHISOR TO TERMINATE A FRANCHISE PRIOR TO THE EXPIRATION OF ITS TERM EXCEPT FOR GOOD CAUSE. GOOD CAUSE SHALL INCLUDE THE FAILURE OF THE FRANCHISEE TO COMPLY WITH ANY LAWFUL PROVISION OF THE FRANCHISE AGREEMENT AND TO CURE SUCH FAILURE AFTER BEING GIVEN WRITTEN NOTICE THEREOF AND A REASONABLE OPPORTUNITY, WHICH IN NO EVENT NEED MORE THAN 30 DAYS, TO CURE SUCH FAILURE.

(d) A PROVISION THAT PERMITS A FRANCHISOR TO REFUSE TO RENEW A FRANCHISE WITHOUT FAIRLY COMPENSATING THE FRANCHISEE BY REPURCHASE OR OTHER MEANS FOR THE FAIR MARKET VALUE AT THE TIME OF EXPIRATION OF THE FRANCHISEE'S INVENTORY, SUPPLIES, EQUIPMENT, FIXTURES, AND FURNISHINGS. PERSONALIZED MATERIALS WHICH HAVE NO VALUE TO THE FRANCHISOR AND INVENTORY, SUPPLIES, EQUIPMENT, FIXTURES, AND FURNISHINGS NOT REASONABLY REQUIRED IN THE CONDUCT OF THE FRANCHISE BUSINESS ARE NOT SUBJECT TO COMPENSATION. THIS SUBSECTION APPLIES ONLY IF (i) THE TERM OF THE FRANCHISE IS LESS THAN 5 YEARS AND (ii) THE FRANCHISEE IS PROHIBITED BY THE FRANCHISE OR OTHER AGREEMENT FROM CONTINUING TO CONDUCT SUBSTANTIALLY THE SAME BUSINESS UNDER ANOTHER TRADEMARK, SERVICE MARK, TRADE NAME, LOGOTYPE, ADVERTISING, OR OTHER COMMERCIAL SYMBOL IN THE SAME AREA SUBSEQUENT TO THE EXPIRATION OF THE FRANCHISE OR THE FRANCHISEE DOES NOT RECEIVE AT LEAST 6 MONTHS ADVANCE NOTICE OF FRANCHISOR'S INTENT NOT TO RENEW THE FRANCHISE.

(e) A PROVISION THAT PERMITS THE FRANCHISOR TO REFUSE TO RENEW A FRANCHISE ON TERMS GENERALLY AVAILABLE TO OTHER FRANCHISEES OF THE SAME CLASS OR TYPE UNDER SIMILAR CIRCUMSTANCES. THIS SECTION DOES NOT REQUIRE A RENEWAL PROVISION.

(f) A PROVISION REQUIRING THAT ARBITRATION OR LITIGATION BE CONDUCTED OUTSIDE THIS STATE. THIS SHALL NOT PRECLUDE THE FRANCHISEE FROM ENTERING INTO AN AGREEMENT, AT THE TIME OF ARBITRATION, TO CONDUCT ARBITRATION AT A LOCATION OUTSIDE THIS STATE.

(g) A PROVISION WHICH PERMITS A FRANCHISOR TO REFUSE TO PERMIT A TRANSFER OF OWNERSHIP OF A FRANCHISE, EXCEPT FOR GOOD CAUSE. THIS SUBDIVISION DOES NOT PREVENT A FRANCHISOR FROM EXERCISING A RIGHT OF FIRST REFUSAL TO PURCHASE THE FRANCHISE. GOOD CAUSE SHALL INCLUDE, BUT IS NOT LIMITED TO:

(i) THE FAILURE OF THE PROPOSED TRANSFEREE TO MEET THE FRANCHISOR'S THEN CURRENT REASONABLE QUALIFICATIONS OR STANDARDS.

(ii) THE FACT THAT THE PROPOSED TRANSFEREE IS A COMPETITOR OF THE FRANCHISOR OR SUBFRANCHISOR.

(iii) THE UNWILLINGNESS OF THE PROPOSED TRANSFEREE TO AGREE IN WRITING TO COMPLY WITH ALL LAWFUL OBLIGATIONS.

(iv) THE FAILURE OF THE FRANCHISEE OR PROPOSED TRANSFEREE TO PAY ANY SUMS OWING TO THE FRANCHISOR OR TO CURE ANY DEFAULT IN THE FRANCHISE AGREEMENT EXISTING AT THE TIME OF THE PROPOSED TRANSFER.

(h) A PROVISION THAT REQUIRES THE FRANCHISEE TO RESELL TO THE FRANCHISOR ITEMS THAT ARE NOT UNIQUELY IDENTIFIED WITH THE FRANCHISOR. THIS SUBDIVISION DOES NOT PROHIBIT A PROVISION THAT GRANTS TO A FRANCHISOR A RIGHT OF FIRST REFUSAL TO PURCHASE THE ASSETS OF A FRANCHISE ON THE SAME TERMS AND CONDITIONS AS A BONA FIDE THIRD PARTY WILLING AND ABLE TO PURCHASE THOSE ASSETS, NOR DOES THIS SUBDIVISION PROHIBIT A PROVISION THAT GRANTS THE FRANCHISOR THE RIGHT TO ACQUIRE THE ASSETS OF A FRANCHISE FOR THE MARKET OR APPRAISED VALUE OF SUCH ASSETS IF THE FRANCHISEE HAS BREACHED THE LAWFUL PROVISIONS OF THE FRANCHISE AGREEMENT AND HAS FAILED TO CURE THE BREACH IN THE MANNER PROVIDED IN SUBDIVISION (c).

(i) A PROVISION WHICH PERMITS THE FRANCHISOR TO DIRECTLY OR INDIRECTLY CONVEY, ASSIGN, OR OTHERWISE TRANSFER ITS OBLIGATIONS TO FULFILL CONTRACTUAL OBLIGATIONS TO THE FRANCHISEE UNLESS PROVISION HAS BEEN MADE FOR PROVIDING THE REQUIRED CONTRACTUAL SERVICES.

* * * *

THE FACT THAT THERE IS A NOTICE OF THIS OFFERING ON FILE WITH THE ATTORNEY GENERAL DOES NOT CONSTITUTE APPROVAL, RECOMMENDATION, OR ENDORSEMENT BY THE ATTORNEY GENERAL.

ANY QUESTIONS REGARDING THIS NOTICE SHOULD BE DIRECTED TO THE DEPARTMENT OF ATTORNEY GENERAL AT THE FOLLOWING ADDRESS:

525 West Ottawa Street
G. Mennen Williams Building, 1st Floor Lansing, Michigan 48913
(517) 335-7567

ADDENDUM TO THE FRANCHISE DISCLOSURE DOCUMENT
FOR THE STATE OF MINNESOTA

1. Cover Page, Risk Factors 1 and 2 are amended with the addition of the following language:

Minnesota Statute §80C.21 and Minnesota Rule 2860.4400J prohibit us from requiring litigation to be conducted outside Minnesota. In addition, nothing in the disclosure document or agreement can abrogate or reduce any of your rights as provided for in Minnesota Statutes, Chapter 80C, or your rights to any procedure, forum, or remedies provided for by the laws of the jurisdiction.

2. Item 17, Renewal, Termination, Transfer and Dispute Resolution, shall be amended by the addition of the following paragraphs:

Minnesota Statute §80C.21 and Minnesota Rule 2860.4400J prohibit us from requiring litigation to be conducted outside Minnesota. In addition, nothing in the disclosure document or agreement can abrogate or reduce any of your rights as provided for in Minnesota Statutes, Chapter 80C, or your rights to any procedure, forum, or remedies provided for by the laws of the jurisdiction.

Minnesota law provides franchisees with certain termination rights. With respect to franchises governed by Minnesota law, Franchisor will comply with Minn. Stat. Sec. 80C. 14, Subds. 3, 4 and 5 which require, except in certain specified cases, that a franchisee be given 90 days' written notice of termination (with 60 days to cure) and 180 days' notice for non-renewal of the Franchise Agreement.

3. Minnesota law considers it unfair to not protect the franchisee's right to use the trademarks. Refer to Minnesota Statutes, Section 80C.12, Subdivision (g). Franchisor will protect the Franchisee's rights to use the trademarks, service marks, trade names, logotypes or other commercial symbols or indemnify the franchisee from any loss, costs or expenses arising out of any claim, suit or demand regarding the use of the name.

4. Minnesota Rules 2860.4400(D) prohibits a franchisor from requiring a franchisee to assent to a general release.

5. Each provision of this addendum shall be effective only to the extent, with respect to such provision, that the jurisdictional requirements of the Minnesota Franchise Law or the Rules and Regulations promulgated thereunder by the Minnesota Commission of Commerce are met independently without reference to this addendum to the disclosure document.

6. The following paragraph shall be added to the end of the Disclosure document:

"No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise."

7. The following paragraph shall be added to the end of the Disclosure document:

"THESE FRANCHISES HAVE BEEN REGISTERED UNDER THE MINNESOTA FRANCHISE

ACT. REGISTRATION DOES NOT CONSTITUTE APPROVAL, RECOMMENDATION OR ENDORSEMENT BY THE COMMISSIONER OF COMMERCE OF MINNESOTA OR A FINDING BY THE COMMISSIONER THAT THE INFORMATION PROVIDED HEREIN IS TRUE, COMPLETE AND NOT MISLEADING.

THE MINNESOTA FRANCHISE ACT MAKES IT UNLAWFUL TO OFFER OR SELL ANY FRANCHISE IN THIS STATE WHICH IS SUBJECT TO REGISTRATION WITHOUT FIRST PROVIDING TO THE PROSPECTIVE FRANCHISEE, AT LEAST 7 DAYS PRIOR TO THE EXECUTION BY THE PROSPECTIVE FRANCHISEE OF ANY BINDING FRANCHISE OR OTHER AGREEMENT, OR AT LEAST 7 DAYS PRIOR TO THE PAYMENT OF ANY CONSIDERATION, BY THE FRANCHISEE, WHICHEVER OCCURS FIRST, A COPY OF THIS PUBLIC OFFERING STATEMENT, TOGETHER WITH A COPY OF ALL PROPOSED AGREEMENTS RELATING TO THE FRANCHISE. THIS PUBLIC OFFERING STATEMENT CONTAINS A SUMMARY ONLY OF CERTAIN MATERIAL PROVISIONS OF THE FRANCHISE AGREEMENT. THE CONTRACT OR AGREEMENT SHOULD BE REFERRED TO FOR AN UNDERSTANDING OF ALL RIGHTS AND OBLIGATIONS OF BOTH THE FRANCHISOR AND THE FRANCHISEE.”

ADDENDUM TO IHOP NON-TRADITIONAL MASTER LICENSE AGREEMENT
FOR THE STATE OF MINNESOTA

This Addendum is agreed to this ____ day of _____, 20____, between IHOP FRANCHISOR LLC and _____ to amend and revise the IHOP Non-Traditional Master License Agreement which was entered into between the parties concurrently herewith as follows:

1. Article 10 shall be amended by adding the following:

“Notwithstanding anything to the contrary herein,

(a) If any law or regulation by any competent authority with jurisdiction over this Agreement shall limit Franchisor’s rights of termination or require a longer or different notice than that specified in this Article XII, same shall be deemed amended to conform with the minimum requirements of such law or regulation.

(b) Minnesota law provides licensees with certain termination and non-renewal rights. Minnesota Statutes, Section 80C.14, Subdivision 3, 4 and 5 require, except in certain specified cases, that a Licensee be given 90 days notice of termination (with 60 days to cure) and 180 days notice for non-renewal of the Franchise Agreement; and that consent to the transfer of the franchise or license will not be unreasonably withheld.

(c) Nothing in this section shall in any way abrogate or reduce any rights of the Licensee as provided for in Minnesota Statutes, Chapter 80C, or licensees rights to any procedure, forum or remedies provided for by the laws of Minnesota.”

2. No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.

IN WITNESS WHEREOF, each of the undersigned hereby acknowledges having read and understood this Addendum and consents to be bound by all its terms, and agrees that it shall be effective as of the date hereof.

IHOP:

IHOP FRANCHISOR LLC

By: _____

Its: _____

LICENSEE:

(Name of Licensee)

By: _____

Its: _____

ADDENDUM TO IHOP NON-TRADITIONAL MASTER LICENSE AGREEMENT
FOR THE STATE OF NEW YORK

This Addendum is agreed to this __ day of _____, 20__ between IHOP FRANCHISOR LLC and _____ to amend and revise the IHOP Non-Traditional Master License Agreement which was entered into between the parties concurrently herewith as follows:

1. The following sentence shall be inserted at the end of Paragraph 10.01 of the IHOP Non-Traditional Master License Agreement:

“Nevertheless, where the New York Franchise Sales Act speaks to the issue, then that law shall apply.”

IN WITNESS WHEREOF, each of the undersigned hereby acknowledges having read and understood this Addendum and consents to be bound by all its terms, and agrees that it shall be effective as of the date hereof.

IHOP:
IHOP FRANCHISOR LLC

By: _____
Its: _____

LICENSEE:

(Name of Licensee)

By: _____
Its: _____

ADDENDUM TO IHOP NON-TRADITIONAL MASTER LICENSE AGREEMENT
FOR THE STATE OF NORTH DAKOTA

This Addendum is entered into this ____ day of _____, 20____, between IHOP FRANCHISOR LLC and _____ to amend the IHOP Non-Traditional Master License Agreement (“License Agreement”) which was entered into between the parties concurrently herewith as follows:

1. The last sentence of Article 10, Paragraph 10.2(b) of the License Agreement shall be deleted and the following shall be inserted in its place and stead:

“The situs of arbitration proceedings shall be in North Dakota in that city nearest the Franchised Location which has an American Arbitration Association office or an office that handles proceedings that follow rules and procedures promulgated by the American Arbitration Association or a similar association, and facilities for arbitration.”

2. The following sentence shall be inserted at the end of Article 10, Paragraph 10.4(a) of the License Agreement:

“Notwithstanding the provisions contained herein, to the extent that any provisions are not in accordance with the North Dakota Century Code, such provisions shall be subject to any applicable North Dakota law to the contrary.”

3. The following sentence shall be inserted at the end of Article 10, Paragraph 10.1 of the License Agreement:

“Notwithstanding the provisions of Paragraph 10.1 of the License Agreement, the provisions of the North Dakota Century Code will control to the extent any provision of the License Agreement and/or California law are inconsistent with the Code.”

IN WITNESS WHEREOF, each of the undersigned hereby acknowledges having read and understood this Addendum and consents to be bound by all its terms, and agrees that it shall be effective as of the date hereof.

IHOP:
IHOP FRANCHISOR LLC

By: _____
Its: _____

LICENSEE:

(Name of Licensee)

By: _____
Its: _____

ADDENDUM TO IHOP NON-TRADITIONAL MASTER LICENSE AGREEMENT
FOR THE STATE OF RHODE ISLAND

This Addendum is agreed to this __ day of _____ 20 __ between IHOP FRANCHISOR LLC and _____ to amend and revise the IHOP Non-Traditional Master License Agreement which was entered into concurrently between the parties herewith as follows:

“A provision in an IHOP Non-Traditional Master License Agreement restricting jurisdiction or venue to a forum outside this state or requiring the application of the laws of another state is void with respect to a claim otherwise enforceable under this Act.”

IN WITNESS WHEREOF, each of the parties acknowledges having read and understood consents to be bound by all its terms, and be effective as of the date hereof.

IHOP:
IHOP FRANCHISOR LLC

By: _____
Its: _____

LICENSEE:

(Name of Licensee)

By: _____
Its: _____

ADDENDUM TO THE FRANCHISE DISCLOSURE DOCUMENT
FOR THE COMMONWEALTH OF VIRGINIA

Pursuant to Section 13.1-564 of the Virginia Retail Franchising Act, it is unlawful for a franchisor to cancel a franchise without reasonable cause. If any grounds for default or termination stated in the Development Agreement and/or License Agreement do not constitute “reasonable cause,” as that term may be defined in the Virginia Retail Franchising Act or the laws of Virginia, that provision may not be enforceable.

Pursuant to Section 13.1-564 of the Virginia Retail Franchising Act, it is unlawful for a franchisor to use undue influence to induce a franchisee to surrender any right given to him under the franchise. If any provision of the License Agreement involves the use of undue influence by the franchisor to induce a franchisee to surrender any rights given to him under the franchise, that provision may not be enforceable.

WASHINGTON ADDENDUM TO THE FRANCHISE DISCLOSURE DOCUMENT, THE FRANCHISE AGREEMENT, AND ALL RELATED AGREEMENTS

The provisions of this Addendum form an integral part of, are incorporated into, and modify the Franchise Disclosure Document, the franchise agreement, and all related agreements regardless of anything to the contrary contained therein. This Addendum applies if: (a) the offer to sell a franchise is accepted in Washington; (b) the purchaser of the franchise is a resident of Washington; and/or (c) the franchised business that is the subject of the sale is to be located or operated, wholly or partly, in Washington.

1. **Conflict of Laws.** In the event of a conflict of laws, the provisions of the Washington Franchise Investment Protection Act, chapter 19.100 RCW will prevail.
2. **Franchisee Bill of Rights.** RCW 19.100.180 may supersede provisions in the Franchise Agreement or related agreements concerning your relationship with the franchisor, including in the areas of termination and renewal of your franchise. There may also be court decisions that supersede the Franchise Agreement or related agreements concerning your relationship with the franchisor. Franchise agreement provisions, including those summarized in Item 17 of the Franchise Disclosure Document, are subject to state law.
3. **Site of Arbitration, Mediation, and/or Litigation.** In any arbitration or mediation involving a franchise purchased in Washington, the arbitration or mediation site will be either in the state of Washington, or in a place mutually agreed upon at the time of the arbitration or mediation, or as determined by the arbitrator or mediator at the time of arbitration or mediation. In addition, if litigation is not precluded by the Franchise Agreement, a franchisee may bring an action or proceeding arising out of or in connection with the sale of franchises, or a violation of the Washington Franchise Investment Protection Act, in Washington.
4. **General Release.** A release or waiver of rights in the Franchise Agreement or related agreements purporting to bind the franchisee to waive compliance with any provision under the Washington Franchise Investment Protection Act or any rules or orders thereunder is void except when executed pursuant to a negotiated settlement after the agreement is in effect and where the parties are represented by independent counsel, in accordance with RCW 19.100.220(2). In addition, any such release or waiver executed in connection with a renewal or transfer of a franchise is likewise void except as provided for in RCW 19.100.220(2).
5. **Statute of Limitations and Waiver of Jury Trial.** Provisions contained in the Franchise Agreement or related agreements that unreasonably restrict or limit the statute of limitations period for claims under the Washington Franchise Investment Protection Act, or rights or remedies under the Act such as a right to a jury trial, may not be enforceable.
6. **Transfer Fees.** Transfer fees are collectable only to the extent that they reflect the franchisor's reasonable estimated or actual costs in effecting a transfer.
7. **Termination by Franchisee.** The franchisee may terminate the Franchise Agreement under any grounds permitted under state law.
8. **Certain Buy-Back Provisions.** Provisions in Franchise Agreements or related agreements that permit the franchisor to repurchase the franchisee's business for any reason during the term of the Franchise Agreement without the franchisee's consent are unlawful pursuant to RCW 19.100.180(2)(j), unless the franchise is terminated for good cause.
9. **Fair and Reasonable Pricing.** Any provision in the Franchise Agreement or related agreements that requires the franchisee to purchase or rent any product or service for more than a fair and reasonable price is unlawful under RCW 19.100.180(2)(d).

10. **Waiver of Exemplary & Punitive Damages.** RCW 19.100.190 permits franchisees to seek treble damages under certain circumstances. Accordingly, provisions contained in the Franchise Agreement or elsewhere requiring franchisees to waive exemplary, punitive, or similar damages are void, except when executed pursuant to a negotiated settlement after the agreement is in effect and where the parties are represented by independent counsel, in accordance with RCW 19.100.220(2).
11. **Franchisor's Business Judgement.** Provisions in the Franchise Agreement or related agreements stating that the franchisor may exercise its discretion on the basis of its reasonable business judgment may be limited or superseded by RCW 19.100.180(1), which requires the parties to deal with each other in good faith.
12. **Indemnification.** Any provision in the Franchise Agreement or related agreements requiring the franchisee to indemnify, reimburse, defend, or hold harmless the franchisor or other parties is hereby modified such that the franchisee has no obligation to indemnify, reimburse, defend, or hold harmless the franchisor or any other indemnified party for losses or liabilities to the extent that they are caused by the indemnified party's negligence, willful misconduct, strict liability, or fraud.
13. **Attorneys' Fees.** If the Franchise Agreement or related agreements require a franchisee to reimburse the franchisor for court costs or expenses, including attorneys' fees, such provision applies only if the franchisor is the prevailing party in any judicial or arbitration proceeding.
14. **Noncompetition Covenants.** Pursuant to RCW 49.62.020, a noncompetition covenant is void and unenforceable against an employee, including an employee of a franchisee, unless the employee's earnings from the party seeking enforcement, when annualized, exceed \$100,000 per year (an amount that will be adjusted annually for inflation). In addition, a noncompetition covenant is void and unenforceable against an independent contractor of a franchisee under RCW 49.62.030 unless the independent contractor's earnings from the party seeking enforcement, when annualized, exceed \$250,000 per year (an amount that will be adjusted annually for inflation). As a result, any provision contained in the Franchise Agreement or elsewhere that conflicts with these limitations is void and unenforceable in Washington.
15. **Nonsolicitation Agreements.** RCW 49.62.060 prohibits a franchisor from restricting, restraining, or prohibiting a franchisee from (i) soliciting or hiring any employee of a franchisee of the same franchisor or (ii) soliciting or hiring any employee of the franchisor. As a result, any such provisions contained in the Franchise Agreement or elsewhere are void and unenforceable in Washington.
16. **Questionnaires and Acknowledgments.** No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.
17. **Prohibitions on Communicating with Regulators.** Any provision in the Franchise Agreement or related agreements that prohibits the franchisee from communicating with or complaining to regulators is inconsistent with the express instructions in the Franchise Disclosure Document and is unlawful under RCW 19.100.180(2)(h).
18. **Advisory Regarding Franchise Brokers.** Under the Washington Franchise Investment Protection Act, a "franchise broker" is defined as a person that engages in the business of the offer or sale of franchises. A franchise broker represents the franchisor and is paid a fee for referring prospects to the franchisor and/or selling the franchise. If a franchisee is working with a franchise broker, franchisees are advised to carefully evaluate any information provided by the franchise broker about a franchise.

IN WITNESS WHEREOF, the parties have duly executed, sealed and delivered this Addendum as of the Effective Date identified below.

IHOP:
IHOP FRANCHISOR LLC

By: _____
Its: _____

LICENSEE:

(Name of Licensee)

By: _____
Its: _____

ADDENDUM TO LEASE

EXHIBIT L

ADDENDUM TO LEASE

THIS ADDENDUM TO LEASE (the "Addendum") forms a part of that certain Lease dated _____, 20__, by and between _____, as Lessor, and _____, as Lessee, demising those certain premises located at _____.

RECITALS:

WHEREAS, Lessor and Lessee acknowledge that the anticipated use of the Demised Premises is the conduct of an International House of Pancakes or IHOP Restaurant thereon, pursuant to the terms of a certain Franchise Agreement (the "Franchise Agreement") to be entered into between IHOP Franchisor LLC, a Delaware limited liability company, or its affiliates, successors or assigns ("IHOP"), as Franchisor, and Lessee, as Franchisee, and that by reason of such use certain benefits will inure to Lessor and Lessee; and

WHEREAS, Lessor and Lessee further acknowledge that in the event the Lease or Franchise Agreement, or both, are terminated by reason of the default of Lessee and the business of an International House of Pancakes or IHOP Restaurant upon the Demised Premises ceases or is otherwise interrupted, certain damages to IHOP (or its Affiliates) and/or its servicemarks will result; therefore, IHOP has required, as a condition to the Franchise Agreement, that Lessor and Lessee enter into this Addendum for the purpose of granting certain succession rights to IHOP in the event of a default by Lessee under the Lease or in the event of a termination of the Franchise Agreement, or both, so that the business of an International House of Pancakes or IHOP Restaurant, at IHOP's election, may continue to be conducted upon the Demised Premises, as hereinafter provided.

NOW, THEREFORE, in consideration of the above premises and as an inducement to IHOP to enter into the Franchise Agreement with Lessee, the parties hereto hereby agree as follows:

Notwithstanding anything contained in the Lease to the contrary:

A. In the event Lessor shall declare a default under the Lease due to Lessee's failure to perform any obligation of Lessee under the terms of the Lease, and in the event Lessee shall fail to cure such default within the period provided in the Lease or at law for such cure, before Lessor shall take any action to terminate the Lease or Lessee's right to possession of the Demised Premises, Lessor shall give written notice to IHOP Franchisor LLC at 10 W. Walnut St., 5th Floor, Attn: Legal Dept., Pasadena, California 91103, of its intention to so terminate the Lease or Lessee's right to possession of the Demised Premises, whereupon IHOP shall have a period of 10 days after its receipt of said notice to notify Lessor in writing that IHOP has elected to cure such default and to succeed to Lessee's rights under the Lease. IHOP's right to so succeed to Lessee's interest under the Lease shall be conditioned upon IHOP tendering to Lessor an amount sufficient to cure any monetary defaults of Lessee then existing under the Lease, within 10 days after the date of IHOP's giving of such notice, and curing any nonmonetary defaults within a reasonable period of time after IHOP shall obtain possession of the Demised Premises. Notwithstanding the foregoing, in the event Lessee has obtained a leasehold mortgage, so long as Lessee's Mortgagee has

any cure rights with regards to the Lease, IHOP's notice and cure period described in this Addendum shall not commence until the expiration of the rights of Lessee's Mortgagee under the Lease.

B. If for any reason the Lease is terminated before IHOP shall have the right to exercise its election to succeed to Lessee's interest under the Lease, as contemplated above, Lessor shall promptly notify IHOP in writing of such termination, and, provided IHOP notifies Lessor in writing of its desire to obtain possession of the Demised Premises within 10 days after the date that IHOP shall receive written notice from Lessor that said Lease has been terminated, then Lessor shall enter into a new lease with IHOP for the remainder of the term and any option terms that would have been available under the Lease, but for such termination, within 10 days after the date that IHOP shall give such notice, provided IHOP pays Lessor an amount sufficient to cure any monetary defaults of Lessee then existing under the Lease and within a reasonable period of time after IHOP obtains possession of the Demised Premises, cures any nonmonetary defaults under the Lease.

C. In the event of the termination of the Franchise Agreement as a result of Lessee's breach thereof, IHOP shall also have the right to succeed to the interest of Lessee under the Lease by giving written notice to Lessor of its election to so succeed to Lessee's interest under the Lease, within 10 days after the date of the termination of the Franchise Agreement.

D. In the event IHOP elects to succeed to Lessee's interest under the Lease pursuant to paragraphs A, B or C above, IHOP shall attorn to Lessor and shall assume all of the obligations thereafter to be performed by Lessee under the Lease, including all amendments, addenda and supplements thereto.

E. In the event IHOP elects to succeed to Lessee's interest under the Lease pursuant to paragraphs A, B or C above, IHOP shall have the unqualified right to sublease the Demised Premises to a franchisee or prospective franchisee of IHOP meeting IHOP's minimum standard qualifications, without the written consent of Lessor, and in so doing IHOP shall have no obligation to pay to Lessor any consideration or portion thereof derived by IHOP in connection therewith.

F. Upon default by Lessee of the terms of its Franchise Agreement with IHOP, and where such default extends beyond all applicable cure periods in the Franchise Agreement, Lessor hereby grants IHOP, or its assignee, the right to enter the Premises to make any modifications necessary to protect the proprietary trademarks, trade dress and other intellectual property owned by IHOP and relating to the operation of an IHOP or International House of Pancakes Restaurant, without being deemed guilty of trespass or any other tort, to make such modifications reasonably necessary at the reasonable expense of Lessee, which expense Lessee shall pay to IHOP pursuant to the Franchise Agreement.

G. Upon the expiration or earlier termination of the Lease for any reason, Lessee shall, upon written demand of IHOP, remove all IHOP trademarks and elements of trade dress from all buildings, signs, fixtures and furnishings, and make reasonable alterations to and paint those portions of buildings and other improvements maintained pursuant to the Lease a neutral color to the extent necessary to protect the trade dress of the IHOP system. In addition to and without limiting the generality of the foregoing, Lessee shall make any other

changes which IHOP requests in order to protect the proprietary trademarks and trade dress of the IHOP system.

H. If Lessee shall fail to make or cause to be made any such removal, alteration or repainting within 30 days after written notice, Lessor shall use commercially reasonable efforts to give IHOP written notice of such failure. IHOP shall have the right to enter upon the Premises, upon at least 48 hours advance notice to Lessor, without being deemed guilty of trespass or any other tort, and make or cause to be made such removal, alterations and repainting at the reasonable expense of Lessee, for the purposes described in G. above, which expense Lessee shall pay to IHOP pursuant to the Franchise Agreement.

INITIALS: Lessor:_____ Lessee:_____

State Effective Dates

The following states have franchise laws that require that the Franchise Disclosure Document be registered or filed with the state, or be exempt from registration: California, Hawaii, Illinois, Indiana, Maryland, Michigan, Minnesota, New York, North Dakota, Rhode Island, South Dakota, Virginia, Washington, and Wisconsin.

This document is effective and may be used in the following states, where the document is filed, registered or exempt from registration, as of the Effective Date stated below:

STATES	EFFECTIVE DATE
California	PENDING
Hawaii	PENDING
Illinois	PENDING
Indiana	PENDING
Maryland	PENDING
Michigan	PENDING
Minnesota	PENDING
New York	PENDING
North Dakota	PENDING
Rhode Island	PENDING
South Dakota	PENDING
Virginia	PENDING
Washington	PENDING
Wisconsin	PENDING

Other states may require registration, filing, or exemption of a franchise under other laws, such as those that regulate the offer and sale of business opportunities or seller-assisted marketing plans.

**RECEIPT
TO BE RETURNED**

This Disclosure Document summarizes certain provisions of the IHOP Non-Traditional Multi-Unit Franchise Agreement and other information in plain language. Read this Disclosure Document and all agreements carefully.

If IHOP offers you a franchise, IHOP must provide this Disclosure Document to you 14 calendar days before you sign a binding agreement with, or make a payment to, IHOP or an affiliate in connection with the proposed franchise sale or grant.

Michigan requires that we give you this Disclosure Document at least 10 business days before the execution of any binding franchise or other agreement or the payment of any consideration, whichever occurs first.

New York requires that we give you this Disclosure Document at the earlier of the first personal meeting or 10 business days before the execution of the franchise or other agreement or the payment of any consideration that relates to the franchise relationship.

Iowa requires that we give you this Disclosure Document at the earliest of the first personal meeting or 14 calendar days before the execution of any binding franchise or other agreement or the payment of any consideration, whichever occurs first.

If IHOP does not deliver this Disclosure Document on time or if it contains a false or misleading statement, or a material omission, a violation of federal and state law may have occurred and should be reported to the Federal Trade Commission, Washington, D.C. 20580 and the appropriate state regulatory agency listed in Exhibit G.

The franchisor is IHOP Franchisor LLC, located at 10 W. Walnut St., Pasadena CA 91103. Its telephone number is (818) 240-6055.

The name, principal business address and telephone number of the franchise seller(s) offering this franchise is as follows:

☐	Jim Darby	10 W. Walnut St., Pasadena CA 91103 (818) 240-6055
☐	Jacob Barden	10 W. Walnut St., Pasadena CA 91103 (818) 240-6055
☐	Nicole Durham-Mallory	10 W. Walnut St., Pasadena CA 91103 (818) 240-6055
☐	William Urrego	10 W. Walnut St., Pasadena CA 91103 (818) 240-6055
☐	Gary Moore	10 W. Walnut St., Pasadena CA 91103 (818) 240-6055
☐	Von Dawson	10 W. Walnut St., Pasadena CA 91103 (818) 240-6055
☐	Chantrea Scott	10 W. Walnut St., Pasadena CA 91103 (818) 240-6055
☐	Brett Kelly	10 W. Walnut St., Pasadena CA 91103 (818) 240-6055
☐	Manny Packing	10 W. Walnut St., Pasadena CA 91103 (818) 240-6055
☐	Valerie Thodde	10 W. Walnut St., Pasadena CA 91103 (818) 240-6055
☐	Ryan Varjas	10 W. Walnut St., Pasadena CA 91103 (818) 240-6055
☐		

(Please check the name(s) and complete as applicable)

Issuance Date: March 27, 2026. See state cover page for effective dates in registration states.

This Disclosure Document is for use in all states.

The name and address of the persons and/or entities listed on Exhibit H, are authorized to receive service of process for IHOP.

I received a disclosure document dated March 27, 2026, that included the following Exhibits:

Exhibit A	List of Franchisees
Exhibit A-1	List of Franchisees Who Have Ceased to do Business
Exhibit B	IHOP Non-Traditional Multi-Unit Franchise Agreement
Exhibit C	Guarantee of Obligations (IHOP Non-Traditional Multi-Unit Franchise Agreement)
Exhibit D	Financial Statements
Exhibit E	Guarantees of Obligations (Non-Traditional Restaurant Franchise Addendum)
Exhibit F	Table of Contents of Operations Manuals (Full-Service)
Exhibit G	List of State Administrators
Exhibit H	List of Agents for Service of Process
Exhibit I	General Release (Non-Traditional)
Exhibit J	Trademark License Agreement (Non-Traditional)
Exhibit K	State Addenda
Exhibit L	Addendum to Lease

Date: _____

Prospective Franchisee:

By: _____

Name: _____

Individually and on behalf of any and all entities in the following franchise group:

Franchise Group: _____

(SIGN AND RETURN)

**RECEIPT
TO BE RETAINED**

This Disclosure Document summarizes certain provisions of the IHOP Non-Traditional Multi-Unit Franchise Agreement and other information in plain language. Read this Disclosure Document and all agreements carefully.

If IHOP offers you a franchise, IHOP must provide this Disclosure Document to you 14 calendar days before you sign a binding agreement with, or make a payment to, IHOP or an affiliate in connection with the proposed franchise sale or grant.

Michigan requires that we give you this Disclosure Document at least 10 business days before the execution of any binding franchise or other agreement or the payment of any consideration, whichever occurs first.

New York requires that we give you this Disclosure Document at the earlier of the first personal meeting or 10 business days before the execution of the franchise or other agreement or the payment of any consideration that relates to the franchise relationship.

Iowa requires that we give you this Disclosure Document at the earliest of the first personal meeting or 14 calendar days before the execution of any binding franchise or other agreement or the payment of any consideration, whichever occurs first.

If IHOP does not deliver this Disclosure Document on time or if it contains a false or misleading statement, or a material omission, a violation of federal and state law may have occurred and should be reported to the Federal Trade Commission, Washington, D.C. 20580 and the appropriate state regulatory agency listed in Exhibit G.

The franchisor is IHOP Franchisor LLC, located at 10 W. Walnut St., Pasadena CA 91103. Its telephone number is (818) 240-6055.

The name, principal business address and telephone number of the franchise seller(s) offering this franchise is as follows:

☐	Jim Darby	10 W. Walnut St., Pasadena CA 91103 (818) 240-6055
☐	Jacob Barden	10 W. Walnut St., Pasadena CA 91103 (818) 240-6055
☐	Nicole Durham-Mallory	10 W. Walnut St., Pasadena CA 91103 (818) 240-6055
☐	William Urrego	10 W. Walnut St., Pasadena CA 91103 (818) 240-6055
☐	Gary Moore	10 W. Walnut St., Pasadena CA 91103 (818) 240-6055
☐	Von Dawson	10 W. Walnut St., Pasadena CA 91103 (818) 240-6055
☐	Chantrea Scott	10 W. Walnut St., Pasadena CA 91103 (818) 240-6055
☐	Brett Kelly	10 W. Walnut St., Pasadena CA 91103 (818) 240-6055
☐	Manny Packing	10 W. Walnut St., Pasadena CA 91103 (818) 240-6055
☐	Valerie Thodde	10 W. Walnut St., Pasadena CA 91103 (818) 240-6055
☐	Ryan Varjas	10 W. Walnut St., Pasadena CA 91103 (818) 240-6055
☐		

(Please check the name(s) and complete as applicable)

Issuance Date: March 27, 2026. See state cover page for effective dates in registration states.

This Disclosure Document is for use in all states.

The name and address of the persons and/or entities listed on Exhibit H, are authorized to receive service of process for IHOP.

I received a disclosure document dated March 27, 2026, that included the following Exhibits:

Exhibit A	List of Franchisees
Exhibit A-1	List of Franchisees Who Have Ceased to do Business
Exhibit B	IHOP Non-Traditional Multi-Unit Franchise Agreement
Exhibit C	Guarantee of Obligations (IHOP Non-Traditional Multi-Unit Franchise Agreement)
Exhibit D	Financial Statements
Exhibit E	Guarantees of Obligations (Non-Traditional Restaurant Franchise Addendum)
Exhibit F	Table of Contents of Operations Manuals (Full-Service)
Exhibit G	List of State Administrators
Exhibit H	List of Agents for Service of Process
Exhibit I	General Release (Non-Traditional)
Exhibit J	Trademark License Agreement (Non-Traditional)
Exhibit K	State Addenda
Exhibit L	Addendum to Lease

Date: _____

Prospective Franchisee:

By: _____

Name: _____

Individually and on behalf of any and all entities in the following franchise group:

Franchise Group: _____

(RETAIN FOR YOUR RECORDS)